

Godrej Properties Ltd. (GODREJPROP)

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Sub: - Transcript of the conference call with the Investors/ Analysts

Dear Sir/Madam,

Please find attached transcript of the conference call organized with the Investors/ Analysts on Tuesday, August 02, 2022, post declaration of financial results for the quarter ended June 30, 2022.

This is for your information and records.

Thank you,

Yours truly,
For Godrej Properties Limited

Ashish Karyekar
Company Secretary & Compliance Officer

Encl: as above

Page 1 of 15

Godrej Properties Limited
Q1 FY23 Earnings Conference Call
August 02 , 2022

Moderator: Ladies and gentlemen, good day, and welcome to Godrej Properties Limited's Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing '*' then '0' on

your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anoop Poojari of CDR India. Thank you. And over to you, sir.

Anoop Poojari: Thank you. Good evening, everyone, and thank you for joining us on Godrej Properties Q1 FY'23 Results Conference Call. We have with us Mr. Pirojsha Godrej, Executive Chairman; Mr. Mohit Malhotra, Managing Director and CEO; and Mr. Rajendra Khetawat, CFO of the company. We would like to begin the call with opening remarks from the management, following which we will have the forum open for an interactive question-and-answer session.

Before we start, I would like to point out that some statements made in today's call will be forward-looking in nature, and a disclaimer to this effect has been included in the results presentation shared with you earlier.

I would now request for Pirojsha to make his opening remarks.

Pirojsha Adi Godrej : Good afternoon, everyone. Thank you for joining us for Godrej Properties First Quarter Financial Year '23 Conference Call. I'll begin by discussing the highlights of the quarter, and we then look forward to taking your questions and suggestions. I'm happy to report that Godrej Properties started the year with its highest ever first quarter sales. We sold 2,300 homes during the quarter with an area of about 2.8 million square feet. And in value terms, sold about INR 2,520 crore worth of inventory, which represented a year- on-year value growth of 407%. Of course, the base was the delta wave last year. So it's not really a reasonable base to look at. We were especially pleased to have crossed INR 1,000 crore of sales in Mumbai through the successful launch of 2 new projects, Godrej Horizon, where we sold more than INR 500 crore of real estate and Godrej Ascend in Thane, where we sold 379 homes with a booking value of about INR 415 crore. We believe this puts us on track to our objective of achieving sales in excess of INR 10,000 crore in the current financial year.

On the operations front, while we had no deliveries in the first quarter, we remain on track to deliver a large number of projects during the rest of the year. As a result of no deliveries in the first quarter, our revenues were relatively muted at INR 375 crore, a ye

ar- on-year growth of 61%. Our adjusted EBITDA grew by 58% to INR 132 crore, while our net profit grew by 168% to INR 46 crore. Our residential collections for the quarter stood at INR 1,538 crore leading to positive net operating cash flow.

Page 2 of 15

From a business development perspective, we recently added a new luxury project, Carmichael Road in Mumbai with a total salable area of about 1.2 lakh square feet and an expected revenue potential of approximately INR 1,200 crore.

While our new business development announcement during the quarter were only these 2 or 3 projects, one in Carmichael Road, plotted development project in Nagpur and an additional phase to one of our projects in Mumbai, we do have a very exciting set of projects under discussion, and our business development pipeline is exceptionally strong. So we expect to have several new project announcements in the months ahead. While commodity cost inflation has impacted margins on under construction inventory, the price hikes taken to mitigate the same for new projects have been well absorbed.

Strong housing demand despite price increases and interest rate hikes gives us confidence that the housing cycle upturn is sustainable. We remain confident of leveraging the opportunity to grow our market share aggressively with a sharp focus on business development and project execution, which will set us up for significant earnings growth in the years

ahead. I would also like to update you on an important change to our leadership team that will take effect from January 1, 2023.

Mohit, our Managing Director and Chief Executive Officer, has tendered his resignation from the company to seek entrepreneurial opportunities outside Godrej Properties. I'm deeply grateful to Mohit for the essential role he has played in transforming Godrej Properties over the past 12 years he's been with the company and over the past 5.5 years that he's been CEO. I wish Mohit much success for the future and for his new venture. Gaurav Pandey, who is currently the Chief Executive Officer of the North Zone of Godrej Properties, will take over from Mohit as Managing Director and Chief Executive Officer effective January 1.

Gaurav is over 17 years of experience in the real estate sector and as CEO of our North Zone, he's transformed the P&L of the business and built a high-performing team. In the 5 years of his leadership, the Zone grew by 6x in booking value, 4x in collections and the imputed return on capital employed increased very significantly to about 27%. In fiscal year 2022, the profit after tax of the North Zone was the largest contributor to Godrej Properties P&L. So I'm quite confident that Gaurav's thorough knowledge of the industry, the company and his delivery track record will help ensure he has a very successful tenure as CEO of Godrej Properties.

On that note, I conclude my remarks. I'd like to thank you all for joining us on the call. We'd now be very happy to discuss any questions; comments or suggestions you may have.

Moderator: We have the first question from the line of Kunal Lakhan from CLSA. Please go ahead.

Kunal Lakhan: Firstly, on the operating cash flow, it was quite low this quarter as a % of collection. What is the reason for that?

Rajendra Khetawat : So Kunal, the collections will improve in the coming quarters. Since the beginning of the quarter, there are a lot of construction milestone payments, which will keep coming. Since 3 launches we have done, those are initial collection, which we have received. But going forward, you will

Page 3 of 15
see this collection and operating cash flow trajectory improving in the coming quarters.

Pirojsha Godrej : I think, Kunal, we remain very confident both of strong overall collections as well as operating cash flow growth for the full year. We agree this quarter was a little bit low.

Kunal Lakhan: Sure, sure.

Secondly, on status of your Ashok Vihar launch, if you can give some indication on when the launch will be and where are we in terms of approvals?

Pirojsha Godrej : Yes, I think we've been making steady progress on the approval. There are 1 or 2 issues that are still outstanding. So we're hoping for a Q3 launch on that.

Kunal Lakhan: Q3, okay. And lastly, in terms of new launches for the rest of the year, right? I can see only one launch in the Mumbai market, which is the Matunga launch. But besides that, we don't have anything else lined up for the rest of the year?

Pirojsha Godrej: Well, we do have a few projects that we haven't put in the official guidance that we'd hope to launch by the end of the year, including Worli development, including perhaps even this Carmichael Road development, if we can turn it around fast enough. But you're right that I think some of the Mumbai launches will be second half of next year as well. We have, of course, launched 2 significant projects in Q1, so we expect continued

momentum in inventory sales from those projects. Mohit, do you want to add anything?

Mohit Malhotra: Yes. As Pirojsha highlighted, I think there are a couple of projects which we are looking to launch. But at our advanced stages of approval, we haven't taken them into our guidance. We also have potential to launch the next phase launch for our Wadala project, which has done phenomenally well. So looking at quite exciting opportunities in Mumbai this year.

Kunal Lakhan: Sure. And lastly, status on your Bandra project?

Pirojsha Godrej : Mohit, do you want to take that?

Mohit Malhotra: Not much progress on Bandra project. As you know, it's just because of our joint venture partners reasons . So I think that project where things are going slower than what we would have liked it to.

Moderator: We have the next question from the line of Puneet from HSBC. Please go ahead.

Puneet: My first question is with respect to your investments in the joint ventures and other financial assets. That seems to have gone down on a Q- on-Q basis. Can you elaborate on why that would have happened?

Rajendra Khetawat: Those investments keep going up and down, depending on the share of profit and loss, which keeps adding and reducing. So that is a function of those investment plus obviously, when you recognize profit share of investment goes up and when you recognize loss share of investment in JV's goes down.

Puneet: So there would have been a recognition of loss in these.

Page 4 of 15

Rajendra Khetawat: That usually is a one-line item. So those get into investment and when the JV reaches recognition, obviously, it will go up again.

Pirojsha Godrej: I think it's important to understand that for joint ventures until they reach project completion is when the earnings are recognized, the rest is marketing expense and the other things, which are expensed out.

Puneet: I get it. And my second question is, how should one think about the pipeline, you've been quite bullish on the pipeline, but we haven't seen large projects getting added compared to the scale and the balance sheet size that you have. What is really resulting in a bit of slowdown on the project edition?

Pirojsha Godrej: Yes. I think again, the visibility internally is quite good. We have, as I said, also shifted out our announcement of deals to usually a greater set of precedent conditions are completed. But yes, it's fair to say, I think last 2, 3 quarters, we haven't had any big bang new business development announcements. We're quite confident we'll have a few during the upcoming quarters.

Moderator: We have the next question from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.

Pritesh Sheth: Just one question, again, on business development. So firstly, congrats to Mohi t on successful tenure. But I think Mohit and the team overall was obviously working very

closely to materialize transactions in Mumbai, Bangalore, where you were very much focused in the last couple of years. Now with the new CEO, obviously, coming from North how those dynamics change, particularly with respect to our business development targeting in Mumbai and Bangalore?

Pirojsha Godrej: Yes, I don't think we should assume any change. I think, of course, we are a professionally managed company I think largely thanks to all the good work Mohit has done over the last few years. We also have a very strong team. We have zonal CEOs who are responsible for delivering the P&L. We have a strong independent business development team, I think, for business development of course, I can personally be involved in some of the important transactions. And I think as we've indicated, I think the Mohit moving on, we've been agreed in a very amicable manner between me and Mohit. I think he's going to do his best to ensure a very smooth transition. We have another 5 or 6 months before Mohit moves on. So I really am quite confident that the business development pipeline won't be affected. And in fact, you will see, I think, a considerable pickup in business development momentum over these next couple of quarters.

Pritesh Sheth: Sure. And just if you can elaborate since the pipeline visibility is very strong. Obviously, we'll take your comments, obviously with a pinch of salt, since nothing has been firmed up. But what sort of pipeline you're looking at in Mumbai specifically with regards to Slum redevelopment that you are seeking to sign off with DB earlier. Now what's the visibility there and overall, in general, the pipeline that you're looking at in?

Pirojsha Godrej: Yes, I think we have good visibility in Mumbai, again, it's very hard to comment on this until these deals are public, and we can't speak about them freely. But there are several different projects that we're looking at, including individual projects that have an INR 5,000 crore booking value addition to the company. So we're quite hopeful of closing a few of these. Nothing specific on the Slum development side, as we mentioned, we had

Page 5 of 15

dropped that earlier proposal. But we're seeing several interesting opportunities for new projects, both in Mumbai and Bangalore, in addition, of course, to the good business development that's in any case than going on in NCR and Pune.

Moderator: We have the next question from the line of Sameer Baisiwala from Morgan Stanley. Please go ahead.

Sameer Baisiwala: My first question is on the price increase. What's been a sequential increase Q4 to Q1?

Pirojsha Godrej: Mohit, do you want to take that?

Mohit Malhotra: Sure. So thanks, Sameer. First of all, for the good wishes. So we had, as we mentioned in the last call, we took almost 5% to 6% price hike in Q 4 to hedge for the inflation. This quarter, again, we have taken a price hike of 3% to 4% across projects. Now some projects we have been able to take a higher number. Some projects we couldn't take as much as we would have liked. But on an average, quarter-on-quarter, we have been targeting 4% to 5% price hike across markets, where prices are already going up significantly, we could take a higher number, in some markets which are still lagging behind the number of price hike is slightly lower.

Sameer Baisiwala: And sir, what's the outlook for balance 9 months of this year?

Mohit Malhotra: Yes, I think we have not seen any major drop in demand through these price hikes. So we would like to continuously push in a prudent way, the price hike. But of course, you also have to be very careful about how consumers are responding to it, and we don't want volumes to drop so we'll just take it in a very calibrated way and accordingly decide. Very difficult to give a guidance on this.

Sameer Baisiwala: Okay. No, that's fine. And anything you can talk about the 2 new project acquisitions, w

hich is Carmichael and the plotted development in Nagpur. What gross margins can we assume which is backing out both land costs and construction costs?

Mohit Malhotra: Nagpur is the plotted development. So the margins in plotted developments are upwards of 40% plus. Rajendra, do you have exact margin for Carmichael?

Rajendra Khetawat: Carmichael, we've invested close to INR 300 crore. So that is the equivalent amount of profit, which we are looking at over there.

Sameer Baisiwala: Okay. No, that's great. But when you say invested INR 300 crore, that is only land or land plus construction you're saying?

Rajendra Khetawat: Only land. I'm saying on the land, generally, we look to make 2x kind of a return. So that is the margin we look to make from that kind of project.

Sameer Baisiwala: Okay, sir. I mean just so that we are clear. So the sales potential is INR 1,200 crore, and profit is INR 300 crore, you are saying?

Rajendra Khetawat: Yes. Basically, I'm just saying that is a ballpark because there will be a lot of construction, there will be a lot of approvals and other stuff. So I'm just saying this is a ballpark.

Page 6 of 15

Pirojsha Godrej: These are quite high-margin projects. I think the Carmichael is an ultra luxury project. Our ultimate margin will, of course, depend on pricing, but it's a small project. So I think we will go for a pretty high margins there.

Sameer Baisiwala: Okay. And the final question is, how does the site at Worli look like in terms of how clear it is?

Mohit Malhotra: See, the site is getting cleared. The work had already started and both the partners are already in the process, but if you really ask, I don't think you will see a very major change unless a significant number of people move out. So right now, the progress is positive, but a real shift in site, you would see in the next 6 months.

Moderator: We have the next question from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: First of all, I'd like to congratulate Mohit's journey. My question is to Pirojsha. So last year, northern market contributed about 40% of all to say now have been in the role of the CEO. So are we looking to replace him in North by someone else? How will we look at the northern market now? If you can highlight, are we looking to deepen our presence there because we have seized a lot on the northern market, it's profitability and ROC of almost 27%. So if you can just touch upon the northern market. How will it change?

Pirojsha Godrej: Yes. I think we have continued to have strong ambitions for that market. I think, of course, we have a strong team in place there. We've actually appointed as Gaurav successor, an existing P&L leader in our NCR team who is #2 to Gaurav, Geetika who has been one of our star performers and been a key part of the region NCR has performed so well. So she will now take over as a P&L head for the NCR Zone when Gaurav moves over, and we continue to have a very ambitious plan for the growth in that zone.

Parikshit Kandpal: On the business development pipeline, so I mean some of the peers you gave a guidance on annual guidance on certain numbers on business developments. So do you have any number for especially for MMR, especially on the premium side. So where we don't have any significant presence as of now. So you've been highlighting in earlier calls that you're looking to significantly ramp up and increase our market share, but offlate we see other players from other geographies coming up and taking that market share and we have been not really doing a great job out there. So if you can just touch upon and quantify some of that especially underplaying

MMR ?

Pirojsha Godrej: Ya, I think in Mumbai, first of all, as I mentioned, actually last quarter had our best ever sales probably in Mumbai certainly, since our big Vikhroli launches, where

we've crossed the INR 1,000 crore in sales. The project, one of the major contributor to that was actually a business development project we added last year in a redevelopment project in Wadala. So we're actually very happy that we've turned around that quite quickly. We've just announced this Carmichael Road project.

As I did mention, there are a couple of very advanced stage large projects that we have in the pipeline. Of course, still we are in a place to announce them. I agree that there's no way that the investor community can really get a great sense of them, but we hope to be able to provide that in the near term. I think giving business development guidance, I would take with a pinch of salt because there are a large number of unknowns in this. But if

Page 7 of 15

you look at it, I'd say that the goal of the company is to do at least INR 10,000 crore bookings this year to grow at least 20% year- on-year. And I think steady state, that means for 2 years forward, we should be at INR 15,000 crore number at least. So I think that's the booking value we'd like to lock in through business development in the current year, and we think we're on track to do that.

Parikshit Kandpal: Okay. But some of these large opportunities, typically, I mean, so what kind of opportunity we are seeing emerging now on the business development front. So do you think it's more like green field or still as were doing the log-on [Atari] or new redevelopment opportunities rather than right away like refill opportunities or buying out plans on corporate. So on your plate, so what kind of opportunities are emerging from these segments?

Pirojsha Godrej: I think we're seeing large opportunities in all of the above. I think from a balance sheet perspective, there are only a handful of developers in the country right now who have the capacity to cut large land acquisition purchase cheques. So I think we are well placed with a gearing ratio of 0.1:1 to be in place to do that for large significant opportunities. I think given the Godrej brand and our track record on doing probably more joint ventures than any other developers over the last 5, 6 years. We feel very confident in being able to do new partnership projects as well. So I think you'll see a mix of those and also some redevelopment projects.

Moderator: We have the next question from the line of Abhinav Sinha from Jefferies. Please go ahead.

Abhinav Sinha: My first question is on the growth trajectory. So you have talked about INR 10,000 crore of sales in the current year, but it's not only implying flat numbers in the next 9 months. So why is that so? I mean, is it like a launch issue or you can do better?

Pirojsha Godrej: I think INR 10,000 crore obviously is, we think, pretty healthy number would imply annual growth of 27%. Of course, the endeavor will be to always do even better. But I think that would be, we think, a pretty solid number for the year. So we want to first make sure we do get to that number. And obviously, if the opportunity presents itself, we will go for a much larger number. I think we've been quite happy with the steady scale-up. We've been seeing in the business from a booking value perspective. I think we're probably the only developer that's delivered consistent year- on-year growth each of the last 5 or 6 years. And we want to continue to build on that. So I think INR 10,000 crore this year, if we can do a bit better, nothing like it. But again, I think a 27% growth for the year will be a healthy number.

Abhinav Sinha: And on the cash flow part, you mentioned you're expecting it to be in the next 9 months. So where can we roughly the net debt to end the year. We

had an uptick of close to INR 500 crore this year, is that a fair pace to assume going forward?

Pirojsha Godrej: Yes. I think more than operating cash flow, which I think will be strongly positive for the year. I think the big

ger determinant of where we end the year from a net debt perspective will be scale of business development. So the hope would be to actually be investing even more than we have the last couple of quarters. But yes, I think at the minimum, we would expect the sort of total net debt to go up by at least that if business development is firing the way we want to, but a few big deals could make that happen at a faster pace.

Page 8 of 15

Abhinav Sinha: The big deals that you talked about, say, the INR 5,000 crore out of bracket. These are land purchases or these are JV, JD?

Pirojsha Godrej: Again, there's a large number of opportunities we're looking at. I think we're looking at, for example, one large joint venture project and one large outright purchase, a specific project that I said could be about a INR 5,000 crore revenue opportunity is outright purchase .

Abhinav Sinha: Okay. And one question from the P&L perspective. On the current year, which are the project deliveries that you can guide us for that we can expect in the next 3 quarters?

Pirojsha Godrej: I think we have a large number of project deliveries. We expect over 10 million square feet of deliveries this year. So it will be a long list of projects. Maybe Rajendra can take you through that offline.

Moderator: We have the next question from the line of Girish Choudhary from Spark Capital. Please go ahead.

Girish Choudhary: Yes. Firstly, on the Bangalore market. So if you look at the sales, they have been pretty tough over the last year or so is not also be things INR 270-odd crore. So when do you expect a rebound from this market? If you can give some concrete launches planned in this market? Yes, that's the first question.

Pirojsha Godrej: Yes. I think we expect a fairly immediate rebound. We've also made some changes to the team there. We've got a new CEO there, who's been on board for a couple of months, who I think has very aggressive plans for growth in the market. We're looking at some exciting large new opportunities, but we do have a few significant new projects that we'll be launching from deals we added last year. So I certainly think that we've taken cognizance of the low sales in Bangalore for the past 12 months and should report a much higher number over this next remainder of the financial year. Mohit, do you want to add anything?

Mohit Malhotra: Yes. concurred with your view, I think there's a very interesting pipeline we're building in Bangalore on the BD side. So once that comes in a big turnaround in the Bangalore market.

Girish Choudhary: So if I have to ask you this other way around out of INR 10,000 crore guidance, how much can one expect from this market is your number your mind?

Mohit Malhotra: I think this year, the contribution from Bangalore will be relatively less. But I think next year onwards, it should significantly increase in contribution once the BD deal has been signed.

Girish Choudhary: Okay. Secondly, last 2 years, again, deliveries were around 6.5 million square feet around 6.4, 6.5 million square feet. So any target share for FY'23.

Pirojsha Godrej: Sorry, this year or for next year?

Girish Choudhary: '23 and '24 if you can share for.

Pirojsha Godrej: I think this year, we'll see a large uptick, certainly north of 10 million. I think a lot of it will depend on the exact timing of OCs, but I think 10 million

Page 9 of 15

would be a base case number. And you should see a strong number the following year as well. We're currently selling over the last couple of years, about 11 million square feet a year. So within a couple of years, that should, in any case, be the minimum rate. But as we scale up, obviously, deliveries will keep pace. But I think over the next couple of years, you'll see at least 25 million square feet of delivery.

Moderator: We have the next question from the line of Nimish Maheshwari from ISB

ntures. Please go ahead.

Nimish Maheshwari : Congratulations on good set of numbers. How do you expect the demand with respect to increase in interest rate scenario, like in the across the year 1% to 1.5% may increase? So how do you see the demand?

Priyosha Godrej: Honestly, I don't anticipate any major impact on demand. I think it's important to remember that the starting point for this increase was the lowest interest rate India has ever seen. So even today, a mortgage cost 7%, if that say, goes to 8% or 8.5%, that would be relatively low by any historical standard. The last time the sector was booming in 2011, '12, interest rates were 10%, 11%. So I'm not overly concerned of this. Obviously, we'll have to keep a close eye and watch how things move. But my sense is affordability for real estate while not quite as good as maybe a year or 1.5 years ago, it's still one of the best it's ever been because prices are still quite moderate if you consider that we went through an 8, 9 years down cycle with very limited property price appreciations of the 10% or so it may have been appreciation over the last 12, 18 months is a relatively modest number in light of the time correction and the kind of increase that people have seen in the income over this 10-year period. Similarly, as I mentioned on interest rates, there is some increase over the recent past, but we're starting off from an extremely low base. So my sense is the Indian economy and positivity around its performance is much better than it's been in a long time. I think if that holds and people's view is that inflation is likely to make property more expensive, which I think is correct. Then you will have home buyers wanting to come into the market. I think sometimes the industry is as much about buyers' perception as it is about the underlying numbers. So my expectation is that we're still in the relatively early stage of what will be a lasting up cycle in the sector.

Moderator: We have the next question from the line of Aman Vij from Astute Investment Management. Please go ahead.

Aman Vij: My first question is on the ROC of different regions like you have explained that over the last 4, 5 years, NCR have been able to beat 27% kind of ROC. If you can talk similar numbers for the other regions, MMR, Pune and Bangalore.

Pirojsha Godrej: Mohit, do you want to take this?

Mohit Malhotra: Yes, I don't have a number offhand, but maybe we can touch after the call. Rajendra, if you can share it after the call?

Rajendra Khetawat: Sure, Mohit.

Aman Vij: Yes, sure. Second question is on the INR 10,000 crore booking target we have. If we can give approx. split in terms of regions, which you think we could see?

Priyosha Godrej: Yes. I think Bangalore might be off the 4 regions contribute the lowest amount to this year. I think NCR and Mumbai and what we call our East West one, which is mostly Pune, but also Kolkata but we will all contribute relatively large numbers. I think the exact split will depend on which exact projects end up getting launched and how they perform. But I think overall, we think INR 10,000 crore will require a strong performance from all our zones. And I think we've seen good growth over last year in all 4 zones.

Aman Vij: Sure, sir. And on the Pune and Bangalore market, so we have a very ambitious target for this year. although Q1 they were n't any big launches. But Q2, are there any big launches or most of them are meant for the H2 only?

Priyosha Godrej : Mohit, do you want to take that?

Mohit Malhotra: We have a big launch coming up in Pune in Q2, which is at the last stage of approval. So that would be a very big launch. And apart from that, the launch pipeline looks healthy. There are good launches in NCR, which is planned. Bangalore also, we have a big launch already underway. I think we are looking at a strong number for Q2 also.

Aman Vij: Sure,

sir. Final question is on the cash we had raised; we have talked about trying to deploy most of it this year itself. So any chance some of this can happen in Q2 also or it will be again back ended in, say, Q3 or Q4 only?

Priyosha Godrej: Yes, I think we should have deals getting added every quarter. So certainly, some of them should be in Q2 as well.

Aman Vij: Sir, I'm talking about the big ones because we have added INR 300 crore for a project, but compared to the.

Priyosha Godrej: Yes, I think some are at a stage where, hopefully, they can be announced in Q2. But obviously, the reason they've not yet been announced that they're not ready. So I think these things are not always completely predictable from a timing perspective. But yes, we hope on the next call to have some significant updates in place.

Moderator: We have the next question from the line of Kunal Lakhan from CLSA. Please go ahead.

Kunal Lakhan: So again, just welding on the Bangalore contribution. Actually, last year also we didn't have much contributing from Bangalore, and we also saw some cancellations in Q3. Just wanted to understand like how are we approaching this market because we've been in the market for some time now. Any change in the strategy besides what we have been doing so far?

Priyosha Godrej: Yes. I think we're very clear on what our expectations in Bangalore are and that over the last 12 months, we've missed them. I think in some years; we've been in the top 3 players by booking value in Bangalore. So I don't think that we've not achieved any scale there. And also it's not an issue that any of the projects we've launched haven't done well. So I think it's a pure question of needing to secure more business development, which we've already made some progress on over the past 12 months and have some very interesting opportunities that we hope to lock in over the next few months. I also mentioned we've made a recent change in our leadership in Bangalore. The clear mandate to the team is to make sure the scale moved up very considerably. So we have no concerns on the fact

that, that will happen. We haven't done as well as we could have from a scale perspective in Bangalore for the last 18 months, and we are fully

committed to ensuring that rectified and very confident that it will be.

Kunal Lakhan: Sure. And just a data point that I must have missed in the past. The cancellations that we have seen in Q3 of INR 100-odd crore in Bangalore, this was for which project?

Pirojsha Godrej: This was for project Godrej Reflections, which had an issue with this NGT order, which we're in the process of appealing in the Supreme Court. So for any customers who had wanted to withdraw from the project, given the uncertainty, we provided refunds there.

Moderator: We have the next question from the line of Dhruv Jain and Himanshu Zaveri. Please go ahead.

Dhruv Jain: I just wanted to ask a question on the Vikhroli front. Is there anything happening over there because it's been a long time since, approvals problem or some other problems?

Pirojsha Godrej: As we've mentioned in the past, I think we will now announce it as and when somebody is ready to launch it. There are a couple of parcels that are being worked on, but there is continued regulatory uncertainty. Of course, a large part of the land is still used for other purposes. But the couple of pieces of land that we hope to launch soon, we'll certainly announce as soon as we're confident that it can be launched very quickly.

Dhruv Jain: The same one which you have mentioned in the deal, right?

Pirojsha Godrej: Correct.

Dhruv Jain: And Ashok Vihar you said you're launching in the third quarter, right?

Pirojsha Godrej: Yes. Again, obviously, subject to all approvals being in place by then, but that's our current best estimate of the timing. I think the good news in Ashok Vihar, the NCR market has been

really doing very well, both from a volume and pricing perspective. So while, obviously, we are frustrated with the delay and eagerly looking forward to kicking off that project from a pure financial returns perspective, I think the project only looks better now than it did a year or 2 ago.

Dhruv Jain: So when we get the approvals and all, you are pretty confident of the project doing very well because of the NCR market, right?

Pirojsha Godrej: Yes, absolutely. I think one is the NCR market. Two, I think this is a very unique land parcel and quality of location, the kind of scale of the land gives us an opportunity to create a very high-quality product. So yes, I think this is certainly a big priority and extremely confident that when it kicks off, we'll get off with a bang there.

Dhruv Jain: Okay. And the Hinjewadi one we are launching this quarter? Is there any chance?

Pirojsha Godrej: Mohit?

Mohit Malhotra: That's correct. That's the project which we mentioned is what we are looking to launch in this quarter.

Page 12 of 15

Dhruv Jain: And the Okhla also, right?

Mohit Malhotra : Yes.

Moderator: We have the next question from the line of Manish Gandhi from KPMK Investments. Please go ahead.

Manish Gandhi: So my first question will be in NCR after Ashok Vihar, we don't have any greenfield project, and we have done exceedingly well. But given the current land price situation in NCR, so how do you look for the next 2, 3 years, how do you build a land bank or deals? So first question is on that.

Pirojsha Godrej : Yes. So Manish, our practice has never been to try to create large land banks but to continue to do ongoing business development. In NCR, we have some plotted projects. We have some remaining phases of existing projects. Ashok Vihar itself is like INR 8,000 crore plus booking value opportunity. And of course, it is one of the focus markets for new capital deployment as well. So I think that combination, we've, of course, looking at this for the next couple of years, we're very confident of delivering strong growth in NCR on a significant base. But obviously, for sustained long-term growth, I think we have to continue to fire from the BD side as well.

Manish Gandhi: Yes. No, it's a wrong choice of. It's not a land bank, but I was just saying on the BD because our aspiration to grow high.

Pirojsha Godrej: That's a fair point. And it's certainly one of the markets where we're looking at some very interesting opportunities. We've seen almost anything we have launched there, including recently a project in Sector 43 in Noida, which became our best-selling ever project in terms of a 12-month sales. So I think we are looking to add similar high-impact projects.

Manish Gandhi: And do you see opportunity or it is very difficult to do BD right now in the NCR?

Pirojsha Godrej: No, we are seeing opportunities. I think there's always, of course, being some level of competition. I would say the opportunities actually remain considerable though, while a lot of news goes on the 5 or 6 of us developers who are active in the market and are closing deals. I think there's still a long tail in the sector of liquidity issues and other problems. So we see decent opportunities to add significantly to the portfolio and are looking at some interesting things in NCR as well.

Manish Gandhi: Yes. That's wonderful. And the last small one, any updates on Taloja. It's a big project, 7.5 million, so are we seeing to getting approvals for next year or something like that?

Pirojsha Godrej : Mohit?

Mohit Malhotra: There's a critical CP, which is pending in Taloja, which is the road access which we are working on with JVP. So unless that is done, we don't want to launch the project because that is a critical thing from a sales and marketing perspective.

Manish Gandhi: Right. But do you expect to solve that problem next year?

Mohit Malhotra: I think the work is on, but acquiring land is not easy. So difficult to give a guidance, Manish. Frankly on this one.

Page 13 of 15

Moderator: We have the next question from the line of Ankit Patel from L&T Mutual Fund. Please go ahead.

Ankit Patel: My question is around the debt the borrowing piece for the company right now. So what we can see is around INR 5,000 crore of gross debt and around INR 4,500-odd crore of cash. Could you throw some light in terms of how the borrowing program as you scale up now in terms of more fund deployment, say, INR 500 crore of run rate every quarter. How do you plan to space out the borrowing between different instruments? And how do you look at the borrowing side?

Rajendra Khetawat: So for the borrowing, so like we have borrowing across various instruments

like NCD, commercial paper, bank borrowings. So these are the borrowing instruments and borrowing program, we keep running. So just to give you one thing is that ICRA recently upgraded on a borrowing program from AA long term to AA+. So that is on borrowing part. So we think that the borrowing should be in the ballpark in this range only, unless there is some good BD opportunity. Right now we are having QIP money to be deployed. So post that deployment, we may see a little bit uptick on the borrowing. Otherwise, for a normal working capital, we don't require because the projects are self-funded. So the borrowing should stay in this ballpark other than any BD requirement.

Ankit Patel: Okay. And in terms of your outlook, in terms of the pricing, so your funding cost gone up by about 10 bps.

Rajendra Khetawat: It has to be because I think the repo rate has gone up by 90 bps and obviously, the interest rates are on rise. . So you will also see a slight uptake on our borrowing cost. But obviously, it will not be linear to the repo rate. But yes, there will be impact on borrowing costs in the coming quarters.

Ankit Patel: Okay. In terms of the repricing, that would have happened, what kind of impact would already have come in? And what do you expect is still.

Rajendra Khetawat: The impact is already there, like we were at 5.95%. And now for the quarter, we were at 6.04% so that impact of 9 bps has already been there. Obviously, going forward there will be some impact. Obviously, the CP markets and the bank borrowings, as the bank increases their rate, you will see those impacts. But how much is that impact will be known in the coming days because there are certain instruments which we have locked in for some more time for a longer period. So that impact would not be immediate. But yes, gradually, over a period of time, there will be some impact, but I would be saying that we like always, we would be the best in the market.

Moderator: We have the next question from the line of Manish Jain from GormalOne LLP. Please go ahead.

Manish Jain: I wanted to know about the Pune market, even back in the current quarter despite any new launches, we have done sustenance sales of more than INR 300 crore. And I see that 7 new phases planned for the current year, what is our plan for BD in Pune given the kind of dominance we have acquired in such a short period of time?

Pirojsha Godrej: Yes. We've got, again, we've partnered with, as you know, we did 6 projects in partnership with Solitaire in Pune. We've built a solid partnership. We're looking at possibly scaling up that partnership. We have

Page 14 of 15

a deal in Pune also at a relatively advanced stage that we're hopeful of announcing this quarter. So I think, clearly, we have scaled up well in Pune. I think it's been a strong journey there over the last few years, and we want to build on that momentum. So across all 4 of these zones, I think business development is a significant focus. We have the appetite. We have the capital. I think there are interesting opp

ortunities. So we really hope to have good announcements across all of these 4 zones.

Moderator: We have the next question from the line of Alpesh Thakkar from Antique Stock Broking. Please go ahead.

Alpesh Thakkar : Congrats for good set of numbers. First of all, Best Wishes to Mohit for future endeavors. My question is pertaining to FY'23 launches. If you look at our target launch, almost 34% of launches are expected in Bangalore. However, we don't see Bangalore contributing much this year. So are we seeing some major spillover in terms of launches to next year, especially in Bangalore market?

Pirojsha Godrej: So again, I think the relative scale of each of these projects would also have to be looked at. But we do expect Bangalore to show very strong growth over last year. So it's not that we're not expecting good numbers from Bangalore. But if you divide this INR 10,000 crore into sort of 4 parts, we think zones like NCR and Mumbai are likely to do more than INR 2,500 crore, and Bangalore probably would do a little bit less than that. But we certainly do expect a solid performance in Bangalore this year.

Moderator: We have the next question from the line of Manish Agrawal from JM Financial. Please go ahead.

Manish Agrawal: So my question would be if you could throw some light regarding your strategy of Tier 2 cities. So you have entered Sonapat, Nagpur. So are there more BD pipelines in the sub city?

Pirojsha Godrej: I think a couple of projects, you mentioned are plotted development. So we see interesting plotted development opportunities. We do think that's an interesting way to have a presence in the smaller markets. From a group housing perspective, we largely remain focused on these top 4 markets and might opportunistically look at 1 or 2 other markets that we have a presence in. But the vast majority of the focus will continue to be on Mumbai, Bangalore and NCR and Pune.

Manish Agrawal: And would Hyderabad be a consideration?

Pirojsha Godrej: Yes, I think we've been open to the Hyderabad market by providing we get the right sort of scale of opportunity to mark a large entry. I don't think we'd want to enter with a single project and slowly build up there. So really from a priority perspective, we think there's more than enough opportunity in these 4 markets to deliver even very rapid growth over the next few years. So that remains the number 1 priority. We will experiment with plotted in some of the Tier 2 cities and are open if we get the right portfolio of projects so looking at our Hyderabad entry.

Manish Agrawal: Sure. And one question related to the P&L, which would be the projects which were recognized this quarter since the gross margin seems to be on the higher side.

Page 15 of 15

Rajendra Khetawat : So in this quarter, there was no OC which has received. It was more of our existing projects like Faridabad, Agrovat all those new sales, which has happened post OC, those are contributed.

Moderator: We have the next question from the line of Abhinav Sinha from Jefferies. Please go ahead.

Abhinav Sinha: Quick 2 questions on projects. So one on Ashok Vihar. How much have we paid now for the government and what is due there? So that's one and second one, if you can also answer is what's the status of Godrej Two in terms of leasing and operational.

Rajendra Khetawat : So take around INR 450 to INR 500-odd crore to the government. And obviously, the payment plan is over the 8-year horizon. So 2 years installment has gone. So balance payment has to be made over 5 to 6 years now. And in Godrej Two leasing, we have done around 35% leasing. And obviously, it will get leased in the coming quarters. There is a healthy pipeline, which we are talking. So as of now, we have done around 35%.

Abhinav Sinha: And this is earning rent of now?

Rajendra Khetawat: Yes.

Abhinav Sinha: And what's the rent? What

t's the average?

Rajendra Khetawat: Around 160.

Abhinav Sinha: And total area is how much 1.1 million is it?

Rajendra Khetawat : Yes.

Abhinav Sinha: Okay. Sorry, going back on Ashok Vihar, it's not very clear. You said y ou have paid already INR 450 to INR 500.

Rajendra Khetawat: Yes, 2 installments because there was the installments were spread across 8 years. We have paid and balance installment will be in the coming years. So every year, there is an installment to be payable. So that's how it was sprade over the eight years.

Moderator: Ladies and gentlemen, that is the last question and we will now close the question queue. I now hand the conference over to the management for closing comments.

Prijosha Godrej: I hope we've been able to answer all your questions. If you have any further questions or would like any additional information, we'd be happy to be of assistance. On behalf of the management, I once again thank you for taking the time to join us today. Thanks, everyone. Bye.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Godrej Properties Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2022

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Ref: - Godrej Properties Limited

BSE - Scrip Code: 533150, Scrip ID - GODREJPROP

BSE - Security Code - 959822 – Debt Segment

NSE - GODREJPROP

Sub:

- Transcript of the conference call with the Investors/ Analysts

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lease find attached transcript of the conference call organized with the Investors/ Analysts on
Wednesday, November 09, 2022, post declaration of financial results for the quarter and half year
ended September 30, 2022.

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ours truly,

For Godrej Properties Limited

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shish Karyekar

Company Secretary & Compliance Officer

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Page 1 of 14

Godrej Properties Limited
Q2 FY 2023 Earnings Conference Call Transcript
November 9, 2022

Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference
Call of Godrej Properties Limited. As a reminder, all participant lines will be
in the listen -only mode. There will be an opportunity for you to ask questions
after the presentation concludes. Should you need assistance during the conference call please signal an operator by
pressing '*' and then '0' on your
touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mit Shah of CDR India. Thank you,
and over to you, Mr. Shah.

Mit Shah: Thank you. Good evening, everyone, and thank you for joining us on Godrej

Properties Q2 FY'23 Earnings Conference Call. We have with us Mr. Pirojsha Godrej, Executive Chairman; Mr. Mohit Malhotra, Managing Director and CEO; Mr. Gaurav Pandey, Managing Director and CEO Designate; and Mr. Rajendra Khetawat, CFO of the company.

Before we begin, I'd like to point out that certain statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the presentation shared with you earlier.

I'd like to invite Mr. Godrej to share his opening remarks. Thank you. And over to you, sir.

Pirojsha Godrej: Good evening, everyone. Thank you for joining us for Godrej Properties Second Quarter Financial Year 2023 Conference Call. I'll begin by discussing the highlights of the quarter. We then look forward to taking your suggestions and questions.

While the global macroeconomic situation deteriorated in the second quarter, the Indian economy has continued to perform well and residential demand in India has remained strong. I'm happy to report that company has reported its highest ever first half sales of INR4,929 crore, with the sale of 4,710 homes comprising an area of 5.54 million square feet. This represents a year-on-year value growth of 60% and year-on-year volume growth of 26%.

During the second quarter, sales stood at INR2,409 crore with the sale of 2,410 homes with an area of 2.71 million square feet, which is slightly below the corresponding quarter of the previous financial year. We believe this sets us up well for the year ahead and to achieve our guidance of around INR10,000 crore. We expect that the second half will be exceptionally strong given the excellent launches that we have planned and that we will exceed our INR10,000 crore booking value guidance for the year. We also focused

Page 2 of 14

on opportunities to take price increases across our portfolio, both to offset commodity price inflation and to aid in margin expenses.

On the operations front, while project completions were muted in this quarter, we remain on track to deliver a large number of projects in the second half of the financial year and expect deliveries this year to be well in excess of 10 million square feet. Due to limited projects in Q2, our revenue was moderate at INR327 crore, a year-on-year growth of 13%.

Our adjusted EBITDA declined by 8% to INR98 crore, while net profit grew by 54% to INR55 crore. Net operating cash flow for the quarter was robust at INR721 crore. We made significant progress in several of our sustainability and ESG deliverables during the quarter. And our entire team was also proud to be recognized for the third consecutive year as a global leader in the ESG performance by the Global Real Estate Sustainability Benchmark.

From a development perspective, we added 2 new projects during the quarter, a luxury residential development near Carmichael Road in Mumbai with an estimated sales potential of approximately INR1,200 crore. And the new project at Indiranagar extension in Bengaluru with an estimated sales potential of approximately INR750 crore.

Post Q2, we have added 2 new residential projects in Manor in Mumbai Metropolitan Region and in Mundhwa in Pune with an estimated combined sales potential of INR2,500 crore. For the financial year to date, we have added 6 new projects with an estimated sales potential of INR1,000 crore. Our business development pipeline is the strongest it has ever been, and we are confident of meeting our previous guidance of INR15,000 crore or more of future booking for projects added within the year.

Before I conclude my remarks, I'd like to mention that creative feedback, these suggestions received from the investor community, we have improved our disclosures in the current quarter's investor presentation. In the annexure of investor presentation, we have added details, including accounting methods, cumulative area launch, area sold, booking value achieved, collections received and area delivered for each project.

We've also elaborated in terms of profitability by disclosing the interest income and development management fee income earned from joint venture projects during the quarter. We hope you will find these additional as useful, and we look forward to giving further feedback so that we can continually improve the quality of our investor communications.

On that note, I conclude my remarks. Thank you all for joining us. We'd now be happy to discuss any questions, comments or suggests you may have.

Moderator: We take the first question from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Congratulations on a decent quarter. So my first question is on the business development pipeline. So historically, we have seen that the great years have been like 2 years back, we used to do about INR15,000 crore to INR16,000 crore. So this year, you seem to be confident of achieving it. So just wanted to understand out of this, how much will be the MMR because that has been the weakest link in our business development pipeline. And also if you can touch upon any developments on the Vikhroli if we can open up any new area during this year or next year in the Vikhroli land parcel?
Page 3 of 14

Pirojsha Godrej: Thanks for the question. Yes, I think, as I said, the pipeline, we are confident of getting to that INR15,000 crore number. I think a decent portion of that should come from Mumbai. We have I think fairly strong visibility of INR5,000 crore of booking value being locked in Mumbai, subject to deals closing as expected. And we're actually quite hopeful that we might be able to even exceed this INR15,000 crore number meaningfully. Vikhroli, any additions would not be in

cluded in this number, but we do expect a new phase launch in Vikhroli next year of about 1 million square feet.

Parikshit Kandpal: Yes, I could understand what you said, Pirojsha. Yes. So you said that you will try to exceed it at INR15,000 crore plus and INR5,000 crore coming from Mumbai basically, right?

Pirojsha Godrej : Right.

Parikshit Kandpal: My second question is on some of the premium launches, high- ticket launches, especially the Worli side and the Bandra and Ashok Vihar. So any update on these 3 project's time line? So how do we see the launch shifts panning out here, any time lines here for these 3 projects?

Pirojsha Godrej: Yes. So I think on Ashok Vihar, there's been reasonable progress. We're still awaiting final approval, but we're quite optimistic about launching that project in the fourth quarter. On Worli, we expect it to launch next financial year. And on Bandra, unfortunately, given some of the issues, while there has been a little bit of progress, I think we prefer to wait and watch till things proceed a little further before giving time line guidance on that one.

Parikshit Kandpal: Okay. And just lastly, on the ROE guidance which we have given some time back about 20% to be achieved from '23, '24. So any update there? How do we see that happening now?

Pirojsha Godrej: I think the 20% was also on the smaller base of capital. We've done 2 QIPs. My sense is that from the capital raised in the QIP is assuming sort of deployment takes a couple of years and then at least 3 years thereafter from an approval and the actual OP perspective, I think it will take a little bit longer, but we do expect to see meaningful earnings momentum, both in the second half of this financial year and next year. And hopefully, that will give the investor community confidence that we are heading in the right direction.

Moderator: The next question is from the line of Abhimanyu Kasliwal from Choice India Limited. Please go ahead.

Abhimanyu Kasliwal: Okay. So pleasure connecting with you, sir, I just had a question regarding Vikhroli land and the DM portfolio. What kind of gross margins are we looking for the DM portfolio? That was my first question, sir. Secondly was, this quarter we seem to have recognized some tax benefit of INR50 crore, INR60 crore. And I wanted to know how can we project this forecast going forward? That would be very helpful sir.

Pirojsha Godrej: Yes. On the Vikhroli land, I think the current arrangement is a 10% DMP. Against that, we would have a couple of percent of marketing and sales

costs. So the rest would be the margin, of course, with some overheads, et cetera, also factored in. I'll ask Rajendra to take the question on tax.

Rajendra Khetawat: On the tax benefit part, that was a DTA which got created. So you cannot predict it, it depends how your tax planning happens. So this year, the

Page 4 of 14

prelaunch, so we could trigger the DTA. Hence, there is a tax positive, which has come into the earnings.

Abhimanyu Kasliwal: Okay. Another follow-up question. Regarding the Carmichael Road project, I mean, it is going to be a very high-margin project, I understand, and we own it completely, almost 100%. So are we looking at a more transition to high value, high-margin projects or we are sticking to the mid-income range, which we have extended in Bangalore and Pune? What would you say sir?

Pirojsha Godrej: Yes. I think certainly, we will not be having most of our projects of the type of Carmichael Road. We're very happy if we find the right opportunities at the right entry point to look at luxury for this type being a small part of the portfolio. But certainly, I think the bulk of the focus will remain on sort of mid-income housing. And we have, though, been trying to position the project more into premium housing practice, where I think which even our recent projects in Pune and Bangalore that you refe

renced, we would describe as a more premium than mid-income housing.

And I think we've seen a good ability to both generate significant volumes and much higher margins at these kind of projects or I'd say Vikhroli is an example of one such project, our upcoming project, Ashok Vihar and there's another one. So we have been focusing on trying to enter higher quality area and therefore, deliver projects at a slightly higher value and higher margins, and we do think that will aid in delivering higher margin expansion over the coming years.

Abhimanyu Kasliwal: Perfect. And one last. So what margins hypothetically, what would you give a ballpark for the next year or two, 30% EBITDA, 35%, what would you suggest, sir?

Pirojsha Godrej: We don't believe it's appropriate to give margin guidance. I think there are a lot of points in this sector that can change. You're obviously selling at one point and then going through an entire construction cycle, if you need any evidence of the challenges of trying to provide forward-looking margin guidance, I think this year would be an ideal year to look at with the kind of inflation that has happened. So we, to be perfectly honest, are not comfortable giving margin guidance. That said, typically we are very confident in saying that the steps we have taken through business development ensuring a higher share of profit in our projects accruing to good rated properties by ensuring higher quality locations that are at a higher price point.

And by some of the operational improvements we've made around digitization, procurement, how we're handling sales and therefore, marketing and sales costs. We do think all of these are directionally going to be very margin accretive, and we are confident again of both resulting in strong earnings growth over the next few years. But in terms of giving the margin guidance, we'd prefer to avoid that.

Moderator: We'll take our next question from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: My first question is, if you can give some color on what kind of demand are you seeing. Are you seeing some bit of movement towards more investor-driven demand versus the end user? And how is the demand between the premium luxury to the mid-infra segment? Some qualitative comment there would be helpful.

Page 5 of 14

Pirojsha Godrej: I'll take this opportunity and introduce Gaurav, as some of you would know, he is taking over from Mohit as MD and CEO in January of this year. So

maybe I'll request Gaurav to take this question.

Gaurav Pandey: Thanks for the question. What's very interesting right now is we're seeing demand acceleration across segments. Of course, premium and luxury is seeing the maximum because it was kind of beaten down for the last 2, 3 years. But it's not really specific only to one segment. So if you look at 5 segments of 10,000 to 12,000 per square feet, where we project we've seen great traction. But at the same time, even luxury projects that we've done, we're seeing good traction. So it's a very holistic price acceleration that we are seeing, and margin expansion is consistently happening over quarter.

Puneet Gulati: And between the micro markets, any divergence in trends?

Gaurav Pandey: So one of the things we've noticed is that not just micro markets, North markets have seen price acceleration, and we saw that trend almost 1.5 years back, but that trend is now kind of catching up across all geographies for us, purely because there is demand coming from end users and not just investors. So yes, so it's not really specific to a micro market in a city. It's kind of quite prevalent across all the key cities where we operate.

Puneet Gulati: Okay. So demand accelerating across all segments, all micro markets, it's a secular trend?

Gaurav Pandey: Indeed it is, yes.

Puneet Gulati: Okay. My second question is, if I look at the cash flow

s, there was an uptick in the operating inflows or the collections on a Q -on-Q basis, while there was a downtick in the outflow. How should one read that, as normally it should trend in same direction?

Pirojsha Godrej: Yes. So Puneet, I think it is going to improve going forward. As there are going to be more launches and more completion milestones reached, this cash flow will become stronger in the coming quarter. So the trajectory is that it is going to grow in the coming quarters. So I think this describing I think from period to period, for example, if some of the construction in cut last quarter that resulted in milestone and collections could happen this quarter. But I think this actually obviously, operational investment is that the company will increase. But we do think operating cash flows, both on a gross and net level, we'll see meaningful movement over the remaining in terms of the financial year and a couple of years ahead.

Puneet Gulati: Okay . My last one is on your land acquisitions. Would it be fair to assume that whatever land acquisitions that you concluded in the previous quarter have been all completely paid off? Or is there some element of deferred payment there as well?

Pirojsha Godrej: No, there are instances of deferred payments. For example, we mentioned when we acquired Ashok Vihar, one of the feeling points about the project was that the land payment was spread over several years. So for example, there, I think certain part of the land payment. Similarly, there would be other land payments that are still pending. In some cases, actually this quarter, we've actually made some land payments for new projects that we've not yet publicly disclosed because some of the condition precedents we'd like to keep in place before those disclosures are worked on. So I think there's both some amount of land payments that have been made for new projects that are not yet fully disclosed as well as pending payments for existing projects.

Page 6 of 14

Puneet Gulati: INR843 crore cash outflow for land includes something which you haven't disclosed so far. Is that the right way to view it?

Pirojsha Godrej: That's correct.

Moderator: Our next question is from the line of Mohit Agrawal from IIFL. Please go ahead.

Mohit Agrawal: My first question is on business development. So we've seen last few deals

have been all on the outright model. So wanted to understand, have we kind of shunned the JV/JD model largely or is it just a tactical approach and we are probably this time, we think that, so what are the merits that we see in an outright model versus the JV/JD model, based on the experience that you've had over the years because you've done JV/JD earlier and now you've moved outright?

Pirojsha Godrej: Yes. I would not really say we've moved, right? I think we've certainly incorporated outright as a greater part of our overall business development strategy, but we are still very much focused on doing joint ventures. I think we have increased the economic share of projects that accrues to GPL and therefore, in that margin that we can generate from each sort of unit of the real estate that we sell. I think I mentioned that our business development pipeline is probably the strongest it's ever been. I would say a large percentage of that is actually through joint venture projects. So I would expect a significant number of joint venture being announced in the second half of the financial year, in addition to a few more outright purchases.

And the reason to sort of look at this economic interest increase is twofold. One, as I mentioned, to improve the share of the economics in the project that accrue to Godrej Properties. But this is also something that we will have to tailor to the market environment that we're in. We still feel that there are land opportunities at relatively attractive valuation. While leading developers across mar

kets are doing very well, I think the broader sector is still in a liquidity tranche and there are still good deals to be had. We believe any deals done over the past 12 months or over the next 12 months, are quite likely to be developed in an upward cycle of the market, and therefore, we'd be quite happy to lock in outright deals where all of that upside will accrue to us or joint ventures, where a significant share of that upside will accrue to us.

This may not always be the case. If in 4 or 5 years, we feel the market is near a top, if we feel that valuations are not very attractive, we may well prefer to look again at more capital-light structure. So I don't think that we should, through the cycle, look at business development through a single lens, but we will remain focused on both joint ventures and outright opportunities in the next few months. And as I mentioned, I think it's more coincidence that the last 3, 4 deals have all been outright. I fully expect some significant joint ventures to be announced over the next few months.

Mohit Agrawal: Sure. That's helpful. And on the completions for the first half, we have done less than 1 million square feet and you've reiterated a target of 10 million square feet. So how is it going to be spread across the next 2 quarters? And if you could give an estimate around what kind of revenue recognition we can see for the next 2 quarters?

Pirojsha Godrej: Yes. I think it will be Q4 heavy. But I think the pipeline is actually for even more than 10 million. So I think even if some things end up slipping out to

Page 7 of 14

Q4, we're very confident the full year number will be in excess of this 10 million, but it's skewed more towards Q4 than Q3.

Moderator: We'll take the next question from the line of Abhinav Sinha from Jefferies. Please go ahead.

Abhinav Sinha: So good to see the higher disclosures, which are there. Now there are about 45-plus million square feet of projects that are still under construction, not delivered. So is there a broad time line, I mean, can we expect these to be delivered in, say, 3 years from now on?

Pirojsha Godrej: Yes. I think any project under construction should be delivered within this financial year or the subsequent 2 financial years, unless there's 1 or 2 things we've just launched that might go a little bit longer than that. But I think the 90% plus of that certainly should be delivered in this next 2.5 years.

Abhinav Sinha: Okay. And on the business development front, when you have been announcing these deals which have been outright purchases, as a percentage of the gross sales value, what is the likely land cost associated

here?

Pirojsha Godrej: I think it will vary quite a bit project by project. I mean, obviously, something like Carmichael Road can't be compared to a mid-income project somewhere else. So there would be a trend. We can sort of take you through it project by project perhaps offline.

Abhinav Sinha: But if you say 15% on average, is that a correct number to look at? Or it should be higher or lower?

Rajendra Khetawat: So Abhinav, as Pirojsha said, obviously, a city-centric deal, obviously, it can be anywhere from 20% to 30%. But like in our other markets, it will be somewhere in the range of 15% to 20% on a still APR basis.

Abhinav Sinha: Okay. So the Pune one should be more like 15%, 20%, right? Is that correct?

Pirojsha Godrej: Yes.

Abhinav Sinha: Okay. Sir, also on the color on sales. Have you seen any impact of the rising interest rates on, say, the lower or mid-income segment as compared to others? Or it's still too early for that? On the demand front, have you seen any impact of rising mortgage rates on the affordable and mid-income component or the lower ticket size component of your sales so far?

Pirojsha Godrej: No, not really, Abhinav. I think we've had now enough time, we think, to see the impact of inflation

and slightly higher prices as well as this increase in mortgage rate, demand looks to be holding up very well. We're quite pleased that we've achieved nearly 50% of the full year guidance in the first half. I think this quarter, it looks like it's shaping up quite well, and we're optimistic that this will be one of our best ever quarters from a booking value perspective. So as of now, there is no concern on demand taper anyway. And I think it's important to keep in mind that while it's true that compared to last year, mortgage rates have gone up by a couple of hundred basis points to 8% to 8.5%. By any sort of comparison mortgage of 8% to 8.5% in India is quite affordable. If we look at the last time, the sector was booming around 10%, 12%, mortgage rates were in double digits, 10% to 11% then. So if you look at the affordability of residential real estate, I think the story is still fairly intact. You've had almost no price increases for a 7, 8-year period, maybe a 10% increase over the last year, 1.5 years.

Page 8 of 14

And mortgage rates have gone up, but gone up from all-time lows. So actually, if anything, I think people are truly aware now that both pricing and interest rate, if anything, are likely to go up further. So I do get the same sense, secure deal. But certainly, in our own sales, we have not witnessed any source of concern as of now. If anything, data is telling us that we need to be faster in our business development and regulatory approval process. One of the numbers that we track internally quite closely is unsold inventory as a percentage of launched inventory. And that number is now at about 11% or 12%, which is historically low for us. So I don't think the sales either from a volume or pricing perspective is concerning right now. And again, a lot of the focus will be on bringing more inventory to market.

Moderator: Our next question is from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.

Pritesh Sheth: Firstly, a little bit of aggression into plotted development. So we signed one project in Mumbai. And we are building the inventory I mean, not so prominent markets. I mean, Bangalore, Pune are still kind of plotted development markets. So just if you can highlight the size of these markets and your confidence in terms of demand that can sustain for broad development? That's one.

Pirojsha Godrej: Yes. I think the plotted development is attractive sub opportunity within in residential. The advantages of it, of course, are that you can turn around these projects very quickly given the limited development activities. So your

capital exposure from a time line perspective is much lower. Your IRR can actually be significantly enhanced in this kind of development. So far, we've now had some experience with these projects. We've had successful project launches in Bangalore and Faridabad and Sonipat. So I think we have a good sense of the demand, which seems to be quite strong and the returns, which are also quite lucrative. So we will continue to maintain this modest part of our overall business development activities.

Pritesh Sheth: And just a follow-up on that, so given it could be a highly competitive market because, as you said, turnaround could be high. So what is the value addition that we are bringing in, in terms of project development and in product developments? And we had a Sonipat plotted development launch this quarter, which seems to be like 20%, 25% sold out as of the end. So it's just the timing of the launch, it happened quite at the end? Or that's the response we have got overall for that project?

Gaurav Pandey: Thanks. Coming first on the Sonipat specifically, we've seen a stellar kind of record performance of that project. As you rightly said, it was launched towards the end of the quarter. So the figures that you are seeing about 20%, 25% is only the portion of what was logged in. And after that

, we will be happy to share with you kind of sold out the entire project at even close to about 30% over the underwriting price. So it's been one of a massive success recently. And now the focus is towards completion of that project. And plotted in general, the first part of your question was the differentiation, right? What normally happens historically on the plotted project is that people have issued later on, on the title of the property. And it's not just about cutting and putting a gate outside it because that was the conventional way of doing plotted and people used to have a lot of challenges later on moving on.

So if you go to our plotted developments, the value proposition that you get is, you get a decent well laid road, you get amazing infrastructure from

Page 9 of 14

groundwater drainage systems to electricity to water pipelines. And these are people who are finally looking at long-term staying in these homes. So the quality of roads, infrastructure plays a very important significance. And we bring a lot of competitive advantage purely because of the operating excellence we got in the group housing projects. So that's a USP that people tend to get. And of course, with every plotted development, each project has a different patience tag. Sometimes it's green space, sometimes it is a massive club. So we're quite confident on robust sales going forward in the upcoming plotted projects as well.

Pritesh Sheth: Sure. And lastly, just one bookkeeping. The customer collections that's in Slide 10 versus the actual gross collections that we report in the cash flow segment, is there a difference between the two? If you can highlight.

Pirojsha Godrej: There is a maintenance and other items which we collect. So that's the difference between the growth and the net. So when we report in the operating cash flow, everything is included. And when we say the net collections, those are excluded from the collection part.

Moderator: We will take our next question from the line of Manish Gandhi from KPMK Investments. Please go ahead.

Manish Gandhi: And happy to see the disclosures, the extended disclosures. Pirojsha, first, I would like to ask about Godrej Living and what you want to achieve through that?

Pirojsha Godrej: Thanks, Manish. I think for any of you who haven't heard about this, we've launched a 100% subsidiary of Godrej Properties called Godrej Living, which is going to be in the facility management vertical. Manish, there are a couple of things we want to achieve from this. One is, we think one of the very important long-term value creators for Godrej Properties will be to ensure that our project post delivery are maintained at a standard that is higher than

is typical of the industry today. And therefore, over the long term, people see value in being part of the Godrej Properties development. And we felt that having our own capabilities in this area was going to be important to deliver that long-term value creation.

Equally, as the scale of Godrej Properties increases, and we think the opportunity will be to increase scale tremendously over the next several years and really several decades, we do think we will be creating a large base of housing societies and completements that are part of the Godrej Properties family. And we think there will be a lot of opportunity to look at business value generation through these societies and through this business. So I think both long-term value creation to the core business of building and selling homes as well as an independent opportunity for value creation in this business are the 2 things that we're focused on with Godrej Living.

Manish Gandhi: Right. Wonderful, Pirojsha. My second question is on how is the demand shaping up in deals, really? But in 2 parts. So when you're buying a land, say, about INR300 crore or INR500 crore on one side and other side is the joint venture. So do you see that

the demand scenario different in those things?

Or the competition is different in land side or on the JV side? Or how do you see the color?

Pirojsha Godrej: Manish, as I mentioned, I think the environment for business development, we think, is quite conducive. I think this will be hopefully a record year for business development overall, but I'm very confident that we will actually see Page 10 of 14

a lot of joint venture projects coming through over these next few months. I suppose, if you mean billing the project, there is somewhat less competition on the outright purchase type, I would skip the number of developers who today could cut, say, INR500 crore or INR1,000 crore check. That number is still very limited and probably 2 or 3 players in each market at most.

But equally on significant sized joint ventures, landowners or smaller developers really are looking to partner with leading developers, which again brings the number down to a fairly limited number of players who can do this. So overall, I do think what we have reported from a business development perspective over the last 12 months has been underwhelming, but extremely confident that we're going to see very strong additions over the next few months.

Manish Gandhi: Yes. Happy to hear that. And Pirojsha, just a short one. If I am not mistaken, I think last quarter, we spoke about 2 large deals in Mumbai, 1 purchase and 1 JV. So do you see by your commentary that it is slipping to the next year or something like that?

Pirojsha Godrej: No. I think both of these are on track, Manish. So hopefully, this quarter or next quarter at the latest, we can announce both to grow.

Manish Gandhi: Gaurav, welcome. Just wanted your view on the same business development side on NCR. Given the market in NCR with the volume and price rise, the market is very hot. So do you see it is different from other part or more competition to do deals in NCR?

Gaurav Pandey: It's a fair question. At the moment, what we're realizing is across markets, there is competition for good land parcels, right? The only advantage that we tend to get towards some of our peers is our ability to structure a transaction, which is a win for GPL and for a landlord, especially in the JV partner kind of a project. So while the valuations are, of course, much higher than what it was, say, 3 years back in NCR, but the market has really moved forward. So we are quite competitive in our offers planned. Very soon hopefully, you'll see a finger crossed, a deal announcement in NCR as well.

Moderator: The next question is from the line of Parvez Qazi from Edelweiss Securities. Please go ahead.

Parvez Qazi: So just wanted to get your views on price hikes, did we take any price hikes in Q2, and what was the quantum? And also your views on the quantum of

price hikes which can possibly happen in future going ahead? Keeping in mind, obviously, the increase in mortgage rates.

Gaurav Pandey: So we've managed to price increase across our portfolio. And depending on project to project, it's been between 2% to say, 5%. Incidentally, what is heartening to note that unlike previous quarters, when the cost inflation was very high, the previous quarter was quite good for us with the cost hike. So if this trend kind of continues, we might see positive upside in the next 2 to 3 quarters on the margin expansion as well.

Moderator: Our next question is from the line of Kunal Lakhan from CLSA. Please go ahead.

Kunal Lakhan: So firstly, thanks for the additional disclosures. Just on those disclosures, so the share of value or booking value, I'm assuming this is for the entire project, not just our share, right?

Page 11 of 14

Pirojsha Godrej: Correct.

Kunal Lakhan: Okay. Secondly, just trying to understand what will be the balance cost on these projects to complete them?

Rajendra Khetawat: Different costs for different projects. So

maybe we can take you through with that offline. Obviously, because it is all types of projects, some are luxury, some are mid-income.

Pirojsha Godrej: But, Kunal just to jump in also. I think we did have a choice. We understand that some other developers are getting into giving us cost guidance and margin guidance. Our sense is, again, in our real estate sector that I think we've all seen multiple cycles. These estimates can change and we don't think that we're actually adding value to the investor community by giving our own assessment of this at this time. Because as I was saying earlier in my remarks, this year is a perfect year where you've seen the kind of volatility that can happen on the cost side. So I think sense is that the community knows what approximate costs are, then hopefully, the numbers we are giving, it is of quite detailed nature in terms of collections, booking value, scale of project will allow a reasonable estimate of costs to be made.

Kunal Lakhan: Sure. My second question was on the outlay on land. How should we look at that in the second half, considering that we remain robust on adding more projects? We have spent about INR1,300- plus crore in the first half. So how should we look at this in the second half?

Pirojsha Godrej: I think it will be quite considerably higher than the first half. As I mentioned, we are expecting a very, very strong period for new project additions. So of course, investments to secure those will be commensurate. If you recall, when we raised the capital in our last QIP, I think the goal was always to fully deploy it within this kind of period. So we're happy now that the opportunities are in place. We have several advanced stage discussions that we're quite hopeful will fructify over these next few months. So hard to give a specific number, but certainly, would expect it to be meaningfully higher than the first half.

Kunal Lakhan: And just a follow-up on that. Just in the longer run write-down, do we have some targets in mind in terms of the spend on land acquisition would be say, in line with the operating cash flow? Or is there some metrics in mind that you have for the long term?

Pirojsha Godrej: Yes. I think that's fair. I think the ideas through the last QIP was to sort of reset the scale of the company. And I think if we are able to do the kind of BD, we think it's possible this year and next year, that will be achieved. And I think the scale then of our operating cash flows will also be meaningfully larger and much more easily able to support strong growth from those levels.

Moderator: The next question is from the line of Sameer Baisiwala from Morgan Stanley. Please go ahead.

Sameer Baisiwala: Pirojsha, if you're looking to deliver 10 million square feet in the next about 4, 5 months, is there something to worry about in terms of costs spiking up?

Pirojsha Godrej: I think there, of course, have been cost escalations. So I think we discussed a little bit on the last call. I think clearly overall what we would have hoped at the start of the year. I think the projects that were up for OC this year will have a negative cost impact due to the kind of escalation that happened

Page 12 of 14

there for some escalation et cetera. But I think it certainly went beyond that. For projects that have been launched recently, these costs have been more than passed on. And as Gaurav mentioned, I think some of this inflation tapering off will also significantly benefit projects up for OC in subsequent years. But yes, I think there is a little bit of cost pressure for projects where sales have happened, but construction delivery is due this year.

Sameer Baisiwala: Okay. That's clear. And Pirojsha, the question that we get a lot is, it's fine so far, but what if the mortgage rates move 9%, 9.5%, is that something that can spoil the party and this upswing in demand can slow down?

Pirojsha

Godrej: Sameer, many things can stop the party. But I think as of now, probability is that interest rates are at actually quite comfortable levels by any historical standard. I think last year and the sort of response global governments undertook to combat COVID was really an exception. I think by any historic comparison, 8%, 8.5 % mortgage rate is not that troubling. As I mentioned earlier also that purchasing real estate is not an entirely rational mathematical decision. There have been periods like 2019 and early 2020 where affordability was excellent, but sales were very poor because sentiment was poor because people thought things would get even worse. There have been periods in, say, 2007, where despite many years of prices sort of doubling over previous levels, demand remained robust. In 2012, demand was robust despite mortgage rates at 11%, 12%.

So my sense is that we're still at a relatively of the up cycle. More than mortgage rates, which I think another 100 basis points, I would imagine would not affect demand very significantly. Perhaps as we start going into double digits, if in fact that happens, that you could see some effect on demand. But my sense is the much bigger factor will be how are people feeling about the Indian economy, is their confidence from a job security perspective, and in all of those things, I think India is really at a relatively advantaged position at the moment. And I expect this relative cycle to, as most cycles do have legs and last for 7 or 8 years. But certainly, if there's anything we've learned over the last few years is don't discount the possibility of unexpected developments hindering expectations.

Sameer Baisiwala: Okay. That's very clear. And Pirojsha, if I look at your 4 key markets, you now have quite a strong pipeline, 30 million, 40 million, 50 million square feet and plus more coming. So beyond that, are you looking to expand outside of these 4, Hyderabad and Chennai especially?

Pirojsha Godrej: Hyderabad, we're open to if we get the right opportunity. I think our preference is not to enter the market in a very sort of gradual way and do 1 or 2 projects. If we come in, we'd like to have clear visibility on a significant portfolio of projects. The clear focus though, Sameer, is to really deepen our presence in the markets we're already in. We think we have single-digit share in each of these, a lot of opportunities for expansion through business development and entering new micro markets within each of these. So while I think Hyderabad entry is certainly something we'd like to see happen over the next couple of years, I'd say, a far bigger priority is to further strengthen the presence in the 4 markets we're already in, some of which we're only scratching on the surface of the potential available.

Moderator: Our next question is from the line of Manoj from Geometric. Please go ahead.

Manoj Dua: Congratulations on good presale in the first half. And I think if Ashok Vihar is launched, I think we will be able to exceed the guidance by a good margin.

Page 13 of 14

And thank you for giving new disclosures also. It's very helpful. So I was

looking at one project in Noida, Godrej Woods. I think it has been constructed very fast as compared to the time line you've given with the launch of the project. Is this across the 4 macro markets or 4 markets? Or is it a project which we have built more faster? Can you give some color on that?

Gaurav Pandey: Thanks for the question. You're referring to Godrej Woods. Yes, you're right. One of our most successful projects. On the construction time line, I think as an organization, we took a very strong view on reducing time lines across geographies. And we had piloted a series of projects. And if you see our historical amount of OCs that we tend to hit and why is that we're seeing a massive jump is because of the same initiative. So yes, this is one of those projec

ts where they were focused, and we've managed to create exemplary quarter -on-quarter growth on the construction development. And you would continue to see that not just in Noida projects, but other zones as well.

Manoj Dua: Okay. So is this other developer also focusing on that or Godrej is taking a lead in this area?

Gaurav Pandey: I would say we are taking a lead here.

Moderator: Our next question is from the line of Ankit Patel from L&T Mutual Fund. Please go ahead.

Ankit Patel: Just wanted to know, last quarter, you mentioned the Bengaluru sales would be picking up in subsequent quarters. Based on what you have given now project -wise also seems like the MMR and the Bengaluru project's bookings are not picking up the way the other projects are doing. So if you could give some clarity on how this is progressing.

Pirojsha Godrej: So I think I wouldn't really agree with that. If you look at our best -performing projects during the quarter from a booking value perspective was actually Godrej Splendour in Bangalore, where we sold almost INR400 crore of inventory. It will, of course, take a little bit of time to rebuild the business development portfolio to the extent we'd like to see in Bangalore. We just also announced a new project addition during the quarter. But I think we feel very confident that in all 4 markets visibility on new launches and business development is strong and will enable significant growth over current levels.

Ankit Patel: Okay. No, the Godrej Park Retreat Bengaluru, which has seen a booking area be much lower than the first quarter. I was referring to that actually.

Pirojsha Godrej: Each project, of course, will have its own dynamics .

Ankit Patel: There's no particular specific issue, which is faced in these localities, right? That's what I was trying to get at.

Pirojsha Godrej: No, not at all.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the floor back to the management for closing comments. Over to you, sir.

Pirojsha Godrej: I'd like to just say a quick thank you to Mohit who, of course, has led the company with great success over the last 5 years. He allowed me and Gaurav to do most of the talking on this call. But just it's an opportunity to

say a big thank you to him since this is the last time he'll be joining this quorum. I hope we've been able to answer all your questions. If you have
Page 14 of 14

any further questions or would like any additional information, we'd be happy to be of assistance. On behalf of the management, I once again thank you for taking the time to join us today.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Godrej Properties Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2023

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February 08, 2023

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai – 400 001

The National Stock Exchange of India Limited

Exchange Plaza,

Plot No. C/1, G Block,

Bandra Kurla Complex,

Bandra (East)

Mumbai – 400 051

Ref: - Godrej Properties Limited

BSE - Scrip Code: 533150, Scrip ID - GODREJPROP

BSE- Security Code - 959822 – Debt Segment

NSE - GODREJPROP

Sub: Transcript of the conference call with the Investors/ Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 read with Schedule III Part A, Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached transcript of the conference call organized with the Investors/ Analysts on Thursday, February 02, 2023, post declaration of financial results for the quarter and nine months ended December 31, 2022.
This is for your information and records.

Thank you.

Yours truly,

For Godrej Properties Limited

Ashish Karyekar

Company Secretary & Compliance Officer

Enclosed as above

Page 1 of 16

“Godrej Properties Limited

Q3 FY '23 Earnings Conference Call”

February 02, 2023

MANAGEMENT : MR. PIROJSHA GODREJ – EXECUTIVE CHAIRPERSON –
GODREJ PROPERTIES LIMITED
M R. GAURAV PANDEY – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – GODREJ PROPERTIES

LIMITED
M R. RAJENDRA KHETAWAT – CHIEF FINANCIAL
OFFICER – GODREJ PROPERTIES LIMITED

MODERATOR : MR. MIT SHAH – CDR INDIA

Godrej Properties Limited
February 02, 2023

Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to the earnings conference call of Godrej Properties Limited. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mit Shah of CDR India. Thank you, and over to you, Mr. Shah.

Mit Shah: Thank you. Good evening, everyone, and thank you for joining us on Godrej Properties Q3 FY '23 Earnings Conference Call. We have with us Mr. Pirojsha Godrej, Executive Chairman; Mr. Gaurav Pandey, Managing Director and CEO; and Mr. Rajendra Khetawat, CFO of the company. Before we begin this call, I'd like to point out that certain statements made in this call may be forward-looking in nature and a disclaimer to this effect has been included in the results presentation e-mailed to you earlier.

I'd like to invite Mr. Godrej to make his opening remarks. Thank you and over to you, sir.

Pirojsha Godrej: Good afternoon, everyone. Thank you for joining us for Godrej Properties Third Quarter Financial Year 2023 Conference Call. I'll begin by discussing the highlights of the quarter, and we then look forward to taking your questions and suggestions. While the global macroeconomic situation remained uncertain, the Indian economy performed well in the past quarter. Despite the recent increases in interest rates and housing prices, affordability of residential real estate in India remains attractive by historical standards and residential real estate demand in India remains strong.

We believe the Union Budget presented yesterday was supportive of the long-term growth of the real estate sector in India through its focus on infrastructure, affordable housing and digitization. The Finance Minister has forecasted economic growth at 7% for the next financial year and with a planned capital expenditure of INR 10 lakh crores, a year-on-year increase of 33%, we expect robust economic growth, which will be very supportive of development of the real estate sector. I'm happy to report that Godrej Properties reported its highest ever quarterly sales of INR 3,252 crores, with the sale of 4,077 homes comprising an area of 4.42 million square feet. This represents a year-on-year value growth of 111% and a year-on-year volume growth of 99%.

We have also reported our highest ever 9-month period sales of INR 8,181 crores through the sale of 8,784 homes with an area of 9.96 million square feet, surpassing our full year FY '22 sales. For the 9 months, our booking value grew by 77% year-on-year by value and 51% year-on-year by volume. We look forward to building on this momentum in the current quarter and hope to significantly exceed our annual guidance of INR 10,000 crores booking value for the year. On the operations front, we delivered 1.71 million square feet of area in Bangalore and NCR during the third quarter. We remain on track to deliver a large number of projects in the Godrej Properties Limited
February 02, 2023

Page 3 of 16

fourth quarter of the financial year and expect to end the year with deliveries in excess of 10 million square feet.

Due to Project Completion Accounting Standard we follow and limited project completions in Q3, our revenue will moderate at INR 366 crores, representing a year-on-year decline of 8%. Our EBITDA grew by 33% to INR 153 crores, while net profit grew by 51% to INR 59 crores. Net operating cash flows for the quarter were robust at INR 549 crores. One exciting outcome during the third quarter was the pace and quality of business development. We added 9 new projects during the quarter with an estimated future booking value of INR 23,050 crores

. For the financial year-to-date, we have added 15 new projects with an estimated sales potential in excess of INR 27,500 crores, thereby significantly exceeding our full year annual guidance of INR 15,000 crores of future booking value. We believe these projects are strategically located and will support our efforts to maintain rapid growth rates while

substantially improving the margin profile of our company.

On that note, I conclude my remarks. Thank you all for joining us on the call. We'd now be happy to discuss any questions, comments or suggestions you may have.

Moderator: Our first question is from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Congratulations on a great quarter, Pirojsha, both on GDV addition as well as on presales. So my first question is on the total GDV added this quarter. So I just wanted to know how much is the total -- these are largely 100% owned projects. So how much would be the total capex on these projects and how much we have incurred in this year?

Pirojsha Godrej: Yeah. So we have incurred bulk of the capex on this around INR 1,000 crores is what we need to incur more. That with milestone link we will be incurring it as and when those CP's of those transactions get completed.

Parikshit Kandpal: For this year-to-date, INR 27,500 crores what will be the total value of the total capex on this GDV addition?

Pirojsha Godrej: INR 3,500 crores.

Parikshit Kandpal: You're saying balance INR 1,000 crores, is yet to be incurred out of the INR 3,500 crores?

Pirojsha Godrej: Yes, that's correct.

Parikshit Kandpal: And the second question is on -- so these new GDV addition largely owned by us is coming at significantly higher realization. So just wanted to understand from the embedded EBITDA margin perspective, so what would be the carrying value of the EBITDA margins, embedded EBITDA margins in this GDV addition versus our historical GDV additions?

Godrej Properties Limited

February 02, 2023

Page 4 of 16

Pirojsha Godrej: I don't think we want to get into embedded EBITDA margins. I think that will develop over the course of a project. I think we've not -- that's not a number we've historically tried to disclose. But of course, I think if you look at the kind of locations of projects we've added, the average price point we're estimating and the fact that these are structures where we own the projects outright in many cases, I think it would imply a very meaningful increase in EBITDA margin over some of our older projects. But I don't think we would like to disclose a specific EBITDA margin.

Parikshit Kandpal: And just one more thing on these three launches. So Ashok Vihar, we were planning to launch during Q3 FY '23 and Worli in FY '24 and Bandra was a little bit more longer, so any update on the timelines on these three projects?

Pirojsha Godrej: Yeah. I think Ashok Vihar unfortunately, now looks like it won't happen this financial year. We're still hopeful of early next financial year launch. So I think the team is still working towards a Q1 launch there. Worli also we'd hope to get done next financial year. I think Bandra, there's somewhat less visibility. There are -- there is some discussions ongoing there. And hopefully, we can bring that back on track, but we're not certain whether that can happen next financial year.

Parikshit Kandpal: I just wanted to congratulate Gaurav for taking up the role of the CEO now, and all the best to you Gaurav.

Moderator: Our next question is from the line of Puneet from HSBC.

Puneet: Congratulations on a good quarter. My first question is with respect to the humungous project addition that you've done in this quarter alone. How soon should one expect for these projects to be launched?

Gaurav Pandey: So thanks for the question. Our endeavor is that some of these projects can be launched as soon as 6 months from now on. And you should see much of the launch calendar of H2 of next year

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with some of these launches coming in. That's the target that we set for ourselves.

Puneet: And it's quite evident that most of these projects are in the nature of plots. What has really changed? I mean is Godrej more gearing towards plots or is opportunity better in the plots? Is demand better? Can you give more color on what's happening on this side?

Pirojsha Godrej: Yeah. I don't think, first of all, that's correct that majority of the projects are plots. If you look at it, I think of the 9 projects we announced for the past quarter, two were in plotted development. I think what -- we do think that the plotted development story is an interesting one, something that we'd like to pursue for a couple of reasons. One, the turnaround time for these projects can be quite quick. The returns, therefore, can be quite high.

Also, we think this is a great way to expand our presence into new markets in a way that's less intensive from a management bandwidth perspective than group housing is. Also gives us the

Godrej Properties Limited

February 02, 2023

Page 5 of 16

opportunity to better understand some of these newer markets. And over time, perhaps use some of them and entry points for the group housing business. But certainly, if you're looking at, I think, whether from a number of deals and certainly from a future expected booking value, the plotting business is still a relatively modest part of our overall business.

Puneet: Understood. That's very helpful. And any plans of going beyond your traditional four cities over next one year?

Pirojsha Godrej: I think one is, of course, through the plotting development route, we have already opened up a larger number of cities and could continue to do that in the year ahead. I think from a group housing perspective, we still feel that the vast majority of the opportunity between us -- before us is in these four cities. So we have also seen good traction recently in Ahmedabad. We are actively looking for business development in Kolkata, which are cities we've been present in, but haven't put as much emphasis on that we have in the top four. And probably the only entirely new market that we are open to from a group housing perspective would be Hyderabad.

Puneet: Okay. So that's the new potential for you? And while the environment looks quite encouraging, the momentum is quite nice, the mortgage rates have indeed gone up. Are you seeing any sort of reluctance on the part of buyers to make these purchase decisions or is the momentum still quite strong?

Gaurav Pandey: Thanks. Good question. The operating environment that we are seeing right now is very conducive for us. If you see that our sales have been historically at an all-time high in quarter three. So we don't see any bottleneck from any macro indicators. In fact, what we are continuing to see is that consolidation story and the value for good products and good locations with good design thesis is kind of getting a lot of traction. And we see that continuing for at least next one to two years in the near term, yeah.

Puneet: Next question, if I may. What would be your single biggest worry for?

Gaurav Pandey: Sorry, come again.

Puneet: What would be your single biggest risk that you would foresee for the year or something that worries you for?

Gaurav Pandey: I think, largely speaking the operating environment seems to be conducive, the only event could be a crazy global COVID wave, which is quite unlikely for us to speak right now. And to be honest if you could see from the past two years, we've all learned to live with it. So I don't really see anything practically speaking any real worry. Just it's all about executing the plans that we set for ourselves and be very precise about timing the launches and getting into collection. So not really a real risk authentic risk so as to speak.

Puneet: Got it. Thank you so much and all best. I'll come back with some few more questions later on.

Thank you.

Godrej Properties Limited

February 02, 2023

Page 6 of 16

Gaurav Pandey: Thank you.

Moderator: Thank you. Our next question is from the line of Pritesh Sheth from Motilal Oswal.

Pritesh Sheth: Yeah. Thanks for taking my question, and congrats on strong sales performance as well as the business development. First question, again, on margins for the new business development that we have been doing, while you won't specify on particular margins, but just a ballpark calculation, if I do, 13% -- 12% to 13% is your average land cost if I calculate INR 3,000 cores, INR 3,500 crores investment, and another 30% in general for construction cost plus overheads in the approvals, another 15%, 20%. Can we -- that will assume like 30% should be the ballpark margins that we can expect, at least from the base calculation that we look at?

Pirojsha Godrej: I think it's an interesting way of asking the same question. But yeah, I think, look, on land purchase, I think 30% is not an unreasonable assumption. Obviously, it will vary project-by-project, depending on price point. But more importantly, depending on ultimate execution, I think there's a lot that can happen between project addition and project delivery. And I think the real focus of the company and the real determinant of how the crystal we will be over the next few years; we will be delivering these plans. But I think the number you've assumed is not too far off from what we'd expect on our price purchases.

Pritesh Sheth: Sure, sure. That's helpful. And in terms of launches, probably this year, we'll end at around 12-13 million square feet with the pipeline that we already have. What should be the launches that we should consider for FY '24? Obviously, that number would be higher and you will give us a pipeline in Q4. But roughly, what's the certain pipeline that you see for next year?

Pirojsha Godrej: Yeah. I think, we usually tend to be more happy giving this outlook at the end of the financial year, because it's a little unclear still how many of these launches all happen in the next two months to some spillover and all of that can have an impact.

I think broadly, the way we were thinking about the business is that we wanted to get to this INR 10,000 crores number this year and then we wanted to compound at, at least 20% per year for

the next few years on that base. Fortunately, I think we'll -- and ahead of that INR 10,000 crores starting point. And given the kind of business development we've done, hopefully, that's the 20%-plus compounding can also be exceeded. So that's the way we're thinking about it. But please give us until the next call to come back with more clarity on the number of launches and exact plans.

Pritesh Sheth: Sure, sure. And just lastly on pricing, while interest rates have been increasing, we might see that topping out. How do you see the prices escalating going forward? Will you still continue to take price hikes or probably you'll -- in near-term, you'll see the affordability and then decide on the pricing?

Gaurav Pandey: I think, we've been very focused on consistent price increase quarter-on-quarter. And quite happy to share that in quarter three across markets, we've increased prices. In MMR, our average Godrej Properties Limited
February 02, 2023

Page 7 of 16

price increase has been between 1% to 2%. And in markets like South, we've increased by 4%. In North and East and West, largely have been around 5%, so quite strong price uptake and also translating into booking value. So we see that, of course, one has to be watchful about newer environments. But this all can now have been going at a good steady pace for us for the last three quarters, yeah.

Pirojsha Godrej: Just to add to that. I honestly think that to a certain extent, I think, obviously, you can improve pricing at the project level through better design, better quality, having the right brand. But ultimately, pricing in

the real estate sector is not decided by individual developers. It is much more of a macro story. I think any individual developer in India today would have a low single-digit market share. So in markets like NCR prices have gone up, maybe 25%, 30% over the last 12, 18 months.

I think more developers would have seen those kind of price increases in markets where prices haven't gone up to that extent, the increases have been somewhat more moderate. Certainly, our goal is to price our products at the price that we think will clear the market. And we do think that actually, as has happened in NCR, there is likely to be pricing momentum in other markets too over these next couple of years. That is usually the case at this stage of the cycle once the volume recovery has proved itself.

Moderator: Our next question is from the line of Kunal Lakhan from CLSA.

Kunal Lakhan: Just wanted to understand, like, you have acquired these 15 projects totaling about 23-odd-million square feet plus in the nine months. And when I look at our launches done in this year, right, of the seven million square feet odd, 3.6 million square feet of actual like greenfield new launches, excluding the new phases. So how should I look at this 23 million square feet that you've acquired in terms of getting into the market? Like what kind of timeline you have in mind to bring them to the market?

Pirojsha Godrej: Kunal, I think Gaurav mentioned that the goal is to 6 months kind of timeline from project acquisition to project launch and some projects we've been able to do that. My own experience is that on some of the larger projects, whether it'd be Ashok Vihar or Worli so on, it does tend to for one reason or another take a little bit longer than initial expectations.

But I think the teams are very, very focused, of course, on bringing these projects to market as soon as possible. We attempt and one of the key lenses through, which we evaluate business development is pace at, which these projects can be brought to market. So we're trying to avoid projects that we think have too many regulatory hurdles and require a longer timeframe.

So I think, hopefully, you'll see the vast majority of these come to market within six to 12 months of being added, though I think it's probably reasonable to expect some percentage, as is usually the case for one reason or another will slip out of those timelines.

Godrej Properties Limited
February 02, 2023

Page 8 of 16

Kunal Lakhan: Sure. Sure, that's helpful. Secondly was on the completion side, we had set out a target of about 10 million square feet plus of completion. But just going by what we are seeing, there's a bit of a lag over there. And then that also reflects in our cash flows, right? Because certain like you mentioned, certain milestone-based payments were lagging sort of. So how should we look at completion? And how should that reflect in our cash flows and also in our P&L in the quarters to come?

Pirojsha Godrej: Yeah. So Kunal, you're absolutely right. I think year-to-date number of deliveries is, of course, very underwhelming, but we are on track for that 10 million square feet of guidance. So we have a busy OC calendar as expected over these next couple of months and do continue to expect to

hit that 10 million milestone.

I think some of these benchmarks, unfortunately, do tend to be a little bit lumpy. I remember prior to this quarter, we were a little bit defensive on the business development deployment because while we saw a lot of momentum internally and knew we have the right set of portfolio discussions underway, what we have been able to get to the stage of announcement was not in line with that.

And I think, for example, we've seen in a quarter like last quarter, that in a lumpy way, these targets can suddenly look very different from an achievement perspective. I think operationally, it's similar this year and there's no reason it should be this

lumpy, but we do expect a big Q4

from deliveries and therefore, to get to that 10 million square feet number as we earlier indicated.

I think while, of course, there's no perfect way to look at it, Kunal, I think very broadly, if I was to indicate how we think the numbers for the company should pan out, is that clearly bookings come first because a large percentage of our bookings happen at the time of project launch. If you look at our unsold to launch inventory, it's the lowest it's ever been.

So bookings is always going to be at the time that the company is in now where it's growing very rapidly, it's always going to be the lead indicator. But roughly, collection should approximately equal the average of the previous two years bookings. So I think it represent the average delivery timeline will be roughly three years. So I think the average of the previous two years booking would be a good approximate indicator of where collection should be. Now, of course, it's not going to be an exact number. But I think from a directional perspective that should be the case.

And we've indicated that we are hoping to get 10% to 15% net profit margin on bookings from the business we're doing. And I think the average timeline for earnings delivery will be roughly three years, as I said, as it's linked to actual project completion. So very broadly, I think that's what we're trying to focus on. Will it grow bookings very quickly at least 20% a year on an ongoing basis? Of course, the year like this year will be much higher than 20%. Ensure that collection in a given year are roughly equal to the previous two years' average and try to ensure that earnings are 10% to 15% of three-year prior bookings. So that's broadly how we're thinking

Godrej Properties Limited

February 02, 2023

Page 9 of 16

of it. Again, this is very directional and there could be things like creating inflation that we saw at some stages last year that impacts some of these numbers. But I think broadly, this is what we're hoping to achieve.

Kunal Lakhani: Sure, sure. Thanks. That's very helpful. My last question actually going back to the business development. Like we -- last year was pretty subdued FY '22. And this year, we have kind of like done really, really well by spending about INR3,000 - 3,500 crores worth of land. How should we look at this going ahead? I mean, would you see the same level of spend continuing going into next year or would you slow down?

Pooja Godrej: So, I think we want to be intentionally quite dynamic with our business development strategy. I think the answer to your question depends very much on what we are seeing both in the overall market, as well as through our own internal performance. So if we're seeing continued stress amongst smaller developers and therefore, what we think are attractive opportunities for business development. I think that will indicate we intend to continue to see very high levels of action.

It also depends, obviously, on our internal performance and are we able to launch the projects in the timeline, so we're hoping to are we able to continue to sell a large percentage of the projects we're launching and therefore, not creating a large portfolio of unsold inventory, which can create its own problems over time. So I think we will be quite responsive to that. But broadly speaking, I think our expectation, as we sit today, is that 2023 should continue to be a good period for business development.

Moderator: Just one moment, please, sorry. That was from one of the participants lines. We'll move on to the next question, which is from the line of Abhinav Sinha from Jefferies.

Abhinav Sinha: A few questions. I think one, I will just follow-up on what Kunal was asking and we got interrupted. So with the BD development that we have seen this quarter, can you update us a bit on what should be the guidance on overall debt and gearing are you seeing?

Pooja Godrej: Yes. I th

ink we've consistently since the IPO 12 years ago, said that our comfort from a gearing perspective is around 1:1, I think of net gearing. I think given the increase in the size of the balance sheet, now we probably say we more like to operate anywhere from 0.5:1 to 1:1. We ended last quarter at 0.3:1. So clearly, I think we feel the balance sheet still has significant capacity for additional investments. And as I was saying, I think the current visibility basis

number of discussions underway at the moment continues to be very strong. So despite a very strong Q3, I think Q4 and Q1 of next year should be a very healthy level of business development to continue.

And then I think beyond the 12-month timeframe is something that we'll have to evaluate both basis what we're seeing in the market and how our own performance has been and calibrates the strategy accordingly. But certainly, for the rest of this calendar year, I think the business development opportunity remains quite exciting. And I do think that this will quite quickly

Godrej Properties Limited

February 02, 2023

Page 10 of 16

translate to meaningful top-line growth for the company. And over -- as these projects start reaching the revenue recognition stage, we are quite optimistic that the margin profile of the company will also look very different, both because the structure of the project is either profit shares where we have a high share of economic interest all outright. But equally, because the location of the projects and price points of the project are we think structurally much better than some of the older project locations.

Abhinav Sinha: Secondly, on the residential side, the overall cash flow. So I was just looking at slide 33 of the presentation, where you have given good details on project-wise progress. So there's about INR160 billion of excess cash flow yet to be received on the currently sold projects. And there should be some unsold inventory as well. So can you guide us on what is the net surplus we can expect from the ongoing pipeline, and -- or maybe a broad idea of where we would be on average on construction progress and what is to be spent?

Rajendra Khetawat: So Abhinav, it's very difficult to predict that. Like maybe Pirojsha gave some numbers, maybe you can do a back calculation on the sales price, if we are looking at some kind of a 15% of net profit margin, that would be my residual surplus, which will get generated over a period of time.

But now we have to go line-by-line, project-by-project to determine what would be my construction outflow and what would be my realizable surplus -- cash surplus out of that. So maybe we can connect offline and take you through that.

Abhinav Sinha: So -- but fair to assume, I mean, the substantial surplus here yet to come or you are waiting for the New Year launches for that year?

Gaurav Pandey: Sorry, Abhinav, I couldn't catch up clearly on the phone.

Abhinav Sinha: Maybe I will connect on that separately. One last question on the NCR side where we have now seen pricing also move up materially. So has it started impacting the quality of demand? One of the issues used to see that cash flows will start lagging in NCR versus sales effect. Any such thing you have seen so far?

Pirojsha Godrej: Abhinav, I'm sorry, I don't know if it's the issue with us. We are not able to hear you very clearly.

Moderator: Our next question is from the line of Abhimanyu Kasliwal from Choice India Limited.

Abhimanyu Kasliwal: So firstly, congratulations over a good quarter, even though we did not see very good recognition the NPV of assets -- projects seems to have increased dramatically, like INR 2,300 crores this quarter. Now, I'm talking about what about the future outlook? Are we looking at more cities beside the existing ones Tier 2 -- for example, as I'm from Indore, so I'm aware that in Indore we're looking at some land parcels and in general, as we look at other Tier 2 cit

ies as such. Am

I correct in understanding that, that could lead to the next level of growth for our company? And what other Tier 2 cities -- are we open to Tier 2 cities, what would be -- what would you like to tell us about that?

Godrej Properties Limited

February 02, 2023

Page 11 of 16

Gaurav Pandey: If I understood it correctly, you want to understand the future growth strategy and Tier 2 specifically. I think that our focus will continue to remain in these cities where we operate from a group housing perspective. And we believe that the fact that most of us as large developers operate at single-digit market share. There is massive headroom to focus over there in growth.

As far as the opportunity in Tier 2 cities is we are exploring opportunities in entry selectively through the plotted development platform, and that is going to be our current focus.

Abhimanyu Kasliwal: One last question, sir, the inventory things have increased this quarter. Is that -- are you trying to ensure that our margins are maintained or is it just some short-term occurrence? Are we like -- inventory is increasing because we are hoping to get higher margins, we are now planning to sell at a lower margin, something like that. Could you please guide?

Gaurav Pandey: I think our focus is to ensure the margins in every project and kind of consistent sales across the geographies that we operate. And I think we've been seeing a set of secular trend largely speaking to most of our portfolio with any sort of -- anything other than the core strategy to maintain a

healthy robust sales pipeline wherever possible increase prices consistently -- that's the way we're maintaining our margin still now.

Abhimanyu Kasliwal: Last question, last question. Are you seeing anything in terms of the velocity being maintained, or is it slowing down a bit or you're expecting it to pick up? What is your call on that?

Gaurav Pandey: I think we're dealing velocity and as you would have noticed that this has to be one of the most exciting quarters for us from a sales velocity point of view. So yes, we've been able to maintain a velocity across all markets that we operate and also we've been able to kind of make a record for Q3 sales.

Moderator: Our next question is from the line of Himanshu Zaveri from Dhruv Gems.

Himanshu Zaveri: Yeah, I just wanted to ask you, the amount of projects we launched -- sorry, launch -- we have signed. I want to know about the land prices update because supposedly we bought the Ashok Vihar land before two years for INR1,300 crores. Now the same, what kind of land prices appreciation have we seen in the last quarter, the deals which we have signed, throw some light on that?

Gaurav Pandey: It's very specific to micro markets where we operate. So as you would have noticed that on the demand side and residential pricing side across markets, generally, there has been an uptake. And accordingly, land being a raw material has also correspondingly increased in certain geographies. And yes, where there is more confidence in terms of customer attraction to buy a product, those markets would have relatively seen slightly higher price. So it's very difficult to really say there is an X percentage price increase across India. It's very specific to the micro market where we operate. And yes, it's driven largely by what consumers are willing to pay and buy products over there.

Godrej Properties Limited

February 02, 2023

Page 12 of 16

Himanshu Zaveri: Okay. And this quarter, you updated around 9 to 10 projects, which are on the launch. So are we on track for that?

Pirojsha Godrej: I think obviously, the Investor Presentation where we put estimated launches is our most updated view on what will get launched. So we do hope to, of course, launch all of those. But as they are some of them linked to regulatory approvals, there's also, of course, some possibility of them slipping into the new financial year.

But overall, I think Q4 is looking good from a new launch as well as overall bookings perspective.

Himanshu Zaveri: Any particular -- that you've generally shifted from the JV to outright purchase almost completely because we've signed like 8 out of 9, which are owned projects, right?

Pirojsha Godrej: Yeah. I understand that optically, it looks like we've switched completely basis last quarter's numbers. But as we were saying, BD can be a bit lumpy. We actually have a large number of joint venture projects also under discussion. So Q4 may not be as skewed towards outright purchases, but we are very much open to both outright purchases as well as any sort of joint venture structures where we have a reasonably high economic interest in the project. We have deemphasized projects where our economic interest is relatively low, like development management fee structure. So only in exceptional cases would we add such projects.

Himanshu Zaveri: And we are not worried about Ashok Vihar, right, because the delay and all the sales perspective, we are comfortable, right?

Pirojsha Godrej: I'm extremely excited about Ashok Vihar. Little frustrated that we haven't been able to bring it to market yet. But I think -- it's going to be an outstanding project from us -- for us, both, I think, from a project quality perspective as well as a financial return perspective. So we're very excited to hopefully kick that project off over the next few months.

Moderator: Our next question is from the line of Sameer Baisiwala from Morgan Stanley.

Sameer Baisiwala: Pirojsha, can you talk about the supply situation in the micro markets that you are present? Are you seeing any stress building up or do you think it's okay for now?

Pirojsha Godrej: I think the supply-demand situation seems quite favorable at the moment, if anything. I think some of the metrics we track quite closely and now are also sort of available through our presentation is the percentage of launched inventory that we have that is unsold. And that continues to be at all-time lows for sort of any time in the history of the company. So I think it's a good indicator that whatever we've been able to bring to market is seeing good uptake.

I think also very encouraged to see some of the big launch numbers we've posted in recent months like our Ahmedabad launch and Bangalore launch last quarter so overall, not seeing anything on the supply side that is worrying me. And again, I think while some of the bigger developers in each market are scaling up, I think that is also happening through market share

Godrej Properties Limited

February 02, 2023

Page 13 of 16

gains, where a lot of the smaller players are focusing more on bringing land to the market rather than bringing too many new projects.

Sameer Baisiwala: And any thoughts on Vikhroli land, which is owned by the parent company. So we have not seen any major project launch out of that portfolio.

Pirojsha Godrej: That's right, Sameer. I think in the upcoming financial year, we do expect a large new launch in Vikhroli. So hopefully, we'll get that part of the engine humming again as well.

Sameer Baisiwala: That would be great. And when you look at your BD plan, I mean, are there any white spaces that kind of stands out you want to go and make sure that you get a presence there, a deal there that you want to highlight?

Pirojsha Godrej: I think, honestly, there's so much opportunity, Sameer -- have to nail down on any one thing. While we are looking at from a new market perspective, I mentioned Hyderabad one opportunity and plotted development we're looking in several markets. I think the real big opportunity is continuing to deepen our presence in these top four markets. These are the real areas where our current scale, even if you look at what some of the leading players in each of these markets is today delivering. Clearly, there is a significant room for scale up by entering new micro markets.

I think as we took stock of how we performed over the last few years, last year, we felt that Mumbai and Bangalore were two markets where we certainly hadn't scaled to our potential. I think we've made the kind of changes to the team, the kind of intent we're driving in those markets. We're already seeing some early results from that. I think both Mumbai and Bangalore showing sharp growth this year over previous year. But I think, certainly, the opportunity remains. And I think with Gaurav taking over now, we've got the exact right person to do this. He has obviously delivered a similar thing in NCR.

And I think -- very happy to see him running in his first quarter managing the operations of the company in Q3. So certainly, I think the primary aspiration is to really significantly increase our market share in these top four markets. In each of these, we think we have a very strong base now and are already amongst the leading players, but we think we have the balance sheet, the brand and the intent to significantly further scale.

Moderator: The next question is from the line of Biplab Debbarma from Antique Stock Broking.

Biplab Debbarma: Congratulations on the excellent set of performances. Just my first question is on the earlier project in Byculla. Sir, could you throw some light on the details like so what kind of total area and what kind of legal and financial liability is there in that project? Because my understanding is that it's a struck project, and there was a JDA, which has failed previously. So just trying to understand some insight on what kind of projects is that in Byculla?

Pirojsha Godrej: Yes.. This is actually a redevelopment project where we partnered with the existing developer to take over the development of the project. So it's a brownfield project in that sense. So we hope
Godrej Properties Limited
February 02, 2023

Page 14 of 16

to launch the project in the first half of the next financial year. And I think the expected booking value, etcetera, is mentioned in the presentation about INR 3,500 crores. It's in Mahalaxmi, not Byculla and yes, looking forward to getting this going. And it could be relatively fast to kick off because it was an existing project.

Biplab Debbarma: Great, sir. And just your current mix of JV and outright for the ongoing, what could be the current mix? And in the medium- to long-term, what -- would we see some kind of shift in this mix or this mix would be going in future this mix of JV, what's the outright would be the same?

Rajendra Khetawat: Our current mix of outright would be around 25% to 30%, balances is still into JD, DM and other models. Going forward, obviously.

Pirojsha Godrej: Yes. I think going forward, again, as we've said a few times, we don't think having some sort of blanket either 50-50 or anything like that necessarily makes sense. We will evaluate what we're seeing in the market and try to respond to that in the way that we think maximizes the value for the company. Because I think if we're seeing market conditions where there is a lot of distress where we are well capitalized and we can get land at what we think will be attractive valuations and develop that land through what is likely to be a strong leg of the cycle, we will, I think, probably lean more towards outright purchases.

If on the other hand, over the next five, six years, the market gets more frothy we feel the cycle is topping out we may not be as keen for outright purchases and might then look for more joint venture kind of structure. So I think it will be a continual evaluation of what we think the market is offering as well as where we think our own execution priorities lie. And I think we will respond in that way. But certainly, I think going forward, you can expect to see a fair mix of both outright and joint ventures and very limited development management agreement in that structure.

Biplab Debbarma: One final question is what kind of net

operating cash flow should we expect in FY '24? The reason I'm asking is there will be significant jump, would there be a significant jump, in the net operating cash flow because of the strong traction in sales bookings for the past -- I mean last year, this year to -- so should we see what kind of operating cash flow should we see in the next financial year? Some ballpark, I'm not...

Pirojsha Godrej: This is not the number again that we are offering guidance on. But certainly, it's a number that, obviously, we have tracked very closely internally and is one we expect to see very meaningful growth on both next year and in the years ahead. Again, we mentioned that where -- our attempt is to ensure what we deliver in bookings in one year or the average of the previous two years is what we are able to show as collection. And obviously, the linkage between collections and operating cash flows is quite tight and depends on the margins of the projects and stage of completion.

Moderator: Our next question is from the line of Manish Gandhi from KPMK Investments.

Godrej Properties Limited

February 02, 2023

Page 15 of 16

Manish Gandhi: Pirojsha to you and the whole team leading by Mr. Dedhia, heartily congratulations on all front on BD, especially locations across the cities is excellent, and it has exceeded any expectations? I'm sure, as you're guiding, you are discussing many more. So first of that. So -- and my question is, first, to RK. Rajendra, which are the projects which has contributed to this INR 4,200 crores inventory rise. Can you just give?

Rajendra Khetawat: So Manish, this inventory accumulation is on account of various projects, which we have accumulated. Now, what happened in the accounting is you have to do in the redevelopment, you have to do a gross-up of liability and inventories. So basically, it's all on account of new project additions, what we have done. So that is how the inventory movement you are seeing from the last quarter.

Manish Gandhi: My next question is on Bangalore. So how you see the demand affecting because of this technology-led layoffs? Can you give some color, Gaurav or Pirojsha? And two, is it the reason we have a little bit less BDs in Bangalore compared to the other cities?

Gaurav Pandey: I think Bangalore we are seeing a very strong growth momentum. In fact, we sold close to INR 749 crores, in the previous quarter, which is equivalent to almost the entire phase of the previous financial year. So we see robust demand out there. And as Pirojsha was mentioned sometime back that business development tends to be lumpy, and we are extremely focused on Bangalore business development. And hopefully, in a couple of months, we should be hearing some very exciting stories on business development side for south zone particularly, yes.

Manish Gandhi: And lastly, just not a question, but just would love to have your thoughts. Next year in Mumbai and MMR, we are launching multiple large projects. So it must be exciting for the team, but this is the first time we are launching so many large projects in a particular city. So can you just give some color?

Gaurav Pandey: Largely, the teams in Mumbai have really kind of started outperforming in the previous year. In fact, if you see the nine months sales of this financial year, is that already INR 2,000-plus-crores, which is something which they did not achieve even earlier and every launch that they kind of planning up, they've been able to show consistent delivery. So I don't really see that as a challenge for Mumbai for largely a business development issue historically in Mumbai zone. And with that kind of crack, I think the team is extremely hungry to deliver on the business. So you should -- exciting quarter of this and also the next financial year for Mumbai side.

Manish Gandhi: Can I squeeze in one more last? Yes. So how do you think about the opportunities in extended Mumbai, like New Mumbai in the coming

area because of new International -- new airport and of course sorry, the 22-kilometer trans-harbor line. So do you see -- or do you are looking aggressively to enter that market? Of course, we have one big project Taloja, but anything else you see?

Gaurav Pandey: Sure. I think generally, we've been seeing infra story directly positively giving us similar to any demand on the residential side. And we instantly also added some plot redevelopments in that

Godrej Properties Limited

February 02, 2023

Page 16 of 16

specific corridor with the very specific premise that we were seeing demand, especially in this segment which we don't have in the portfolio MMR on that segment corridor. And we continue maintain the focus on opportunity, but very frank from a portfolio point of view, our strategy is to maintain healthy growth across micro market and not really get specific only in one specific micro market of MMR. So definitely it's a focus area and you will see, it will continued launches on there, but not necessarily only in that specific micro market.

Manish Gandhi: And really exciting next one year for everything so all the best to the team.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to the management for closing comments.

Pirojsha Godrej: I hope we've been able to answer all your questions. If you have any further questions or like any additional information, we'd be happy to be of assistance. On behalf of the management, thank you again for taking the time to join us today.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of Godrej Properties Limited, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

Call: May 2023

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Ref: - Godrej Properties Limited
BSE - Scrip Code: 533150, Scrip ID - GODREJPROP
BSE- Security Code - 959822 – Debt Segment
NSE - GODREJPROP

Sub: Transcript of the conference call with the investors/ analysts .

Dear Sir/Madam,

Pursuant to Regulation 30 read with Schedule III Part A, Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached transcript of the conference call organized with the investors/ analysts on Wednesday, May 03 , 2023 , post declaration of financial results (standalone and consolidated) for the quarter and financial year ended March 31, 2023 .

This is for your information and records.

Thank you.

Yours truly,
For Godrej Properties Limited

Ashish Karyekar
Company Secretary & Compliance Officer

Enclosed as above
Page 1 of 19

“Godrej Properties Limited
Q4 FY '23 Earnings Conference Call”
May 03, 2023

Godrej Properties Limited
May 03, 2023

INR630 crores, and net profit increased by 58% to INR412 crores. For financial year '23 our total income increased by 25%, and stood at just under INR3000 crores, EBITDA increased by 41% to just under INR1,000 crores, and net profit inc

reased by 62 percentage to INR571 crores.

In addition to the robust sales and delivery performance, I am happy to report that we closed financial year 23 of our best-ever year for business development, with the addition of 18 new products with an expected combined revenue potential of over INR32,000 crores. More than double the guidance of INR15,000 crores given at the start of the year, and growing by more than 250% from the previous year's actual.

This included five new projects with an expected booking value of INR5,750 crores, added in the fourth quarter. We believe these projects are strategically located, and will support our efforts to maintain a rapid top line growth rate, while substantially improving the margin profile of our company. In addition to the new projects we have already announced, we have a robust pipeline of new development opportunities. And we are confident project additions will continue in financial year '24.

Despite the increase in interest rate and housing prices, affordability of residential real estate in India remains attractive by almost any historical standard. We expect the momentum in the real estate sector to continue, as India remains the fastest growing large economy in a challenging global environment. We are optimistic that the financial year ahead will be a strong year for Godrej Properties. We hope to grow residential bookings to over INR14,000 crores this year, to the launch of a large number of exciting new projects combined with strong sustenance sales. This combined with strong projects deliveries should allow us to maintain rapid growth in operating cash flows, and as we expect collection to register over INR10,000 crores this year. On that note, I conclude my remarks. Thank you all for joining us on the call. We'd now be happy to discuss any questions, comments or suggestions you may have.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin the question-and-answer session. We take our first question from the line of Pritesh Sheth, from Motilal Oswal. Please go ahead.

Pritesh Sheth: Yes. Hi Pirojsha. And congrats to the team for a great year on all counts. My first question is on the launch pipeline that you have indicated. I think last year we started with around 21 -odd million square feet of pipeline and eventually launched around 15 million square feet. So, how confident are we in terms of launching 20 million square feet this year? How much visibility we have in terms of launches?

Pirojsha Godrej: Yes, I think we have pretty good visibility, Pritesh, but I think it's also fair to say that as we put on a headline of that slide in our investor presentation, these are dependent on regulatory approvals. And historically we have seen the start-of-year list does tend to look a bit different than the end-of-year list, both with some projects being delayed and with some new projects being added. So, we are certainly confident, which is why we are putting the guidance there, but I think it's reasonable to expect given past experience that some delays will happen and some new projects not currently will be added.

Godrej Properties Limited

May 03, 2023

Page 4 of 19

But certainly, I think visibility on both launches, overall sales as well as most other operating metrics is stronger at this time of this year than it's been for any previous year, and we're pretty confident of a strong year ahead.

Pritesh Sheth: Sure, got it. And in terms of your business development target for this year, again, which is INR15,000 -odd crores. This year, we will still see most of that being outright and hence there would be higher spends on, from our cash balances. Or how is the mix that we are looking into, depending upon the visibility that you have on the pipeline?

Pirojsha Godrej: Yes. I think last year ended up being a little more skewed towards outright purchases than we probably would have expected.

We were seeing some large joint venture portfolios that ended up slipping out of the year. So, hopefully, some of those come in this year, you will see a little bit more of a balanced number. But certainly, we continue to think there is good value land acquisition opportunities available. So, outright purchases will also continue. As you saw in the fourth quarter, we do think our operating cash flows are now getting to a phase where they would be a lot healthier.

We expect strong collections growth in the current year as well. So, hopefully, the majority of these investments came from now on be funded through operating cash flow. But certainly we also think we have some further room on the balance sheet. As you know, we have historically sort of guided that we'd be happy operating from a gearing ratio perspective anywhere between 0.5:1 to 1:1. We're currently under that, suggesting we do have some room for further additions.

Pritesh Sheth: Sure. And just a follow-up on that. When we talk about this large JV platforms, is it like something similar to Encore's portfolio that we have in Pune and we are looking to sign

something similar to that? Or any guidance on what kind of JV platforms that we are looking at?

Pirojsha Godrej: Yes. I think similar to that, there are, again, nothing concrete. So, please don't count on this in any way, but there are discussions underway where we can do multiple projects with a single

partner similar to the Encore portfolio.

Pritesh Sheth: Got it. And just lastly on the deliveries, 12.5 million square feet, is it going to be lumpy like this year? Or it would be gradually spread out across the year?

Pirojsha Godrej: It might be a little bit lumpy, unfortunately, again. I think the good news is we did actually this time have a couple of things that we were hoping to have in Q4 still spill out of the financial year last year. So, we already have a couple of OCs at the start of this year. So, we'll hopefully get things off to a good beginning. But yes, I think it will again be unfortunately a little bit skewed towards Q4 on an overall basis from a delivery perspective.

Pritesh Sheth: Sure, perfect. That helps, and all the best.

Moderator: Thank you. We take our next question from the line of Puneet Gulati from HSBC. Please go ahead.

Godrej Properties Limited

May 03, 2023

Page 5 of 19

Puneet Gulati: Yes, thank you so much. And congratulations on good performance. My first question is, if you can talk a bit about the EBITDA margin on a reported basis. That seems to be slightly weaker on a Q-on-Q basis. How should one read that?

Rajendra Khetawat: Sorry, Puneet. Can you just repeat the question?

Puneet Gulati: The EBITDA margin on a Q-on-Q basis seems to be slightly weak despite significantly higher income. So, I thought most of the fixed costs should have been absorbed. But on a reported basis, it still looks a little weaker compared to Q3, for example.

Rajendra Khetawat: Yes. The reported margin is 32%. There were more launches which has happened in Q4. So, there were lot of marketing expenses which get expensed out as compared to Q3. So that has little bit as compared to Q3, depressed the EBITDA margin a bit.

Puneet Gulati: Okay. And these launches are in your fully owned project. Otherwise, it would have all gone in the share of JV?

Rajendra Khetawat: Correct, correct.

Puneet Gulati: Okay. Understood. That's helpful. Secondly, you also acquired stake in projects like Godrej Aria, 101, Eternity from 25% to 75%. These all projects were launched back in 2015-'16. So, what is the thought behind acquisition at this point of time?

Rajendra Khetawat: So these were exit for, which the projects had almost got over. So, obviously there was a fund, APG fund, it was from our Resi platform number one. So, the project was almost over, so they need to be given exit. So, we gave an exit at a

par value. There was nothing premium paid. In

fact, in this project, they didn't make the expected return as desired. So, it was just a routine exit on completion of the project.

Puneet Gulati: So, there is no guaranteed return for these projects?

Rajendra Khetawat: Nothing. It was a purely equity risk-reward sharing deal. In fact, they made lesser return in this project.

Puneet Gulati: And so, was this lower return project for you also?

Rajendra Khetawat: We had some share of DM compared to what their internal return was, what they thought they were lower. We also didn't make the expected return because the market at that time were little different. But yes, we made better returns compared to what they would have made.

Pirojsha Godrej: All right. That's kind of more medium term project given the kind of inflationary environment we had seen during deliveries and the kind of muted pricing environment when these were selling most of their inventory. I think it's fair to say the project as a whole delivered lower margins than we would have liked.

Puneet Gulati: My last question is on the breakup of your sales, within the four geographies and fifth one the others. Last two quarters of those have been trending up quite nicely. Is there a focused effort to move beyond the existing four? Or is it just more a function of mix and plot sales, etc.

Godrej Properties Limited

May 03, 2023

Page 6 of 19

Gaurav Pandey: Thanks for the question. I think our strategy is focused upon these four key geographies. And I believe that we are just at the tip of the iceberg from an opportunity set point of view. Like we've explained even in the previous earnings call, we are evaluating but still at a very initial level opportunities in Hyderabad and plotted opportunities in other markets. But our core growth housing markets will continue to be these four.

Puneet Gulati: Okay. That's it. Thank you so much, and all the best.

Pirojsha Godrej: Thank you.

Moderator: Thank you. We take our next question from the line of Parikshit Kandpal, from HDFC Securities. Please go ahead.

Parikshit Kandpal: Yes. Hi Pirojsha and Gaurav. Congratulations on good line up on the GDV addition, especially in MMR. So, my first question is on the end -market demand. So, if you can help us with how the demand in the affordable mid -income and luxury portfolio and given the interest rate hike. So, if you can address that. That's my first question.

Gaurav Pandey : Thank you. You see, we have the main focus largely in the mid -premium and premium -plus to some luxury segment. And we are seeing sort of a secular trend of strong demand, largely emanating from end users. In fact, internally, we also tend to track the funnel of things, essentially the quality of / profile of people that visit our sites during launches. And it's very encouraging to see that consistently in every quarter. We are seeing families kind of coming. So, it's a very characteristic of a strong end -user demand. Sorry, what was the second part of your question?

Parikshit Kandpal: So, I was asking, segment -wise, how was the demand given that interest rates, I mean, we are almost near peak, was the most -asked question is how is the impact on. Typically, it's understood that affordable will be the worst impacted, but we continue to see strong momentum in luxury side. And now most of your portfolio or GDV additions last year is more aligned towards luxury, especially in MMR. So, South Bombay we have seen. And even the launches which you have planned this year. Worli is there, Mahalaxmi is there so, just wanted to gauge your sense on the demand in luxury for the mid -income luxury and luxury, so that was my question.

Gaurav Pandey: One, we do have a very robust pipeline of mid - to luxury segment for FY '24 launches. But that aside, right now if you see from an interest rate hike cycle and its impact on demand, it's fr

ankly

still not been quite of nonexistent. In fact, you see most listed developers are kind of breaking record. And if you see GPL -specific performance for the year at a time of quarter three and quarter four when there was a lot of talk about impact on interest rates. We have seen both price growth and demand growth. So, at the moment, we don't see it and we'll have to also see from a context of historical interest rate cycle.

India has seen a very inflated environment from an interest rate cycle point of view. Just a couple of years back, we were operating at a base case of 11% -12%. And right now, what is impacting demand is the probability and longevity of income growth of people. And if you see generally post-COVID the trend from investing in other asset classes to actually buying a home is a

Godrej Properties Limited

May 03, 2023

Page 7 of 19

significant shift. So, contrary to theory of its negative impact, at the moment we have not seen. In fact, we've seen quite the opposite.

Parikshit Kandpal: Okay. And just three large launches, Gaurav, so Ashok Vihar, Worli and Mahalakshmi. So, this Ashok Vihar and Mahalakshmi have been touch and go even last year. So how do you see these three launches panning out? So, it will be more like how it will be times, it will be first half or more towards second half?

Gaurav Pandey: So, our endeavor is to try our best to bring these launches into first half itself. But I think you would appreciate that some of these are tricky in terms of stage of approval. And it's a bit tricky to really be very, very certain. But purely from what we see on the ground right now, the file movement of these projects at the moment, it's fair to have cautious optimism. And we are gunning towards that.

Parikshit Kandpal: Okay. And just my last question on the debt. And if I link it to the GDV addition, for last year we had INR32,000 -odd crores of GDV addition. So, my question is for Rajendra. So, on the total inventory which we have in the pipeline, what would be the residual unpaid land cost? And given that we have already going with INR15,000 crores of GDV addition next year from INR32,000 crores now we did in FY '23. So, do you think that secularly your debt may not increase and we can meet these payments with the internal cash flow generation?

Rajendra Khetawat: So, on the residual land, we don't have much outstanding, most of the land payments have been paid for. We have just around INR500 crores of planned payment balance to be paid, which will get paid out very soon because those are milestone linked. So, most of the land is paid. As far as the new BD opportunity is concerned, like Pirojsha mentioned, we have been generating lot of operating cash flow. So that can be utilized towards the new BD opportunities. At the same time, our net debt gearing is also 0.39. So, we have quite a bit of headroom to fund our new purchases through that.

Parikshit Kandpal: But only the intensity...

Pirojsha Godrej: The factors of what we are seeing in the market also. And if we see the right deals and we think the value is there, we're happy to go well above the INR15,000 crores of new additions. I think this is a reasonable assumption at the start of the year. But I think of all operating parameters this is also the one with the greatest uncertainty because it's dependent on what we see the market doing, what kind of opportunities are available. But we feel very comfortable that both our balance sheet space as well as higher operating cash flow will comfortably allow us to fund our

growth from here on.

Parikshit Kandpal: Great to know that sir. Sir Rajendra, you said that INR500 crores is only pending. So, for the entire GDV even last year and this year INR32,000 crores, everything is taken care with the INR500 crores, right?

Rajendra Khetawat: Yes, last year, for the last year, for the last year.

Parikshit Kandpal: We reached

INR32,000 crores, so what we depending on amount for that?

Godrej Properties Limited

May 03, 2023

Page 8 of 19

Rajendra Khetawat: So, INR32,000 crores, that's what I said, for INR32,000 crores, only INR500 crores is pending. What we have tied up last year for the entire INR32,000 crores, only INR500 crores is pending, land payment.

Parikshit Kandpal: And nothing is funding for FY '21 or '22? That's all done, now?

Rajendra Khetawat: So, there may be some, like Ashok Vihar is there, those are like a long gestation, like eight years payment cycle. Those are like a typical JV kind of projects. So those would be there. Whatever acquisitions we made for last financial year, in financial year '23, out of that only INR500 crores is pending.

Parikshit Kandpal: Okay. Thank you, those are my questions. And all the best to you.

Rajendra Khetawat: Thank you.

Moderator: Thank you. We'll take the next question from the line of Parvez Qazi from Nuvama Group.

Parvez Qazi: Yes. Thanks for taking my question. Congratulations to the management team for a great set of numbers. So, my question is this, when we look at the cash flow statement that you give, historically the proportion of the net operating cash flow to the overall cash flow, you should be somewhere around 20% to 22%. But there was a significant improvement this year. In fact, specifically for Q4, the number is pretty high, at almost about 52%. So, was there any kind of one-off that was there in Q4? And what is the kind of trajectory that we see going ahead for this number? Thank you.

Rajendra Khetawat: So, thanks, Parvez. There was not one-off. The cash flows are dependent on certain milestones. A lot of OCs has come in into this quarter. We have received more than 10 million square feet of OC. And most of the OCs were back ended in Q4. So, that's why you will see a significant jump in collection and to that extent to the operating cash flow. So, to your second question, definitely going forward we have guided at 12.5 million square feet of OC. So, you will see that uptick in that operating cash flow happening. And as the launches are getting improved, construction milestones get met, this operating cash flow also will keep improving going forward.

Parvez Qazi: Thank you, all the best.

Pirojsha Godrej: Thank you.

Moderator: Thank you. We'll take the next question from the line of Mohit Agarwal, from IIFL. Please go ahead.

Mohit Agrawal: Yes, thanks for the opportunity. So Pirojsha now that we've seen a significant improvement in the P&L reported profitability, is it a good time to lay down an indicative timeline to the 20% medium-term ROE target that we have chased? Like can you put a two, three year time line to it?

Pirojsha Godrej: Yes, we would want to avoid giving very clear timeline for it. I think what we can see directionally is that it's quite evident how much capital we've raised during the pandemic

Godrej Properties Limited

May 03, 2023

Page 9 of 19

through the two capital raises we did. If you exclude that capital because I think most of that capital except for some that we may have deployed in project development cannot yet be recognized in the P&L because, as you know, there's more of a one year to two year BD cycle, another one-year regulatory approval cycle and then another kind of two to three years for project delivery. But I think if you look at the base before the pandemic even in the last year, we're not very far off from the kind of 20% ROE aspiration.

So, I think one of the hard parts of ensuring this happens on a larger capital base was obviously the capital deployment itself. I think we took giant strides towards achieving that part of it last financial year with the kind of business development additions we did. I think the important thing this year, in addition to, of course, further business development is to actually make sure

he vast majority of those projects we've added get launched in the current financial year. And if that happens, I think we're pretty confident now that our delivery engine can deliver projects within two years to three years. So, if we launch this year a lot of these should be reflected in P&L two years or three years from now, by when you should see on the much larger capital base far improved return metric. But we certainly think, directionally, that visibility is already starting to be quite clear.

Mohit Agarwal: Okay, understood. My second question are basically a couple of questions on the Vikhroli thing. So, one is we see, in the launch pipeline, we see six lakh square feet of launches. If you could kind of help us understand, is Vikhroli now back on track in terms of doing regular launches? Every year we'll see some launches. So, some clarification on that. And connected to that is, we've also received the OC for the Taj Hotels. So, if you could give some guidance on the revenue potential and what are the timelines that you are seeing on the opening of that?

Pirojsha Godrej: Sure. So, on Vikhroli generally, I think we are quite confident of launching this residential project after a few years. I think obviously looking forward to that after what's been a gap of a couple of years. We are hopeful that we're able to deliver more consistency there. I'd say this current visibility on two projects, one of which we are guiding will be launched this year. There is a second larger project that we are hopeful can come in quite quickly. After that, actually, there might be a little bit of time needed to get more land. But when that land becomes available, I think it would be a very large amount of development and then would be a decade-long kind of development cycle for that land. So, I think there's reasonable near-term visibility. I think we still have some work to do on ensuring the medium-term visibility is consistently at the level we'd like to see.

For the Taj, as you rightly pointed out, we got the occupation certificate at the end of March. The current estimates from the team is that hotel will start the operation around October of this year. I think we're still working on finishing and getting things up and ready. I think that was probably a more appropriate time to speak a little bit about revenues and so on. It's our first hotel project, so I think we're still going through some of that. So, I think it will be best if we saved that for maybe an earnings call, the next one or one after that when we have a slightly better visibility on the launch.

Godrej Properties Limited
May 03, 2023

Page 10 of 19

Mohit Agarwal: Sure. And my last one is just a clarification on the cash flow. Rajendra, this INR1,100 crores JV adjustment, could you explain that? That's a pretty large number?

Rajendra Khetawat: Yes, so it is more of a timing difference in the cash collection from the customers in the respective project SPV. And it is pending transfer to GPL because like there are certain RERA restrictions. If you don't have RERA limits, you can't withdraw. There may be certain restrictions into some of our JV agreement whereby you cannot withdraw or till a particular milestone or something is achieved. So, it is more of a tallying of my total cash flow to the net debt. Now had I received this cash flow immediately, I would have been able to utilize it either to repay my debt or to use it for any other purpose. So that was the purpose of just giving adjustment for JV projects.

Mohit Agarwal: But that's fine. So, I'm just trying to understand, the number is pretty large this time around. So is there like a one-off...

Rajendra Khetawat: Correct, because a lot of launches have happened. A lot of launches we did in quarter 4. So, lot of money has come in as a collection. That's why somebody asked in the earlier question, see, your Q4 collection and operating

rating cash flow has suddenly gone up. So obviously not immediate

RERA limits are available, there are RERA restrictions, you need to deploy, you need to have those withdrawable limit before you can actually freely utilize those cash. That's why you will see this number. But in next one or two quarters, this number will substantially come down.

Mohit Agarwal: Okay, thanks a lot. That's all from my side.

Pirojsha Godrej: Thank you.

Rajendra Khetawat: Thank you.

Moderator: Thank you. We'll take the next question from the line of Abhinav Sinha, from Jefferies. Please go ahead.

Abhinav Sinha: Hi. Congratulations on the strong numbers to the whole team. Firstly, on the guidance front of INR140 billion. So how does that growth split? You are at around 14%, 15% Y-o-Y growth on pre-sales. How does it split between the value and volume for next year? And do you see a mix change?

Rajendra Khetawat: Sorry, Abhinav, so you said INR14,000, how do you see value what? Sorry, your voice was breaking. Volume?

Pirojsha Godrej: Abhinav, it depends obviously which set of projects finally get launched. Our sense is you will see some pricing growth. And we obviously also though have a larger number of projects which brings the average price down. So, there's a few different effects to keep in mind. So, I think the

overall value number we think is a relevant one to pay attention to. And of course, like we did last year, the aspiration will be to hopefully go faster.

Abhinav Sinha: Okay. And secondly, again, pricing, how is it behaving now? Is it still strong heading into March and April, like you were seeing earlier?

Godrej Properties Limited

May 03, 2023

Page 11 of 19

Rajendra Khetawat : Housing market?

Pirojsha Godrej: Yes, I think the market remains very strong. As Gaurav was saying, we've had our two consecutive best-ever quarters from a sales perspective. I think these are all projects that are selling at good prices. I think the quality of project portfolio this year is significantly higher than even last year in terms of locations and things. So, yes, I think market is holding up well, and we feel good about our portfolio.

Abhinav Sinha: Okay. Lastly, on the land acquisition sort of winding down, when do we become FCF positive? Is that on radar for FY '24 sometime, or we should wait another year out for that?

Pirojsha Godrej: Yes. No, I don't think that particularly in FY '24. But again, it's a factor of how much business development we end up doing. If we do a little bit less than what we've guided for, it could well happen in FY '24. We end up doing as much as we did in FY '23, which also is a possibility. It certainly won't happen in FY '24. Honestly, I think Abhinav, from our perspective, it's not a terribly important metric, I think to us. What's important is operating cash flows, and then are we getting the right quality and quantity of deals to ensure that we're able to grow and in our overall balance sheet in a healthy position. I think if the answer to all of those is, yes. We honestly are not too concerned whether post BD and NCF is going up or down in the short term.

Abhinav Sinha: Thanks, and all the best.

Rajendra Khetawat: Thank you.

Moderator: Thank you. We'll take our next question from the line of Sameer Baisiwala, from Morgan Stanley. Please go ahead.

Sameer Baisiwala: Hi, thanks so much. And congrats on a great year. The first question is a quick clarification on Vikhroli. Pirojsha, so all these new launches would be same under DM arrangement, 10%?

Pirojsha Godrej: That's right.

Sameer Baisiwala: Okay. And the second question is, now as you're scaling up, can you talk a bit about on the construction side, execution side? I understand they are all third-party contractors. So how are things panning out on that side?

Gaurav Pandey: Thanks for the question. Essentially what we've done is, we've got a series of -- we

've divided

our contracts into buckets. So, for some of these, we've now got pan-India contracts, which is, say, for items which are high value and high impact, let's say, the typical faucets, the commodes, and now we're going up to the extent of doing zonal tie-up. So, for every zone we'll have, say, two or three large contracting firms doing all the painting work. So, with scale, on one side we are getting a sort of a benefit of creating economies out of it and on the second side, we've created a model where every project is run as a P&L itself, meaning there is a project director and a core leadership team.

So, basically, from a bottom-up point of view, it's about getting unit level economics right through multiple smaller packages. And from a top-down point of view, all high-value and high

Godrej Properties Limited

May 03, 2023

Page 12 of 19

critical contracts being either centralized at a zonal level or at HO level. And this has been working very well for us. It's a sort of a strategic pivot we did some time back and which is why you're seeing consistent upscale of deliveries already in our results.

Sameer Baisiwala: Okay. This is very helpful, Gaurav. And but just on the civil construction side, which is the structure, are you using just a few contractors, or how are you doing this?

Gaurav Pandey: So essentially, thanks to the amazing relationships we've built over the last 8 to 10 years in practically every zone, we now have identified contractors who can deliver at scale for us at the required speed and quality. And what we're essentially trying to do is doing sort of tie-ups with them for a project level. Having said that, let's say, you have a very big multiphase project, there we tend to bring two or three contractors from that zone who have created track record of performance with us.

Sameer Baisiwala: Okay. Great. And just finally, Pirojsha, any thoughts or plans on any further equity raise, or we're done for now?

Pirojsha Godrej: We are very much done for now, Sameer. I think as we said, I think the gearing level we want to operate in, where we feel getting that right balance of prudence and taking full advantage of

the opportunity is 0.5:1 to 1:1. So we're not even in that range now because we're still under it despite strong additions this year. So no, I don't think it's something that would at all be on the table certainly for the next couple of years.

Sameer Baisiwala: Okay. Great. Thank you, sir.

Pirojsha Godrej: Thank you.

Moderator: Thank you. We take our next question from the line of Ritwik Sheth, from OneUp Financial. Please go ahead.

Ritwik Sheth: Hi, good evening, sir. I just had one question on the business development side. We have guided for about INR15,000 crores with GDV. Can you give a ballpark figure, what would be the cash outflow for this in FY '24?

Pirojsha Godrej: Yes. Again, it varies a lot depending on structure and whether this INR15,000 crores remains INR15,000 crores. But I think broadly speaking, it would mean 10% to 15% if we look at FY '23 number, 10% to 15% for booking value as upfront cash flow. So, on INR15,000 crores, you can assume a rough number around INR2,000 crores would be required. But again, there are a lot of moving parts here, including whether INR15,000 crores was up or down, whether the structure is outright or joint venture and also things like payment terms and whether it happens in a year or not. But broadly speaking, I'd say it's roughly INR2,000 crores.

Ritwik Sheth: Right, absolutely. And the mix should be largely similar to FY '23, right? Like, we have gone out for a majority is 100% owned. So largely the mix should be similar? Would that be...

Pirojsha Godrej: Not necessarily. I think FY '23 was probably slightly more skewed towards outright purchases. I mean, we have continued to think the market is giving us opportunity to acquire significant Godrej Properties Limited

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May 03, 2023

Page 13 of 19

stakes in what we think are good entry points. So, outright certainly remains one of our priorities. But we are also looking at a variety of projects where we'll be a sort of joint venture structure where we have economic interest. So, I would expect to see some of those as well. And I would say last year, another thing, Rajendra of course spoke about some of the exits we've given long-term investors at the end of a project.

But there are also projects and we may have a couple more this year where we are increasing our stake at relatively early stages of project. So for example, we had a large in Hinjewadi, in Pune, a large township project there, which was a profit-sharing project. But we've now made that almost 100% owned project. So, some of the cash flow we deployed for that. So that project we think is an 8 million square feet project. So, while we haven't added it to our business development for the year in a way, half of that we have acquired is new addition for the company. We have about INR4,000 crores in that project that will accrue to our P&L that wouldn't have earlier.

Ritwik Sheth: Sure. And just one last question from my end. We will probably be one of the largest land acquirers, say, in FY '23 or at least organized. Any sense on the pricing of land acquisition versus FY '22 or pre-COVID, if you can give some color on that, that would be helpful, please?

Pirojsha Godrej: I think it again varies a bit by geography. So somewhere like NCR has probably seen more land price appreciation than other places, just as we're seeing more end property price appreciation. But as I've said, the attractiveness remains. And I think strong returns can be generated at current value, which is why we did a lot of outright purchases. But there's no question there were some upward movements. And we would expect further upward movement this year. I think the entire hypothesis of what we had when we raised the significant equity, we did during the pandemic was that the cycle was about to turn and that any investments done at that stage of the market could prove quite lucrative because they would likely be developed through an upswing in the cycle. So far, I think that's playing out pretty much exactly as we expected. But obviously, these things can change depending on macro and other factors.

Ritwik Sheth: Sure. Thank you, all the best, sir.

Pirojsha Godrej: Thank you.

Moderator: Thank you. We take our next question from the line of Rakesh Vyas, from HDFC AMC. Please go ahead.

Rakesh Vyas: Hi, good afternoon. Congratulations Pirojsha and Gaurav on meeting most of the operating metrics. I have three quick questions, if I may. First one is on the GDV that we added of almost INR32,000 -odd crores effectively pending INR500 crores of land cost. I just want to understand, to bring this to the 32,000 GDV, what is the additional approval cost that is required because the number, when I look at it from the perspective of mostly 100% owned large part in MMR, 15% as land cost to GDV seems very, very attractive. So, I'm just trying to figure out as to are there additional costs that we need to build in over and above this INR5,000 -odd crores that we have spent?

Godrej Properties Limited

Pirojsha Godrej: Yes, certainly there will be other regulatory approval costs and obviously other development costs. I don't think we have but maybe we can sit separately and the team can give you more detailed breakdown.

Rajendra Khetawat: Yes, of course, this is the normal regulatory approval which we require, whether it is an outright project or a JV project because had we done a JV those kind of an approval would be required in JV also. So those are normal construction-related approval, staircase premium, FSI premium, all those. So, it will vary from project-to-project depending on the eligibility

, what it is. So, like

Pirojsha said, we don't have it, but maybe we can sit separately and take you through that.

Rakesh Vyas: Got it. Second question, Pirojsha is essentially on the MMR pipeline, that we are projecting for FY '24. It seems very, very strong. So, are there any projects where you see a risk of it getting slipped? Of course, Worli has been an issue, but I'm just trying to understand the readiness of the other projects in general, how does it look like as of today? I mean you have put it in FY '24, so you are confident, but are there some projects where you think there is still a touch-and-go?

Pirojsha Godrej: Yes. I think first, I'm quite happy with the progress we're making in the MMR market. As you know, we've discussed in previous calls, as we sort of took stock of our performance a couple of years ago, I think we felt Mumbai and Bangalore were both regions where we were significantly underperforming the opportunity. So happy to see that last financial year we have tripled sales in Bengaluru (Bangalore) and doubled them in Mumbai. And in Mumbai adding new projects with a booking value of INR10,000 crores, which is the highest of any individual market for us. So overall, very happy with all of that. I think to your specific questions on are there any risks to these launches I think the honest answer is yes.

Certainly, there are, I think, still we have final approvals on something like Worli it would be bullish to think that it's the certainty. But we are hopeful and we're working towards, hopefully, somewhere around the Diwali launch there. Even if it gets delayed a little bit hopefully it stays within the year. But I think given past experience, we've seen that both for our own projects and for other large developers, the larger the projects, typically the longer the approval process takes for one reason or the other. So, I wouldn't call the Mumbai launches we hope to do risk-free. But as of now, I think we're reasonably confident on all of them, and none of them are as we stand today planned for kind of end of Q4 or anything like that.

Rakesh Vyas: Got it. And last one, very quickly, how do you see the construction outflow for this year given that you have launches, you probably also have wrapped up the guidance for the deliveries, etcetera. So, on almost INR3,500 crores, INR3,600 crores of construction cost incurred last year, how do you see this trajectory moving into '24 and '25 based on our budgets?

Rajendra Khetawat: It will be in proportion, in a linear proportion to the kind of launches we are doing and the kind of projects under construction. So as we have guided in next year, we are planning to do a booking value of 14,000, we are planning to do deliveries of 12.5. So obviously that construction outflow will also be linearly moving upwards towards that as the progress happens. So, one has to look into project-by-project, but it will move in linear to our delivery schedules and our booking value.

Godrej Properties Limited

May 03, 2023

Gaurav Pandey: But generally, we don't expect the earlier part of the year to have a major construction spike because we would appreciate that typically mid-stage of the project is where outflow tends to be very heavy. And during that time, the payment plan also tends to be more aggressive to make it kind of net positive. So, it's essentially going to be a sort of a linear curve from what you're seeing in FY '23. But the booking value curve is going to be little bit steeper.

Rakesh Vyas: Okay, got it. Thanks, Gaurav. That's helpful. Thank you.

Moderator: Thank you. We'll take the next question from the line of Manish Jain, from GormalOne LLP. Please go ahead.

Manish Jain: Yes, hi. Congratulations on really demonstrating the power of your scalable model across all the four key metros. So just trying to focus on key constraints that you all may face as a team, not for

the next one year, but next three years to five years. Gaurav mentioned that you have construction pretty much taken care of based on the work that you have done for the last eight years to ten years. So, if you can just highlight key constraints or key challenges.

So, one of them that, Godrej has one of the best quality people and the sector is going through an upturn, maybe the best place for other competitors to poach people. So, have you seen higher -

than-normal attrition? And any other challenges that you may foresee in continuing to chug along on your scale?

Pirojsha Godrej: Thanks, Manish. Yes, I think it's a sector that throws us challenges all the time. So, I think we certainly have to be on the top of our game to be able to deliver the kind of growth we'd like to. You certainly highlighted one challenge, which is that the sector itself is growing a lot, developers are now starting to expand into new geographies. And you're right that I think we are one of the companies that I think people would like to hire from. So, we have seen higher attrition. We've tried to respond to that and for our key talent try to do what we can to ring fence them. Some of them have seen positive results from that as well. But I think that will be an ongoing area of focus. Because if you look at the industry as a whole, it is a little bit talented - starved, because I think you didn't have maybe 20 years ago a lot of people wanting to come into the sector.

So, at the senior level today, there is a little bit of a dearth of talent. But I think we feel given the brand, given the platform we built, that we are able to attract and build talent from within. So, we're quite confident of being able to continue to do that. But that is a continued area of focus. I think some of the challenge and risks remain around things like business development on an ongoing and consistent basis.

Regulatory approvals, I think is probably the biggest short-term disruption because whether a project like Ashok Vihar comes in, in the year or not can make a very big difference to both the bookings for the year as well as the P&L visibility for the years ahead. So, I think regulatory approvals is an area where we're very focused on improving our capabilities, making sure we understand the nuances of each individual market very well and certainly one area of risk.

But overall, I think we feel very fortunate as the opportunity to be sort of in the right place at the right time. What I mean by that is, I think India's economy is by all the expectations set for a Godrej Properties Limited

May 03, 2023

Page 16 of 19

very robust couple of decades, given the global positioning given kind of micro factors within India. And I think if India is to grow in the way that is expected, obviously urbanization is something that's going to happen at a much more rapid clip, than has ever been witnessed in the country's history. So, we feel the real estate sector, and particularly residential real estate could be set for quite explosive growth from a sector perspective.

And certainly, with our brand and the work we've done over the last decade to build strong capabilities and presence across key markets, we feel very well-placed to take advantage of that opportunity. So overall, very excited. But it's not, as a role looking at some of the other group companies, I would say the real estate sector continues to be the most unpredictable. There are unforeseen challenges coming up all the time. So, I think maintaining a sense of agility and an ability to respond to those quickly, and a quick learning mindset I think will be very important.

Manish Jain: Thank you, so much. And all the best on tapping into this exclusive growth.

Pirojsha Godrej: Thanks very much, Manish.

Moderator: Thank you. We'll take the next question from the line of Himanshu, an investor. Please go ahead.

Himanshu: Hi, my question is for

Pirojsha Godrej. As everyone is congratulating you on your remarkable performance, I would also use this opportunity to congratulate you. I also understand that this call is for the investors and the research firms who typically are interested in buying the stocks and recommending those companies. But I am a client who has purchased a Godrej Golf Link Villa in Greater Noida and also a client with Godrej Capital.

I just want to address, and I want to state here that me as a client and as an investor are in deep pain. The project has been delayed from the last two years. And the Godrej top team are not discussing anything on the compensation or the delivery of the project, you're just talking about the regulatory rules, which as an individual with increase in cost of interest, which has increased by 50% on the increasing rental cost. What is your take on it, sir? I just need -- I thought this would be the right opportunity to reach out to you. Otherwise, there is no way we as an individual can reach out to you. So please can you help us on this two pieces here? How you compensate and how soon we can get our homes, in Godrej Golf Links?

Pirojsha Godrej: Yes. Thanks for your question, Himanshu. First, let me start by apologizing on behalf of all of us. I think, obviously, we're disappointed to see that the delivery has been delayed. As you probably know, the project had been complete and ready for delivery for some time. We've been working with the Noida Authority to ensure the OC is received.

We expect that quite shortly, I think there are government regulatory-related reasons for the delay, but we're quite confident those will be resolved. And certainly, we will look at appropriate compensation, if any is called for at the time of delivery. We of course take great pride as a company on being able to deliver regularly on time. I think, unfortunately, in such instances factors beyond our control, such as happened here, can create a delay. But we are doing

everything possible, please be assured, to ensure the project is delivered as soon as possible.
Godrej Properties Limited
May 03, 2023

Page 17 of 19

Moderator: Thank you. We'll take the next question from the line of Puneet Gulati, from HSBC. Please go ahead.

Puneet Gulati: Yes, thank you. Just one clarification. Pirojsha, you mentioned that taking over increased stake in Hinjiwadi, would likely add almost INR4,000 crores to the business development side, is that understanding, correct? And is it included in the numbers that you disclosed?

Pirojsha Godrej: No, it's not included in the numbers we disclosed. I think the math are roughly INR8,000 crores top line from the project. So, we have acquired -- we had a 50% stake, we've acquired another 50% stake in it. So that 50% stake, I would say roughly think of it from adding another INR4,000 crores. But that is not included in the INR32,000 crores number, because that number is entirely focused on fresh business development. So, any adjustments to the shares of existing projects is not reflected there.

Puneet Gulati: So, anything similar number that one should add for Godrej Aria, Eternity, etcetera or...

Rajendra Khetawat: Those were very miniscule, Puneet. Those were at the fag end of the project life cycle. So, bulk of the inventory has already been sold out. So, nothing that sort of on those projects.

Pirojsha Godrej: Yes, I think those projects we more like giving the investor exit. Acquiring for the future, whereas this example of the project in Pune, I gave, we just launched that project last financial year. So, the vast majority of that project lies ahead of us, and we would acquire the entire stake in that project.

Puneet Gulati: So, despite a reduction in salable area, you're saying you will get additional 4,000 opportunity in terms of business....

Rajendra Khetawat: Puneet, that is what he said, was the total was INR8,000 crores,

earlier it was 50%, 50%. So

INR4,000 crores would have been accrued to us. Now the entire INR8,000 crores will accrue to us.

Pirojsha Godrej: And Puneet, I think the reduced area is a choice. So, we can maintain the existing area if we want to. A small portion of it is plotted development to increase the kind of number of products we're able to offer and increase the pace of revenue recognition. Otherwise, this is quite a long-term project. But it's now too say there is any inherent drop in FSI available. This is a choice that we have of having the higher area over the kind of longer time period or doing a portion of it in a format that generates cash flows quicker.

Puneet Gulati: Understood. That's helpful. Thank you so much. That's all from my side.

Pirojsha Godrej: Thanks, Puneet.

Moderator: Thank you. We'll take the last question from the line of Sameer Baisiwal, from Morgan Stanley. Please go ahead.

Sameer Baisiwal: Yes, thanks. Just wanted to check on the pricing environment and where I'm coming from is that in general for the listed companies, the volumes have been pretty good and competition is not that strong. So, if I relate to previous cycles under such conditions, developers would be very

Godrej Properties Limited
May 03, 2023

Page 18 of 19

happy to take prices up and up meaningfully. So, this time around, there's a lot of restraint. So, any thoughts on this?

Pirojsha Godrej: I think, Sameer typically actually in a cycle what you see in the first couple of years are more focused on volume recovery which has happened. We've already seen in some markets like NCR quite sharp pricing growth. I think it will be good if there is only moderate price increases. But honestly, I think any individual developer, while obviously you can charge a premium for brand and quality and so on, overall market prices, I don't think are in the control of an individual developer.

No developer has even a 10% market share in the country. So, if you see in a market like NCR prices going up, you will of course participate and price your projects at the level of the market. If you're not seeing that visibility, you won't do that. But I don't think the developer is going to purposely sell it much lower than they can clear the market at. And it will be interesting to see how it plays out over the current year. It wouldn't surprise me if you saw a few other markets also being price increases the way we've seen in NCR. But again, very dependent on a variety of macro factors.

Sameer Baisiwal: So, all this put together, Pirojsha, you think it be mid-single digit or higher price increase portfolio-wide for fiscal '24 for you?

Pirojsha Godrej: So, it's a tough question. Also, I think, what do I think if you ask me, my own personal

assessment is you probably have a low double -digit price increase. What are we building into the kind of guidance numbers we've given is exact today's kind of pricing. So, I personally think there will be some price inflation, we're not building that into kind of the plan we've shared with you.

Sameer Baisiwala: Okay. No, that's fine. That's very helpful. And just finally, are you seeing the smaller players coming back with the help of some financial support from private equities or NBFCs, etcetera? Or you think that's still missing at the moment?

Pirojsha Godrej: I think the long tail of the sector, a lot of it is actually exited the market before COVID and during COVID. So I think most of the data we've seen suggest that 40% to 50% of smaller developers that were existent 10 years ago simply aren't around anymore. But I think when you say small developments, you're probably talking more about the not the Top 10, Top 20 but the next set of developers. And I think there's no question that it should be expected that as the market improves, the health of the Top 100, Top 200 developers in the country certainly should improve as well.

So, I would expect that part of the market to strengthen. But I do think that, we think the Top 3 or Top 4 developers in each city now have very significant advantages in terms of their ability to access capital, whether equity or debt, their ability to attract customers at an early stage of a project, their ability to deliver larger -scale projects, deliver better volumes and sales, have a pricing plan. So, I think the advantages for the bigger developers are considerable. But certainly, I think the whole reason that the real estate cycle exists is that people under-invest when things are tough, that gives impetus to supply -demand, the opportunity to see price increases and the next leg of the cycle.

Godrej Properties Limited

May 03, 2023

Page 19 of 19

volumes come back. So, then that gives more people the ability to again invest and you see the next leg of the cycle.

So, I think we're in this is probably year 3 of what's typically been a seven years to nine year cycle. So no reason to expect this time to be different from my perspective. So, we do think we'll see increasing competition. And again, that goes back to why we wanted to do a lot on kind of locking the business development pipeline at what we thought were very attractive stages of the market, and we're quite happy to slow down a little bit on that front and focus more on selling if the market gets decisively stronger.

Sameer Baisiwala: Thanks, so much, Pirojsha. Very clear. Thank you.

Pirojsha Godrej: Thank you, Sameer.

Moderator: Thank you. Ladies and gentlemen, we have reached the end of the question -and-answer session. And I would now like to hand the conference back over to the management for closing comments. Over to you, sir.

Pirojsha Godrej: I hope we've been able to answer all your questions. If you have any further questions, or would like any additional information, we'd be happy to be of assistance. On behalf of the management, I once again thank you for taking the time to join us today.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Godrej Properties Limited, conclude this conference. Thank you for joining with us. You may now disconnect your lines.

Call: Aug 2023

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BSE - Scrip Code: 533150, Scrip ID - GODREJPROP
BSE- Security Code – 974950, 974951 – Debt Segment
NSE - GODREJPROP

Sub: Transcript of the conference call with the investors/ analysts .

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Schedule III Part A, Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed the transcript of the conference call organized with the investors/ analysts on Wednesday, August 02 , 2023 , post declaration of unaudited financial results (standalone and consolidated) for the quarter ended June 30 , 2023 .

This is for your information and record.

Thank you.

Yours truly,
For Godrej Properties Limited

Ashish Karyekar
Company Secretary

Enclosed as above
Page 1 of 12

“Godrej Properties Limited
Q1 FY '24 Earnings Conference Call ”
August 02, 2023

MANAGEMENT : MR. PIROJSHA GODREJ – EXECUTIVE CHAIR PERSON –
GODREJ PROPERTIES LIMITED

MR. GAURAV PANDEY – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – GODREJ PROPERTIES
LIMITED

MR. RAJENDRA KHETAWAT – CHIEF FINANCIAL
OFFICER – GODREJ PROPERTIES LIMITED

Godrej Properties Limited
August 02, 2023

Page 2 of 12

Moderator : Ladies and gentlemen, good day, and welcome to the Q1 FY '24 Earnings Conference Call of Godrej Properties Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Kshitij Jain of Godrej Properties. Thank you, and over to you, sir.

Kshitij Jain: Yes, good evening, everyone, and thank you for joining us on the Godrej Properties' Q1 FY '24 Results Conference Call. We have with us Mr. Pirojsha Godrej, Executive Chairperson; Mr. Gaurav Pandey, Managing Director and CEO; and Mr. Rajendra Khetawat, CFO of the company.

Before we begin this call, I would like to point out that some statements made in today's call may be forward-looking in nature, and our disclaimer to this effect has been included in the results presentation e-mailed to you earlier.

I would now like to invite Mr. Godrej to make his opening remarks.

Pirojsha Godrej: Good afternoon, everyone. Thank you for joining us for Godrej Properties' First Quarter Financial Year 2024 Conference Call. I'll begin by discussing the highlights of the quarter, and we then look forward to taking your questions and suggestions.

After recording a record sales performance in the fourth quarter of the last financial year, bookings were muted in the first quarter with a decline of 11% year-on-year to INR2,254 crores. This was due to several of our planned launches slipping out of the quarter due to delays in regulatory approval. Sales from existing inventory, however, grew by 19% year-on-year to INR1,816 crores. Godrej Splendor in Bengaluru, launched in the previous quarter, recorded sales above INR350 crores for the second consecutive quarter.

We remain confident of meeting our annual bookings guidance of INR14,000 crores. We delivered 4.9 million square feet for the quarter across all regions. This indicates 39% achievement of our annual target of 12.5 million square feet of deliveries in the first quarter alone, setting us up well to meet our annual target.

From a business development perspective, I'm happy to report that we have started the financial year with 4 new project additions to our portfolio with an expected combined revenue potential of approximately INR6,450 crores or 43% of our annual business development target of INR15,000 crores of expected booking value. All 4 of these projects are outright purchases in the premium to luxury segments. We believe these products will support our efforts to maintain rapid top line growth rate while substantially improving the margin profile of our company.

One of the projects at New Alipore will expand our presence in Kolkata, while 3 others in Gurgaon will help us strengthen our position in the national capital region. We now have our strongest-ever project pipeline. And the most important objective going forward will be to get

Godrej Properties Limited
August 02, 2023

Page 3 of 12

all of our recently added projects launched in the upcoming quarter. We believe this can dramatically accelerate our bookings and earnings growth trajectory in the years ahead. Our reported earnings for the first quarter showed healthy growth with total income increasing by 251% to INR1,315 crores, EBITDA increasing by 98% to INR230 crores and net profit increasing by 174% to INR125 crores.

Before I conclude, I also want to update you on the project, Godrej Summit, located near Dwarka Expressway in Gurgaon, developed by our wholly owned subsidiary, Godrej Projects Development Limited (GPDL). It is a residential project which was completed in phases between 2017 and 2018. The

on-ground projects team recently appointed an external expert to undertake a detailed independent assessment of the project due to a concern recently

discovered in one of the apartments.

This assessment identified the presence of chloride in the concrete used in the project, which could have happened because of the presence of chloride in the water or aggregate used in concrete. The chloride when in contact with water leads to corrosion of steel reinforcement. The external experts further advised us with the required repair and maintenance framework the building is expected to perform as per its intended design life.

Accordingly, an estimated amount of INR155 crores towards repair, maintenance, claims or any other ancillary costs has been provided for in the first quarter. GPDL believes that it has the ability to claim against the contractors who constructed Godrej Summit. GPDL has also made an offer to buy back units or provide rentals to all the apartment owners of the project for the period of repairs and will account for the buybacks if and when the intending customers execute the relevant documentation. Excluding the provision, our net profit for the quarter would have been INR241 crores, a 424% increase.

On that note, I conclude my remarks. Thank you all for joining us on the call. We'd now be happy to discuss any questions, comments or suggestions you may have.

Moderator: Thank you. We have the first question from the line of Puneet Gulati from HSBC.

Puneet Gulati: My first question obviously is on the INR155 crores provision that you have made. What is the max liability that you see here in terms of the legal liabilities or a long-drawn case across case which can potentially hurt the extremely good brand equity that you enjoy? How are you looking at it? And how are you protecting the interest of the company here?

Pirojsha Godrej: Yes. Thanks, Puneet. I think, of course we've taken the matter very seriously. We're doing our best to immediately ensure the teams on the ground have responded effectively and do what is needed to first ensure customers' safety and also ensure that they feel financially secure through this buyback offer. Our current sense is that this estimate that we have, or the provision that we have provided for is our current best estimate of the impact. We do feel that and our legal team feels strongly that we have strong claims against the contractors who constructed the project, but we have not accounted for any potential receipts from those. So

Godrej Properties Limited
August 02, 2023

Page 4 of 12

that could be an additional benefit. It's very hard to comment on what, if any, legal liabilities there could be. But as of now, this is our best estimate of the impact from this.

Puneet Gulati: And who are the contractors and their ability to pay if needed?

Pirojsha Godrej: Yes, there are couple of contractors. I think in the interest of our own, we have yet to initiate our legal action, etcetera. We will keep that to ourselves for now. But they are well-regarded contractors.

Puneet Gulati: Understood. My second question is on the collections which were a bit weaker. Is it possible to get a breakup of what part of collections came from the new launches and what part from the sustaining sales? And similar numbers for last year, yes, if possible.

Rajendra Khetawat: Puneet, it is a long list. Maybe we can connect offline and give you the number.

Puneet Gulati: Okay. Great. That's fine. And lastly, if you can talk a bit about your thought process in buying back the stake of the partner in the Bhandup project. What is driving these kind of decisions? Is it being driven by -- at your end or at the partner's end? And how are the financials managed there?

Pirojsha Godrej: I think obviously it's a combination, and for any terms of any contract to be exchanged, both sides would have to agree. But I think, as you're aware,

are, Puneet, since the time we've added some of these projects, our focus has been on increasing our economic interest in the project. And we've been less interested in developing projects, and our economic interest has been quite moderate. So I think in line with that thinking, we saw an opportunity here. The partner was also happy to receive upfront cash flow to convert this into an outright project. We are quite confident that the valuation will provide us an opportunity to make healthy returns. So that was kind of the thinking then.

Moderator: We have the next question from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: So my first question is on Project Summit. If you can help us understand what was the total sales value of this project when it was launched and whether now it's deeply in the money for the investors or the buyers because you've also given a buyback offer. There's not much of a difference. Investors at least may panic and may offer it on the buyback. So just want to understand how big can that be in terms of liability.

Pirojsha Godrej: Yes. I think we had sales of a little over INR1,000 crores total in the project. Our sense is that only a small proportion of that is likely to come back. This is what we are seeing in the buyback. But of course the offer is open to any customer. So you should treat the potential liability as all customers potentially avail of it. But so far, we're talking about it's now been a

few weeks since this offer has been made.

Only about 60 customers are seriously exploring it as of now. And we've executed about 10 agreements already. So I think we'll have to wait and watch. But our sense is, from what our teams on the ground are explaining in their interactions with the customer, that most customers

Godrej Properties Limited
August 02, 2023

Page 5 of 12

are for now interested in remaining in the project and looking forward to us carrying out these repairs. But that would be the total amount.

We of course once -- if for any of these units that we do end up buying back, we will have the opportunity to resell them post completing the required repairs under the guidance of these external experts. So we're reasonably confident of being able to achieve the same price when we sell these units as we would be buying them back for.

Parikshit Kandpal: So what is the pricing formula of buyback? And what was the launch price of these apartments?

Pirojsha Godrej: So the buyback price is linked to the price at which they were sold, and it's usually depending on when -- which specific unit and when the customer bought it, largely in the range of between INR5,000 to INR7,000 per square foot.

Parikshit Kandpal: And what will be the prevailing prices right now in that micro market then for the same product, like if you have to resell it?

Pirojsha Godrej: So, as I said, I think it's very hard to estimate. Our current best guess is that at the -- we are reasonably confident of being able to achieve the same price at which we buy back the unit for. Obviously, for a newer development, etcetera, in the same location, you might be able to get better prices. But I think, in this situation, I don't think we're thinking of making any healthy positive return out of this, but we also don't expect to not be able to achieve breakeven.

Parikshit Kandpal: Okay. And just my last question on the launch pipeline. So any update on the Ashok Vihar project and the South Mumbai project. So when do you expect them to break ground in terms of launches?

Gaurav Pandey: Thanks for the question. Ashok Vihar seems to be on track now. Just like I updated in the last call, it seems to be heading towards sort of a launch in the H2 of this year. We've seen some very interesting breakthroughs in the last 6 to 7 weeks. And fingers crossed, if it continues in its momentum, you'll hear some good news.

Parikshit Kandpal: O

kay. And sir, on the South Mumbai projects?

Gaurav Pandey: You're referring to which, Carmichael or any other?

Parikshit Kandpal: Yes, the Mahalaxmi and -- yes, so Mahalaxmi project and then Worli projects.

Gaurav Pandey: So, Mahalaxmi should get launched likely in this quarter. I mean, this will be a sort of a phase-wise strategy that we have thought of. And starting from this quarter, we're looking at -- we're seeing lot of interest in the market. So, yes, likely we'll hit the market from this quarter, and we'll continue to even see in the next quarter. And the other project that we have is in Carmichael, that's going on track, and again that will get launched in the H2 of this year.

Moderator: We have the next question from the line of Kunal Khudania from DSP Asset Managers.

Godrej Properties Limited
August 02, 2023

Page 6 of 12

Vivek Ramakrishnan : This is Vivek Ramakrishnan. My question was about the peak net debt levels that will go up to, it's now INR5,300. So are we near the peak? Especially when you look at the rating rationale where ICRA said that there's a fund flow from operations to -- net debt to fund from operations is over 2.5, it's a negative rating trigger. So just wanted to get a sense of how we expect the operational cash flow to be. That's my only question.

Rajendra Khetawat: So we are quite confident this operating cash flow would be better in the coming quarters because a couple of our launches, high-impact launches has been delayed due to delay in approvals. So the collections are a little pushed forward. And the construction outflows are consistent. If you see outflows has been consistent quarter-on-quarter. So we expect this operating cash flow to be better in second half of the financial year. And we don't see any concern as far as the rating rationale is concerned. So we would be able to meet our rating rationale guidance.

Vivek Ramakrishnan: Excellent, sir. Just wanted to know, is the debt likely to increase from here? Or is this the peak kind of debt level that you expect to see till you get to the next phase?

Pirojsha Godrej: I think you will see some increase likely given the business development over the next couple

of quarters. But we think thereafter next year, we think the calendar 24 is when there's a lot of these project launches happening both in the next couple of quarters as well as next year itself, we expect very strong positive operating cash flows.

Mode rator: We have the next question from the line of Pritesh Sheth from Motilal Oswal.

Pritesh Sheth: First is on our Gurgaon pipeline, which has lined up pretty well after our recent acquisitions.

What sort of launch time lines we are targeting across the projects that we acquired recently?

Should we see any of them coming this year?

Gaurav Pandey: Yes. Thanks for the question. Gurgaon should start seeing launches within the financial year.

Likely we should see launches in quarter 4. We are actually internally tracking the approval.

They are not just on track, they tend to do a little bit better than what we had initially envisaged from an approval point of view. So you will see launches starting from quarter 4 itself.

Pritesh Sheth: Sure. Got it. And just to continue on the previous question. So, we have had a very healthy spend on land and acquisition, and that will continue because of our strong business development plan. So one part is, how should we expect the business development going ahead in this year? And how much do we envisage to spend on the business development this year?

Gaurav Pandey: Yes. Essentially, if you see, we've been noticing consistent trend. And whenever we are able to get our launches by way of approvals on track, we are seeing stellar launches and which is where the need for business development is kicking in. And initially, first part of the BD strategy was that we had a lot of opportunities to invest because w

e were not having the kind

of inventory or presence in some of the cities we were present, like the Gurgaon we would clearly see a lot of expansion specific focus on it.

Godrej Properties Limited

August 02, 2023

Page 7 of 12

You would have seen Bombay a lot of focus on transactions. And that was the first phase of strategy to kind of get into a point of arrival in these cities. And that has given us a very good base. From a future BD strategy, I think it's more about calibration, right? So you will see focused effort on some specific markets. We are seeing our inventory getting sold out faster than we are able to replenish it. So case in point would be, say, Bangalore.

But it is going to be more dictated now in terms of inventory, lack of inventory in a market than just a secular BD expansion. So there's a sort of a shift in our strategy. But it would be fair to say that it is going to be more calibrated more about specific micro market for cities where we're not present that much and you'll not likely see too many BD in those cities we've already made presence now.

Pritesh Sheth: Sure. So do you stand by the INR15,000 crores or we can also exceed that number given the way the pipeline is looking at right now?

Gaurav Pandey: I think we are at the moment frankly more confident on the INR15,000 crores. It of course all depends on the opportunities that we would get to see in the market. But we will stick to our guidance right now.

Pritesh Sheth: Sure. And the amount of spending that you would do this year, any comment on that? I mean, INR1,575 crores already done. Would this be like another INR4,000 crores, INR5,000 crores of spend in land and approvals with it?

Gaurav Pandey: Not really. I mean, we're not looking that kind of investments right now because we do have a very strong pipeline. We want to get into a bit of also in the execution stage of some of these launches which you should actually start being even this quarter itself. You would see within this quarter, one of the prominent investments we did in Noida will get into launch within this quarter. So idea is not to go aggressive in terms of capital deployment, idea is to ensure that markets where we were not present, we just target those opportunities and conclude opportunities on that. So we may not at all looking at some thing of the capital size you are talking about.

Pritesh Sheth: Sure. And just lastly, you have certain market share in mind for every market and where we are on that target right now? Are you happy with the BD pipeline across the market? So just firstly on the market share probably you're targeting.

Gaurav Pandey: See, if at a very macro view, it's a good question, but in a very macro view, I think not now, but I think in the very long in any industry, you will see market leaders tend to operate between 30% to 60% in any organized structured businesses. Real estate of course is a very, very nascent stage. So the headroom for growth to any developer is massive. Wherever we are present, from a market share point of view, between 3.5% to 5%. So I think what we are looking at is a sort of a easily double-digit kind of market share kind of an opportunity.

It will however be balanced with prudence. We would like to do it one step at a time, ensuring

that we keep -- while we aspire for aggressive growth, but we ensure we deliver profitable returns and manage our balance sheet within a particular range we're comfortable with. But the

Godrej Properties Limited
August 02, 2023

Page 8 of 12

direction of opportunity, if you ask me personally, in the long run, in the very long would be something getting into really that kind of scalable. Business continues to consolidate more.

Moderator : We have the next question from the line of Abhinav Sinha from Jefferies.

Abhinav Sinha: A few questions. So on the market side itself, how are we looking at pricing in the

last 3 -odd

months and going forward from here?

Gaurav Pandey: Thanks, Abhinav, for the question. So we're happy to report that we're able to still see consistent price increase in our portfolio. To give you a sort of a directional sense, no -- we are seeing close to about 3% to 5% of market price appreciation in most of our portfolio.

Mumbai is staying close to about 2% to 4% of price appreciation. Markets like Pune and all about 3% to 5%, and south say about 2% to 3%. And while this is very early days, but seems like even in the early times of Q2 market is looking very exciting from this opportunity of price appreciation.

Abhinav Sinha: You meant this is the Q-o-Q sort of trend, right?

Gaurav Pandey: Yes. Quarter-on-quarter, yes. Yes.

Abhinav Sinha: Okay. And Gaurav Sir, while we are on the same, I mean with the large sort of pipeline now acquired and you seem to be reaching the end of this broadly INR50,000 crores, INR60,000 crores, how are we looking at margins on this portfolio?

Gaurav Pandey: Yes, at a very macro level, our endeavor is to generate PAT margins close to about, in the range of 12% to 15%. That's the kind of range we look at generating long-term profitability. Of course, there are some projects where it would be significantly higher. And there could be some projects which is within this range would be in the lower side. But I would say it is fair to expect that's the kind of direction because that will translate into a sort of a 20% return on equity in the long run for us.

Abhinav Sinha: Okay. 20% on this, okay. And Gaurav, on the second half, I mean, we do seem to be a fairly heavy biased towards the second half of the year at least on the presale side. How will be the deliveries be spread out? So we've seen a good 1Q. But from here on, can you give us some sort of guidance on how the deliveries will happen?

Gaurav Pandey: See, largely, we will have each quarter seeing some amount of OCs. I think it will be fairly larger in the later part of the year. But I think you will see some good amount of OCs hopefully even if we're able to secure all the approvals on time even in quarter 2. So unlike the last year where we got practically all the OCs only in the quarter 4, I think this will be sort of a shift in terms of being able to have more predictable OC calendar.

But yes, it will be spread out. I think it will be a bit of -- if I were to say aspiration, we'll have a good quarter 2. Quarter 3 will be reasonably balanced and quarter 4 will be an upside. So if at all something slips in quarter 2, you will have quarter 3 more exciting. But it will be slightly different than the previous year.

Godrej Properties Limited
August 02, 2023

Page 9 of 12

Moderator : We have the next question from the line of Kunal Lakhan from CLSA.

Kunal Lakhan: If you can give some color on what was the land payment related to the projects that we acquired in the first quarter with GDV of INR6,450 crores projects.

Rajendra Khetawat: Sure. So, Kunal, like we have mentioned in our investor presentation, we got this Bhandup project. So we spent around INR250 crores on this Bhandup. And then obviously in NCR we acquired 3 projects. So on that, we have spent another INR300-odd crores. Plus there we're some milestone-linked payment for the deals which we have acquired in the last financial year. Those were on balance INR600-odd crores. And then obviously then there are various approvals in terms of FSI, TDR, those accounted for the balance.

Kunal Lakhan: No, so you're trying to say that the Gurgaon 3 projects that we acquired, we spent about INR300 crores for a GDV of closer to INR5,000 crores or more than that?

Rajendra Khetawat: No, I'm saying that whatever we have incurred in Q1, we are saying that the total land payment would be somewhere close to INR1,600 crores, of which we have spent INR300 crores.

Kunal Lakhan: For this INR6,4

50 crores total land payment would be --

Rajendra Khetawat: Three Gurgaon deal.

Kunal Lakhan: Three Gurgaon deals, okay, INR5,000 crores of GD V.

Rajendra Khetawat: Correct.

Kunal Lakhan: Okay. Just again trying to understand on the Gurgaon projects again, which sectors are these?

Because the second and the third land parcel seem to be a lot more expensive versus the first --

Rajendra Khetawat: So, I'm missing the exact location, why don't we just connect of f line, I'll give you the location, after exactly finding out.

Pirojsha Godrej: The first two are at prime golf course location .

Rajendra Khetawat: Yes.

Kunal Lakhan: Okay. Okay. And just some color on land prices actually since 2 of these projects were bought in auction. Just how has the line -- how are the land -- how are the land prices beading in the last, say, couple of years because we have been quite active in terms o f acquisition in Gurgaon .

Pirojsha Godrej: Yes, I think prices have definitely moved up, which is good on all the BD. We've been doing things like Ashok Vihar, our Noida land parcels last year, the other Gurgaon parcels we got last year as well. I think w hat gave us a lot of confidence on these 2 is, it is sort of a land value to booking value ratio is reasonably high for these because of the very prime locations. These are projects we think will sell at INR25,000 plus per square foot. And also project siz es were quite optimal, were about 0.5 million square feet each which we think can be turned around

Godrej Properties Limited

August 02, 202 3

Page 10 of 12

quite quickly. So the current return on capital we think will be quite fast and meeting the threshold . But certainly land prices in NCR have been trending upwards.

Kunal Lakhan: Sure, sure. And secondly, like on the Summit project, are we also like doing some audits in projects in and around the vicinity and -- or being done by the same contractors for any such glitches?

Pirojsha Godrej: Yes. We will certain ly, I think, take the learnings from this and ensure we implement them both in any projects around the vicinity but also on our national portfolio. We've been doing a lot of work even pre -dating this and ensuring that as we operationally scale to the level we'd like to, that we remain laser -focused on quality and improving our processes and standard s there. But yes, I think we will, as a part of that, do what as you suggested.

Kunal Lakhan: Sure. And again, I have one last bookkeeping question. Rajendra, on the Kolkata land, what was the payment?

Rajendra Khetawat: Kolkata land, we have paid at a very small amount, which was just an EMD amount. The balance payment has to be made. Total is around INR225-odd crores.

Moderator : We have the next question from th e line of Puneet Gulati from HSBC.

Puneet Gulati: In terms of the new projects which we have acquired under auction, what stage of approval are they? And how soon can you launch these?

Gaurav Pandey: Thanks for the question. So any auction line in these c ities of course the government usually does the auction and these are all government -led auctions. And typically, you have to apply for buildings and approval. And thereafter, you have to take environmental approval, we'll have to take the RERA approval. S o it's a typical process that any land goes through. When we underwrite a deal of course we take a very conservative sort of a view towards approvals because approval is a sort of a very unpredictable trajectory.

But when we get into a bit of an execution stage, the entire strategy is to prepone as much as we can. And just to give you one or 2 examples about it, if you remember, we did a Noida acquisition very, very recently through auction. This was Sector 146. And immediately if you would have asked this question, say, 1 quarter or 2 back rather than it was done, I would have given you a guidance about quarter 4. But what is heartening t

o note right now, we are in

quarter 2 right now, an d this is already under launch.

So yes, from underwriting point of vie w, I assume like -to-like conservative kind of a thing, but endeavor is always to prepone launches to the best possible means . So yes, we should see -- hopefully, the similar trend will continue even the subsequent quarter.

Puneet Gulati: So I'm just trying to understand with the perspective of how RLD has behaved, is this auction authority also likely to behave similarly? Or is it more progressive?

Pirojsha Godrej: I think this is a very different type of project. I think in our experience, very large proje cts with the land area being quite large, lot of green areas, etcetera, do take longer to launch. We've

Godrej Properties Limited

August 02, 202 3

Page 11 of 12

seen that both in our own large projects as well as many of our peers when they have large project launches. So we certainly don't see these as anything like that. They're already in very urban areas, relatively small land sizes. So we would expect these to actually be quicker turnaround than the usual.

Puneet Gulati: Understood. That's really helpful. And lastly, if you can give some color on the market demand, which market in your view is stronger than the others? And are you worried about Gurgaon market at all given the kind of price increase and the euphoria that is going on there on the demand side?

Gaurav Pandey: Thanks for the question. It's a good question. See, essentially, if you see wherever we are able to get our launches on time, approvals on time, we are able to see sort of record -breaking sales consistently in terms of all parameters that we look at from a launch point of view. And that's sort of a secular trend while quarter 1 was muted. But frankly, it was purely because we didn't have launches, the big bang ones that we were looking at. It was -- which is like 80% of Q1 was actually sustenance .

So we are not at all seeing from a macro point , any market selling less or more. It is just about whichever market we're able to get approvals on time, and it's available we're able to sell.

Coming to the second part of your question, which is more Gurgaon -specific. See, when you sort of take a position from an investment point of view, you do not assume the world is going to be very, very exciting always. You take a sort of a very prudent view in terms of underwriting, pricing and all. It just happens that if market continues what it is, I think we'll have some very good surprises.

So I'm very confident that whatever we have underwritten, we will easily deliver on that. And we are seeing very strong demand even on the existing portfolio. So there are projects that were not as exciting for us in terms of sales velocity and sustenance, have practically got sold out. And so it's a good problem to be very frank in Gurgaon, we don't have practically much inventory without this new BD. So very strong market, very, very consistent demand and price appreciation . But yes, it will be fair to say that whenever we underwrite, we want to be very cautious and very conservative. But from a delivery point of view, we should be able to deliver it.

Pirojsha Godrej: Just to add to that. So, Puneet, I think it is also fair to say that we feel business development has really clicked in Gurgaon. We now have the portfolio we need. So think certainly from a going -forward perspective I think there are areas we will be more focused on such as Bangalore, maybe Noida, plotting projects, etcetera. And Gurgaon I think the BD work is largely now behind us.

Moderator : Ladies and gentlemen, due to time constraints we will take one last question from the line of Adhidev Chattopadhyay from ICICI Securities.

Adhidev Chattopadhyay: So I had a few bookkeeping questions. So first you mentioned Ashok Vihar launch is now likely this year. Could you help remind us now out of the outstand

ding total land payment how

much is the incurred so far? And with the project launch coming up, what sort of land

Godrej Properties Limited
August 02, 2023

Page 12 of 12

payments you need to make to the authorities for that project. That is one. And my second question is when do we see a launch in the Vikhroli project? Will it happen sometime this year? And where is the hotel expected to open? And if you could help remind us what are the commercials regarding the -- whatever, the revenue share or whatever arrangement you have with the Taj group.

Pirojsha Godrej: I think Ashok Vihar we expect, if the launch happens as we hope, over the next few months, this to be a key driver for the company, both on the P&L front as well as cash flow front because of how well the market overall has done and given the kind of scale we have there. So I think we've got INR500 crores of the remaining land payments this year . But the kind of positive operating cash flow we can expect there over the next couple of years, if this project launch now happens, as we hope, in the next few months, will be much more than any further land payment amount.

On Vikhroli, we do expect to launch the project this financial year. Looking forward to having the inventory in Vikhroli once again. And on the hotel, we are actually very close to now opening the hotel. I think it will probably -- will open actually in October. We've already received the occupation certificate there recently. And the hotel is owned outright by Godrej Properties with Taj appointed as the manager for the hotel.

Adhidev Chattopadhyay: Okay. Sir, this will be fully consolidated in our books, right? Just to understand this clearly.

Pirojsha Godrej: Yes.

Adhidev Chattopadhyay: Okay. Yes. YES. And on Ashok Vihar, this INR500 crores balance is again payment in tranches, right? It is not a one go, right? We do not have to make this right now which will again be spread out over milestones, right?

Rajendra Khetawat: The land payments are spread over 8 years. So what Pirojsha mentioned was the land payment which is falling due. So obviously there will be future land payments, which we'll have to make for next 2 to 3 years.

Moderator : Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference back to the management for closing comments. Please go ahead.

Pirojsha Godrej: I hope we've been able to answer all your questions. If you have any further questions or would like any additional information, we'd be happy to be of assistance. On behalf of the management, thanks again for taking the time to join us today.

Gaurav Pandey: Thank you.

Moderator : Thank you, members of the management. Ladies and gentlemen, on behalf of Godrej Properties Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2023

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BSE - Security Code — 974950, 974951, 975090, 975091 — Debt Segment
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Sub: Transcript of the conference call with the investors/ analysts .

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Schedule III Part A, Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed the transcript of the conference call organized with the investors/ analysts on Thursday, November 02, 2023 , post declaration of unaudited financial results (standalone and consolidated) for the quarter and half year ended September 30, 2023 .

This is for your information and record.

Thank you.

Yours truly,
For Godrej Properties Limited

Ashish Karyekar
Company Secretary

Enclosed as above

Page 1 of 19

“Godrej Properties Limited
Q2 FY '24 Earnings Conference Call ”
November 02, 2023

MANAGEMENT : MR. PIROJSHA GODREJ – EXECUTIVE CHAIR PERSON –
GODREJ PROPERTIES LIMITED
MR. GAURAV PANDEY – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – GODREJ PROPERTIES
LIMITED
MR. RAJENDRA KHETAWAT – CHIEF FINANCIAL
OFFICER – GODREJ PROPERTIES LIMITED
MR. KSHITIJ JAIN -- INVESTOR RELATIONS - GODREJ
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Godrej Properties Limited
November 02, 2023

Page 2 of 19

Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call of Godrej Properties Limited. As a reminder, all participant lines will be in the listen-only mode and anyone who wishes to ask a question may enter star and one on their touch-tone phone. To remove yourself from the queue, please enter star and two. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Kshitij Jain of Godrej Properties. Thank you and over to you, Mr. Jain.

Kshitij Jain: Thank you. Good afternoon everyone and thank you for joining us on Godrej Properties Q2 -FY '24 Results Conference Call. We have with us Mr. Pirojsha Godrej – Executive Chair person – Mr. Gaurav Pandey, Managing Director and Chief Executive Officer, Mr. Rajendra Khetawat, CFO of the company. Before we begin this call, I would like to point out that some statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the results presentation.

I would now like to invite Mr. Godrej to make his opening remarks. Over to you, sir.

Pirojsha Godrej: Good afternoon everyone. Thank you for joining us for Godrej Properties' second quarter Financial Year '24 Conference Call. I will begin by discussing the highlights of the quarter and then we look forward to taking your questions and suggestions. Our reported earnings for the second quarter showed healthy growth with total income increasing by 75% to INR571 crores, EBITDA increasing by 76% to INR167 crores and net profit increasing by 22% to INR67 crores. For the first half, total income increased by 169% to INR1,886 crores, EBITDA increased by 88% to INR396 crores and net profit increased by 91% to INR192 crores.

The demand for homes in India has continued to gain momentum during the quarter. Favorable macroeconomic indicators including India's GDP growth being the highest in the world and the likelihood that interest rates are at or near their peak are expected to continue to drive positive momentum over the next few quarters. The positive consumer sentiment driven by need for modern homes with better amenities as well as consumers' preference towards Tier 1 developers also provide a strong opportunity.

The second quarter was GPL's most successful quarter in terms of new booking with year-on-year growth of 109% to INR5,034 crores achieved during the quarter. This was 24% higher than our previous best-ever quarter and interestingly, this quarter's booking figure is also nearly equal to our annual booking level three or four years ago. This strong growth was due in large measure to the extremely strong response to some of our new launches during the quarter.

Godrej Tropical Isle, Noida was GPL's most successful ever launch, achieving a booking value of over INR2,000 crores from 1.5 million square feet of area sold. Godrej Parkland Estate in Kurukshetra was GPL's most successful plotted launch, achieving a booking value of INR628 crores from 1.39 million square feet of area sold. As a result, we have achieved 52% of our annual booking value guidance. With a robust launch pipeline for the second half of the financial

Godrej Properties Limited
November 02, 2023

Page 3 of 19

year and resilient demand, we are confident of exceeding our annual booking guidance of INR14,000 crores.

Cash collections have also grown by 23% year -on-year to INR2,378 crores for the quarter, leading to net operating cash flow of INR811 crores. For the first half of the financial year, we recorded cash collections of INR4,332 crores and net operating cash flow of INR929 crores , representing a growth of 24% and 25% respectively. We remain on track to achieve ou

r guidance

of INR10,000 crores of cash collections during the financial year.

From a business development perspective, it was a relatively muted quarter. We added one new plotted development project in Nagpur with an estimated booking value of INR725 crores , taking our year -to-date total to five projects with a n estimated booking value of INR 7,175 crores , which is broadly in line with our full year guidance of INR15,000 crores of estimated booking value addition.

As highlighted in our call last quarter, with the business development we hav e already done over the past few years, we now have our strongest ever project pipeline that can deliver our growth aspirations for the next few years. The most important objective going forward will be to get all of our recently added projects launched in the upcoming quarter. We believe this will dramatically accelerate our bookings and earnings growth trajectory in the years ahead. We will, of course, continue to do targeted business development to plug holes in our current portfolio and ensure continued growth beyond the next three years.

While GPL's primary focus will be to continue strengthening our market share and margins in the residential business, we have also made good progress in strengthening the non -residential component of our business. Our f irst hospitality development, Taj, the Trees in Vikhroli with 151 keys, opened in October.

Our commercial projects in partnership with Godrej Fund Management are at an advanced stage of development, and we expect four of these projects across Bangalore, NCR, and Pune, with a total area of 4.3 million square feet and a total steady state annual rental income potential of INR740 crores to receive their occupation certificate and start generating rental income in the upcoming financial year.

On that note, I conclude my remarks. Thank you all for joining us on the call. We'd now be happy to discuss any questions, comments, or suggestions you may have.

Moderator: Thank you very much, sir. We will now begi n the question -and-answer session. We'll take the first question from the line of Puneet from HSBC. Please go ahead.

Puneet: Thank you so much and congratulations on great key sales. My first question is, you know, you also talked about ownership of projects like Taj and you still have the Godrej Two on your books. Is there a change in strategy how you want to think about asset ownership or is there a plan to ultimately sell these off?

Godrej Properties Limited
November 02, 2023

Page 4 of 19

Pirojsha Godrej: To be perfectly honest, there's not a 100% decision in either direction. I think we are interested in building up an income, steady income portfolio. But I think at the same time, if the right opportunities are available, we're not closed off to the idea of monetizing them and kind of redeploying for more rapid growth on the residential side.

So there's no final de cision here. I think we're increasingly leaning towards retaining these assets as we think, you know, both the hotel and the office assets that are under development, we think are grade A projects that we'll continue to appreciate. So I think the likelihoo d is that we retain them, but that's not a certainty.

Puneet: And should one think that you will do more of these projects as well to build a portfolio around it?

Pirojsha Godrej: Yes, I think we've, you know, on the commercial side, we've already got abou t five, six projects under construction and the funds that Godrej Fund Management has raised towards these are fully deployed. We do expect that there will be additional funds. But the strategy on the commercial side is a little bit different for us than o n the residential.

I think on the residential side, we've been focused both on very rapidly gaining market share, on focusing across various price points in the market and on outright ownership for high economic interest in pro

jects. On the commercial, we have a more boutique strategy. I think we'd like to do only very high-end office developments.

So we're not focused on IT par ks type of developments . We're doing front office / Headquarter kind of development or positioning for these developments. We're ha ppy to do them in a more moderate scale. So do, you know, one or two in a city at a time, get those leas ed and then start the next one.

And we're quite clear that we would like to do those in partnership with other equity partners,

you know, and Godrej Fund Management has partnered with a couple of the largest commercial asset owners in the world, because we do think these take up a lot of capital if done entirely from our own balance sheet, and we wouldn't like to do that.

So I think this broad strategy of focusing on very high-quality assets where Godrej Properties take is in this range of sort of 20% and growing the portfolio in that manner is something that we see that would make sense.

Puneet: Understood. That's very clear. Secondly, on your business development plan, is there a deliberate move to slow down business development, given that you have a huge pipeline already and focus more on project delivery or is this waiting for the right opportunity?

Pirojsha Godrej: I think a little bit of both, I would say. You know, there's no question that if you have, say, the relative priority for us between business development and execution has certainly shifted over the last two years, where I think two years ago it was fair to say by far our number one priority was business development, because we didn't think the kind of growth that we wanted to deliver we had the portfolio at the time to do.

Godrej Properties Limited
November 02, 2023

Page 5 of 19

We now feel clearly for the next two years, three years the kind of growth we want to do can happen entirely from projects already in our portfolio, and therefore the most important objective and priority is launching those projects and executing them efficiently.

That said, that's not to say that we don't want to do business development. Clearly, still we feel visible gaps in the portfolio that need strengthening, such as the number of projects in Bangalore or Noida, as a couple of examples. Those are areas that we will be continuing to target from a business development perspective.

We'd also like to enter the Hyderabad market at some stage. But in many markets we feel we do have a strong portfolio and it'll be a little bit more about ensuring replacement level kind of business development, rather than the very disproportionate business development we did, where for example last year our business development future sale lock-in was about 3x of our annual sales. We think this year we'd be comfortable with it being closer to 1:1.

Puneet Gulati: Understood. And will it be right to assume that you're focusing now on expanding the market?

You talked about Hyderabad. We've also seen you enter Nagpur in a big way again, and Kurukshetra. And then you talked about replacing the existing projects. So should one think about expanding the market rather than gaining more share in the same city?

Pirojsha Godrej: No, not really. I think we have clearly distinct strategies for group housing and for plotted development. I think for group housing we entirely want to focus on these top five, six markets, which are Mumbai, NCR, Bangalore, Pune, which we're already in, Ahmedabad, and Kolkata, where we're in a smaller scale, and possibly add Hyderabad to that. I don't think we are thinking of group housing beyond these for the moment.

Whereas for plotted development, I think given the greater challenge in finding the required type of land parcels and the quicker turnaround nature of these developments, we're open to a broader set of markets.

Puneet Gulati: Understood. That's very helpful. Thank you so much. And lastly, if you can pr

ovide an update

on the Gurugram mission, which you highlighted last time. Any progress there?

Pirojsha Godrej: Yes, I think there's been -- I assume you mean Godrej Summit. There's been good progress there.

We have been working with the IIT and some expert consultants on identifying the solutions and repair work is ongoing there. We've, we think, established a good rapport with the customers. They will now understand the situation. For any customers who wanted to leave, we've provided buybacks to them.

That number is at about 60 total apartments out of 1,100 or so apartments at the end of last quarter. We think that number may end up by the end of the financial year being somewhere between 100 and 200. That would be our best estimate. Of course, it's open, again, to everyone. But I think good progress there, both on the operation side as well as on the customer management. We feel reasonably confident that the estimates we provided from a financial perspective will be accurate.

Godrej Properties Limited
November 02, 2023

Page 6 of 19

We hope to get some of that back from contractors at some stage. But I think overall, satisfied with the progress on that matter in this quarter.

Puneet Gulati: And out of the INR155 crores, which you provided, how much has been spent so far?

Rajendra Khetawat: So, we have spent around INR10 crores to INR15 crores as of yet.

Puneet Gulati: Including purchase of 60 apartments?

Rajendra Khetawat: No, no. This is on account of, you asked me out of whatever we have provided. So, we have provided for INR155 crores. Of that, we have spent around INR10 crores to INR15 crores.

Puneet Gulati: And to purchase 60 apartments?

Rajendra Khetawat: To purchase 60 apartments, we have spent around INR50 -odd crores. It's more of a cash outflow and not an expense. So, it will be a balance sheet item.

Puneet Gulati: Okay. Just INR50 crores. Okay. Great. That's all from my side. Thank you so much and all the best.

Moderator: Thank you. We'll take the next question from the line of Sourabh Gilda from Motilal Oswal.

Please go ahead.

Sourabh Gilda: Again, congrats on the very good quarter. I just have one clarification on the cash flows. We seem to have INR40 billion of cash on the balance sheet. So, I just wanted to ask how much of this is tied -up in RERA's account of all the projects?

Rajendra Khetawat: So, under RERA, it is a round INR1,200 crores to INR1,400 crores. Rest, we have raised certain non-bankable NCDs for our future BD development. So, the cash is on account of that.

Sourabh Gilda: Okay. Understood. And one more thing, of all the BD that we have achieved so far, how much is yet to be paid?

Rajendra Khetawat: So, around INR2,000 crores to INR2,500 crores.

Sourabh Gilda: Okay. Got it. Thank you. That's all. That answers my question. Thank you.

Moderator: Thank you. We'll take the next question from the line of Abhinav Sinha from Jeffries, India.

Please go ahead.

Abhinav Sinha: Hi. So, congratulations on the strong sales this quarter. I wanted to check on the launch pipeline that we have for the subsequent months and which are the large projects that we should be working out for in the second half of the year?

Gaurav Pandey: Thanks, Abhinav. Essentially, we have a very robust pipeline emanating from the business development until now. Some of the big ones that we are looking forward to are, you know, the first one is the 49 Gurgaon. This is in the process of advanced stage of approval. And our idea internally is to try and do a sort of a Q3 launch. Then we have Raj Kapoor bungalow acquisition

Godrej Properties Limited

November 02, 2023

Page 7 of 19

that we had done in Chembur. That would be another upcoming launch. Then Mahalunge, we have the last cluster left, which is a sort of a premium parcel within the entire township. That is also under planning for launch.

Then we have one phase of

Ananda in Bangalore, in the Bagalur location. That's part of the pipeline. Then we have another plotted development in Mumbai. These are like, I would say, some of the launches that are more front ended. And of course, in our investor presentation, we mentioned a series of launches that are anyways under process. But these are ones that I would say, looks to be more front ended within that.

Abhinav Sinha: Right. Gaurav, also on pricing, so we have seen good progress clearly on NCR. But what are your thought process here? Do you sort of envisage to take the pricing much higher from the current levels? Or do you see this impacting demand at some point in time? So you will pause right now?

Gaurav Pandey: Thanks, Abhinav. Abhinav, if you see largely what we are seeing currently in NCR market, whatever price uptake we have taken and what our peers have been doing, the market is not only absorbing, it's delivering all-time best-ever sales for us. And at least for the near term, it seems that there is some opportunity to continue with some amount of price expansion. But I think we'll have to take it more like quarter-on-quarter kind of a view, because it seems very much plausible that we will do continued hikes, but difficult to predict what will be the long-term direction right now.

Abhinav Sinha: Right. And one last question on the business development side. So, I think last time we were hopeful of concluding a couple of platform deals and shifting more to the JV side. So is that still there? Or you think, I mean, the target is unlikely to be met for those platform deals this year?

Gaurav Pandey: So Abhinav, we are in discussion with some of those transactions. And you would appreciate at any point of time what we are doing right now. We have a sort of a defined set of markets we want to invest. So we run parallel transactions, do term sheet closure, and finally whichever one happens to get concluded first, basically the title diligence, the overall diligence, and the valuations being intact is the one that gets concluded. So it's fair to say that we do have a series of opportunities, but it will all play out based on the diligence that's going on right now and our ability to conclude whichever transaction happens first in that particular geography.

Pirojsha Godrej: To just add to that, Abhinav, I think one of the ones you're referring to that we were at an advanced stage of last financial year, that did not meet diligence standards. So we dropped at least one out of those two. But there are, of course, a large series of other deals that have arisen as opportunities since then.

Abhinav Sinha: Okay, sir. Thanks.

Moderator: We'll take the next question from the line of Neel Mehta from Investec Capital. Please go ahead.

Godrej Properties Limited
November 02, 2023

Page 8 of 19

Neel Mehta: Yes, hi, sir. Thanks for the opportunity and congrats on a great set of bookings this quarter. My first question was on plotted development. So I just wanted to understand, what is the margin profile typically like for these projects?

Gaurav Pandey: So the margin profile, depending on project -to-project and location to location, your margins can be between 30% to even 50%, but it totally depends upon which city you enter and how much pricing you're able to command during the launch. But, yes, I'd say between 30% to 50% is your margin, typically.

Neel Mehta: Got it. So this is the Godrej Parkland estate project that we had in Kurukshetra. What would the margins be like for that one?

Gaurav Pandey: Something similar. I don't have the number offhand, but it will be within the range.

Neel Mehta: Got it. So my second question was on increasing our economic interest in projects. So every quarter, we sort of indicate in which projects we have increased our profit share or taken our economic interest up? I just wanted to understand, what exactly are the considerations that we

have when we take these decisions? And what compels us to increase our profit share and take up more share from our JV and JDA partners in these projects?

Gaurav Pandey: Frankly, it depends upon what is the current valuation to buyout we are seeing. As in our entry price, if it seems very attractive, the risk seems relatively lower than what you would see in a greenfield project, then the opportunity becomes very exciting because in a way you have a more certain margin profile from a project. You're essentially increasing the economic interest in the project to secure more predictable profit margins going ahead. So that's the concept at which we approach. And these are very opportunistic. This is not really, frankly, a strategy or as such. As and when we see these opportunities, we tend to take a bet.

Rajendra Khetawat: And sometimes, these projects have reached a target time frame or the project life has come to an end. So obviously there is a natural process to give an exit and close the JV or SPV. So that exit also happens during that period. But as Gaurav said, these are more opportunistic. The value is good and if you are able to give an exit and make a better value for Godrej Property, so these exits are evaluated at regular intervals.

Neel Mehta: Got it, sir. That makes perfect sense. Thank you so much.

Gaurav Pandey: Thank you.

Moderator: Thank you. We'll take the next question from the line of Ankush Mahajan from Axis Securities. Please go ahead.

Ankush Mahajan: Thanks for the opportunity. My question is related to last year we had a business development of INR 32,000 crores. And the first half is already INR 7,000 crores to INR 8,000 crores. So I just try to understand for this year what kind of a land repayment that the outflow is there for the cash flow? And what kind of a land repayment we can expect in the next two years, three years? Basically, I want to try to understand the cash flow will become positive?

Godrej Properties Limited
November 02, 2023

Page 9 of 19

Gaurav Pandey: From these set of projects, you mean the ones that we acquired now?

Rajendra Khetawat: I answered earlier on what is the balanced land payment for the BD which we have already done. Now to your second part, on what would be the balance land payment? We have always said that we have always given a guiding range that we would want to be in 0.5:1 to 1:1 debt equity. And obviously as we go forward, launches happen, our operating cash flows also will keep improving. But it is very difficult to predict what would be my future BD outflow on the new business development opportunity.

Ankush Mahajan: I agree, sir. So considering this quarter's pre-sales, are we increasing our guidance for the full year for pre-sales?

Gaurav Pandey: Not really. We kept it intact. We had a relatively slower start in Q1. And now we are very confident on delivering on the guidance that we've given.

Ankush Mahajan: Thank you, sir. Thank you. Thank you.

Gaurav Pandey: Thank you.

Moderator: Thank you. We'll take the next question from the line of Parvez Qazi from Nuvama Group. Please go ahead.

Parvez Qazi: Hi, good afternoon. Thanks for taking my question and congrats for a great set of numbers. So two questions from my side. First for Gaurav, when you mentioned a couple of projects in which you said were front -ended, by being front -ended you mean you are reasonably confident they'll get launched in Q3, whereas the other projects might get shifted to Q4?

And the second is, would be great if you could update about the status of some of our major projects like Ashok Vihar, Carmichael Road, Kandi vali, etcetera, and Worli also. Where are things with regards to their launch currently? Thank you.

Gaurav Pandey: Thanks for the question. See, the launches that I talked about are some of the ones that we're targeting within Q3 or early Q4. At any point of

time, some of these are dependent upon last stage of approval, and we tend to keep a parallel set of backups so that in case one approval falls off, we at least have something. Sometimes you get unlucky, like in Q1 when some of our approvals didn't come, but usually we run many approvals on time. So most of them should happen in Q3, and some others are also being tracked for Q3 or Q4.

Coming to your second part of the question, within the year, if you ask me, it seems reasonably very confident on the Carmichael because, we are moving very fast -track on that. We are moderately confident also on the Ashok Vihar. We are seeing some good progress on some of the crucial approvals. On the Worli, I think it is premature for me to really comment. What I would say is that between the last six to nine months, we've been able to see a very steady and robust progress in terms of the internal thresholds of timelines that we had targeted for ourselves. I wouldn't like to put a timeline when it's a Q4 launch or not at the moment, but fair to say that it's progressing very consistently towards the speed and direction that we had estimated earlier.

Godrej Properties Limited
November 02, 2023

Page 10 of 19

Parvez Qazi: Sure. Thanks and all the best.

Moderator: Thank you. We'll take the next question from the line of Mohit Agrawal from IIFL Securities. Please go ahead.

Mohit Agrawal: Yes, thanks. Gaurav, my first question is just, connected to the last question on Ashok Vihar. Could you elaborate a bit as to what is the key issue, because of which, things are getting slightly delayed? Is it the approval issue or, anything else that could enlighten us on that?

Gaurav Pandey: It's basically, approval issues only. And to just summarize in an articulate way, I'll say that in Delhi, unlike any other state, you have overlapping jurisdictions between departments, state, center. And there are a series of approvals that you take from one particular body, which becomes sort of a condition precedent for the other department to consider as fulfilled. And sometimes when you get, but for efficient run of approvals, you run all approvals parallelly. You know, say MCD approval runs parallelly to the tree cutting approval runs parallelly or EIA approval runs parallelly. So sometimes if you get stuck up in one approval, even if your other approval is more or less seems on track, it's like circular reference, you go back to the first stage, unfortunately.

That's how the system currently works. But the encouraging thing which I would like to point out is that there was, there are like three or four critical path activity approvals that you need to make the launch ready. One of which was very kind of consistently stuck for us, from one of the departments. That approval we've fortunately secured. But again, there are other set of approvals that we have to achieve to make the project a realization. It's going on the right trajectory. Sometimes it's frustrating because you do every part of the work and suddenly get stuck up in one approval, restart the same process. But I think that's the nature of the approval process that we're currently seeing.

Mohit Agrawal: Yes, I understand that. So fair to say it is still on track for 4Q launch?

Gaurav Pandey: Yes, it seems there is a reasonable shot at it. You know, that's why I said, I'm moderately confident. The only thing is real estate taught me one thing on a lighter note is to not get overly aggressive and optimistic. So when you're running approvals as a sort of a critical path activity. But yes, reasonably confident that if we continue on what we set for ourselves, we have a shot at it.

Mohit Agrawal: Okay, thanks. My next question is for Pirojsha, there were some news reports, in the early October saying that the promoter family is, heading for a settlement. Is it possible to share some light on, what kind of

impact it can have on the existing DM arrangement in Vikhroli? And how do we see, the launches in Vikhroli going forward? Anything that you can share on that?

Pirojsha Godrej: No, I think there's nothing to be shared at this stage. I think we have said many quarters ago that there are discussions with the promoter levels about the structuring of the group. Certainly, I think, all I can say is that please be assured that, in no way would any of this, if anything happens,

Godrej Properties Limited
November 02, 2023

Page 11 of 19

affects the rights of GPL to the development management agreement for the development of Vikhroli. So I think continue to look forward to that development. In fact, we're quite optimistic were in Q3 or Q4, we'll have after some time a new launch under the DM structure. So we're looking forward to that. But certainly, no anticipated change.

Mohit Agrawal: Okay. That's all from my side. Thank you.

Moderator: Thank you. We will take the next question from the line of Manish Gandhi from KPMK Investments. Please go ahead.

Manish Gandhi: Yes. Hi, Pirojsha. Congratulations to you and the whole team from almost INR1,000 crores a year, 10 years back to now INR5,000 crores in this quarter. So my question is, in the last 10 years, not taking away the great achievement of GPL. But last 10 years we rode the ride mostly because of delayed projects. Not mostly, but we got help from that, delayed projects, and many defaults. What do you see one or two things we are doing differently to stay at the top and delight our customer for the next 10 years?

Pirojsha Godrej: Thanks, Manish. I think it's a great question because, we're very clear and thank you for the kind words about the last decade certainly, but we're very clear that, what got us here over the last decade isn't going to get us where we want to and need to go over this next decade. So a lot of the focus has been around really looking very deeply at the kind of quality of projects. And I think that's fair to say that we feel in some areas, this isn't where we want it to be.

I think we've been focusing for a long time on the customer service aspects of project delivery. And again, when I say isn't where we want it to be, I'm not using it as, our competition is benchmarked. In many cases, we feel our quality and all of this is already above much of the competition. But I think the goal is to really become a world-class company from a quality of product perspective, both design and actual execution. And I think that will be the biggest differentiator for us to ensure that we're actually able to take the company where we want to go. And I think, Gaurav and his team have been doing some fantastic work on ensuring improvement and deeper thinking around how we can design the company and its processes and operating structure to be actually be able to deliver this consistently. So I think that's the number one focus. From a financial return perspective, I think some of the things we've tried to do, as you know are to ensure with the projects we're developing as a group are in better locations, offering us the ability to have a little bit more pricing power, we've taken up our economic interest in the project.

So those have been some of the other focus areas that will also help us deliver the superior quality products that we aspire to do. But I think that will be the key area that we need to be able to, at scale, deliver consistently to kind of go where we want to over this next decade.

Manish Gandhi: Yes, that's wonderful to hear, Pirojsha. And of course, the second question is, I just want to know how the Godrej Living is shaping up. And I think the last two years, we might have handover projects through Godrej living and might be maintaining a few of the projects. So what customer

Godrej Properties Limited
November 02, 2023

Page 12 of 19

data you have, is it -- the

they are liking is better than the outer agencies or how your internal metrics are working in that?

Pirojsha Godrej: Yes, I think the initial signs, but I'm going to try to call them only initial signs for now but are very encouraging. We've seen very positive feedback from our customers when Godrej Living has taken over sites. We've even had, in relatively challenging conditions like Godrej Summit, where some of these issues were discovered. Godrej Living has since taken over the facility management there, and I think has played a critical part in helping, ensure our customers are comfortable and confident.

So we certainly feel that strategically, this is the right move to ensure again, and the whole reason to have Godrej Living, is twofold. One, we see it as an interesting commercial opportunity in its own right. But clearly, I think the bigger area of attraction to us was that to do what we just talked about in terms of delivering a superior quality product and a superior service experience

to our customers. We think this is a very critical part of the value chain, obviously, that we can impact the actual use of the product post delivery. So I think Godrej Living is intended to ensure that. For any of you not familiar with it, it's our new facility management, 100% facility that we've formed to ensure high quality living experience to all our residents. And I think Manish, the early signs are very encouraging, but early going, of course.

Manish Gandhi: Okay, Pirojsha. Thank you so much and keep going.

Pirojsha Godrej: Thanks very much.

Moderator: Thank you. The next question is from the line of Kunal Lakhan from CLSA. Please go ahead.

Kunal Lakhan: Yes. Hi. Good evening. I mean, just going back to the question on Godrej Summit. So just wanted to understand what are the nature of construction amendments that we have undertaken. I mean, we had highlighted that there was a corrosion of steel issue over there. And I mean, this seems like a structural issue in RCC itself.

So, just I wanted to understand what kind of amendments can we possibly make to resolve this issue? And a related question is like, no, we did spend about INR50 crores on for those 60 units.

Do you see a situation where we may have to return money to all 1100 apartments?

Pirojsha Godrej: I mean, I think the technical subject of how the repairs will be done in this process, beyond the scope of this call, which we will be happy to take you through it. But essentially there are ways to insert materials into the, into the structure that prevents the steel from deteriorating and allow the building to perform as it's expected design life. This is not the first project, certainly not globally or in India that has faced this issue. There have been other projects by major developers in India, where this issue has been faced and actually successfully brought under control. So the technical experts who are advising us are very confident that that can be done. And we're in the process of following their advice on this.

We don't anticipate, Kunal that all customers will ask for this buyback. As it is, I should clarify again, open to all of them. So we are open to that possibility, but the likelihood of that does not

Godrej Properties Limited

November 02, 2023

Page 13 of 19

seem very high at the moment. Currently we stand at about 60 actual buybacks done. As I mentioned earlier, I think the end number we expect as a best guess estimate would be between a 100 to 200. This is also not in our views going to be a totally open-ended question.

I think we're still finalizing the exact methodology, exact timelines for completion of the repair work, exact details that the customers would like to have before taking a final decision in some cases. But our sense is that within about six to nine months, we should be at a stage where we can start saying that, okay, you know, if you want the buyback,

please take it now. Otherwise, that offer is closed.

And our sense is that that's our best guess is that we would end up with between a 100 to 200 buybacks. It is, of course, possible that it is more than that. It could be less than that, but that's what we anticipate right now. As I mentioned earlier in the call, we feel that these units both for the repair work and both giving everyone strong confidence that the structure is fully safe and will perform to its intended design life. We anticipate being able to recover the full expenditure of these buybacks.

Kunal Lakhan: Sure. Sure. Fair enough. My second question is on the Mamurdi project. We increased the state to 93%. I just want to understand how much consideration was paid for this?

Management: Consideration is, Kunal, it's a book value, whatever was due to them, because it was a JV, profit-sharing JV. So it was, they have invested in the form of equity. So equity and debentures. So debentures was repaid. Equity was at the book value, nominal amount, not a very great amount.

Kunal Lakhan: And then why, why not 100%?

Management: So that is there is some bit of a tax planning, which we have done. And technically it is 100%, but there is a bit of tax planning because of which we have to keep that 7%.

Kunal Lakhan: Okay. Okay. All right. Thank you so much. And all the best.

Pirojsha Godrej: Thank you.

Moderator: Thank you. We'll take the next question from the line of Harsh Pathak from BNK Securities. Please go ahead.

Harsh Pathak: Yes, sir. Hi, good evening. And congratulations from the strong bookings for the quarter. Sir, my question is on this buyback of the apartments that you're doing. So are we doing at the same rate at which the apartments are sold or are there the prevailing rates?

Pirojsha Godrej: We are paying the offer basis at the time of announcement the last average price for the apartment sold in Godrej Summit or the purchase price for the owner which are over higher out of those two. The average price for start about 6,000 rupees a square foot of the buyback and so far.

Harsh Pathak: Sure. Sure. That is clear. And regarding this launch, Ashok Vihar, like a few questions, like it was highlighted that there might be some slip or, some here and there. If it slips beyond a FY '24, are we still confident of achieving our goal of INR14,000 crores of bookings guidance?

Pirojsha Godrej: Yes, we have sort of mentioned that our typical experience, not just, this year, but any year in our industry, you look at initial start of your guidance for launches. You will typically have some new projects getting added that weren't anticipated at the start of the year. And you'll certainly have some that slip out because of regulatory approvals, not coming.

So that's been a consistent trend. The guidance is obviously made, keeping that in mind and understanding that you have to have back-ups in place and this guidance is a form of commitment to the market and something that we must achieve as we say. So we are confident of delivering the INR14,000 crores number, irrespective of what happens with any individual projects.

But certainly I think we're all, please be assured, extremely focused on making sure that Ashok Vihar does not slip out. I think it's one that we're eagerly looking forward to getting to market. The delay so far has been very frustrating, but actually as soon as we're able to launch the project, it might in hindsight be not the worst thing given how much the market has strengthened over the last couple of years, but we are fully cognizant that now is the right time to hit the market with a project like this and we'll do anything and everything we can to make sure it happens this year.

Harsh Pathak : Right. That is encouraging. And, regarding your opening comments and, like you just mentioned that the demand

remains very strong. We have a very strong launch pipeline as well. So how do we see the next two years, three years of growth? Can we maintain the same rate of same growth rate or maybe this can get enhanced further? How should we look at it?

Pirojsha Godrej: Well, no, I don't think, last time we grew at 50%, so if we have a very good year, this year, we could again grow very fast. But obviously I don't think we can sustain those kinds of growth rates. I think long term, what we think is certainly achievable is a 20% kind of growth rate. It might be a little bit more than that last year. I think if things go well this year, it's possible that it could be better than that this year. But I think 20% is a kind of growth rate we'd like to deliver over the long term.

So maybe a decade or more, because there are big opportunities in the sector, both from the sector itself, continuing to grow, and of course incredibly strong market share gain opportunities for the larger players who have significant advantages within the sector, but have typically single digit kind of market share. So there's big opportunities for continued growth, but the kind of explosive growth we saw last year and, hopefully continue this year may not obviously sustain at the same rate.

Harsh Pathak : Sure, Pirojsha , that is clear. Thanks for taking my questions.

Pirojsha Godrej: Thank you.

Moderator: Thank you, sir. We'll take the next question from the line of Abhinav Sinha from Jefferies India. Please go ahead.

Abhinav Sinha: Hi, thanks for taking the follow up. On the cash flows and balance sheet side, so, a couple of things. A, Ops7-CFS has improved this quarter, but do you see this sustaining or, maybe pick up from here?

Pirojsha Godrej: I think it will pick up from here considerably, right Abhinav . If you look at something like Noida launch, we've demonstrated now we're able to construct these group housing projects in two years to three years consistently. A project like this will be quite high margin if you look at our land cost to selling price. I think it's all quite attractive. We, but if you look at the launch guidance and we have projects like Ashok Vihar, several more projects in Gurgaon. We have some large projects, we hope to launch in Mumbai, several projects in Bangalore, Pune.

So there's no question in our mind, we're gearing up for a much, much stronger operating cash flow generation performance next year. And looking forward to making that a reality.

Abhinav Sinha: Right. And in that context, where do you see the gearing level settling? So, we are at, your broader guidance is 0.5 to one, but I mean, next six months, where are we headed as such?

Pirojsha Godrej: I would broadly expect, but given that a couple thousand crores land outflow, we think it will continue to inch upwards probably for the rest of this financial year. And next financial year is

when we think, operating cash flow should be higher than business development unless we again decide to ramp up business development very sharply.

Abhinav Sinha: Thank you. That's very helpful.

Moderator: Thank you. The next question is from the line of Manoj from Geometric. Please go ahead.

Manoj: Thank you for taking my question. So I shall congratulate Pirojsha for the last three -year BDA. I think that has been done with the great pricing and great volume. I think it will help in pre -sale and achieving our desired ROE because of buying at very great prices.

And when I visited the summit site, the investors and the people living there were very appreciative of the fact that the developer has come forward to correct the problem. My question is that, like you're anticipating 100 to 200 buybacks, can you anticipate how much money we would be spending to correct the problems which are in the project?

Like you said, INR10 crores, INR15

crores has been spent already. How much...

Pirojsha Godrej: We provided last quarter for INR155 crores for this expenditure, of which as I said about INR10 crores, INR15 crores has already been incurred. Separately from that, we anticipate INR100 crores to INR200 crores will be required for the buyback. But those we think we will be able to fully recover the money spent on because we can sell the apartment once the repairs are complete at the same price.

Godrej Properties Limited

November 02, 2023

Page 16 of 19

Manoj: Okay. You have provided INR150 crores. Do you have any idea how much we will actually now, seeing the situation, how much work has been done on INR10 crores, INR15 crores, how much money could we actually be spending?

Pirojsha Godrej: Anticipated expenditure is still INR155 crores, which is what we provide. So no change in estimate over there.

Manoj: Okay. My second question is, if you see your con calls in the last five year, seven years, you have given passing reference to China real estate and how we are trying to emulate the success, the way the number of volumes have been done in the developers by China real estate player. So where we are in that journey as an Indian real estate also, as well as Godrej Properties, and what can help and affect this journey? Thank you. That's my last question.

Pirojsha Godrej: Thank you. Of course, I should certainly clarify that, there are both positive and negative lessons to take away from the China real estate story. So I think hopefully we can take away the positive ones without, learning any of the excess debt and overbuilding issues. But our whole idea of kind of studying the China market was saying that, look, as we look to take the company in the next 10x from its current scale, that hasn't been done probably by a real estate developer anywhere in the world, other than in China.

And the big developers there at their peaks were selling 500 million, 600 million square feet a year and being able to deliver consistently those projects at, within a couple of years at scale. So the lessons were more around that.

I think a lot of the focus, a lot of the time of the management goes in ensuring again, what we were talking about as part of the earlier question around this journey of scale up we want to do. How do we first make sure that, the quality expectations that we have from the Godrej brand, the customers have from the Godrej brand, the kind of design and execution that we want to do, how do we make sure, we do it on a consistent basis at this scale? And I think a lot of energy is going into that.

There are several steps we've taken, some as an outcome of lessons we've learned from, studying the China companies, including how we've structured the organization. We have fairly independently managed teams in each of the geographies we operate in. Even our project level teams have some amount of control over the overall P&L of their project.

So the structure that we've used to set up the organization we think is built for scale, we'll obviously have to keep learning and keep tweaking this, but we do think fundamentally this is the best structure to facilitate large scale growth that we anticipate. We're also putting in a lot of effort to make sure we have the right processes in place, the right capabilities in key areas to ensure this delivery, again, at the level of quality we want, and at a significantly higher scale.

Manoj: Okay. And thank you, and best of luck.

Pirojsha Godrej: Thank you.

Godrej Properties Limited

November 02, 2023

Page 17 of 19

Moderator: Thank you. The next question is from the line of Himanshu Zaveri from Dhruv Gems . Please go ahead.

Himanshu Zaveri: Yes, hi. I just wanted to know the status of Riviera Kalyan. From what I see, the sales have been quite slow. Generally all the other projects are doing exceptionally well. So just an update on th

at one?

Gaurav Pandey: Thanks. Yes, essentially this is a sustenance project. We are looking forward to doing the sustenance activation quite soon, and once the activation kicks in, then you will see the booking value grow. The good problem for us right now in Bombay has been th at we've seen a series of approvals come in some of the projects on the south Bombay side. They just happen to be in the launch calendar front -ended, but once we'll do a sort of an activation in Kalyan, you'll see the numbers also changing.

Himanshu Zaveri : Okay. The second question is on the Kandivali launch. So I just want to know, what is our planning for that project, which that is also quite a large project. And if you must be knowing, the Oberoi guys which rule the Goregaon and the Kandivali area, the y have made exceptionally good quality projects, and they are selling at premium prices. So are we on the same lines or what is the planning for that project? Kandivali project.

Gaurav Pandey: Yes, we have a very interesting design that we've worked out an d very, very confident that the project will really strengthen the Mumbai portfolio for us in terms of a point of inflection. Our product strategy is quite unique. We have a very fantastic USP. Now we're working on the approvals, and fair to say, when this will come into the market, it will be one of the most prominent and promising launches from our side.

Himanshu Zaveri: So that is a Q4 or should go into the next year?

Gaurav Pandey: It's a Q4 launch.

Himanshu Zaveri: Okay. And my last question is that af ter adding so many projects, where do we see the company in four years to five years down the road? Can we expect around INR30,000 crores of top line and this kind of ROA, ROC in the next four years to five years?

Gaurav Pandey: Yes, fair to say the market is presenting us the opportunity. And if you see the way we've been growing in the last couple of quarters, it's fair to say that is the direction we should hopefully reach. And the good thing is that the entire portfolio that we had, especially acquired in the last 18 odd months thereabouts, is all hitting launches and with a very good price expansion.

So our entire focus towards profit expansion and long -term return equity is getting strengthened by the execution that we're able to deliver in all these launches.

Himanshu Zaveri: My last question is that, if I wanted to ask you, in the last real estate cycle, the developers raised a lot of prices and then it affected the sales eventually. So this time, we would have to balance it out both so that we don't raise the price a lot and it doesn't affect our sales and it continues the growth of a company?

Godrej Properties Limited

November 02, 202 3

Page 18 of 19

Gaurav Pandey: Yes, you're right that it has to be sort of an adequate and logical price jump. And if you see, most markets in India are not in the kind of ver y, very massive price growth like we're seeing in NCR. But the interesting thing is unlike the previous cycle, all of this demand, especially in our project, we are seeing from end users.

We're not seeing speculative demand at all. We don't in fact hardly do any marginal maybe INR20 crores, INR30 crores -odd, we might have done as sort of a payment plan with some flexibility, but everything is very, very tightly controlled construction link payment plan, which only attracts end users.

Our time lines for const ruction have reduced significantly from the earlier days. So the product proposition and the price that we are seeing with the kind of payment plan makes it a non -starter, especially with the kind of lock -in period we build in our BBAs. It becomes a non -starter for an investor to participate. So till the time you are end user and you are calibrating your price and you're testing the market very regularly, you will see continued demand.

But yes, anything i f done, erratic and, assuming and o

ne assumes that it will continue for

perpetuity and eternity, that doesn't hold. So yes, we will of course take cognizance of market realities and calibrate before every launch. But currently, if you ask me opportunistically, we're seeing good ways to increase both price an d volume growth, which we're trying to focus upon and even deliver upon.

Himanshu Zaveri: Okay, any update on Bandra and the Panvel project, if I see? Now it's a huge project, around 8 million square feet. So are we delaying it purposely for maybe the airp ort opening and all that so that we have more traction? Or what is the idea behind that one?

Gaurav Pandey: So not really airport per se, but as you would know that the new trans -harbour link is about to get opened and we believe it will create a very good upside from a pricing point of view. And Panvel will almost get repositioned because the travel time that you would take from Panvel to any SBD, CBD location will drastically reduce. So we want to enjoy that upside and our launch plans are getting ready and on track for that.

On Bandra, it's still a work in progress. We've not put up an aggressive launch calendar yet. So I won't say that it is anything from a launch point of view within the year. But yes, there is a continuous focus to take that project all the way to its logical trajectory.

Himanshu Zaveri: Thank you and congratulations for a good set of numbers.

Gaurav Pandey: Thank you so much.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Pirojsha Godrej: I hope we've been able to answer all your questions. If you have any further questions, do let us know and we'd be happy to be of assistance. On behalf of the management, thanks again and

Godrej Properties Limited
November 02, 2023

Page 19 of 19

Happy Diwali to all of you. And for any of you cricket fans out there, thank you for taking the time to join us despite the India match. All the best.

Moderator: Thank you very much, sir. Thank you, members of the management. Ladies and gentlemen, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2024

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February 09, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
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The National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra Kurla Complex,
Bandra (East) , Mumbai – 400 051

Ref: Godrej Properties Limited
BSE - Script Code: 533150, Scrip ID – GODREJPROP
BSE - Security Code — 974950, 974951, 975090, 975091 — Debt Segment
NSE Symbol - GODREJPROP

Sub: Transcript of the conference call with the investors/ analysts .

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Schedule III Part A, Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed the transcript of the conference call organized with the investors/ analysts on Tuesday, February 06, 2024 , post declaration of unaudited financial results (standalone and consolidated) for the quarter and nine months ended December 31, 2023.

This is for your information and record.

Thank you.

Yours truly,
For Godrej Properties Limited

Ashish Karyekar
Company Secretary

Enclosed as above

Page 1 of 18

“Godrej Properties Limited
Q3 FY '24 Earnings Conference Call ”
February 06, 2024

MANAGEMENT : MR. PIROJSHA GODREJ – EXECUTIVE CHAIRPERSON –

GODREJ PROPERTIES LIMITED
MR. GAURAV PANDEY – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – GODREJ PROPERTIES
LIMITED
MR. RAJENDRA KHETAWAT – CHIEF FINANCIAL
OFFICER – GODREJ PROPERTIES LIMITED
MR. KSHITIJ JAIN -- INVESTOR RELATIONS - GODREJ
PROPERTIES LIMITED

Godrej Properties Limited
February 06, 2024

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '24 Earnings Conference Call of Godrej Properties Limited. As a reminder, all participant lines will be in the listen-only mode and anyone who wishes to ask a question may enter star and one on your touchtone phone. To remove yourself from the queue please enter star and two. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kshitij Jain of Godrej Properties. Thank you, and over to you, Mr. Jain.

Kshitij Jain: Yes. Thank you. Good afternoon everyone, and thank you for joining us on Godrej Properties Q3 FY '24 Results Conference Call. We have with us Mr. Pirojsha Godrej, Executive Chairperson; Mr. Gaurav Pandey, Managing Director and CEO; and Mr. Rajendra Khetawat, CFO of the company. Before we begin this call, I would like to point out that some statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the results presentation.

I would now like to invite Mr. Godrej to make his opening remarks.

Pirojsha Godrej: Good afternoon, everyone. Thank you for joining us today. I'll begin by discussing the highlights of the quarter, and we then look forward to taking your questions and suggestions.

The demand for homes in India is at its highest levels historically and has gained further momentum during the quarter. The positive market opportunity is driven by the overall strength in India's economy, the cyclical upturn in India's residential real estate market that meets the modern homes with better amenities as well as consumer preference towards Tier 1 developers. The RBI's upward revision of financial year '24 GDP growth of close to 7% during the quarter, reiterates India's position as the world's fastest-growing major economy. The government's continued focus on housing for all and urban infrastructure combined with the fiscal prudent evidence in last week's union budget, strengthen our conviction that the real estate sector will continue to do well in the years ahead.

The third quarter is Godrej Properties most successful quarter ever in terms of new bookings with year-on-year growth of 76% to INR5,720 crores. This was 14% higher than our previous best ever quarter i.e. quarter 2 of the current financial year. These consecutive record breaking quarter's ensured that our 9-month financial year '24 sales have already crossed the booking value registered in all of financial year '23, which is our previous best ever year. We are confident of building on this momentum and going well passed our annual bookings guidance of INR14,000 crores for the full financial year.

This strong growth can be attributed to an extremely strong response by customers to some of our new launches during the quarter. Godrej Aristocrat in Sector 49 in Gurugram was GPL's most successful ever launch, achieving a booking value of over INR 2,667 crores from 1.35 million square feet of area sold. It is noteworthy that the total expected booking value for this project has increased by approximately 30% from the time we acquired it a year ago.

Godrej Properties Limited
February 06, 2024

Page 3 of 18

Godrej Ananda in Bengaluru was another project, which achieved more than INR500 crores booking value during the quarter. Godrej Avenue 11 in the Mumbai Metropolis region was launched in September 2023 and has achieved a booking value of INR687 crores within four months of launch. We are pleased to see the strong customer response to new launches across all the cities we are present in.

Cash collections and net operating cash flow, respectively grew by 43% to INR2,411 crores and 45% to INR798 crores in the third quarter.

For the nine months of the financial year, we recorded cash collections of INR6,743 crores and net operating cash flow of INR1,726 crores,

representing a growth of 30% and 34%, respectively. We remain on track to achieve our guidance of INR10,000 crores of cash collections during the financial year.

From a business development perspective, we added 1 group housing projects in Bangalore and estimated booking value of INR1,250 crores. We now have our strongest ever project pipeline that can deliver robust growth for the next few years. Most important objectives for the company in 2024 will be to launch all of our recently added projects. We believe this will dramatically accelerate our bookings and earnings growth trajectory in the years ahead. We will, of course, continue to do targeted business development to plug holes in our current portfolio and ensure continued growth beyond the next three years.

Our reported earnings for the third quarter were healthy, though somewhat muted, because we did not have any project completion during the quarter. Our total income increased by 43% to INR524 crores and net profit increased by 6% to INR62 crores. For the nine months of the financial year '24, total income has increased by 126% to INR2,410 crores, EBITDA increased by 51% to INR548 crores and net profit increased by 60% to INR254 crores.

On that note, I conclude my remarks. Thank you all for joining us on the call. We'd now be happy to discuss any questions, comments or suggestions you may have.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: Congratulations on good pre-sale. My first question is on NCR market, which has become a substantial part of your sales bookings number as well. The market pricing also has been quite strong. What are your thoughts on NCR market? Do you think this kind of run rate of almost INR2,000 crores, INR3,000 crores that you are doing from -- on a quarterly basis from NCR will be sustainable. And how do you expect the market to absorb such high price inventory going forward?

Pirojsha Godrej: I think the NCR market has performed very strongly. We've typically noticed NCR, I think in all directions of the market cycle seems to be leading the way. I think last time, the down cycle there was also quite sharp. We're seeing the upcycle also being first and quite sharp. Certainly, our portfolio in NCR we think will support strong growth over the next few quarters. We've launched and I think the reason to the very positive momentum we've seen in the past two quarters in NCR is we've had a big launch each quarter, one in Noida, one in Gurgaon. We last
Godrej Properties Limited
February 06, 2024

Page 4 of 18

year added five projects in Gurgaon, of which only one has so far been launched. So we hope to have one project launch in Gurgaon this quarter of this calendar year, including the current one. We also have a second part of the Noida project that we added last year to launch again, which we hope to launch this quarter. While unfortunately, it's been quite delayed, but we certainly hope to see Ashok Vihar launched in the first half of next financial year. And I think that will be another big boost to our scale in NCR.

So certainly, we do feel we have the project portfolio to maintain strong growth in NCR over the next couple of years and are very happy with the kind of response we're seeing there. So we'll also be looking at new business development opportunities where those make sense. I think the level of price increase and sort of heatedness in the market in NCR is something we have our eye on. But my sense is, while we won't see that trajectory continue. There has been a kind of reset in the market to the higher price points. Again, the down cycle in NCR was also quite severe. So the base f

rom which prices are going up was reasonably low.

So our best sense is we won't see the kind of price increases we've seen over the last year, they're very sharp on an ongoing basis, but probably more flattish to kind of moderate price growth going forward, but we see as of now, no concern signs on the demand being overly driven by investors and end users not being interested and so forth.

So I think we remain quite confident on the performance of that market. So certainly, we'll keep a close watch on how it continues to perform.

Puneet Gulati: Understood. That's helpful. Secondly, on your cash flow perspective, when do you think will the firm reach a situation where operating cash flows will actually start exceeding the business development related expenses. Or do you think that is something that one should not be aspiring for?

Pirojsha Godrej: Look, I think we're already at that pace. I think this year, we could be in a state where if we do business development at levels that is sufficient to kind of replace what we're selling, Operating cash flow will more than cover those requirements.

I think we have intentionally over the last few years, have done a onetime reset given the opportunity we saw, particularly a few years ago when the cycle was -- has still not taken off, our land prices were still quite attractive. We saw an opportunity to completely reset the scale of the business, and we delivered pre-sales growth of 50% last year.

We think that's possible again this year. So clearly, that will require disproportionate investment more than the cash flows of a smaller base can pay for. But I think as the cash flows from our current sales starts coming in, which we think have already started, of course, but will gather considerable pace through this year, we do expect to be in that position.

Puneet Gulati: Okay. So when should we see it exceeding the land approval -related cash flows or out flows - this year FY '24?

Godrej Properties Limited
February 06, 2024

Page 5 of 18

Pirojsha Godrej: Can you come again.

Puneet Gulati: I think -- when should we expect the net operating cash flows exceeding the land -related and approval related outflows, the INR583 crores number this quarter versus the INR1,250 crores of approval. Should we expect that next year or the year after?

Pirojsha Godrej: Yes. Again, I think it is a function of how much business development is done. I think if you look at the booking value that we achieve in a year, if we only do business development roughly equal to that, I think we will already deliver this, with what you asked in 2024.

If we choose for any reason to do more business development, that could of course change and what could get us to more business development if sales momentum is even stronger than we'd anticipated, and therefore, the requirement to replace inventory is larger than we initially anticipated. But I think we are quite confident that cash flows over even in the next 12 months will be extremely robust.

Puneet Gulati: That's very helpful. And lastly, if you can comment on the competitive intensity in the business development processes across various markets.

Gaurav Pandey : Thank s for the question. Essentially to see in the business development side, most of the leading players are in a similar stage -- which is basically launching the project. In some geographies, of course, there is renewed interest because some of our peers are doing well. But I don't see as much of a competitive landscape on the BD side, like we would say probably say 1.5 years back.

Moderator: Our next question is from the line of Pritesh Sheth from Motilal Oswal.

Pritesh Sheth: Yes. So just continuing on the NCR question. The first question, which previous participant asked. So we have roughly two , three more projects now, I mean, in fact three , four more projects now in NCR including Ashok Vihar. So pretty

much sorted for next year's growth.

Now considering that NCR is contributing 50% to our overall presales in first nine months, now how do you see the visibility of project additions in these markets because whatever you acquired in last one or a couple of years, a few of the acquisitions where a few of the land was acquired through auctions.

So how is the visibility right now? Is there enough opportunity to acquire -- keep acquiring projects to fill that gap, which will happen over the next 1, 1.5 years?

Gaurav Pandey : Thanks for the question. If you see -- I think the question is more about replenishment of inventories NCR specifically. We have done a say about five acquisitions in Gurgaon and we had done two acquisitions through auction in Noida. Out of these seven , two have already got launched and very successfully. And we have -- just by looking at the pipeline, like four to five quarters, every quarter, you would see a launch or two in NCR. And some of these launches have significant inventory locked in, like there is a project which should get launched hopefully in this quarter, which is quite sizable, probably one of the most sizable projects we've done in Gurgaon in the recent times.

Godrej Properties Limited
February 06, 2024

Page 6 of 18

So one is that is there a dire need to replenish inventory right away? I don't see that. But is there an opportunity to evaluate things at the right valuation, of course, yes. So that is one. Second is, I feel that looking at how the government is shaping up, we would continue to see auctions coming up in NCR in the next couple of quarters. And we would, of course, evaluate them on valuation .

So you see that the valuation is very attractive and we see opportunistic investments leading to more value creation for us, we'll, of course, participate. But it is not driven anymore by a necessity. It's about -- more about can we take the opportunity higher.

Pritesh Sheth: Yes, sure, sure. That's helpful. And just on your presales guidance now, obviously, it seems like you would reach your full year guidance and with launches coming up, what is the kind of expectations now we are building in for this year?

Gaurav Pandey : While you will not be given a specific guidance, but largely to see the previous two quarters, we've been kind of have achieved a run rate of INR5,000+ crores is something directionally we

would want to maintain that in quarter 4. But frankly, this could be better or something around that. So not giving a specific number, but this is something we would logically be delivering, something in that range.

Pritesh Shet h: Sure. And lastly, in Bangalore, which is a market where you are targeting a few more acquisitions and try to fill that gap, so any outlook there? Are opportunities coming in line to your expectations? And so any update on that.

Gaurav Pandey : See -- if you see south zone internally as we label it, is one of a very interesting high -performing markets from a n inventory sales point of view. FY '22, it was INR700 crores, which became INR2,100 crores, INR2,200 crores previous financial year and it is about to reach a similar number in this financial year and will significantly be that of last year.

So yes, you're right, there's a very targeted investment strategy for South. We've just done one acquisition in Yeshwanthpur and the endeavour is that in coming mon ths, you would see a couple of other acquisitions in South India.

Moderator: Our next question is from the line of Praveen Choudhary from Morgan Stanley. Please go ahead.

Praveen Choudhary: I have two questions. The first one is the presales, which I must congratulate these numbers are very, very, very good and exceptional. So you mentioned the last two years, you've been growing at 50%. This year should also grow 50% to 60%. I don't think market is growing at that level.

So I just wanted to understand the sustainab

ility of presales growth even in FY '25 and '26,

considering market continues to be strong, how should I think about it? Is that 20% annualized number, a reasonable number and then you eventually do 50%, 60%? And what drives you to continue to be at the market or your peers? Is the first question.

And the second question is related to the gearing and you have 70% gearing right now, net gearing. And I just wanted to understand if there is a number that makes you comfortable? Or Godrej Properties Limited

February 06, 2024

Page 7 of 18

for a short period o f time, you can handle even higher because you know that cash flow will eventually come back?

Pirojsha Godrej: Thanks very much. The growth, I think, obviously, we are very happy to see two years back to back looks like roughly 50% growth. I clearly don't think those kind of growth rates will be sustainable over the medium term. And I think we look more towards ambitious but reasonable steady state growth in the range of around 20% on an ongoing basis.

But I think the opportunity we saw was to kind of rese t the s cale of the business during the downturn by raising capital using that to invest when the timing was right , we felt in acquiring lands, and we did a lot of outright land acquisitions with that same logic in mind that we are acquiring at the right ti me and be best to maximize our economic interest in the projects that are going to get developed through a rising market. And I think that's playing out as we ha d expected. We certainly will continue to aspire for rapid growth. It could be some years like we've had the last couple of years, but probably over a medium -term perspective, roughly 20% is a sensible assumption and one we can hopefully create some positive surprises on.

From a gearing perspective, we've indicated that we like to maintain a range of 0.5:1 to 1:1. I think -- we think that is the range where we are best capitalizing on the scale of opportunity available in the real estate market in India today while also managing our balance sheet prudently.

That said, as you rightly pointed out, t his is not a hard and fast gate where we can't go above or below this. We have, since the last couple of years, under this level as we raised equity with the intent of disproportionate investment . As that investment has happened, we've now entered the range that we'd like to operate in.

I think what I would say is that if we were getting towards the higher net of that range, we would look quite carefully at what we need to do to further strengthen operating cash flow to make sure that we don't go too far p ast that. But certainly, if we see very strong cash flows around the corner and feel that there are also good business development opportunities that we should see, we would be okay with temporarily going beyond that range as well.

Praveen Choudhary: That's very, very clear. If I could follow up with one more question, if that permits. The one question is about ASP expectation. Clearly, market is hot, things are very well, and is doing very well. But the concern is if the price go up too much too fast, then either we will get the speculators in the market or basically, affordability will take a hit. What are you seeing in the market at this point in time? And are you worried that if this continues, maybe it will become less affordable in the future? Tha t's all I have.

Pirojsha Godrej: No. Look, I think the real estate sector in India & globally has been prone to kind of a cyclical nature. And honestly, I'm not convinced that there is anything that any individual developer can do to change the nature of t hat cyclicity. And the reason for the cyclicity is also quite clear. It takes from a supplier perspective quite a lot of time to respond to what one is seeing in the

Therefore, in a bad market, developers

stop bringing supply and once the demand picks up, you inevitably get into a situation where supply is a bit short because developers haven't been actively planning for new developments during the downside. So that in turn leads to the kind of price increases we're now seeing. Developers respond to that and supply increases and you then have the next leg of the cycle.

So my sense is that as an individual developer this -- what a sensible thing to do is to try to understand to the best of our abilities where we are in the cycle, what is the most likely outcome, understand that there cannot be certainty on this. We have to be prepared for all eventualities, make sure that our balance sheet is strong enough to expand the downturn when impact takes advantage of them and that we have the portfolio scale to fully maximize the opportunity in the upturn.

I think if you look at even the largest developers in India, including us and other leading peers, would still have mid-single -- low to mid-single-digit market share. So I think the ability to kind of determine pricing for the market, it is not as strong as one might imagine, and it is a little bit of responding to what we see in the market.

And clearly, I think some markets are seeing very sharp progress. Again, which is nothing that comes as a great surprise to us. This is very typical of the third year of up cycle that we're currently in. I think we should also be quite clear that 4 or 5 years from now, if history is good guide, we should expect to see the cycle turn again.

Now again, that should move up or down by a year or two for various factors. But the basic cyclicality of the sector, I think is here to stay. And I think it's incumbent upon individual developers to figure out how to best maximize the opportunities in each leg of the cycle and maintain a balance sheet that can withstand any surprises that come along.

Praveen Choudhary: Congratulations for very strong results, operating cash flow collection-wise, etcetera. So good luck.

Pirojsha Godrej: Thank you.

Moderator: Our next question is from the line of Kunal Lakhan from CLSA. Please go ahead.

Kunal Lakhan: My first question is on your business development target. We have retained a full year target of INR15,000 crores worth of GDV. But does that mean that in Q4, we would see some high spend towards the land acquisitions?

Pirojsha Godrej: Yes, I think we will reach that target, I think we've already done about INR8,000-odd crores or INR6,000-odd crores for the booking value to be locked in and I don't anticipate a huge spending into that. Yes, I think we will be doing some other business development this quarter.

I think it's also worthwhile to note that we have a large -- if you look at our deliveries guidance, there's also a large amount of deliveries planned during the quarter. Typically, there's quite a bit

Godrej Properties Limited
February 06, 2024

of cash flow linked to those deliveries. So we should also be a very strong quarter for operating cash flow generation.

Kunal Lakhan: Sure, sure. And just a related question on that is like if you look at this year, you'll -- if you increase your sales velocity by 50%, you'd be obviously selling more than what you have -- what you'd be acquiring in terms of value, right? So in that sense, how should you look at -- how should one look at the business development goals, FY'25 and beyond, would it be significantly higher than our FY'24 guidance that we have been giving?

Pirojsha Godrej: I think, Kunal, probably appropriate to come back to you on the next quarter as we see how the year unfolds from a total sales perspective, what amount of business development is locked in. But I think the overall philosophy of the company has never been around land banking or trying to create multiyear supply beyond which we see immediate launch visibility and nothing

about
that has changed.

Of course, at the same time, we don't want to be in a situation where lack of inventory slows down our growth. So I think getting that balance right, is something we will fine tune on an ongoing basis and I think it will be well in a better position to share thinking for next year once we see kind of end of the year both business development additions as well as total sales for the year which can give us a good indication.

But I would say that especially for the next couple of years, the portfolio is looking very strong. We do think that even without new building development this year, next year, and to some extent, beyond that is looking pretty strong from a bookings perspective. So we don't think that it's immediate urgency.

But certainly, as the market is responding so positively to new project launches, we will have to think about replacing inventory perhaps a little bit more aggressively than we would have been 6 months ago. But we're also seeing quite a lot of opportunity on the BD side to feel that a s and when we decide to increase the pace, so the opportunities we do feel are available.

Kunal Lakhan: Sure, sure. So just a follow-up bookkeeping question on BD. How much did we spend on land acquisition pertaining to this INR8,400 crores of GDV that we acquired?

Rajendra Khetawat: Sorry. Sorry. Come again, Kunal?

Kunal Lakhan: How much we spend towards land acquisition, especially for this INR8,400 crores of GDV that we have acquired?

Rajendra Khetawat: So for nine months, we have spent around INR4,300 crores of total outflow, which includes the approval and land payment. The exact land payment and approval payment trend, I can give you offline.

Kunal Lakhan: Sure, sure. Okay.

Pirojsha Godrej: For this quarter we have major payments were 3 land acquisitions, 2 auctions, we won in Gurgaon, and our land parcel in Bangalore.

Godrej Properties Limited

February 06, 2024

Page 10 of 18

Kunal Lakhan: Yes, fair enough. And my second question was a follow-up on the earlier question on debt levels rising. I mean, we have seen in the past few years like whenever we have reached, especially with the last two fund raises that we have seen, like when we have reached closer to 0.8, 0.9x debt to equity, we have raised equity. Would that be something that you would pursue this time around as well?

Pirojsha Godrej: So it's not current thinking. I think the significant difference is also in the project scale up that's happened this time and the launch scale up. So I think the operating cash flow, we hope to show very, very strong growth over the next year. Look, I think if markets are very strong, we can never rule out that idea either. But as of now, the thinking is that we can deliver already through the portfolio we've acquired, strong growth for the next couple of years. And then operating cash flow, they're generating will allow us to sustain that growth on an ongoing basis.

I think the cash flow momentum you should see, I think, would be quite positive. And again, the way the sector works is once the business development comes, then the bookings, then the cash flows, then the profits. I think we've clearly done already the business development. I think the bookings is now hopefully very visible as is cash flow is also starting to become quite visible, we're growing cash flow each year by 40% plus for the last 2, 3 years. We expect another good growth year this year and an extremely strong growth year next financial year. So I think broadly speaking that positively we are very much on track.

Kunal Lakhan: All right. Yes. And my last question is to Rajendra. Rajendra, when we look at -- what will be your unrecognized revenue on our books?

Rajendra Khetawat: Hardly -- because nowadays, we recognize on OC, so most of the revenue gets recognized. Only 10%, 15% of the work completion, which is towards the pos-

sition, what is left out is to be

recognized. Otherwise, most of the projects where OCs are received are recognized.

Kunal Lakhan: So what I'm trying to reconcile is essentially, we have done like almost INR40,000 crores of sales in the last four years. And we have recognized about INR6,500 crores of revenues in the last four years again. I understand a lot of our revenue, sales also happened in LLPs, but still trying to understand or rather reconcile like what could be the unrecognized revenue, which should be a substantial number, but I'm just trying to reconcile that with the balance sheet where I see our current or noncurrent financial liabilities which will be essentially customer agnostic?

Rajendra Khetawat: Why don't we take it offline and we can do a reconciliation because it will require going project by project, year-by-year. And like you have rightly said, there are projects which are both into JV as well as outright, so we have to see which got recognized in this year or last couple of years.

And accordingly, we will have to work out the revenue recognition.

Kunal Lakhan: Sure. I'll take it offline.

Rajendra Khetawat: And on the land comment, just to answer for this INR8,000 + crores BD, we have paid around INR1,900 crores towards the acquisition of that INR8,000 + crores of GDV.

Godrej Properties Limited

February 06, 2024

Page 11 of 18

Moderator: Thank you. Our next question is from the line of Abhinav Sinha from Jefferies India. Please go ahead.

Abhinav Sinha: Congratulations to the team for the strong performance that we have seen on sales. So my question first is on the launches that we have planned for fourth quarter. What are the key projects? And how good is the visibility there?

Gaurav Pandey : So Abhinav, subject to, of course, us getting all the approvals. We have a visibility of probable launches - one in Gurgaon, which is Sector 89. Then there is one project, which is Sector 146 if you remember the Tropical Isle that we sold, there's a plot next to that, we have one more land parcel there. There is western suburb Mumbai, we are again in the process of getting all the approvals. This will be a very interesting launch for the Mumbai portfolio in Kandivali. And then something in Bangalore we're looking at in Old Madras Road.

So these are like high impact and launches that still create a bigger impact. Of course, we have back-up plans and additive plants in case any approval falls short, but we're gunning for at least these big ones. Then we have plotted opportunities there as well. I'm just talking about the bigger ones.

Abhinav Sinha: Okay. And similarly on deliveries also, if you can help us with what we're expecting in 6.5 million or 6 -odd million we are planning?

Gaurav Pandey : So we have a series of OC planned in cities like -- I mean, we can give you the list off line, but largely, we have a couple of OC's planned in Gurgaon, Mumbai. Project names we will share with you off -line. But yes, we have a decent pipeline to get us at 12.5 million square feet of committed -- or guided OC calendar. I mean just to enumerate that, I think we all have in our -- I mean this is already part of the earnings, but projects like Mamurdi, Mahalunge in Pune, projects like Meridien , parts of Godrej Air. Aspirationally, also Kurukshetra projects.

So we have a series of projects which we are gunning for. Of course, some of them come, some may flip to next quarter, but 12.5 million square feet of guidance that we have given we're reasonably confident to deliver and exceed that.

Abhinav Sinha: Okay. And you were talking about earlier that the sales value today is much higher, 20%, 30% in what we had underwritten. So with that, what are the margins we are looking at now in some of these projects, for example, the Kandivali one or the Gurgaon Aristocrat, etcetera, that we have launched this year.

Gaurav Pandey : Yes. Not being spec

ific project, but fair to say that the PAT margin is seeing a major expansion across most of our projects, which are -- which has -- we've launched in places like Gurgaon and Noida. The Western Suburban project is yet to hit. But historically let's say if our PAT margin was to say about 10%, you have day to say like -to-like, it will be 15%, 16%, 18% kind of PAT margin.

Godrej Properties Limited
February 06, 2024

Page 12 of 18

But of course, it will depend upon how the cost inflation is managed. So with some contingencies, it is a range at which our PAT margin. Of course, there will be some projects will be even higher than that, and there will be some projects within the range that I've mentioned.

Abhinav Sinha: Okay. And one quick question on NCR. So in Noida, we have seen some resolution right of the stuck projects, which was being done by a committee there. So -- and some of your projects have not seen a new launch for a long time. So I mean, do we see those moving now? Or that's another issue?

Gaurav Pandey : I think there is some regulatory led resolution, which is impacting the entire market. It seems to be that it's in the final legs of conclusion, and that will open up a supply for us and some good quality developers, which is pending. But that being said, we do have some amount of previously not being able to do a big bang new project launch, but sustenance figures are hitting some of those projects. But yes, there is a big opportunity when the government is able to conclude those -- give those kind of approvals to all developers. I think we will also have that upside.

Abhinav Sinha: All the best to the team.

Moderator: Our next question is from the line of Parvez Qazi from Nuvama Group. Please go ahead.

Parvez Qazi: Congratulations for a great set of numbers. So I just have one question. For all the land deals that we have entered, what is the pending land capex which we need to incur over the next couple of years?

Rajendra Khetawat : So the pending land payments, including the instalment payment would be around INR1,100 crores to INR1,200 crores, plus there would be some FSI, TDR payment. So in all around INR1,300 crores to INR1,400 crores is what we are looking at in quarter 4. This includes payment towards pending instalment of Ashok Vihar also, which is around INR600 crores.

Parvez Qazi: All the best.

Moderator: Thank you. Our next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Congratulations on a decent quarter. So my first question is on the business development. So if you can give us some color on the premium real estate side, especially in South Bombay. So what kind of land opportunities are available for us and if we are evaluating those either through joint developments like in the past, we have done with one partner, but what kind of opportunity do you think can play out over the next 12 months for us?

Pirojsha Godrej: Yes. Thanks for that. I think there is good options available in South Mumbai. I think we're looking at a combination of joint ventures with other developers or landowners who have land. Quite a lot of activity happening on the redevelopment side -- society redevelopments. We feel that Godrej brand gives us a lot of an advantage there in terms of the existing residents being comfortable moving out and coming back in. So that's going to be a big area of focus for us.

Godrej Properties Limited

February 06, 2024

Page 13 of 18

There are also some outright purchase opportunities that we might look at. So I think really the full spectrum of opportunities is available in South Mumbai. We hope to have some good project addition there over next few quarters, where we already have seen good response to our first launch in South Mumbai after a while.

Our project is Mahalaxmi which we took over -- that has gotten into difficulties -- that project

is

going very well, we sold about INR700 crores worth of inventory since it was launched four months ago. We hope to launch our project in Carmichael Road later this quarter. So hopefully, we can see a good scale up in the South Mumbai market along side, our overall plan for BD as well.

Parikshit Kandpal: Just kind of some of the key projects which have been like, lagging behind in terms of launches.

So one was a Ashok Vihar which you said you'll launched in the first half of next year. What about the Worli project? And if you can give us any update on your Bandra project with your partner Omkar. So any movement there, if you can help us with some color on this?

Pirojsha Godrej: Yes, actually, it's been very positive movement on some of these Mumbai projects. I think our learnings from this is perhaps that we were little over optimistic on time lines on some of the slum redevelopment type of projects, that's both Worli and Bandra project are. A lot of tenants movement has happened actually in the last quarter in Worli. So we're increasingly confident that, that project being ready to launch in the upcoming financial year.

I think Bandra also, there's been quite a lot of movement on the size in terms of understanding the current situation with the partner. We're quite confident that we'll see a lot of momentum in that project during the upcoming financial year, but it's probably not a project that will actually get launched in FY'25. But feeling much better that that project will eventually be launched than we were perhaps 6 months ago. So I think there's positive movement there.

It is frustrating to see some of these bigger projects have been delayed, including Ashok Vihar. We're obviously doing our best to ensure that those are mitigated. I'm quite happy with the work the team have done to ensure that despite some of these plans getting effected, it hasn't impacted the overall growth of the company, both last year and this year, donning for 50% kind of growth in presales.

And I'm quite happy to see that, that might be achieved even without these key projects. Overall, something like Ashok Vihar we're very frustrating, if we are able to launch it next -- over the next few months as we hope. The delay will actually have benefited given the kind of momentum we've seen in NCR on volumes and pricing.

And I think what's great to see is some of these projects we perhaps didn't think of as very critical projects in the overall scheme of things, is something like our project in Noida or this recent launch in Gurgaon are actually becoming a very meaningful project for us. If you look at the total scale of the Noida project, which we acquired in auction for about INR300 crores we've already sold more than INR2,000 crores of inventory in this first phase of that project.

Godrej Properties Limited

February 06, 2024

Page 14 of 18

There's an equal size, second phase that we will launch this quarter. So we hope to, over the project lifetime gets to INR4,000 crores plus of booking value with that project, which is you can imagine with the INR300 crores land cost to create very healthy margins for the company once that project is delivered.

Similarly, if you look at this Gurgaon project, we've already sold INR2600 crores with pricing premium, that was initially about the expectation we have for the overall booking value project. We still have more than 20% of the inventory in that project.

So I think all of these projects are going to become quite meaningful from a bottom line

perspective, but we certainly look forward to launching some of the bigger ones like Ashok Vihar in particular, but also Worli and Bandra. Incidentally, our Kandivali project is we are going to launch this quarter, and that project has expected booking value significantly larger actually than Worli or Bandra. So we're looking forward to taking back on this quarter.

Parikshit Kandpal

al: Sorry, for which project you said? I missed it. The last project, please.

Pirojsha Godrej: We finished the project in Kandivali.

Parikshit Kandpal: Yes, yes, yes. Okay, Kandivali. Got it. Just last one on the Vikhroli. So you mentioned on the on-track launch of 0.6. But I think Gaurav did not mention that in the high probable launches for this quarter?

Pirojsha Godrej: So we are planning to launch that. I think frankly, from a total scale of launch it's perhaps not quite as big as the Kandivali one or some of these other ones in terms of what we expect to booking value during the quarter, but we certainly do hope to launch that and looking forward to Vikhroli getting going again.

Parikshit Kandpal: Thank you, Pirojsha and wish you all the best.

Pirojsha Godrej: The outright projects are top of mind. These are DM kind of projects.

Moderator: Thank you. Our next question is from the line of Eshit Sheth from Anvil Wealth Management. Please go ahead.

Eshit Sheth: Congrats to the entire team for very good results. So for Pirojsha, a couple of questions here that I have. If we look at the strategy that you led the team on like to actually leverage up the balance sheet just at the start of an up cycle in the real estate market, I think that is showing significant fruits for our company.

Now what I wanted to understand was that if we look at the last two years, you've always been consistent in saying that our objective is to grow 20% over the medium term when we look at Godrej Properties. Now this -- I mean, if you look at the first nine months performance, there has been a stark difference between the volume -- sales volume growth and the sales realization growth, and a large part of it is because of the way prices have moved up in a lot of geographies, including the NCR.

Godrej Properties Limited

February 06, 2024

Page 15 of 18

So when we talk about this 20% because pricing is something which is not in our hands. So when you talk about 20%, is it a large part to do with volume growth that we're looking at when we talk about this 20% growth over the medium term?

Pirojsha Godrej: A couple of things to point out. One is, I think our volume growth year-to-date is about 20%.

Our volume growth last year was 40%. And another thing I'd just point out is as the pricing growth, you referenced is not actually just market pricing growth. It is a complete re-pivoting of our types of project to more premium projects. So if you look at it, yes, there has also been market price has growth but a lot of the pricing growth that you are seeing for this year is actually more premium set of projects coming into our launch pipeline.

So our project in Gurgaon, for example, we sold at almost INR20,000 a square foot. Now of course, that is much higher than we are underwriting the project that, but this will also -- even the underwriting was much higher than any previous project in Gurgaon and this is the first project in Golf Course Road. There are similar examples across various cities.

So certainly, we will be focused on volume growth being strong. But I think there is also a pricing growth opportunity, not just provided by the market. But by us becoming focused on more premium areas. I think, in general, this year is probably a good base for that. We don't want to become an exclusively luxury developer by any means. So we want to have a right mix of premium projects and mid-income projects, and that will continue.

But I think if you look at this year kind of project mix, we think is where we would like to play on an ongoing basis. And therefore, going forward, most of the growth in top line should happen from a combination of volume growth and market pricing growth. But I think if you look at GPL growth in the last three years, it's both some of market pricing growth, but largely volume growth and more premium projects driving that growth so far.

Eshit Sheth

Eshit: Sure. Sir, and the second question is that it just so happened in the last 2 years at the start of the year, we've budgeted or we've guided for some amount of sales as well as deliveries. And it just happens that we've exceeded every year substantially. Now is the team prepared for this kind of execution? Because if you look at the past, we've not executed at this scale. So are we very well prepared in terms of the execution part of it?

Pirojsha Godrej: I think it's a great question. And then firstly, I think something the team obviously is responsible this time on. It is going to be a challenge to scale up execution, but one that we've certainly done everything we can to prepare for, whether you look at the structure of the company in terms of

how we set up individual projects and our whole team. If you look at the kind of relationships we're trying to be with the contractors and that's why so certainly I think it's a good work. The team has been doing -- should be -- should allow us to do this really effectively.

And I think it's also true that Godrej Properties every few years have scaled up, very different feel from kind of what it looked like 3 or 4 years before that. So I think now with even more rapid scale up, we will be very focused on ensuring our operational capabilities are matching that. And as you said also, I think one advantage of focusing a lot on outright own projects as Godrej Properties Limited

February 06, 2024

Page 16 of 18

well as more premium projects is that the scale of operational intensity has not increased quite as much as the overall sales value has. Gaurav, do you want to add anything?

Gaurav Pandey: I couldn't agree more with what Pirojsha just mentioned. And I think the essence if you study why Godrej Properties is probably quite best to perform in this up cycle is we're the only company which has something like a branch-head operating model, which is like every site is a P&L for us. So we have a very decentralized ecosystems. And of course, governance and controls coming from central, but every site is an operating unit to us with a operating team with very well defined target being measured weekly and monthly on set of KPIs.

So yes, the execution muscle, the governance muscle always have existed for us, but just having the right operating model is allowing us to capitalize on the opportunity of scale up. And while this looks to be a very strong growth and very delighted to see that. But if you just see from our lens, we have four business units. Each business unit is run by a sort of a CEO with a executive leadership team. So the problem of execution excellence comes when the scale of is frankly much more higher, like some of us here to operate in 1 or 2 geographies.

So I think the potential for us to do better and ensure that each KPI is delivered upon is very low hanging for us right now. But of course, this is something which we don't take for granted, and we keep pretty strong in that and performing strong monitoring mechanisms for insure this. Yes.

Eshit Sheth: Got it. Sir, and just one last question I had. At the end of this quarter, we saw the resignation from your uncle Mr. Jamshyd Godrej. Is there any kind of precursor to some kind of settlement for the Vikhroli land that we can look at for Godrej Properties in specific?

Pirojsha Godrej: No, I think we announced the rationale for the resignation along with announcement, which is that we have a board policy of our directors stepping off the Board, when they turn 75. My uncle, Jamshyd Godrej turned 75 about a week or 2 ago. And therefore, at that time, he stepped off the Board. We're very grateful to all his contributions to the company over that time. He's I think the third director in the past 12 months who would have turned 75 and stepped off the Board. So that's the rationale.

Moderator: Thank you. Our next question is from the line of

Jahnvi Shah from LIC Mutual Fund. Please go ahead.

Jahnvi: My question was, can you give us some update about the Godrej summit property in Gurgaon? On -- how -- like what are the repair works going on? And what is the number of the customers that took up the offer of buyback?

Pirojsha Godrej: Yes. The repair works there have gone in full swing. We hope to complete them by the end of this calendar year. As of now, we've had about 10% of the customers opt for the buyback option, so we bought back little over 100 apartments so far. We expect to see that go to about 200 over the next few months basis current visibility.

Jahnvi: And out of the INR155 crores that are like -- that are provided for the rate and how much did it cost?

Godrej Properties Limited

February 06, 2024

Page 17 of 18

Rajendra Khetawat: We have spent around INR20 -25 crores till date.

Moderator: Thank you. The next question is from the line of Ritwik Sheth from One Up Fin. Please go ahead.

Ritwik Sheth: Congratulations on a great set of numbers, sir. Sir, I have just one bookkeeping question. The cash flow statement that we put out in the presentation, is the net operating cash flow to our share or this is before any share to JV / JDA?

Rajendra Khetawat : Yes, our share.

Ritwik Sheth: It is our share. Okay. All the best.

Moderator: Thank you. Our next question is from the line of Manoj from Geometric. Please go ahead.

Manoj: Okay. Congratulations Pirojsha for a great set of retail number and the kind of profitability it gives, like you said, 18 -plus percent, something plus. My -- one is a bookkeeping question. What

would be our corporate fixed costs for FY'23 and what would be for FY'24? Any range ballpark any number?

Rajendra Khetawat: So corporate fixed cost is generally after allocation would be in the range of 3% to 4%. But on an overall basis, at a pan -India, basically it will be like a 6% to 7%.

Manoj: Okay, 6% to 7%. Okay. And my second question is like people are asking about debt equity gearing. So the kind of cash flows the company has because of these presales and the kind of profitability and all of this thing. And even if it's been a different accounting method, the equity would have changed. How do you think about your BD development with these kind of misrepresented debt equity, any ballpark, absolute number of debt you have in your mind? How do you think about or how do you want to communicate to the shareholders?

Pirojsha Godrej: Yes. I think we mentioned the gearing ratio that of anywhere around 0.5 to 1:1 is broadly our comfort level. 1:1 would be a little under INR10,000 crores at the moment. So that's roughly the number we look at. So we've also said that temporarily, if we need to be below or over that as long as we're confident of bringing it back into that frame, we would be comfortable to do for the short term.

Manoj: And my last question is, can you tell something more about our project Ashok Vihar? What would be the size and what would the kind of offering it would have, if it is possible?

Pirojsha Godrej: No, I think, of course, we'll have all the information on it once the project is ready to launch, but it's going to be a large project for us, nearly 4 million square feet of area. I think pricing in NCR has done very well over the last few years. So we're very confident of that project achieving a good liquid price. I think given this location of the land, the surrounding area, the quality of the plan we have, we hope to make that a blockbuster launch as soon as our approvals are in place.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Godrej Properties Limited
February 06, 2024

Page 18 of 18

Pirojsha Godrej: I hope we've been able to answer all your questions. If you have any further questions or would like any additional information, we'd be happy to give assistance. On behalf of the management,

thank you once again for taking the time to join us today.

Moderator: Thank you. Ladies and gentlemen, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

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May 07, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
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The National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051

Ref: Godrej Properties Limited
BSE - Script Code: 533150, Scrip ID – GODREJPROP
BSE - Security Code — 974950, 974951, 975090, 975091 — Debt Segment
NSE Symbol - GODREJPROP

Sub: Transcript of the conference call with the investors/ analysts.

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Schedule III Part A, Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call organized with the investors/ analysts on Friday, May 03, 2024, post declaration of financial results (standalone and consolidated) for the quarter and financial year ended March 31, 2024.

This is for your information and records.

Thank you.

Yours truly,
For Godrej Properties Limited

Ashish Karyekar
Company Secretary

Enclosed as above

Ashish
Sudhakar
Karyekar Digitally signed by
Ashish Sudhakar Karyekar Date: 2024.05.07 16:32:47 +05'30'

“Godrej Properties Ltd. Q4 FY'24 Earnings Conference Call ”

May 03 , 2024

MANAGEMENT : MR. PIROJSHA GODREJ – EXECUTIVE CHAIRPERSON ,
GODREJ PROPERTIES LIMITED
MR. GAURA V PANDEY – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER , GODREJ PROPERTIES
LIMITED
MR. RAJENDRA KHETAWAT – CHIEF FINANCIAL
OFFICER , GODREJ PROPERTIES LIMITED
MR. KSHITIJ JAIN – GODREJ PROPERTIES LIMITED

Godrej Properties Limited
May 03, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Godrej Properties Limited Q4 FY '24 Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Kshitij Jain from Godrej Properties. Thank you and over to you.

Kshitij Jain : Good afternoon, everyone, and thank you for joining us on Godrej Properties Q4 FY '24 Results Conference Call .

We have with us Mr. Pirojsha Godrej, Executive Chairperson ; Mr. Gaurav Pandey, Managing Director and CEO ; and Mr. Rajendra Khetawat , CFO of the Company .

Before we begin this call, I would like to point out that some statements made in today's call may be forward -looking in nature and a disclaimer to this effect has been included in the Results Presentation .

I would now like to invite Mr. Godrej to make his Opening Remarks. Over to you, sir.

Pirojsha Godrej: Good Afternoon, Everyone . Thank you for joining us for Godrej Properties 4th Quarter Financial Year '24 Conference Call . I will begin by discussing the highlights of the quarter and we then look forward to taking your questions and suggestions.

I am happy to share the GPL has registered its best ever quarter and most operational parameters in the 4th Quarter .

In terms of new bookings, Godrej Properties achieved its highest ever quarterly and annual sales , booking value for the quarter stood at Rs .9,519 crore s, up by 135% year -on-year over what was the time our best ever quarter , and 66% quarter -on-quarter over what was also our best ever quarter at the time. This was the third consecutive quarter and fifth time in the last six quarters that GPL has set its highest ever quarterly sales benchmark .

Booking value for the full year 2024 stood at INR22,527 crore s, up 84% year -on-year over the previous best ever year and 61% above the guidance we provided at the start of the year . Both the quarterly and annual sales values are the highest ever announced by any publicly listed real estate developer in India until date. This sales growth was on the back of both improving project mix as well as strong volume growth of 21% in Financial Year '24 . The strong growth can be attributed to an extremely strong customer response to some of our new launches during the quarter .

Godrej Properties Limited
May 03, 2024

Godrej Zenith in NCR achieved a booking value of Rs.3,008 crore s and Godrej Reserve in MMR achieved a booking value of Rs.2,693 crore s. Both of these projects were the best ever launches for Godrej Properties in these respective markets.

In Financial Year '24 , four projects, including Godrej Aristocrat launched in Q3 and Godrej Tropical Isle launched in Q2, achieved over Rs.2,000 crore s of booking values , and all four of these projects are owned outright by Godrej Properties .

Godrej Properties bookings in NCR in Financial Year '24 grew 180% to just over Rs.10,000 crore s and Godrej Properties bookings in the Mumbai region grew over 114% to Rs .6,545 crores. GPL also achieved its highest -ever cash collections and net operating cash flows ; collections were Rs.4,693 crore s for the 4th Quarter and Rs.11,436 crore s for the financial year , leading to net operating cash flow growth of 16% year -on-year to Rs.2,607 crores in the 4th Quarter and growth of 23% to R s.4,334 crore s for the full year. This was aided by deliveries of 6 mn.sq.ft. across seven cities in the 4th Quarter , taking the annual tally of deliveries to 12.5 mn.sq.ft., another record milestone for God rej Properties. T he strong cash collections allowed for GPL to reduce net debt by ove

r 700 crore s in the 4th Qu arter despite strong business development in that piece .

With a large number of project completions in the last quarter, GPL recorded its highest ever reported net profit numbers on a quarterly and annual basis. Our total income for the 4th Quarter increased by 1% and sto od at Rs. 1,952 crore s. Our EBITDA increased by 3% to Rs. 649 crore s and net profit increased by 14% to Rs. 471 crore s over a very strong base quarter.

For Financial Year '24 , our total income increased by 45% to Rs.4,362 crore s. EBITDA increased by 20% to Rs.1,197 crore s, and net profit increased by 27% to Rs.725 crore s.

From a business development perspective, I am happy to announce that Godrej Properties entered the Hyderabad market in the 4th Quarter with two land deals with an estimated booking value potential of nearly Rs.5,000 crore s. The Hyderabad market is amongst the largest and fastest growing residential real estate markets in the country and these acquisitions are in line with our strategy of strengthening our portfolio across the key markets in India.

In all, we added four group housing projects with an estimated booking value of Rs.12,800 crore s in the 4th Quarter of the financial year and a total of 10 new projects with an estimated booking value of just over Rs.21,000 crore s in the full financial year.

We believe Financial Year '24 has been a transformative year for Godr ej Properties with huge growth in bookings and especially in GPL share increasing .

Our hypothesis of raising capital five years ago, deploying aggressively into business development when market conditions were favorable for investments and using these new

Godrej Properties Limited

May 03, 2024

projects to deliver exponential growth in booking is we believe playing out exactly as we had hoped .

While reported cash flow and earnings growth has been strong, we believe these parameters would see a sharp upward trajectory in the years ahead. This is the high bookings combined with GPL increased economic interest in these projects.

The pro forma P &L details, including in our investor presentation , provides the sense of the growth potential in the P&L as the project s launched this year achieve revenue recognition largely in financial year '27 and financial year '28.

For Financial Year '25 , we hope to grow residential bookings by 20% over a high base to Rs.27,000 crore s through the launch of a large number of exciting new projects combined with strong substance sales. This combined with continued strong project deliveries should allow us to build on the momentum generated in Financial Year '24 in strong operating cash flow generation.

On that note, I conclude my remarks. Thank you for joining us on the call. We would now be happy to discuss any questions, comments or suggestions you may have.

Moderator: We will now begin the question -and-answer session. We will take our first question from the line of Abhinav Sinha from Jefferies India. Please go ahead.

Abhinav Sinha: Sir, with the scale that we have achieved on sales now , I mean, what's the medium -term target looks like , I know, I mean you've given a strong guidance for '25, but what's the view from a three -year basis now?

Pirojsha Godrej: I think the base certainly is more demanding now than it has been in the past years, but I think we'd like to stick with our guidance of 20% growth over the medium -term. Of course , this might get calibrated upwards or downwards basis market conditions and how strong business development additions from here are. But over the next few years, I think 20% number remains the aspiration.

Abhinav Sinha: For FY'25, if you can help us on the guidance, how much can we say volumes versus pricing?

Pirojsha Godrej: So, I think it will depend a little bit on the mix and what approvals etc ., comes through. But if you look at it over the last year, it's been a fair mix of gr

owth in volumes which last year was

31%, a year before that was 40%. And I think pricing is in two parts it's important to remember .

One is actual pricing growth for the same project because of market conditions. But I think a lot of GPL growth has come from repositioning the company into a stronger set of location and the pricing growth that has accompanied that . I think r eally I have to break up the booking value

growth into three buckets. One is kind of volume growth, the second is repositioning or kind of improved project portfolio growth and the last is like -to-like pricing growth , and I think all three will continue to contribute in the year ahead .

Godrej Properties Limited
May 03, 2024

Abhinav Sinha: Also, if I may ask a little bit of clarity on the family agreement that just came out yesterday. So, a few questions there. Firstly, can you clarify the MoU that we have for the Vikhroli development? It will continue beyond a six year exclusivity period because I understand there is some sort of apprehension out there.

Pirojsha Godrej: Yes, it's very clear that DM has already been in place for many years and will continue exactly as is and is applicable for the entire Vikhroli land. There is no time -bound period to which it is applicable . So, Godrej Properties will act as the development manager in partner Godrej & Boyce which is the landowner and developer of the of the development. So, we greatly look forward to playing a role in that project and we are quite happy that after several years in Q4, we actually had a launch under this development management relationship, we launched a project for Godrej Vistas , which is off to a good beginning. So, hope to see a lot more activity in Vikhroli in the years ahead. But just to be very clear, there's certainly no time limit after which the DM doesn't continue.

Abhinav Sinha: On the exclusivity part also, so how does the usage of brand name work say in the next six years and even beyond that , I mean, how do you see that as such?

Pirojsha Godrej: Abhinav, part of this understanding for each side existing categories, there is an agreement that we won't use the brand and won't compete with each other in those cases. So, for real estate , let me clarify how this works. For the first six years, Godrej & Boyce is not going to do any real estate development outside of land that it already owns today. So, on the land that it owns today, Vikhroli of course being the main one of those, it is free to do development, including using the Godrej brand , but it cannot do any development on new land parcels beyond that. Post the six -year period , Godrej & Boyce is free to do development on other lands but cannot use the Godrej brand for those developments. So , that is a very important distinction. I should also point out that Godrej & Boyce has an existing construction business and that is actually their exclusive business . So, while Godrej Properties is free to do construction for its captive purposes of developing its own projects, if we ever wanted to backward integrate , we are free to do so, but we will not be for six years able to do third -party construction services for other developers or other companies. And after a six -year period, we can provide such services, but we won't be using the Godrej brand for that . And that is true across all categories that one or the other side has a presence in. I think there has been a little bit of confusion on this saying that they can be competing Godrej Developers , etc., that is not at all the case . The development to Godrej & Boyce from a property development perspective for the next six years is entirely limited to land they already own. Of course, the most important of those lands is Vikhroli , which will be developed through the DM . And post six years , while they are absolutely free to set up a real estate development company, it

it would have to operate without the Godrej brand .

Moderator: The next question is from the line of Parikshit Khandpal from HDFC Securities. Please go ahead.

Parikshit Khandpal : So, just delving a little bit more on the family settlement agreement. So, now with this in place, do you think there will be acceleration in launches because we have so much of land in Vikhroli, Godrej Properties Limited
May 03, 2024

so now all these issues ironed out, do you think we can get at least every year a launch coming in from the Vikhroli land?

Pirojsha Godrej: No, I think as we indicated in the press release, the timing of launches in Vikhroli will be largely determined by Godrej & Boyce . But certainly I think this clarity will aid in there being a more momentum to this process , and as I said, I am very happy that we have launched a project under this arrangement after a few years in Q4 and would certainly hope to see many more such projects ahead.

Parikshit Khandpal: And this 10% DM, if there any change there or it will be same ?

Pirojsha Godrej: There is absolutely no change to the agreement of any kind. So, that's exactly what it was, which is, as you said, 10% of top line.

Parikshit Khandpal: And just the last question on the promoters . Now. I mean we have both the family for now. Which are the promoter shareholding will it get classified into like public shareholding and what's the future, I mean , how will the shareholding change post this?

Pirojsha Godrej: So, I should clarify that the families has announced its intent and the agreement it has gotten into. The immediate next step is to seek regulatory approval, which we will be doing over these next few weeks . Assuming , those come through and we are able to close as envisioned , the families will be de-promoterized from each other side of the group. There will remain some amount of cross -holdings between both the groups and those can continue thereafter.

Parikshit Khandpal: Now we are seeing that in NCR, we have already reached 10,000 crores of sales and MMR also just crossed 6,000. So, now incremental growth, do you think there's still scope for these two markets to offer your incremental growth in FY '25 given you have already announced the 27,000 crores of pre-sales? And with such high market share, do you think still scope for you to grow from these two markets?

Pirojsha Godrej: Yes, certainly I think we have a lot of scope to grow in these markets. If you look at NCR as an example, I think the market did fantastically well this year, the team performed fantastically well. So, I think hats off to Gaurav and our CEO in NCR, Geetika and her team, because I think the numbers were very strong, but largely we delivered through the launch of three projects. I think we have the potential this year to launch at least five or six projects. So, certainly, we hope that market conditions sustain that we can see strong growth in NCR as well. In Mumbai, we had a very strong 4th Quarter. We have several new large projects that are now in the market where we have additional towers and additional inventory to be launched in the year ahead. We have some exciting new launches planned in places like Worli. So, again, I see no reason that we shouldn't be able to grow up this way.

Moderator: The next question is from the line of Puneet Gulati from HSBC. Please go ahead.

Godrej Properties Limited

May 03, 2024

Puneet Gulati: My first question is with respect to your 27,000 crores guidance. How much of this should we think will come from sustenance sales, how much of it is dependent on new launches?

Gaurav Pandey: Thanks for the question. See, essentially when we plan a launch calendar for a year, we always keep a series of projects with some buffer and of course we have a lot of sustenance inventory. We don't really have a clear guidance on the sustenance and launch. It frankly changes from

quarter-to-quarter. If you look at the Q1, Q2 of the last year, it was largely sustenance balance with some launches, but if you see let's say, Q4, it was just the opposite, about 84%, or 80%-plus worth very large new launches. So, I think quarter-to-quarter it would shift, but fair to say it will be a very launch heavy year balance with some amount of sustenance, largely launches would be the bigger contributor.

Puneet Gulati: So, will it be possible to share what is the value of unsold inventory that you have?

Gaurav Pandey: Offhand, I won't have a number to share with you, but fair to say in every geography we have a huge set of inventory. Rule of thumb is whatever guidance we gave you, the available inventory that we have in stock is usually at least 2x available in our mind is when we typically give you a forecast.

Puneet Gulati: So, when you said 27,000 crores, you're saying 54,000 crores -

Gaurav Pandey: We will have visibility in our pipeline of about 50,000 crores. Our total inventory is even significantly higher, but the one I am talking about is mostly in the pipeline funnel that we get to see. Finally, it's a combination of launches that will hit in the market, but that's how we typically make our estimate.

Puneet Gulati: So, if I were to just do some basic math here, so you're talking of 30,000 crores of new launches, does that mean about 24,000 crores of inventory is remaining to be sold from the projects already under execution, is that how one should think about that?

Gaurav Pandey: Not really. Project-to-project, it would differ. I don't have the off hand number of unsold stock. I think your question is unsold stock of launch inventory, right?

Puneet Gulati: Yes.

Gaurav Pandey: This question is answered. I will probably get back to you on the unsold stock, but fair to say if you look at the recent launches, if I give you an example, last year, we did a launch in Tropical Isle, right, this was sold out to zero inventory available. We did an Aristocrat largely about 80% - plus sold and again some amount of sold out in Q4, so about maybe 10%. Then we did Reserve. Reserve will have about close to 4,000 crores of stock available. So, the recent launches if you see anything which is 2,000 plus crores, the residual inventory is about 10% with the exception of Godrej Reserve. But historically, if you see very old projects of ours, we were always launching phases, and typically in year one, we would launch back then about 70% and then sustenance would follow. So, if you ask me in this 27,000 crores project which were launched

Godrej Properties Limited

May 03, 2024

in the H2 of last year in NCR, not much of sustenance available, we practically sold them out, but you will have good amount of inventory as new tower launches in Mumbai and another location.

Puneet Gulati: And 30,000 crores launch will include that number as well, right?

Gaurav Pandey: Yes, yes, 27,000 crores is the guidance that we have given, it will include all of that and launches as you rightly said, will include the new tower launches as well.

Puneet Gulati: So, just following up on that as well, you've been selling significant amount of what you launched in the year itself. So, how are you thinking about cost and pricing? Don't you want to

keep some bit of inventory for later dates to realize better prices or are you thinking that best to capitalize on current prices?

Gaurav Pandey: So, if you ask me from a mitigation strategy and inventory management, I think it's market-to-market, right. I mean if we see for example North as a market, right, our ability to charge premium to our underwriting is very live right now. So, if I give you some examples, look at the launch of Q3, which was Aristocrat. Between what was the underwriting to the included profit that we have shown it was almost like close to 1.8 -2x of our underwriting prof

it. So, if we see

that there is an immediate opportunity basis what we have underwritten, we can significantly enhance our profitability. The costs will not be as high then our opportunity to capture the upside immediately. But likewise, in certain markets, like if you see Bombay, while this has become Mumbai real estate higher selling project and we had the opportunity to of course launch more inventory, but very conscious of launching inventory phases because we believe there is a far more price upsides available. Of course, the launch itself saw much of price performance versus underwriting, but we believe in that particular micro market where there is hardly any supply, we would be able to command more premium. So, finally it's a call between immediate price upside opportunity available versus long-term costs. Wherever we feel the opportunity is better than the risk, we kind of capitalize on that, but there are times we also will do staggered sales.

Puneet Gulati: Lastly, on the commercial portfolio, if you can guide us as to what is your share of capital employed and what is your share of net operating income from the commercial?

Gaurav Pandey: Total rental portfolio opportunities is about 1,100 crores and the full potential is about 270-odd crores. And of course, as and when we will hit OCs, this will continue to come, most of the OCs will hit in this year itself. So, we have already got one OC last year and this year we will see the OC if all the residual core inventory. Our share of profit is different in different projects in Godrej Two, for example, it is about 50% and you would appreciate that we saw massive leasing uptake in Q4, almost close to 94%. In another commercial portfolio, which is the Taj The Trees which is just recently opened, you would see that there is 100% owned by Godrej Properties. We have seen some fantastic occupancy about 67%, a very high amount of EBITDA and it is just the start the property in terms of its operations. We hope to see even better return in the coming year. So, yes, I mean, our commercial portfolio frankly is outperforming our own internal estimate
Godrej Properties Limited
May 03, 2024

because there's a very strong uptake in FY2024 and I think FY '25 likely would be even more exciting.

Puneet Gulati: Are you likely to take more commercial projects?

Gaurav Pandey: We have a partnership with Godrej Fund Management. As we would appreciate, it's very opportunistic to how we see the development. I think currently we have a good focus on these specific projects. There's the thing immediately in our mind to be very frank and currently with more execution towards ensuring the leasing, everything gets over, but we do see something very exciting in the coming quarters and all, we will be of course evaluating on.

Pirojsha Godrej: There will be a growth I think in these commercial projects including one this year for sure. But as Gaurav was saying, I think it's correct, the key focus for the year on the commercial side will be to stabilize and start operations for these four or five assets that are completing this year.

Puneet Gulati: So, the MOU is only applicable for Vikhroli and not for any other land parcels, there was Mohali, Hyderabad earlier, that's no longer effective now?

Pirojsha Godrej: Correct, it's just for Vikhroli and I think some of that Hyderabad property and all has actually been is I don't think in the system anymore but yes, but the MOU is for Vikhroli.

Moderator: The next question is from the line of Saurabh Kumar from JP Morgan. Please go ahead.

Saurabh Kumar: So, I had a few questions. The first is essentially on this economic interest. So, we have seen this economic interest go up. Can one expect this to keep going up to like let's say 90%, 95% or do you think 85%-odd we peak out now?

Pirojsha Godrej: No, I don't think it will keep going up. It's already

at 85%. So, it's already at a very high level.

So, I would not expect it to really grow up from here. It might go up a little down a little year-on-year basis, whether JVs are contributing, etc., But I would say I would not expect it to start going towards 100 or anything like that and you would have seen even this year we did have some joint ventures added.

Saurabh Kumar: So, effectively, the EBIT which you're reporting at about the proforma EBIT. If you adjust for this, on a normalized project basis, you should have earned close to 30% because you are basically happy to earn 25%. That's the broad understanding I am coming up, right?

Pirojsha Godrej: I think again, if there is a lot of projects and structures beyond just JV and outright, but yes, I think there certainly is room to continue to improve margins given the kind of momentum we are seeing in the market.

Gaurav Pandey: So, typically what we essentially do, when we underwrite transactions agnostic to the deal

structure , our targeted imputed margin metrics are very similar. The only difference is that when you actually hit the market . If it is a 100% on project and the market is supporting your ability
Godrej Properties Limited
May 03, 2024

to significantly take the margin up , if the opportunity available, but whether we are doing any deal today or we will do in future with the JV project and outright , our return expectations are very similar when we underwrite a deal, it's not different for our JV project or outright for that matter .

Saurabh Kumar: The underwriting margin which you're targeting is about 25%, right ?

Gaurav Pandey: Yes, in plotted , of course it will be much higher , but ye s, ballpark what you're saying is right.

Saurabh Kumar: And in the underwriting , I am assuming now you keep construction buffers . If you can quantify the amount of buffer you keep in your underwriting?

Gaurav Pandey: Yes, we do try and keep , but to be very frank, that's the risk to the market. In fact, if you see our pro forma, we have intentionally, even shown you a scenario with 10% sort of a contingency exactly to help one get a perspective, but eventually in execution , our ability to manage costs will either improve the r eturns or could marginally reduce it. But fair to say, what we are publishing in terms of the range is what we aspire to hit.

Saurabh Kumar: So, this imputed is after factoring in the contingency or without the contingency on construction ?

Pirojsha Godrej: I think there obviously is some contingency figured even in the base thing , that there will be some escalation , that is part of the basic business planning . What we are saying is beyond that .

So, even the base number that we provided as actual , obviously has some factor of contingency for escalations in others. We just wanted to clearly show that this number is not something set in stone, that there is execution risk attached to this , we have just tried to present a range which shows kind of if for any reason execution sees deterioration in this by say up to 10% of projected EBITDA, the ratios would look like under certain scenario .

Saurabh Kumar: Moving on to business development. So, you've done 20,000 crores this year, next year is 20 ,000 crores . So, I understand you have a bad book, but in an environment where, let's say, property prices are going higher than land prices once you want to do more BD at this point of the cycle and like slowdown later , I mean, why are you taking such a conservative even for BD for next year at least ?

Pirojsha Godrej: Honestly, I think our BD guidance is probably the one we pay the least attention to if I am being totally honest, because BD really depend on what we have seen during the year and the specific opportunities . There is not going to be if we see great opportunities , the 20 is not going to form any kind of upper cap certainly. And we have seen in past years

, for example, in FY '23, where I

think we guided around 15,000 and ended up doing 35,000 or so. So, certainly I would not look at this 20,000 as an upper cap and we would hope to if we see the right opportunities, go well past this . And you're right that I think just intuitively, the BD growth should be at least at replacement level. So, see the right opportunity , I don't think we will stop from taking them , but at the same time, I think meeting our guidance is important to us on business development, we are quite clear that it's not something we do at any cost. So, if we feel the opportunities are not,
Godrej Properties Limited
May 03, 2024

correct for whatever reason , we won't be overly aggressive and we do feel we have a good portfolio for the next couple of years in any case.

Saurabh Kumar: On this Bombay , so you've obviously scaled up nicely, but your market share in Bombay will still be maybe between I am guessing between #6 to #8. In terms of new projects acquisitions also, Bombay doesn't seem to be that big this year at least. So, how would you be thinking about this market? You've done very well in Delhi and NCR and some of the other markets. What's your strategy for Bombay , and is there a market share aspiration you have here?

Gaurav Pandey: Essentially, if you see even the guidance that we have given from a launch point of view, right, in fact the highest launched volume that we talked about from value point of view is in Bombay , it's about 9 ,500 crores, but coming on bit of forward -looking and how we are looking Bombay portfolio , if you try and see what is happening in Mumbai for the last piece, you'll try and appreciate the point of inflection. Bombay used to be a sort of a sort of a dormant business for a couple of years back, about 1 ,500, 1, 600 crores and in FY' 23, this became almost double of that , say for the first time we crossed 3 ,000 crores kind of a number. And what's hap pened in the last financial year, it's crossed 6 ,000 plus number, 6,500 thereabouts. So, essentially last year we were trying to see that the acquisitions that we have done in FY '22 and '23, how are they going to play out because there were some seven high capital very important transactions, we did starting from projects like the Mahala xmi project that we have , the Kandivali project we had , something in Azad Nagar , Thane and the likes of it. Now , having seen that playing out really well, you would see continued momentum in Bombay. And if I just want to give you some very, very broad level sort of pipeline indicators that we have , we have something in Carmichael R oad,

we have something very exciting finally coming up in Worli this year, we have done something in Bandrup as a planning. We have close to (+4,000) crores worth of inventory available in Kandivali project and then there's something coming up also in Navi Mumbai. So, I think we have a very robust pipeline for this year. But I think the determination to do more is going to be a little more stronger from Bombay this year because of the last year's execution strategy kind of playing out well. So, I think it's a bit of a thoughtful approach that we will continue every quarter to buy land where we feel we are very confident, then if it crosses a particular threshold of capital deployment and booking value available in that particular micro marketing geography, we will wait for the launch to happen, and with success we will of course double down and add more. And this has played out very well for us, if you see last year towards the NCR, then it was MMR and I think you will see a lot of action even in markets like South and Pune this year.

Saurabh Kumar: So, on your residential project, so you have this an annexure slide. So, effectively you have to get approximately from what I can calculate around 28,000 crores is the cash to collect, is that number broadly my understanding is correct?

Rajendra Khetawat : Correct, Saurabh.

Saurabh Kumar: What is the cost to finish against it?

Godrej Properties Limited

May 03, 2024

Rajendra Khetawat : We have not been giving that guidance, but you can have a normal percentage applied whatever is the normal construction rate. We always give that what is our expected profit now with proforma, you can very well do a back calculation.

Saurabh Kumar: Yes, but your land cost should be about 20%, 25% of sales, right?

Rajendra Khetawat : Depends, it can reach anywhere from 15% to 25%, yes, depends on project-to-project.

Moderator: We will take our next question from the line of Parvez Qazi from Nuva Group. Please go ahead.

Parvez Qazi : My questions are related to the cash flows. In line with the sales, we have seen pretty decent improvement in our operating cash flows. I mean if one looks at a quarterly basis on an average our construction and project-related outflows have been somewhere closer to about 2,000-odd crores and therefore there's a fair bit of volatility in our net operating cash flow depending on the collection. So, how do we see on an annual basis, our operating cash flow going ahead? And the second, in terms of our land-related CAPEX, we have done roughly about 5,500 crores this year. How do we see that going ahead and consequently, what would be our debt trajectory in future?

Gaurav Pandey: Let me try and break it up into sort of parts. The essentially as you rightly said the operating cash flow is largely coming out of collections growth. If you see our collections CAGR, it's about 34.7 and what is more noticeable is to see the trend from FY'22. So, from FY'22, our collections have almost doubled. And again, an interesting data point is to see points of inflection like FY'23, the Q4 sales were about 4,000-odd crores. This year, the Q4 collections is more than that right. So, I think collections is following a sort of a lag of three to five quarters in every project, because all our payment plans are construction-linked and I think the idea is that if we continue to sell well and we ensure that the collections payment plan are very, very front-ended, your collections with the great efficiency will continue with the CAGR that we have already been seeing in the last two, three years. In terms of operating cash flow, again, if you see, it's going at a 50% plus CAGR. Now that being said from a future and FY '25 point of view, if you see, this is one year, we are normally a little more conservative in giving a collection guidance. Last year, we gave a collection guidance about 10,000 crores and we delivered something 11,300, 11,400 crores. The year before that was a similar; we had given a conservative and were able to exceed. We understood that the kind of sales we have achieved in FY'24 is very, very high quality which has given us the confidence to kind of step out and give a relatively much higher guidance, which is about 15,000 crores. And I think fair to say with that kind of guidance, we will see a continued good trajectory of operating cash and there beyond. Now, the second bucket which is mostly on our ability to invest and how we are seeing debt and all, I think we have always maintained in every earnings call that our gearing ratio that we are comfortable is between 0.5 to 1:1. I think we were 0.72 in Q3, in Q4, we have become 0.62. In fact, this is the first quarter in the recent quarters where we have close to 700 crores of free cash flow or something which previous questions were being asked. So, I think if we continue to be prudent

Godrej Properties Limited

May 03, 2024

we calibrate our investment strategy to opportunity. We will maintain 0.5 and 1:1 with the net debt never crossing above 10,000 crores. So, I think it's purely the growth momentum, strong asset management, very strong quality of sales and monitoring of that which

is resulting into this

opportunity to have a continued trajectory of aggressive growth.

Moderator: We will take the next question from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.

Pritesh Sheth: First again is on Vikhroli. So, post Godrej Vistas launch, we can see only one project which is left with Godrej & Boyce. So, that's the only project where we have MoU in place right now and then for the rest of the project, MoUs will follow up on time-to-time basis, is that understanding, right?

Pirojsha Godrej: No, the MoU is for the whole land. So, we have an MoU in place for the whole Vikhroli land, that as Godrej & Boyce wants to develop individual parts of it. It will be developed through the DM. We have Godrej Vistas currently under development as you rightly pointed out as another identified parcel which is in a planning stage and hopefully will be available to be launched immediately upon Godrej Vistas completing. There is of course a lot of other land that could potentially come up for development. It would not be appropriate for me to comment on that in detail at this stage. As we get more visibility on exact plans from Godrej & Boyce, we will of course share them at the correct time.

Pritesh Sheth: Anything that gets developed in the Vikhroli land would be through us as per the MoU, right?

Pirojsha Godrej: That's right.

Pritesh Sheth: Secondly on the micro market, so NCR, MMR, we did well. What's your view on Pune and Bangalore. Specifically, FY'25 does look great for Bangalore in terms of launches. So, can we assume like Pune sustaining the same run rate and Bangalore contributing to material growth next year that we are targeting?

Pirojsha Godrej: I think you could actually count on both showing strong growth in the year ahead. I think as we look at 27,000 crores, we look to have another strong year in NCR and Mumbai. Gaurav spoke a little bit about the Mumbai pipeline. I've mentioned in NCR, this 10,000 crores number from FY'24 was largely on the back of three launches. We have the potential for six in FY'25. In Bangalore, I think we have a very strong pipeline and actually it was a little bit of a timing slip where a big launch in particular slipped out of the year, we could have had a much better FY'24 as well, we are quite confident that seeing a big number in Bangalore in FY'25. And Pune also, we have a few new projects that we are looking forward to bringing to market that are already in the portfolio. And it will be an area of focus from a business development perspective as well. And just to add to that, of course, we also have an entirely new market, which contributed nothing in FY'24, which is Hyderabad market. So, between all of those, we think there's good visibility of us getting to this 27,000 crores number.

Godrej Properties Limited

May 03, 2024

Pritesh Sheth: And underlying assumption for FY'25 would be MMR and NCR sustaining the run rate that they had done in FY'24 or there is a growth incorporated for these two markets as well in those numbers?

Pirojsha Godrej: We will have hefty growth in these markets as well certainly.

Pritesh Sheth: Just lastly on the imputed margins, we see 27% kind of EBITDA margins. Was that margin tilted by a large contribution from NCR either upside or downside or how do you expect this margin trajectory going ahead considering other markets like Pune, Bangalore and Hyderabad start contributing to little larger extent?

Pirojsha Godrej: I think it's perhaps a little bit dependent on market conditions, but I think overall these kind of margins we are expecting to be I think 25% to 30% is a reasonable expectation. As Gaurav said, plotted development might be a little bit higher than that. But I don't think the geographic mix will necessarily change things very significantly. It's more the project mix within each city. I think if you

have more IM projects and so forth or more outright own projects, both can have an impact, but I would not expect that if we do more in Bangalore, for example, this year, that would have any kind of negative impact on margin.

Gaurav Pandey: If I just add on like I mentioned sometime back whenever we underwrite transactions, our return thresholds from underwriting is more or less same for all markets. Yes, of course it's the opportunity, finally when you hit the market, your ability to take price upside in certain markets, creates more acceleration. But I think from a long-term if you try and see, our aspiration and direction from BD is to have geographic-agnostic similar kind of return profile.

Moderator: We will take our next question from the line of (Jatin Kalra) from Bank of America. Please go ahead.

Kunal Tayal: This is Kunal. It's great to see the pro forma P & L out there. My first question is once again going back to the imputed EBIT margin. Just want to broadly understand, is the 27% number that you've registered for FY'24 broadly synchronized with the kind of opportunities you see out there on an ongoing basis? I am trying to understand if all the price increase which has happened in several of the markets over the past 12, 18 months, is this already captured in this 27% or does it start to play out from here?

Pirojsha Godrej: I think this is on actual sales during the year. So, the price increases across some of the projects

would be captured in this. I think it's important to keep in mind that we have seen a price increase in the sector. But honestly this is very much exactly what was kind of expected at this stage of the cycle. In fact, if you look at it, I think the price increase or the pace of price increase is much higher in markets like NCR and Bangalore. Some of the Maharashtra markets like Mumbai and Pune, we haven't really seen that level of price increase yet. We might see those markets continue to pick up. So, overall I think this margin at least in the near term is sustainable with the project portfolio we have, we'd hope to maintain or improve that.

Godrej Properties Limited

May 03, 2024

Kunal: And then just again going back to the geographical mix of bookings, NCR has broken through the ranks and contributing very nicely to the overall mix. Is that something which should continue for the next two to three years as well? I am sure a few percentage points difference here and there is okay, but overall, are you looking at the skew tilting in favor of any of the other markets in a big fashion or this is a fairly representative trend that we have seen in FY '24?

Pirojsha Godrej: See, my view is this comes down to execution by the individual teams in those markets. There is no real constraints we see from an umbrella perspective to growth in any of them. Market share even in NCR would be relatively modest sales. So, in terms of being able to add to that through new projects, I think the opportunity remains immense. I think Gaurav himself was running the NCR business and NCR team has been doing very well for many years. But certainly there's no inherent right say as to 40% plus of GP L business. So, we will have to execute at a very high level. I think the Mumbai team has shown in the 4th Quarter kind of what the potential here is as we get more and more projects to the market in Mumbai. I think our Bangalore and Pune teams are fully geared up and fully seen the kind of numbers, NCR and Mumbai have had this year and certainly have scoped their competitive juices. So, I think all teams have an opportunity, these are all big market, we have a relatively modest market share in all of them, we have an appetite for growth and we think availability of capital to fund growth in all of this. So, it will come down to ability to secure the right business development opportunities ability to consistently execute at scale.

le. I would say if you're asking me my opinion for this year, the NCR portfolio remains very strong and if market conditions there remain as they have been, that probably remains our largest market this year as well. But beyond that, I think it will depend a lot on business development in NCR, our ability to replenish the portfolio strongly and of course how well the scale up in some of the other areas happen. But overall, I think feeling pretty good about each of the key regions contributing strongly this year.

Moderator: The next question is from the line of Kunal Lakhan from CLS A. Please go ahead.

Kunal Lakhan: On the cash flows, right, we have seen spend on the growth this year or rather land, has been higher than our operating cash flow and I understand the OCF will go up as the collections rise, but I am assuming the spend on the land too will increase as you do higher BD for the replenishment. So, in terms of like funding of this growth, are we confident this will come through the internal accruals or would you look at raising capital at any point in time especially equity?

Pirojsha Godrej: Yes, I think we have no plan for the moment to raise capital. We would never kind of entirely rule that out, but certainly don't have any immediate plan for that. I think your point is very valid, but I think it's important to keep in mind that we are doing exactly what we said we will do, which is we will raise capital first, we will then aggressively go out and do business development disproportionate to our then scale and that will result in an increase in debt. And in fact, even when we were raising the capital, we said, we think it would be mismanaging the business to operate at under a gearing level of 0.5:1 given the kind of opportunities. So, we have done that. As a result, I think demonstrated that booking value growth can be very disproportionate through

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May 03, 2024

that strategy and we have had now, two years, one year of 55% growth in bookings, one year of 84%, if you look at as we have shown in the chart, the share of bookings attributable to Godrej Properties those growth rates increase further. So, that is going to require investment. Now if we slow that down to more 20% kind of growth, the amount of business development you need to do as a proportion of your current size will not be as much as it was three or four years ago. So, you will see that ratio improving. We are not, however, very fixated as we have said multiple times on very large free cash flow generation at this point. We could have obviously generated much more free cash than we did last year. We have chosen to invest a little less on business development. We think from a long-term value creation perspective, rapid growth and market share gains is a much stronger lever for us than kind of in your cash flow generation, because I think that scale is giving us huge economies of scale, huge ability to generate cash on a much larger base and hopefully a quarter like the one we just had is indicative that when things are firing you will see free cash given with a lot of business development and that's certainly the

goal, but we would quite intentionally not say that we will limit this development to ensuring that it is throw us the free cash because we don't see that as a requirement. We think the company has a strategic advantage in its access to capital, including debt of low cost and then having some debt on the balance sheet is an entirely intelligent part of making the best of the opportunity for growth that's available in the sector. As Gaurav rightly pointed out, we don't want to get carried away with that logic and have a balance sheet that puts the company under any kind of stress, which is why we have indicated this range of 0.5 :1. But honestly, if we were seeing free cash flow generation becoming so high that the debt was rapidly coming below

0.5 :1 that could be

assigned to us to look at increasing investments. But of course also calibrating and making sure that we are quite comfortable with the investment. We don't want to just be making investments to make investments. We have to be confident that we are making the right investment at the right time in this cycle that we are confident that irrespective of how market turns, we will still be able to generate the return on those investments. So, I think all of those are factors in our mind as we kind of look to calibrate business development versus free cash generation.

Kunal Lakhan: On the restructuring, so on the non-compete right, any restrictions for GPL on signing projects in say locations in central suburbs, which are in and around Vikhroli outside of the land owned by G & B, any restrictions for us?

Pirojsha Godrej: No, there are absolutely no restrictions on GPL or any kind to do any kind of property development in any part of the country or any part of the world for that matter. I think what some of the media has reported that there could be competition from another Godrej group, real estate company, etc., is also entirely inaccurate. As I've explained, Godrej & Boyce development using the Godrej brand will be limited to land already owned today. The biggest of which is of course Vikhroli which will be developed through Godrej Properties. And the reciprocal or the business that they have is the forte that we cannot do construction where we cannot use the Godrej brand even after six years, except of course, when we are doing our own captive construction, there's no prohibition against that.

Godrej Properties Limited

May 03, 2024

Moderator: Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to management for closing comments. Over to you.

Pirojsha Godrej: I hope we have been able to answer all your questions. If you have any further questions or would like any additional information, we'd be happy to be of assistance. On behalf of the management, I once again thank you for taking the time to join us today.

Gaurav Pandey: Thank you.

Moderator: Ladies and gentlemen, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

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August 05, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
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The National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051

Ref: Godrej Properties Limited
BSE - Script Code: 533150, Scrip ID – GODREJPROP
BSE - Security Code — 974950, 974951, 975090, 975091, 975856, 975957 — Debt Segment
NSE Symbol - GODREJPROP

Sub: Transcript of the conference call with the investors/ analysts.

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Schedule III Part A, Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call organized with the investors/ analysts on Wednesday, July 31, 2024, post declaration of unaudited financial results (standalone and consolidated) for the quarter ended June 30, 2024.

This is for your information and records.

Thank you.

Yours truly,
For Godrej Properties Limited

Ashish Karyekar
Company Secretary

Enclosed as above

Page 1 of 16

“Godrej Properties Limited
Q1 FY '25 Earnings Conference Call ”
July 31, 2024

MANAGEMENT : MR. PIROJSHA GODREJ– EXECUTIVE CHAIR PERSON–
GODREJ PROPERTIES LIMITED

MR. GAURAV PANDEY– MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER– GODREJ PROPERTIES
LIMITED

MR. RAJENDRA KHETAWAT – CHIEF FINANCIAL
OFFICER– GODREJ PROPERTIES LIMITED

MR. KSHITIJ JAIN – INVESTOR RELATIONS – GODREJ
PROPERTIES LIMITED

Godrej Properties Limited
July 31 , 202 4

Page 2 of 16

Moderator : Ladies and gentlemen, good day and welcome to the Godrej Properties Limited Q1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. Please note that th is conference is being recorded. I now hand the conference over to Mr. Kshitij Jain from Godrej Properties. Thank you, and over to you.

Kshitij Jain : Thank you. Good afternoon everyone and thank you for joining us on Godrej Properties Q1 FY '25 Results Conference Call. We have with us Mr. Pirojsha Godrej, Executive Chairperson; Mr. Gaurav Pandey, Managing Director and CEO; and Mr. Rajendra Khetawat, CFO of the company.

Before we begin this call, I would like to point out that some statements made in today's call may be forward -looking in nature and a disclaimer to this effect has been included in the results presentation. I would now like to invite Mr. Godrej to make his opening remarks. Over to you, sir.

Pirojsha Godrej : Good afternoon, everyone. Thank you for joining us for Godrej Properties First Quarter Financial Year 2025 Conference Call. I'll begin by discussing the highlights of the quarter and we then look forward to taking your questions and suggestions. I'm happy to share that Godrej Properties delivered another robust quarter registering a multi -fold growth in bookings, operating cash flow and earnings. GPL achieved its highest ever net profit in the quarter of INR520 crores.

The residential real estate sector in India has been strong over the past few years and we believe the sectoral tailwinds will continue over the next few years as well. The significant levels of business development we executed in previous years at favourable terms continue to allow us to scale our bookings and margins which in turn will lead to strong ear nings growth in the years ahead.

GPL achieved the highest quarterly booking value and volume across listed developers in India for the second consecutive quarter. Booking value grew by 283% to INR8,637 crores. Booking volume of 8.99 million square feet of area is the highest volume sold by any listed developer in India, surpassing GPL's previous best of 8.17 million square feet in Q4 FY '24. This strong growth can be attributed to an extremely strong customer response to some of our new launches during the quarter.

Godrej Woodscapes Bengaluru achieved a booking value of INR3,156 crores from 3.4 million square feet of area sold and Godrej Jardinia, Noida achieved a booking value of INR2,377 crores from 1.6 million square feet of area sold. Both these projects were GPL's most successful projects in their respective markets. With these two projects GPL has now achieved a booking value of over INR2,000 crores in 6 projects in the last 4 quarters.

GLP's net operating cash flow grew 737% to INR988 crores led by a 54% increase in collections to INR3,012 crores in Q1. This was also supported by deliveries of 2.7 million square feet. From

Godrej Properties Limited
July 31 , 202 4

Page 3 of 16

a business development perspective, I'm happy to announce that Godrej Properties added two group housing projects products across Pune and Bengaluru with estimated booking value of INR3,000 crores in the first quarter. The pipeline for business development is looking very strong, and we expect Q2 to be another good quarter for business development addition.

GPL also recorded its highest ever reported PAT numbers on a quarterly basis. Our total income for the first quarter increased by 25% and stood at INR1,638 crores. Our EBITDA increased by 237% to INR774 crores and net profit increased by 31

6% to INR520 crores. These were all

benefited by a revaluation of our commercial building Godrej Two here in Mumbai.

We've started financial year '25 on a strong note and hope to build on this momentum through the launch of a large number of exciting new projects combined with strong sustenance sales.

While reported cash flow and earnings growth has been strong, we believe these parameters will see a sharp upward trajectory in the quarters and years ahead basis the high bookings combined with GPL's increased economic interest in these projects.

On that note, I conclude my remarks. Thank you all for joining us on the call. We'd now be happy to discuss any questions, comments or suggestions you may have.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Kunal from Bank of America. Please go ahead.

Kunal : Pirojsha, my first question is on your margins/profitability. I know last quarter, you gave your imputed margins for fiscal '24, which showed quite a bit of an upward move. I wanted to check, given what you've seen in Q1, and the way pricing has been behaving more recently, would you expect us to anchor our FY '25 and '26 expectations around FY '24 levels? Would you suggest an upward bias to that?

Pirojsha Godrej : Thanks, Kunal. Of course, the effort will be to continue to improve margins, and we'll continue to provide that pro forma P&L information on an annual basis. In Q1, I think we are very happy with the kind of number we've seen. There's a similar but slight uptick in margin over FY '24 levels.

And I think given the high booking value, we think the imputed return metrics are at a very attractive level. But certainly, we will continue to provide that on an annual basis. And I think FY '24 is probably reasonably -- I think it will be reasonably close to FY '24 levels this year as well, but hopefully, we can improve it a little bit.

Kunal : Understood. Okay. My second question is that from an area perspective, we are actually doing a pretty big number now on a quarterly basis in terms of sales. So I wanted to check if there's any tinkering you think you would need to do on the delivery side, just to make sure that project completions, et cetera, would keep up pace over the next 2 or 3 years?

Gaurav Pandey : Kunal, thanks for the question. Essentially, you're right, where our scale has multiplied and what we've been doing is a lot of investments have been given on the capability side. You would appreciate we always had our own structure where we had strong execution teams. In fact, we're

Godrej Properties Limited

July 31, 2024

Page 4 of 16

the only company which has a site head operating model. So it's something like a bank branching model where you have a self-sufficient unit to lead scale.

But over the last, say, 9 to 12 months, what we've done is we've kind of invested in building up capabilities on certain engineering and execution side in various zones as well as in HO because we could clearly see this as a lead indicator for us in the future. And coupled with that, we've also managed to bring some very good contractors in projects which we've seen sort of had slowed down.

Like Godrej Reserve, we've got listed in it a very prominent contractor. So yes, this is something has been in our radar for good last 12 months, and now we are almost ready to execute the strategy.

Kunal : Got it. And then my final question is your progress in NCR and Bangalore has been there for everyone to see. Specifically on Mumbai and Pune, I think the presentation shows that by and large, you sort of converted 10% of your launch pipeline to actual launches in Q1. How are you sort of thinking about your ability to push through rest of the stuff in the pipe? Also noting that Maharashtra could have elections towards the end of Q2, start of Q3.

Gaurav Pandey : If I take a step back and

and give you a sort of a background and then maybe give you a year end

picture, see, Mumbai zone has been a very strong turnaround we've seen in the last 2, 3 years. It used to do about INR1,500 crores to INR1,600 crores in FY '22, in FY '23 it doubled to about INR3,000 crores. Last year it became the second largest zone in GPL and did about INR6,500 - plus crores. And the good thing is that all the great work of BD in the preceding say 18 -odd months has given us a strong pipeline, which is getting into launch.

So coming to your specific question from the very short term, which is 3 months to, let's say, 6 months, we have a series of projects, which are a bit coming along and some of which we've almost secured the approval and some of which they're in almost last leg of approval which

hopefully will be coming on time.

And to give you a sense, we will have a new tower launch coming up in Godrej Reserve which has been the highest selling project for not just Godrej Properties, but entire Mumbai market, so I'm hoping that will be a very good launch. We have something coming up in Bhandup and Khalapur as plotting launch. So yes, we have a robust short-term sort of a pipeline.

Again, similar trends we are noticing in Pune as well, we have a series of launches planned in Q2 and some may move to Q3, but looks to be very much within the quarter. To give you a sort of sense we have sort of a large important cluster launch in Mahalunge and looks to be more or less secured approval, last stage of approval is in process, Manjri, and then there is a low probability to medium probability of some retail in one of the Koregaon projects that we had acquired.

So yes, we're reasonably confident, Kunal, that we will see. Agnostic to this two zones, I would say generally in our business, we would appreciate, it's a combination of approval timeline. And

Godrej Properties Limited

July 31, 2024

Page 5 of 16

if the approvals are in advanced stages, either certain launches happen in this or the other quarter, but more or less kind of secured.

Moderator: We have our next question from the line of Puneet from HSBC. Please go ahead.

Puneet: Congratulations on great numbers once again. My first question is just continuation of what Kunal has asked. Do you see any risk of delays in approvals in Pune and Mumbai given the upcoming elections?

Gaurav Pandey: Yes. I mean internally, we have, frankly, a larger set of approvals that we continue to do that, and we do see in any approvals, there is that risk. But the ones that I talked to you right now about, it was most likely high probability kind of cases. Yes, there is always going to be that risk, but it seems very likely that these should come in, more or less 80% of these will come in.

Puneet: Okay. And secondly, if you can talk a bit about the projects which we've been waiting for a while, Ashok Vihar, Worli, what is the progress there?

Pirojsha Godrej: Yes. So I think that, unfortunately, continues to be a bit delayed. The essential issue there is the trees on the site and how they are to be treated and at NCR unfortunately, over the last 12, 18 months there has been a huge focus on tree removal and there's several matters in the court. So it is taking longer than we expected to get that approval. We're, of course, working full steam on it.

But I think visibility in terms of exact timeline, frankly, is not currently available, and it's not likely to be a kind of this quarter, next quarter launch, but we're hoping to do it by Q4, if possible, but to be perfectly frank, that has moved slower than we would have liked. Of course, I think given the number of projects we've added both at NCR and elsewhere, we are quite confident of our ability to be able to make up from any gap in short-term sales by the delay of that launch.

Puneet: And does it -- has it impacted your underlying IRRs given that there is a delay on the other side, then

there could possibly have been an appreciation on the property price as well? How do you think about the IRR change if this were to get delayed to next year?

Pirojsha Godrej: I think the delays have also had quite a lot of benefits in terms of price appreciation. So I'm not sure if the IRR would be negatively impacted. But we'll have to watch out for the exact numbers. But certainly, the absolute profit and equity multiple would be sharply increased and just as a reminder, the land payment for Ashok Vihar are being paid in tranches.

So we're not sitting on a full capital outgo on that one which would, of course, dampen the IRRs even further. So actually, to be honest with, the returns in Ashok Vihar are looking very exciting. And if anything, the delay has enhanced them quite a bit because of the price appreciation that the market has seen. But the challenge is just obviously making sure we're able to launch that while market conditions are as favourable as they are currently.

Puneet: That's helpful. And lastly, if you can talk a bit about your experience in Hyderabad market, you named it out as the fifth city. And also, if you think there could be potential to enter into Tier 2

Godrej Properties Limited

July 31, 2024

Page 6 of 16

cities as well given that property prices there has matured? And do you see a progress a developer-led model there versus a self-build especially with Tier 2 cities?

Gaurav Pandey: No, the interesting thing that -- this will probably surprise a lot of people, but Hyderabad, I think last financial year, well, different reports read differently, but clearly all reports were indicating

that Hyderabad's residential market, which used to be a lag to Bangalore, has actually exceeded Bangalore in terms of its market size.

And if you see from institutional reputed pan -India sort of developers, there is hardly much of names. So I think this is a huge opportunity to kind of tap into. We are, of course, taking one step at a time. So we have been very selective on the micro market we wanted to be in. And the two transactions that we've announced are in some of the most talked about places where launches have been blockbuster by competition or have the most aspirational from a pricing and positioning point of view.

So I think -- and that's where we want to see how this moves up. These are all planned for immediate launches. Design is going very well in terms of progress to give us very high hope in terms of an opportunity to unlock it. On the question of the other cities, per se, frankly, we'll not say looking at because the markets where we're operating we see a great headroom to improve our percentage of market share and we are selling faster than, frankly, we had underwritten them. So there's no point of getting deflected into newer cities. But the only thing that you would see that we do opportunistic deals in plotting where we see there's good capital churn available, quick turnaround, get in and get out kind of a strategy. That is what we will, of course, keep on evaluating, but nothing on the group housing side.

Moderator: Next question is from the line of Praveen Choudhary from Morgan Stanley. Please go ahead.

Praveen Choudhary : Obviously, congratulations on such a good result, especially the pre -sales. I have two questions.

First one is on gearing. Your gearing level is 71%. What's the plan, whether we want to take it down with equity offering or we think that the cash flow and collection will take care of it itself?

And the second question is, and I could be wrong here, but it seemed that your other income number was very high for this quarter. May I check other than interest income, what drove that number because the margin is high for the reported number, not the pre -sales number? And just to clarify, did you say that first quarter embedded margin was higher than FY '24 or similar to FY '24?

Pirojsha Godrej: Yes. Tha

nks for that, Praveen. I think the embedded margin I did say was slightly higher than financial year '24, but broadly comparable and we'll release more detailed guidance on that on an annual basis. The change in other income is largely the revaluation of Godrej Two, a commercial building we have here in Mumbai. Sorry, your first question was?

Gaurav Pandey : Gearing.

Praveen Choudhary : Gearing.

Godrej Properties Limited

July 31 , 2024

Page 7 of 16

Pirojsha Godrej : Gearing, yes. So I think we've guided typically we'd like to be in a gearing range of 0.5:1 to 1:1. So we're kind of towards the middle end of that range, and quite comfortable. We are seeing a lot of opportunities on the business development side. And I think frankly, we're selling faster than we expected on the existing launches. So I think it's an interesting position that we're in when sales are where we thought, and I think business development opportunity is also very good.

We do expect operating cash flows through the rest of the year to be very strong. We've guided to about INR15,000 crores of collections for the year, we did about INR3,000 crores in the first quarter, but are confident of meeting and hopefully exceeding by a bit the annual guidance. So I think certainly, a moderate level of business development to support reasonable growth, I think we are more than well enough capitalized to do.

If we see opportunities beyond that, we wouldn't rule out an equity raise if valuations are also in an attractive range. But for now, I think the focus is on making sure we generate a lot of operating cash flow, bring a lot of the new projects we've already added to launch and close some of the exciting business development opportunities we're seeing in the pipeline.

Moderator: We have our next question from the line of Abhinav Sinha from Jefferies India. Please go ahead.

Abhinav Sinha : Congrats to the team on the strong numbers for the quarter. So a few questions. So firstly, on the pace of operational cash flow and project delivery. Are we expecting these numbers to largely sustain at the current levels, or we can still see some on and off quarters?

Pirojsha Godrej : So I think, Abhinav, this industry will always see some quarterly movement. But I would say, overall, we're very confident of meeting or exceeding all our guidance for the year. So from a booking perspective, it's at INR27,000 crores. I think we're well on track to do that given the strong start to Q1 and actually we're very happy with the strong start to Q1.

Typically, GPL had a little bit of a sluggish start in the first quarter after everyone goes all out in Q4. So quite happy to set the right tone at the start of the year this year. I think our collection average will certainly move up for the rest of the year. We've guided to INR15,000 crores for the full year which requires quarterly collections on average of INR3,750 crores.

We think there will be a little bit of a skew towards the second half in that, but we'll see a big ramp-up in both collections, which should lead to also strong operating cash flow growth over the rest of the year. I think the question to ask is how much -- how do we want to look at free cash flow given the opportunity on the business development side which is the part that is a little less certain. But certainly, visibility on deal flow remains very strong, and Q2 I look like it will be a big quarter for business development.

Abhinav Sinha : Great. And Pirojsha, since you are mentioning that, what are the focus areas for bidding near term?

Pirojsha Godrej : So I think the primary focus, as Gaurav was also saying, remains on these top 4 markets of Mumbai, NCR, Bangalore and Pune. We've added a couple of projects in Hyderabad, we will

Godrej Properties Limited

July 31, 2024

Page 8 of 16

probably now wait to launch those. We're fully confident that everything there is on track before

we add more on the group housing side.

Plotted developments, we're adding across a wide range of market as per the strategy we've laid out. But within these four cities, I think it's more about where we see opportunities and what specific deals look attractive to us, but I would expect good additions across all four.

Abhinav Sinha : Sir, lastly, and I would also like to hear from Gaurav perhaps on this. So in Gurgaon market, we have come across some bit of wobble from market participants in terms of demand. You guys have a large launch there, which is ongoing. So just wanted to hear your thoughts and how that market is positioned. Can we still see price and volumes to sustain at high levels?

Gaurav Pandey : Actually, quite the opposite. If you see when we were building the Gurgaon portfolio from acquisitions, right? Just to give you some context, we did a serious acquisitions from Extension Road, a project called Godrej Aristocrat. Then we bought something in Sector 103, which, as you rightly said, is going in launch in this quarter. Then we bought something in the Sector 89, which is called as Godrej Zenith.

And we, of course, have two land parcels we had bought in auction from the authority in Golf Course Road. And very frankly, when we were doing these acquisitions, the idea was to ramp up the portfolio and look at like a 3-year sort of a model for this to sustain. But as a good problem we had only for Aristocrat selling like INR2,700 crores practically at the launch is a great price appreciation.

Similar questions were there in the market even when you're launching last quarter a project called Godrej Zenith which did about INR3,000 crores but this is quarter 4, right? But in the previous quarter, a number we were frankly not very sure we'll do because there was some price appreciation we had taken in Zenith, we sold about INR800 crores, right.

So now I think for us specifically, we are seeing inventory moving through the group. Actually, if you ask me till the time I had one or two projects I would like to manage inventory and increase price more, and we are seeing good offtake. So it's about balancing, right, That if you have -- if a residual inventory is not very large, how much do you want to sell at what price. So I don't see pricing pressure at the moment.

Yes, there is a bit of consolidation that in the initial first 6 to 18 months of NCR offtake, especially in Gurgaon, there was like everyone was practically able to push inventory. I think somewhere that consolidation and need for better brands will happen, and I'm sure we would be beneficiary of that, especially even the later part of the quarter, when we'll have our luxury launches coming in, in Golf Course Road.

So yes, I think what I'll say is that's the only risk if you kindly ask me, how do we balance the offtake with good inventory management till the time more BD gets added.

Moderator: We have our next question from the line of Pritesh Sheth from Motilal Oswal Financial Services. Please go ahead.

Godrej Properties Limited

July 31, 2024

Page 9 of 16

Pritesh Sheth : So just taking forward the previous question, right, from demand environment perspective, with the kind of response that you're getting, I just wanted to understand what's exactly working for you guys. Is it just the product and the right ticket size you are bringing in those certain markets or it's equally strong for across the segment in terms of demand? So just if you can elaborate on the kind of demand that you are seeing?

Gaurav Pandey : I think that's a great question. Essentially, we are a very product-obsessed company. We don't -

- when we buy a land, just the amount of research we do, even if we are very strongly dominantly present in the market. But even after buying the land, our process to design the project is very, very quantitative and qualitative research led. So we do a lot of primary research

surveys. We use data and try and define what is the right concept. So we typically do three concept designs and then we go back to the market and do some concept testing with prospective customers, take feedback, and finally, decide a concept. Thereafter, we do a lot of analysis, analytics in terms of our previous inventory, competitive inventory and do assessment of what is the right sweet spot from a product mix point of view. We tend to be very biased towards end users purely because that gives you countercyclical opportunity than just riding through a cycle. So that's the sort of a DNA in terms of thought process that design something for end users and be very obsessed on product. I think that thesis for us, fortunately has worked exceedingly well across markets. And that, I think, is the probably long-term approach to build up an institutional framework of building up the scale. And on top of it, while we don't really share publicly numbers, what is even heartening is we do these sales not just by great booking value. Our cost of sales is extraordinarily low when we see competition. We don't do these typically back-ended schemes. Our 99% of last quarter was all front-ended sales, 1% because, the title of some projects is linked with OC which gets tagged as PLP.

So just focusing on great products and attracting the right customer and not really following the narrative of the pressure to sell more. I think that's the DNA we built. I think incidentally we're lucky I think that customers are able to find value in it and we are selling in bulk volume. But I think agnostic to that, just being product-obsession leads to long-term sustainable growth. That's the kind of approach and strategy we have.

Pritesh Sheth : Sure. And just a follow-up on that, so kind of price growth that a couple of your markets have seen, especially NCR and to an extent, Bangalore as well, right? Will those price increase combining our certain ticket size getting too pricey in terms of affordability or if you have a good product to back that, there is enough demand for those higher ticket sizes as well?

Gaurav Pandey : It frankly depends, right? I mean depends on you have to always have feet on the ground to assess the opportunity to increase prices. Big picture, if you ask me, pan-India, there are some markets which have not even off-taken from a price appreciation story. Like if you look at Pune, I think that is one of the market which should start surprising people towards quarter 3, quarter 4 or early Q1 next year across developers.

Godrej Properties Limited
July 31, 2024

Page 10 of 16

But yes, I think, yes, you have to be careful in terms of pricing your product. So if your underwriting is conservative, your ability to maximize price without the pressure is there and without the reason that, yes, you have to intentionally just overspend the market, that also is not right. I think it has a balanced one is there.

The opportunity for Godrej Properties is that if in markets, we see that we have lower inventory, we take a punt on increasing the price slightly higher than we would ideally want just to actually just slow the sales enough that the launch is successful, but our margin profile increases. And when we see we have good inventory lined up, then we make the prices slightly more attractive. So that's more like portfolio management strategy we use. Yes, overall macros there is a clear secular trend of price growth, and we are continuously enjoying that for the moment.

Pritesh Sheth : Sure. That's pretty helpful. Second one, launches, so we had a very strong start for the year. How does Q2 looks in terms of launches? I mean, obviously, it's a little short term, but if you can guide us on that? And Secondly, there were certain projects in terms of the size that was launched in 1Q was definitely probably higher than what you would have initially estimated for. So any

revision in terms of your launch guidance that we can expect maybe a quarter or two down the line? Or you will still stick to that kind of number?

Gaurav Pandey : I think first of all, from a very short-term, quarter 2, we, of course, don't give guidance. But I think directionally if you ask me, it looks to be a good probable number that we'll hit, which is when we do estimation internally, very important, like a must have is delivering the annual guidance and of course, exceeding the annual guidance.

And we do typically run rate of what is a quarterly run rate. And that's like the bare minimum we anyways have to achieve. That's the way our mindset is. And then there is, of course, strategy put in place that what are the other projects that we can push numbers and if certain approvals come late, how do we compensate for that.

And sometimes when all of this comes up in place, you see a blockbuster quarter. And sometimes

one or two slips happen, you will see the next quarter being exceedingly well. I think quarter 1, we saw extremely well because some of these were being tracked for even quarter 4 which got slip over to quarter 1, so we could kind of maximize on it. And I see this year is going to be that year where our brand will probably look at full potential.

If last year were only indication, this seems to be a very exciting year. Yes, we do see there's an upward bias and upward risk of beating our own estimate, but I think it's too early to really comment on it. And we would rather always stick to our guidance, but fingers crossed we might surprise you.

Moderator: Next question is from the line of Mohit Agrawal from IIFL. Please go ahead.

Mohit Agrawal : So my question is given that you have such a large scale now, why would collections on a quarterly basis, customer collections continue to remain volatile, especially fourth quarter seeing a sharp jump and then the next quarter, we see normalization? My assumption was that with such large volume of ongoing projects, shouldn't collections be more like a stable number with

Godrej Properties Limited
July 31 , 2024

Page 11 of 16

kind of a more predictable growth and some impact obviously coming in from launches or completions. So just love to have your thoughts there?

Gaurav Pandey : I mean, see, if you go back and see typically the collection quarterly run rate that we've always had, quarter 1 usually is a little slow because collection is also linked to late -stage payments. So when you have -- later part of the year, when you have a lot of these OCs in fact kicking in, you do see a jump of collections run rate.

But this was a, frankly, a bit of a different year where our last year, if I still remember, our collections was something around there about INR2,000 crores. This year it's been about INR3,000 crores. And yes, I mean, ideally I would have wanted to do more, but it's exactly on our internal estimate.

Just to share with you some numbers, we track something called a collection efficiency which is basically how many customers tend to pay you within 30 days of raising invoice, right? The industry median would be about between 60% and 70% and last quarter for Godrej Properties was 94%. And there were -- if I looked at some advances of some customers pre-paying and taking the refund, it's actually crossed 100%, which is very unheard in the industry.

So I think collection run rate is very well. I think the real important thing for us would be that the H2 of the year, which looks to be quite important from OC calendar and all, if we are able to do that, we will surely meet our guidance, and there is, in fact, a slight opportunity to improve that as well.

Pirojsha Godrej : Just to add to that, I think the basic thing I want you to keep in mind is that within a couple of years, bookings are likely to reflect as collections. So the last 2 years, bookings growth has been 84% last year and 55% the year

before. So you are likely to see very sharp collection growth when you have a base like that.

In a very rule of thumb way of estimating it, not -- I don't expect it to be fully accurate by any means, but it is something we track as kind of a rule of thumb is approximate collections for the current financial year to be something like the previous 2 financial years average bookings. So we would be, the last 2, 3 years if you check, our collections would be within kind of a 10% range of the average of the previous 2 -year booking.

And hopefully, we can do that this year as well. But we are extremely confident of meeting or surpassing our INR15,000 crores collections guidance for the year, but very clearly I think in a very rapid growth phase such as the one we're in, there will be a lag between bookings and collections just because of how the customer contracts are where you're selling at launch and then collecting as you construct over the next couple of years.

Mohit Agrawal : Okay. Understood. My second question is on business development. Should we now understand that essentially you are looking to add projects to replenish your sales plus a growth element or are you still looking to build a pipeline? So in which case, it could be substantially higher than -- while we know your guidance, but it could still be much higher than that if you get opportunity or are you just now looking at replenishing your sales and then looking at a growth number on

Godrej Properties Limited
July 31 , 2024

Page 12 of 16

that? So yes. So -- and in that context, how do we see land spend also stabilizing basically to 10% to 15% of that BD target?

Pirojsha Godrej : Well, there's a little bit of both of those things. I think we had made a disproportionate scale of investments a few years ago based on the equity we raised and our reading of the market being at the early stages. I think while we fully expected the market to improve, frankly, the visibility on sales has been even stronger than we had ourselves expected.

So some of these projects like our Bangalore project, where we sold a very large percentage of the project at launch last quarter, we would have expected sales to be a little bit more staggered there. So I think the importance of replenishing that is now kind of a little bit more urgent in the sense that the inventory is moving faster than we expected.

And also the growth rate are much faster than we had expected. So again, we expected a rapid growth but 84% last year, and on that base, at least 20% this year, but hopefully, we can do quite a bit better than that, does mean that BD is going to also have to keep pace to some extent.

And our overall reading of the market is still that we are at a good stage in the market that there are several years to run in the cyclical upturn, where we remain confident of kind of the valuations being attractive at current levels. So while we are focused largely on kind of replenishment and growth, I think the requirement for us has increased given the kind of scale of growth we're seeing. And if we feel that the scale of growth can be maintained, we would like to pursue that.

Mohit Agrawal : Okay. And my last question is, again, on business development. Has the threshold on, let's say, a minimum GDV per project evolved or changed over the last few years considering that you have a much bigger scale now? And in that context, would you be open to looking at, let's say, redevelopment projects in Mumbai, yes, so your thoughts there?

Pirojsha Godrej : I think it's broadly several years ago we said we don't want the very small projects. So if we, for example, don't think we can create at least INR100 crores of post-tax profit on a project, we prefer to avoid those because at this scale, they don't really move the needle and kind of add operational complexity.

But we are a little reluctant to go the opposite end of the spectrum as well

I where we only want

to do very large projects because those have their own drawbacks in terms of kind of timeline for approval, kind of timeline to execute. So I think midsize projects where we feel confident we can generate at least INR100 crores of net profit we'd still be open to, though I think overall, our average project size and profitability expectations have inched up, but we have not made a bare minimum threshold that is higher than we had a few years ago, which is this INR100 crores.

Moderator: We'll take our next question from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal : Congratulations on a great quarter. So my first question is on -- so we have seen the pace of acceleration in the pre-sales has been outperforming.

Godrej Properties Limited

July 31, 2024

Page 13 of 16

Rajendra Khetawat : Can you speak a little louder?

Parikshit Kandpal : So I'm saying that the pre-sales has been -- there's a huge outperformance, which we have seen in Godrej related to pre-sales. So just wanted to pick your brains in terms of deliveries and execution on the back end. So what kind of measures you have taken on the contractor ecosystem, on deliveries, on execution? So on the entire supply chain, are you seeing any challenges there because now we'll see significant ramp-up in your deliveries in coming years? So what kind of steps you have taken?

Gaurav Pandey : Thanks, Parikshit, for the question. So in the combination, we started the journey a few years back, there's some large procurement items we had started standardizing and also procuring centrally just to get economies of scale right. And this was a bit ahead of the curve say a couple of years back, but now it's coming very timely. So the time, process, all of this are strictly procured. And we have also got into a bit of lift and trying to sanitize it as well from vendors. So these are like high-ticket items.

The second is from a supplier point of view, things like RMC and vendors on steel and cement, we again have zonal tie-ups to do that. And the third part is with the actual execution contractor ecosystem, we have a combination of model, right? So for projects which are blockbuster, almost fully sold out or more or less sold-out launches, we are trying to get with the top-of-the-line contractors and give it like single contractor for initial and maybe separately look at finishing contracts.

But projects which are slightly mid-size and all or we've done phases on, there we tend to work with contractors who have delivered well for us, and we have got great relationships with them, but it's sort of a mix of say two, three contractors in a single project so that they can aptly execute to the scale that they have the capability to it. So I think it's a combination of these frameworks procurement strategy and vendor strategy, which is kind of coming very handy for us right now.

Parikshit Kandpal : Okay. So my second question is on, so when I see your guidance on pre -sales and when I see the mix. So you have added a new geography, and plotted is basically Indore. So I just wanted to get some sense, have you have any clear thoughts on mind on what kind of numbers or what percentage of plotted sales will contribute to your overall pre -sales over more near to midterm? So how big can this be as an opportunity for you?

Gaurav Pandey : I think frankly it depends . I mean plotted is never going to be the dominant part of the business, it's something we've even said a couple of quarters back as well. I don't think so in the very near term, we see this from a top line going beyond 10% to 15%. But yes, plotted also gives you a great opportunity to, one, address the market need, it's very quick turnaround and profit recognition is also a little faster.

So yes, it is going to be a minority part of our business. But yes, it does add value. So to the extent of 10%,

15% here and there is what we like to pursue. But not like it's a very dominant strategy and not that we get obsessed about it , and we want to build a huge funnel on it.

Godrej Properties Limited

July 31 , 2024

Page 14 of 16

Parikshit Kandpal : Okay. Any comments you'd like to make on the project Reserve, any update there with regards to some issues which should come up on approvals and also on the commercial project where we've seen that OC has been revoked. Just any colour on that would be helpful.

Pirojsha Godrej : Yes. So on Reserve, we have not received any notice from any government agency. There has been, of course, as was reported a little bit of to and fro between these agencies. As of now, the project continues in full swing, we are in full compliance with all the laws, we have all our approvals in place.

And to be honest, some of these are, we believe, not very practical because if you look at these kind of perimeter from such areas, lots of Mumbai would end up getting covered by this. So as of now, everything is fully on track there, and there's no challenge there. We'll, of course, keep you posted if anything changes on that. Similarly, at Chandigarh we were a little surprised to get this notice. It's a project that was delivered almost 10 years ago.

We believe there's a misinterpretation of what exactly the law says, and we are in full compliance, and we're confident of having this issue fully resolved, either directly with the department or through the court. So that also we are anticipating hopefully bringing to a suitable solution over the next few months.

Parikshit Kandpal : Okay. And just the last question, Pirojsha. On the capital allocation bit, so I just wanted to understand if you have to take a single location exposure, say a large land parcel comes, so what kind of capital allocation you think you could make? I mean, if say it's INR1,000 crores or INR2,000 crores, so what could be a comfortable limit where you would see that you can write a big check?

Pirojsha Godrej : Yes. I think we wouldn't have any predetermined size in mind, depends on the opportunity. Obviously, the bigger the check, more confident one would want to be on the returns, the higher returns one would hopefully want. But I think one of the advantages is that probably only a handful of developers who in any given market can write checks of the size we can.

So happy to look at those opportunities as and when suitable but we are not necessarily of the view that it is better to only do these very large projects. We see a lot of opportunities in projects that can be turned around more quickly that can be then re invested into new projects. So I think the broad indication of what kind of business development we'd like to do is probably what we've actually done over the last few years, which is we have been pushing to get into more premium markets.

And I think that's one of the questions was how our launches are doing so well. I think a lot of it is the fantastic work that Gaurav and the team has been leading. We've gotten much sharper in our capabilities, I think, on design, planning, market research, but certainly, we've also gotten much sharper in our ability to pick the right size, be more centrally located, be where customers are really excited with the location of the project in addition to us as a developer of the product they're buying.

Godrej Properties Limited

July 31 , 2024

Page 15 of 16

So I think that has been one concerted effort to focus on high -quality locations. But from a size perspective, if we think we can create very strong product in this 10 -acre, 15 -acre kind of parcels that would be typical of what we do. And of course, we are looking at larger parcels for plotted

development given the nature of those developments.

Moderator: We have our next question from the line of Yash from Stallion Asset. Please go ahead.

Yash: So I jus

t wanted to understand your slightly longer -term view, let's say, 4 to 5 years, I mean, given the strong uptrend we've seen in real estate for the past at least 2 years and all the players in the sector are reporting really good results, do you thi nk that we can sort of grow our bookings by at least like 20% CAGR for the next 4 to 5 years? Or what's your long -term sense on the industry and for your company?

Pirojsha Godrej : Well, I think the long -term prospects of the industry, we think are extremely exciting. If you look at the kind of stage of growth the country is in, we're already the fastest growing major economy in the world. I think most economists project that to continue over the next couple of decades.

What typically happens at this stage of economic growth as we've seen with China and other countries is rapid urbanization, of which, obviously, the real estate sector, and particularly the residential real estate sector, is a large beneficiary. So we think from a structural perspective, over the next couple of decades, there will be strong growth -- strong opportunities for a company like Godrej Properties to both participate in that sectorial growth as well as benefit from the opportunities for market con solidation by gaining market share.

Within that, of course, there will continue to be real estate cycles. We're currently in probably the early to mid -stages of an up -cycle. But within the 4 -, 5-year timeline you indicated, it's quite likely that the cycle will cool off and start moving in t he other direction. So I think it's important to be able to take full advantage of the structural growth story, but also to pay attention to where you are in the cycle and try to make appropriate decisions from a business development and capital strategy p erspective based on where you see the cycle moving.

So I think that's what we've tried to do in the past. And I think Godrej Properties was perhaps one of the only real estate developers in the country who has been able to consistently grow even in the down cycle. I think last year was our seventh or eighth year growing our annual sales, many of those years where while the market itself was declining.

And we were also, I think, capable to, at the right time, raise capital and invest into business development the benefits of which we are seeing now. So I think tactically we'll have to be very agile and flexible on our views. But overall, I think certainl y from a structural perspective, we think the opportunity is huge and growing.

Moderator: Ladies and gentlemen, we'll take that as last question for today. I would now like to hand the conference over to the management team for closing comments. Over to you.

Godrej Properties Limited

July 31 , 202 4

Page 16 of 16

Pirojsha Godrej : I hope we've been able to answer all your questions. If you have any further questions or would like any additional information, please do reach out. We'd be happy to be of assistance. On behalf of the management, thank you once again for taking the time t o join us today.

Moderator: Thank you, sir. Ladies and gentlemen, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

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October 28, 2024

BSE Limited
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Dalal Street,
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The National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051

Ref: Godrej Properties Limited
BSE - Script Code: 533150, Scrip ID – GODREJPROP
BSE - Security Code - 974950, 974951, 975090, 975091, 975856, 975857, 976000 - Debt Segment
NSE Symbol - GODREJPROP

Sub: Transcript of the conference call with the investors/ analysts.

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Schedule III Part A, Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call organized with the investors/ analysts on Wednesday, October 23, 2024, post declaration of unaudited financial results (standalone and consolidated) for the quarter and half year ended September 30, 2024.

This is for your information and records.

Thank you.

Yours truly,
For Godrej Properties Limited

Ashish Karyekar
Company Secretary

Enclosed as above

Page 1 of 16

"Godrej Properties Limited
Q2 FY '25 Earnings Conference Call"
October 23, 2024

MANAGEMENT : MR. PIROJSHA GODREJ – EXECUTIVE CHAIRPERSON –
GODREJ PROPERTIES LIMITED

M R. GAURAV PANDEY – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – GODREJ PROPERTIES
LIMITED

M R. RAJENDRA KHETAWAT – CHIEF FINANCIAL
OFFICER – GODREJ PROPERTIES LIMITED

M R. KSHITIJ JAIN – INVESTOR RELATIONS – GODREJ
PROPERTIES LIMITED

Godrej Properties Limited
October 23, 2024

Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to the Godrej Properties Limited Q2 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kshitij Jain. Thank you, and over to you, Mr. Jain.

Kshitij Jain: Thank you. Good afternoon, everyone, and thank you for joining us on Godrej Properties Q2 FY '25 Results Conference Call. We have with us Mr. Pirojsha Godrej, Executive Chairperson; Mr. Gaurav Pandey, Managing Director and CEO; and Mr. Rajendra Khetawat, CFO of the company.

Before we begin this call, I would like to point out that some statements made in today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the results presentation. I would now like to invite Mr. Godrej to make his opening remarks. Over to you, sir.

Pirojsha Godrej: Good afternoon, everyone. Thank you for joining us for Godrej Properties First Quarter Financial Year 2025 Conference Call. I'll begin by discussing the highlights of the quarter, and we then look forward to taking your questions and answers session.

The residential real estate sector in India has been strong over the past few years, and we believe the sectorial tailwinds will continue over the next few years. The significant levels of business development we have executed in previous years at favorable terms continue to allow us to scale our bookings and margins, which in turn will lead to strong earnings growth in the years ahead. I'm happy to share the Godrej Properties delivered another robust quarter, registering a highest Q2 and H1 collections, operating cash flows and delivery. We've already achieved 51% of our annual bookings guidance. In the past 5 financial years, GPL has averaged 37% of its full year bookings in the first half of the financial year in the best out of the last 5 years, we achieved 40% of our full year bookings in the first half.

Booking value in second quarter FY '25 grew 3% year-on-year to INR5,198 crores from sale of 5.15 million square feet of area and booking value for the first half grew 90% to INR13,835 crores from the sale of 14.14 million square feet of area, which was a growth of 89% in volume terms.

This strong growth can be attributed to an extremely strong customer response to some of our new launches during the quarter. Godrej Jardinia and NCR delivered a booking value of just under INR1,500 crores, and Godrej phase in MMR, a profit development project delivered a booking value of just over INR600 crores.

For the first half of financial year '25, bookings in our key markets at NCR, Bangalore and MMR have shown tremendous growth. In NCR, we grew 70% from INR5,424 crores. Bangalore, we grew 212% to INR3,889 crores. And in MMR, we grew 114% to INR3,113 crores.

Godrej Properties Limited
October 23, 2024

Page 3 of 16

With bookings growth of 56% in financial year '23, 84% in financial year '24 and 90% in first half financial year '25, GPLs reset its scale. The benefit of this is clearly visible in our cash flows with collections growth of 68% and operating cash flow growth of 125% in the second quarter. GPL's collection stood at INR4,005 crores for the second quarter financial year '25, a year-on-year growth of 68% and INR7,017 crores for the first half, a year-on-year growth of 62%. Operating cash flows stood at INR1,834 crores for the second quarter, growing at 126% and

INR2,822 crores for the first half, growing at 204%. This is the highest ever second quarter and first half collections and operating cash flow achieved by Godrej

Properties.

From a business development perspective, I'm happy to announce that Godrej Properties has added 10 projects in year-to-date financial year '25 with a total estimated saleable area of nearly 14 million square feet and total estimated booking value potential of about INR17,500 crores. This included 6 new projects with an expected booking value of INR9,650 crores in the second quarter and 2 new projects with an expected booking value of INR4,800 crores added in October. GPL has achieved 87% of its annual guidance for business development year-to-date. We have also entered the new micro market of Indore through a plotted development project. We delivered projects aggregating to 6.6 million square feet across 3 cities in the second quarter, taking the year-to-date total for deliveries to 9.3 million square feet. This is the highest second quarter and first half deliveries for GPL. For the second quarter, our total income increased by 135% to INR1,343 crores. EBITDA increased by 69% to INR282 crores and net profit increased by 402% to INR335 crores. For the first half, our total income increased by 58% to INR2,981 crores. EBITDA increased by 167% to INR1,056 crores and net profit increased by 345% to INR855 crores surpassing earnings for financial '24. We financial year '25 on a strong note and hope to build on this momentum through the launch of a large number of exciting new projects combined with strong customer sales.

We also expect our record year from the point of view of cash flow and earnings. On that point -- on that note, I conclude my remarks. Thank you all for joining us on the call. We'd now be happy to discuss any questions, comments or suggestions you may have.

Moderator: The first question is from the line of Puneet Gulati from HSBC.

Puneet Gulati: Congratulations on great numbers here. My first question is, it looks very, very likely that you will exceed your booking value guidance. What should we assume that you'll be aiming for in FY '26?

Pirojsha Godrej: Thanks, Puneet. Yes, I think we're on track to do well on the bookings front. We've already surpassed 50% of our full year guidance. And typically, the second half is significantly stronger than the first half, both the seasonality reasons and otherwise.

I think the goal will be to do as well as we can this year. And then continue to deliver strong growth on that in the year ahead. So, without getting into specific numbers, which we'll comment on towards the end of the year. I think given the portfolio we've built, given current visibility in

Godrej Properties Limited
October 23, 2024

Page 4 of 16

how the market is doing, I think we're all set for now exceptionally strong year sales growth this year, and we'll look to build on that with strong growth next year as well.

Puneet Gulati: Okay. And secondly, in terms of pricing, what are the trends that you're seeing in terms of pricing growth in your market? And given the realization that you've discovered, how high on an average compared to the pricing that you would have underwritten it?

Gaurav Pandey: Thanks for the question. This is Gaurav here. See, essentially, what we've noticed right now that there is strong price growth in especially markets like NCR and Bangalore. In fact, if I would just sort of give you a tight pack of order, Gurgaon is being very robust price growth over the last few years, but continued even this year. Next would be Bangalore, then would be Noida. And I would say, finally, after we noticed Godrej Reserve launch in Mumbai, which is the largest residential sales by any developer, it's kind of also reiterated Bombay in terms of its momentum. So we are also seeing early days of good price growth in Bombay in our portfolio and also overall in the market. Pune is yet to see pricing relative kickoff when I compare with other markets, but these are sort of the stronger markets more from a forward-looking sort of difficult to crystal guess.

But if you generally look at where demand and supply holds, you can kind of derive certain estimates. So Noida, as you would appreciate, land supply is heavily restricted and there is a complete lack of say for example 3BHK inventory. I would say that Noida the near term should logically see price growth action. In Gurgaon, I were to say, I think periphery markets may not see as much of a price action, but golf course road specifically should see price action because there is virtually no land supply, finally, some launches will be visible in the coming quarters. Bangalore, I think, is one of the strongest markets because the quality of land supply is limited because the title issues of Bangalore.

So whichever project will hit the market would be reasonable growth may not be as massive what we were seeing, say, in the preceding 2 years. But to some extent, I would say maybe high single-digit kind of numbers should be visible in the next 6 to 12 months. Bombay, I'm quite bullish personally on because this market is seeing good offtake and also pricing growth very

recently. And Pune, I would say, may not be immediate as much, but say 2 to 3 quarters because Pune tends to be a lag to Bombay. And if you see Pune from a demographic point of view is very similar to what Bangalore is. So it's not taken from pricing to it's been sort of a laggard, but give or take 2 to 3 quarters, we should see price growth there as well.

Puneet Gulati: And in terms of compared to the prices at which you have underwritten, how high are the realizations?

Gaurav Pandey: I think one of the interesting things we managed to do is to do consistent business development in the last 2 years. And purely because of the cycle benefit, we've been able to enjoy significant price expansion to give you some sort of a broad understanding. To give an example, sector 146 Noida, the 2 auctions that we had bought say about 20, 24 months back, we first launched the first phase last September practically managed to sell it out in 3 to 4 months the launch project of about INR2,200 crores.

Godrej Properties Limited
October 23, 2024

Page 5 of 16

And we saw close about 10% to 12% or thereabouts above our underwriting level. But there is newer inventory also saw price growth. But the second one that we launched, which was previous quarters saw again price bump. So essentially, in most projects, what we are noticing the market is giving you option. As a rule of thumb, we tend to either ensure at least that price expansion we do or it can be higher, which means that ballpark 10% to 15% from an underwriting, in most of the parts of the portfolio, we've seen. Of course, there are some projects you see in even much higher price growth and there have been some projects which could be something slightly lower than this, but ballpark to as the 10% to 15% over underwriting is what we've kind of consistently been able to achieve.

Puneet Gulati: And secondly, on the construction cash flow side, while your collections have gone up, construction outflow hasn't really gone up as much. Could we assume a significant bump up coming in the second half of this fiscal?

Gaurav Pandey: I think as you would appreciate that typically, construction is more the peak cost of construction happens to be mostly on the mid-stage and advance stage because initially, your maximum cost is about excavation, then some of these -- especially the north side, you have the pilings that has to be done, which is time consuming, but not as far as capital intensive. And your construction speed which significantly accelerates will start picking slabs beyond a typical cycles, the second, third, fourth onwards. That's when your construction you pick up. Yes, you're right, we will see some kind of an acceleration in Q3, especially in the later part of the year.

But as you would see that most of our projects are, we have very strong H1. And some of th

ese

COC expenses in terms of peak would be noticeable towards mid-part of next year. So starting from later part of the year, continue to the mid part of next year, you should see growth in COC curve. But there are items that finishing where the cost tends to be higher core and shell, then there is MEP, which is also relatively higher than core and shell, and core and shell usually is higher than excavation. There is always a sort of a COC lag in terms of cash flow -- net cash flow line.

Puneet Gulati: That's helpful. And lastly, if you can share the -- your share of sales booking value in the overall pre-sales?

Gaurav Pandey: I think we publish share...

Rajendra Khetawat: First half of the financial year is around 93%. .

Gaurav Pandey: 93%.

Moderator: The next question is from the line of Mohit Agarwal from IIFL Securities.

Mohit Agrawal: Congratulations on great set of numbers. So firstly, if you could touch base on the launch side, you've already done nearly 50% of your guidance. So typically, second half is stronger just like sales. So if you could kind of tell us how you see the second half? And would you beat your guidance there as well? And what would be the big projects that you are looking at in the second half?

Godrej Properties Limited
October 23, 2024

Page 6 of 16

Pirojsha Godrej: Yes. I think our guidance both on launches and sales always has some amount of buffer for projects slipping out for regulatory approval reasons, et cetera. So I think we are quite hopeful of surpassing our guidance on both counts.

And the launch portfolio, I think both for Q3 and Q4 looks very good and exciting. Some of the

big projects we hope to launch before the end of the year the project in Worli. We have a couple of projects coming on Golf Course road in Gurgaon. We have a large project in Sector 44 in Noida, 2 or 3 launches planned in Bangalore, quite a few launches in Pune and also some in Kolkata and Hyderabad. So overall, I think a pretty robust launch calendar that I think gives us good confidence that we will be a very strong second half of the year from a sales perspective.

Mohit Agrawal: So Pirojsha, Worli would be 3Q or 4Q, if you could specify?

Pirojsha Godrej: Like Quarter 4.

Mohit Agrawal: Quarter 4. My second question is on you've been acquiring land and that strategy has been working well. And it is imperative for us to replenish the sales into growth. But assuming that land prices have gone sharply up and probably we are somewhere near the peak, let's say, what kind of margin of safety do you want to build in your future land acquisitions in terms of margins? If you could kind of elaborate that strategy because if, let's say, the pricing growth stunts or kind of declines, what kind of margin of safety do we have when we are underwriting the projects?

Pirojsha Godrej: It's a great question. And clearly, we're not at the exact same stage in the cycles now than we were 3 or 4 years ago. But at the same time, I think if you look at a typical cycle ends in India, it has been 7 to 9 years. We're probably in year 4 of that. So we actually do think the cycle like we have 3 or 4 more years left in it.

But, I think the land values have gone up in to some extent, kept pace with end property prices. So we do have to be very disciplined in terms of our land acquisition strategy. I think what we look at is at today's sight, not at any kind of price inflation or markets continue to do well, but if we were selling the project today and using that price can we achieve an IRR of at least 20% to 25% in the project.

And we think if that is achievable, then that's the project that makes sense to do. We don't look at assuming any big price increases or anything when we're underwriting the projects. And I think the good news is we are seeing a lot of opportunities that are meeting this threshold across regions, if you look at the kind of number of deals we've done last year. And o

f course, if we

raise any capital, the idea would be to deploy that into other new deals. We are seeing a lot of opportunities that do meet this threshold still. But I think the IRR threshold of 20% to 25% is what we look at. And from a margin perspective, we've guided that we'd like to 25% to 30% kind of EBITDA margin.

Mohit Agrawal: Perfect. That's clear. Just one last question. You've done INR17,000 crores kind of a BD to include the post second quarter acquisitions as well. What would be the total land spend on that?

And how much of that land payment would be pending which would come in future quarters?

Godrej Properties Limited

October 23, 2024

Page 7 of 16

Rajendra Khetawat: So that land payment has been done in the month of October. So both inclusive of would be around INR1,000 crores.

Mohit Agrawal: This is the pending land payment, sir?

Rajendra Khetawat: No. So this is for the 2 deals which we have announced post quarter end, that is INR1,000 crores. And the pending land payment for the earlier deals would be around INR1,500 crores for the deals which we have signed in financial year '25.

Mohit Agrawal: And sir, what would be the total land spend that would be in the range of 15% to 20% of GDV?

Rajendra Khetawat: Yes.

Moderator: The next question is from the line of Praveen Choudhary from Morgan Stanley.

Praveen Choudhary: Congratulations, very, very exceptional numbers at the end. I just wanted to get a sense of any overheating you are seeing in the market? And Gaurav, you went through the entire spectrum of pricing trends? It seems like everything is comfortable. But to the extent that what are you looking for in terms of any overheating or concerns in the market, either in the land price or in the final sales conditions, that would be helpful.

Gaurav Pandey: Thanks, Praveen. Largely, if you will ask me, I see a very strong demand uptick. In fact, yes, you're right, there is some chatter areas that we do tend to read, but if you ask me purely from a ground position, we are seeing quite stellar numbers for ourselves and early days, but even up to we would have seen some media articles of some competition also showing equally strong numbers.

So we, in fact, had a very good H1, not just from a growth point of view, but even far higher performance than our underwriting. Now there is, of course, a degree of market over performance will differ between what we saw 2 years back now, some pricing and volume action.

And within cities, I feel there will be sort of an evolution. So if I would just give you some sort of a broad taste, I think I did mention some time back, peripheral micro market for Gurgaon is

seeing good land supply. So you -- we may see volume action, but I think there will be sort of a price saturation sooner than later.

But Central Gurgaon doesn't really have any land supply value, barring very handful of land parcel even with the government or maybe one of our peers. So that should see pricing action. Noida is practically, I already mentioned, you're seeing a clear supply side issues from a launch perspective by anyone.

So anything that is hitting the market is selling out very fast. I've already mentioned Bombay and the market. So I think chatter aside, if you just see what's happening on the ground and walk-ins, since I the festive season just started and there's somewhere between Navaratri and Diwali and November usually is a higher momentum in my sort of history of launches that I've seen,

Godrej Properties Limited
October 23, 2024

Page 8 of 16

but October is showing very encouraging signs both by the kind of walk-ins we are seeing in our site as well what we hear from the market. So quite excited and quite strong market.

Praveen Choudhary: Very, very clear. And then one last question for me would be, when I look at the annual sale in terms of GFA versus the land bank that you have and I assume, let's say, 20% growth per annum. Yo

u may have 5-year worth of land bank. Is that the right way to think about it when you are going to use your cash to replenish the land bank? Or do you want to have a longer land bank or a shorter land bank? Just wanted to get that sense.

Pirojsha Godrej : Yes. I think in the short term, first of all, I think growth rates have been over the last couple of years, much faster than that 20%. But 2 cycles, we do think 20% is the number we'd like to guide to. I think there is an opportunity clearly in near term to do better than that. We've seen both last year and this a very rapid growth rate. So we think it's probably quite a bit less than 5-year sales and therefore, kind of replenishment is perhaps more important than it looks if you look at the 20% growth rate.

Moderator: The next question on the line of Pritesh Sheth from Axis Capital.

Pritesh Sheth: Congrats on great set of numbers. Firstly, again, on the market environment on the absorption side, since you have had like couple of successful launches this quarter. How do you read that? versus what it was probably 6 months or a year back? When -- where projects were literally getting sold out during launch, we still have a healthy absorption rate of 60%, 80% inventory getting sold out. But how do you read that? Is it general supply side, which is creating that kind of absorption run rate? Or you think that certain ticket sizes are going a bit higher and hence, we are seeing some bit of cooling off in terms of the funfare. So just a comment on that.

Parikshit Kandpal: We are seeing any cooling off in our view. And of course, even 6 to 8 months ago, its not like 100% of projects we're launching were sell out. So our view is the market remains very strong. We're quite confident several of our launches during the rest of the year, we will be close to sell out kind of responses.

So actually, we're not. There is a little bit of catch-up someone like Gurgaon about market cooling off. I don't think what we're seeing on the sales side is really indicating that it's all to us yet, at least. And we remain quite bullish both in the very near term and medium term on the opportunity to continue this kind of trajectory.

Pritesh Sheth: Sure. And secondly, on the approval side of the business. Have things started to recover in terms of time lines that used to take in terms of getting approvals because in between like post-elections, we saw some bit of slowdown, but have things picked up from there on? Or it's still as normal as it was before the elections?

Pirojsha Godrej: I don't think we've really had much of a struggle, of course, sometimes project to project can be an issue, but I don't think elections had a huge impact on us. If you look at the first quarter, which was right in the middle of the election, we are our best ever start to the year and sales have grown 90% largely on the back of a lot of launches coming in after getting the regulatory

Godrej Properties Limited
October 23, 2024

Page 9 of 16

approval. So I think from an approval and portfolio available for launch perspective, I think we're reasonably confident that the second half will be a very strong period.

Gaurav Pandey: And just to up on that Pritesh if you see our pipeline, just to give us a quarter example, places like Haryana we got the approval, right? Then we have projects in Mumbai and Pune. We've got the approval. So I think what probably a learning curve for at least for us over the last 3 years is that these are predictable events in your sort of in a year. And you almost go during the which

quarter would be a likely time that approval could be struggle is how do you become more internally efficient so that to make ensure that you're kind of applying for approvals as early as possible. So I think this is sort of a process change we've done internally, which is kind of ensuring that to the large extent, they're able to mitigate this risk.

Pritesh Sheth: Sure. Go

t it. And just lastly, on the capital raise in terms of deployment, how much time you will take to deploy that? And second, while we'll probably reach INR30,000 crores plus presales, what kind of market-wise target do be internally sense that we can generate for all our individual markets like NCR, we were at INR10,000 crores last year. Do we have -- are we working on some market-wise targets for other key markets for us?

Pirojsha Godrej: I think we, of course, do have city by city and target for each, but it's not something that we would necessarily want to guide to us at this stage. I think NCR is crossing INR10,000 crores last year was fantastic on that high base in the first half, they've been able to grow 70% and have a bunch of launches planned in the second half.

So hopefully, we'll do even better than that this year. And of course, I think there's a healthy degree of competition internally between each of the zones which are relatively separately managed. So we hope to see all our zones crossing this INR10,000 crores mark fairly soon. And I think we have a portfolio that can get us there in places like Mumbai and the south zone, which is Bangalore, but also now Hyderabad, so we're hoping to launch a couple of projects this year. So I think good opportunities for growth and scale in each of these markets. And I think the sort of medium-term goal would be to start as a leader in each of the individual markets in addition to kind of nationally.

Moderator: The next question is from the line of Abhinav Sinha from Jefferies India.

Abhinav Sinha: Congratulations to the team on strong numbers. First question is on with the future pipeline of new projects that we are looking at, are we targeting the same sort of micro markets and the overall market? Or are you looking to expand into newer cities?

Pirojsha Godrej: So, I think the goal is very much to expand within the cities that are already from a group housing perspective that we largely Mumbai, NCR, Bangalore and Pune, we're open to opportunistically adding projects in Ahmedabad and Kolkata. Earlier this week, we added a project for the first time in many years in Ahmedabad.

In Q4, we entered the Hyderabad market where we bought 2 pieces of land. We hope to launch both of those this financial year. We first like to get those launched to make sure everything we

Godrej Properties Limited

October 23, 2024

Page 10 of 16

underwrote is kind of playing out as expected. And then as we'd expect look to scale in the Hyderabad market as well.

But these 5 cities of Mumbai, NCR, Bangalore, Pune and Hyderabad, where we'd like to make a lot of our investments on the group housing side. Of course, within these markets, I think one of the opportunities is to make sure we have presence in as many different micro markets as possible so that we're capturing as much of the city level demand as we can. And the only exception to this is plotted development project where we are open to a wider range of cities.

Abhinav Sinha: Right. Secondly, on are you able to see that some of your commercial has sort of reached the maturity level. Any thoughts on how we monetize that or you're looking to sort of hold on those assets?

Parikshit Kandpal: Yes. I'd say the idea is to gradually build a lease generating portfolio for the business. I think while the lion's share of our focus for the next years remain very much on the residential sector, where we think both the overall size is the greatest and our right to win is probably highest and the returns that can be generated we think are the best because of the ability to have customers financing most of the development. But at the same time, for kind of the longer term, we do want to gradually build an income-generating portfolio to the company. And I think these projects help do that. So there's no plan to sell them or exit them that's a question.

Abhinav Sinha: Right. And one last question on cash flow.

So we are seeing higher margins in the project and also higher take rates, which are now north of 90%. So our sort of CFO percentage cash flow which is now around, I think, around 35-odd percent. Where does it settle in, say, a couple of years?

Rajendra Khetawat: Yes. Most probably, yes.

Pirojsha Godrej: From a margin perspective, I think what we've guided on the net profit margin, we'd like to deliver something about 15% through cycle. Of course, it might probably be higher than that when some of these projects have been a lot of margin expansion hit revenue recognition. But I think that's kind of roughly what we're targeting.

I think with the OCF margin, it is a good shorthand thing to look at, but it's not something that we're targeting a specific market at depending on construction Milestones in particular projects. And I think the kind of reported earnings margins we're looking at is what I indicated and we're seeing, I think, very, very healthy growth in collection and operating cash flow, we expect to grow ahead as well.

Moderator: Next question is from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Congratulations on a great quarter. So my question is on the launches. So if you can help us understand when is the Ashok Vihar launch now. And also if you can give some more color on the Vikhroli land parcel after the family settlement, how do we see it whether the new launches will happen there? And what are the time lines of launches for Vikhroli land parcel?

Godrej Properties Limited
October 23, 2024

Page 11 of 16

Pirojsha Godrej: Yes. So on Vikhroli, we have a project we launched a few months ago has been in focus over the next few months will be on selling that project. I would be hopeful the next financial year where we can have a new launch in Vikhroli. And Ashok vihar is also now looking like a next financial year launch.

Parikshit Kandpal: Okay. Second question is on the fundraise, which you have taken the resolution. So if I see the MMR portfolio, so last year sales, which we had done, average realization of about 16,000, maybe on carpet 24,000, 25,000. So we are really not there on the premium end of the MMR, which is really large and where a branded can have a larger market share.

So how do we intend to plug that gap on the premiumization of the MMR portfolio because that is what will give us bigger margins. So if you can give some more color on this fundraise and how do you intend to deploy it? Are you looking to underwrite large land parcel 50, 60 acres kind of land parcels where we can have maybe 10, 11 years kind of a development and which can be premiumized. So if you can give some color on that, that will be helpful.

Pirojsha Godrej: So in MMR, there has already been quite a bit of premiumization of the portfolio. We have existing projects currently in the market in somewhere like Mahalaxmi, we will later this year, we're launching our worli project. We have a project in Carmichael road. So there are several kind of premium projects that hopefully will come to market soon, including Bandra projects that we hope to bring to market next year.

But I think the opportunity is a from price point. I think something like a launch Godrej Reserve we launched in Q4 of last year, sold brilliantly well and is a very attractive project, both from a total scale perspective as well as margin. So I think we have, I think, struck an interesting price point in Bombay and our goal isn't to do on the luxury developments, which have their own drawback.

So while the margin might be attractive in some cases. I think that is not necessarily the end of price segments that were most attracted to. But I think the visibility for Bombay development looks very strong, and we certainly hope to deploy considerable part of any money we raise into our Mumbai portfolio.

Gaurav Pandey: And if you see relative to our average price per square feet, I'm seeing m

ore at a portfolio level,

this portfolio is an average of markets like Pune, Bangalore, NCR and of course, Bombay, I would say portfolio average price would be much higher for Mumbai portfolio per se because the typical presence that we have, if you see, especially in the last 18 months, we've had a lot of projects apart from Pirojsha just added, projects like Wadala, we had something we have Bhandup and we have Vistas in Vikhroli, these are significantly premium project from a pricing point of view.

Parikshit Kandpal: Gaurav, my view -- my point was more from like larger land parcels, which may come up for auction of building that's why some of the peers are raising large capital. So are we open to underwrite large like INR1,000 crores or INR1,500 crores kind of single land parcels, so which can give like a higher economic interest as well as long-term development potential because it's

Godrej Properties Limited
October 23, 2024

Page 12 of 16

hard to get land parcels, larger land parcels in Mumbai, there is limited window. And since you're raising capital for -- so my question was more from.

Gaurav Pandey: I could say that there is no reason we won't really participate, I don't why your are saying we won't participate, from our perspective I think will definitely participate. And I think one of the unique strengths we are having more competition, especially in markets we are present in our

ability get sites of INR500 crores to INR1,000 crores or even beyond even if we see the opportunity is right. So of course, we will do that. The only thing I can say Parikshit our lens of doing this may not necessarily be what sometimes from a cheque size or competition could be a land banking, unless they're very, very certain about the strategy, we prefer to be more about capital churn play.

Having said we would, of course, evaluate every opportunity. But yes, because we can sign big cheques. Yes, we would love to scale up the Bombay portfolio significantly beyond what it is delivering. But the approach would be more about how quickly can we turn around these projects and make as much on efficient use of capital. Does that answer your question?

Parikshit Kandpal: Yes. So one question to Rajendra. Rajendra, I mean you touched upon that INR1,000 crores spending from the BD done in Q3 and 1,500 for the rest of that. So entire land payment financial year-to-date for all the land parcel or pending land payments should be about INR2,500 crores.

Rajendra Khetawat: Yes, INR2,500 crores to INR3,000 crores, including Ashok Vihar and other stuff.

Parikshit Kandpal: Okay. And just last, if I may. So how has been the approvals in Bangalore? We have been hearing there has been significant delay in approvals in Bangalore, if you can -- Gaurav, if you can touch upon that, whether the approvals are coming in or things have normalized now.

Gaurav Pandey: I think for us, it's been coming quite consistently. I mean, approvals in India has been a bit of a struggle typically from a last 5 years, so I won't say any market is easy or difficult related to the trend. But if you see our projects like in Q1, we were able to bring woodscapes into the market, which turns out to be INR3,150 crores are seeing the highest for us.

And similarly, we've been able to see for this quarter approvals are on track. But especially, it's not very frankly geography-specific the challenge, for us, it's more like sort of a constraint, which we see. And the best one can do is to ensure that like I was mentioning, ensures that your design process are very efficient. But nothing peculiar to Bangalore for us, at least.

Moderator: The next question is from the line of Kunal Lakhan from CLSA.

Kunal Lakhan: Just on the fundraise, currently, your promoter stake about 50-odd percent. And post this fundraise, it could go below 50% or 47%. So what's the long-term view on maintaining the promoter stake at?

Pirojsha Godrej: Yes. Thanks. Kuna

I. I think if we won't like to dilute below the level that we'll be at post the fundraise if we did go ahead with that. So I think the idea would be again to have new boost to growth. We think the kind of collections that will be generated both from the sales that have

Godrej Properties Limited
October 23, 2024

Page 13 of 16

already happened, but the sales that we'd also be locking in through this new round of deployment, we've been frankly quite massive and will allow us to do a lot through our operating cash flow, so but we don't see any further reasons for capital raising, even this one to be honest, if we were growing at 20%, 30% kind of growth rate, I don't think there will be a reason for the fundraise.

Thus, the growth has been much faster than last 3 years, we do have been an opportunity to deliver another couple of very fast growth, and that's kind of the logic. So certainly, we wouldn't see any likely fundraising after this round. Certainly, no plan for any further dilution.

Kunal Lakhan: And on the fund raise per se, you did answer on the utilization of these funds. But just wanted to understand in terms of the 4 markets that you spoke about, right? Just from your opening commentary, you sounded more positive in terms of pricing. I'm saying relatively towards, like, say, Noida and Gurgaon versus, say, Bangalore, Mumbai or Hyderabad. So should we assume that the incremental deployment of capital would be skewed towards markets like Noida and Gurgaon?

Pirojsha Godrej: No, I don't think so. I mean Kunal, one of the big benefits we think we have or is having a truly national platform is that we choose or we don't have to choose to be just in one city or the other.

We can choose project by project where we think the best return on a selective basis are possible.

And so I think we like to have that flexibility. So actually, we're not raising the capital thing that 20% will be in Noida, x percent in Pune or anything like that. We have a large set of opportunities available that we're seeing in various markets. I think which of those close will depend on kind of where we're able to structure the most attractive outcomes for ourselves.

But no, I don't think we're viewing the NCR market as more positive than the other. If anything, I think some of the markets that haven't quite seen that full run up in pricing yet, may offer a lot of attractive opportunities. So certainly, Mumbai and Pune will be very much part of the plan for this capital raise as we would Bangalore and NCR.

Kunal Lakhan: Very well understood. One last question is in terms of buyer profiles, especially for Gurgaon and Noida projects, if you can give some color on what are the profile of the buyers? And how many of them typically take mortgages?

Gaurav Pandey: Thanks for the question. As a typical rule of thumb in most projects that what we get to see from mortgage is about 50% to 70% customers tend to take mortgage in the project. And again, Noida market has always historically been more end-user driven, because if you see the supply itself is constrained. Gurgaon has sort of interesting history where different participants operate, right? And I'm not talking about just right talking more on the market conditions, which we have seen evolution for the last 20 years. So you have end users who are very product-driven, then you have investors which are very long-term rental income oriented. Then you have investors which have sort of a thought of getting capital gain in 4 or 5 years and then you, of course, have speculators who operate.

Godrej Properties Limited
October 23, 2024

Page 14 of 16

I think and different developers also tend to have a different strategy on which part of the market share they want to sort of get. If you generally see in Gurgaon portfolio, we've done some crazy blockbusters sales, but we've intention never pushed for a complete sold out strategy. And the reason was very

simple that we wanted to ensure that the sales funnel can try and absorb as much of end users by making certain practices, which are sort of prohibitive and less attractive for investors.

And simple examples are this are like the way we do channel incentives, we are clearly the lowest in the market. And the idea that there is misselling and -- almost like not the preferred partner for some of them from a brokerage point of view, but more from a product point of view, people who want to sell our products to customers who want to stay and enjoy the properties. So that's one example. The payment plans that we tend to design if somebody wants to buy more than one unit there's sort of process define which actually lands up to my table.

And you can really imagine the probability of that reaching to be up to so many approvals. So idea is to ensure that you attract the lion's share of it. And yes, sometimes, what may happen is that on the D day, you may not say a sold out but look at Zenith as an example for us. We sold INR3,000 crores in Q4 and by now we sold at INR1,000 crores at incremental pricing and better buyer profile. So I think these are things that you put in place, but yes, the market will have different types of people, who would have different types of need for buying order product from our end users, some are investors, some are speculators.

We just feel that right now the bulk of the market is where, different micro markets especially like I was mentioning sometime back gold course for example, is a the pure end user market because that's a city -- that's a part of the city, which has complete infrastructure in place that has probably one of the highest rental per square feet of commercial office space of North India, so has a different TG. But yes, if you go to 20, 30 kilometers down the city, you will have different type of developers with different type of customers investors and the like.

Moderator: The next question is from the line of Puneet Gulati from HSBC Bank.

Puneet Gulati: So Pirojsha, this one is for you. Did I hear it right, you said that if you were only anticipating 20% growth from current levels, there wouldn't be a need for a fundraise?

Pirojsha Godrej: Yes.

Puneet Gulati: So essentially, with fundraise, we are targeting much higher, Okay. Secondly, can you also give a sense of what kind of gross -- you've also added a significant amount of gross cash now close to INR6,000 crores, and there will be. What part would be stuck under RERA? And when do you expect some of that to also unwind? So you have large -- it's almost INR6,000 crores of cash in your books now. This has grown up significantly on Q-on-Q. How much of it is stuck in RERA? And do you expect it to get unlocked?

Rajendra Khetawat: So there's a continuous RERA cash getting accumulated and released as and when the progress. As of now, we have around INR3,000 crores of cash lying into RERA account, which will get

Godrej Properties Limited
October 23, 2024

Page 15 of 16

utilized for construction, and it will get released as and when the OCs will be received for the completion percent.

Puneet Gulati: Yes. And is there something in JVs as well, which is still here to come back to the books?

Rajendra Khetawat: There may be some amount, not a very significant because. Now most of our JVs are at the fag end or almost completed.

Moderator: The next question is from the line of Sukant Garg from Equibuild Research Private Limited.

Sukant Garg: First of all, congrats on the numbers. I would like to ask that in how many projects that we make

specifically and how many projects out of the total. We missed the original scheduled deadline.

Gaurav Pandey: sorry, the voice is not clear. Can you please repeat?

Sukant Garg: Yes. Sorry. So am I clear now?

Gaurav Pandey: Slightly better. Yes, but it's a little muffled.

Sukant Garg: Okay. So I just want to ask that in how many projects we missed the origi

nal schedule deadline?

And what is the average time of that miss average time of that, how much delay of their deadline is?

Gaurav Pandey: So you're basically saying what's the typical schedule time line, how it happens in operations. Is that the question?

Sukant Garg: Yes.

Rajendra Khetawat: See, actually, it depends upon the -- quite a few factors like one is how big is your land parcel because that determines the site logistics, how many basement/podiums you may want to have?

And what's the typical height of the building, right?

So a rule of thumb is that for a typical building, it can take as less as 3 years can take as max as

5 years. Usually, I'm saying 80% of the projects will be typically in this, again, like the variables

I mentioned to you, suppose more highrise if you go 50, 70, so it would, of course, be higher.

And if you go to like a 10, 15 story, it could, of course, be far lower. But rule of thumb you can assume that different degrees of basement configurations and need for piling and height of the building, thumb rule will be 3 to 5 years.

Sukant Garg: So my question is around how many days of delay that we usually have in completing the project?

Gaurav Pandey: Generally, our estimation wise, we are clearly -- bulk of the portfolio do not really see frankly typical delays, but it's also a bit of a learning curve for us that in some markets like specifically talking about NCR, where National Green Tribunal has certain guidelines, which have started coming in last three odd years. And we did, of course, launch projects in like next 7, 8 years.

Godrej Properties Limited

October 23, 2024

Page 16 of 16

That time, we did not envisage that there will be graph based rules. I'm assuming you're familiar with the regulation. So when the pollution tends to pick up, there are regulations defined when you need to kind of prescribe halt construction. And what it does is you not only use those many days, it takes time for you to remobilize and again speed up, right? So I'll -- but in the new projects, we tend to now budget for the time in terms of our time line and planning and committing externally according with that. So barring aside the typical delays, I would say, a very handful situation we have seen projects getting delayed, but more or less, every project gets delivered on time.

Moderator: Ladies and gentlemen, due to time constraints, we have reached the end of our Q&A session. I would now like to hand the conference over to the management for closing comments.

Pirojsha Godrej: I hope we've been able to answer all your questions. If you have any further questions or would like any additional information, we'd be happy to be of assistance. On behalf of the management, thank you once again for taking the time to join us today.

Moderator: Thank you. Ladies and gentlemen, that concludes this conference. Thank you for joining us. You may now disconnect lines.

Call: Feb 2025

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February 06, 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
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National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051

Ref: Godrej Properties Limited
BSE - Script Code: 533150, Scrip ID – GODREJPROP
BSE - Security Code - 974950, 974951, 975090, 975091, 975856, 975857, 976000 - Debt Segment
NSE Symbol - GODREJPROP

Sub: Transcript of the conference call with the investors/ analysts.

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Schedule III Part A, Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call organized with the investors/ analysts on Tuesday, February 4, 2025, post declaration of unaudited financial results (standalone and consolidated) for the quarter and nine months ended December 31, 2024.

This is for your information and records.

Thank you.

Yours truly,
For Godrej Properties Limited

Ashish Karyekar
Company Secretary

Enclosed as above

Page 1 of 15

"Godrej Properties Limited
Q3 FY '25 Earnings Conference Call"
February 04, 2025

MANAGEMENT : MR. PIROJSHA GODREJ – EXECUTIVE CHAIR PERSON –
GODREJ PROPERTIES LIMITED

MR. GAURAV PANDEY – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – GODREJ PROPERTIES
LIMITED

MR. RAJENDRA KHETAWAT – CHIEF FINANCIAL
OFFICER – GODREJ PROPERTIES LIMITED

MR. KSHITIJ JAIN – INVESTOR RELATIONS – GODREJ
PROPERTIES LIMITED

Godrej Properties Limited
February 04, 2025

Page 2 of 15

Moderator: Ladies and gentlemen, good day, and welcome to the Godrej Properties Q3 FY '25 Results Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone.

I now hand the conference over to Mr. Kshitij Jain from Godrej Properties. Thank you, and over to you, sir.

Kshitij Jain: Good afternoon everyone, and thank you for joining us on Godrej Properties Q3 FY '25 results conference call. We have with us Mr. Pirojsha Godrej, Executive Chairperson; Mr. Gaurav Pandey, Managing Director and CEO; and Mr. Rajendra Khetawat, CFO of the Company.

Before we begin this call, I would like to point out that some statements made in today's call may be forward -looking in nature. The forward -looking statements are based on future expectations and may involve risks. The outcome may differ materially from those suggested by such statements and a disclaimer to this effect has been included in the results presentation.

I would now like to invite Mr. Godrej to make his opening remarks. Over to you, sir.

Pirojsha Godrej: Good afternoon, everyone. Thank you for joining us for Godrej Properties third quarter financial year 2025 Conference Call. I'll begin by discussing the highlights of the quarter, and we then look forward to taking your questions and suggestions. Calendar year 2024 was a record -breaking year for Godrej Properties. Our booking value reached INR28,800 crores, a year -on-year growth of 69%, and this was achieved through the sale of 26.38 million square feet of area, a volume growth of 54%. This is the highest ever booking value and volume achieved by any listed real estate developer in India in a calendar year.

Collections and operating cash flow were INR14,779 crores, a year -on-year growth of 40%, and INR6,043 crores, a year -on-year growth of 52%, respectively. We delivered projects aggregating 18 million square feet across 7 cities during the calendar year.

Furthermore, we replenished even more than what we sold by adding 16 new projects with an estimated saleable area of 29.1 million square feet and expected booking value of INR36,250 crores. Our earnings were also the highest ever with net profit of INR1,489 crores, a year -on-year growth of 124%.

Towards the end of the year, we raised INR6,000 crores of equity for growth capital through the largest ever QIP by a real estate company in India. As a result, our net debt -to-equity ratio has improved to 0.23 from 0.72 at the start of the calendar year.

Booking value in the 9 months of the current financial year grew 48% to INR19,281 crores from the sale of 18.2 million square feet of area, a volume growth 54%. This is the highest ever 9 -month booking value and area sold achieved by Godrej Properties or any Indian real estate

Godrej Properties Limited
February 04, 2025

Page 3 of 15

developer. GPL has now achieved 71% of its annual guidance for booking value for FY '25. So we remain confident of meeting and exceeding our guidance for the year.

The Mumbai region has seen very sharp growth this year with total sales of INR5,155 crores, a year-on-year growth of 104%. For the third quarter, our booking value was INR5,446 crores from the sale of a little over 4 million square feet of area, a decline of 5% year -on-year in booking value and a growth of 5% quarter -on-quarter.

GPL achieved a booking value of more than INR5,000 crores, even though a couple of new

project launches, including Godrej Madison Avenue in our new launch in Hyderabad, which is currently underway, and Godrej Riverine in Sector 44 in Noida, which is also currently underway. But both of these have been planned for quarter

3 and ended up being launched in the early part of quarter 4 instead.

This is the sixth consecutive quarter in which Godrej Properties has delivered more than INR5,000 crores of booking value. And for the first time in Indian real estate, we were able to deliver INR500 crores -plus launches in five separate cities in all parts of the country with launches of over INR500 crores in value in the West in Mumbai and Pune, in the North in Gurgaon, in the South in Bangalore and in the East in Kolkata.

GPL also achieved its highest ever 9 -month collections and operating cash flow of INR10,086 crores, a year -on-year growth of 50% and INR3,436 crores, a year -on-year growth of 99%, respectively. Collections and operating cash flow in the third quarter were INR3,069 crores and INR615 crores , respectively.

From a business development perspective, I'm happy to announce that Godrej Properties has added 12 new projects in the year -to-date, with a total estimated saleable area of approximately 16.9 million square feet and total estimated booking value potential of INR23,450 crores as against our annual guidance of INR20,000 crores. This included 4 new projects with an estimated saleable area of 5.9 million square feet and expected booking value of INR10,800 crores added in the third quarter.

GPL delivered projects aggregating 2.6 million square feet in two cities in the third quarter, taking the year -to-date total to 11.9 million square feet of delivery. Slightly lower deliveries in the third quarter were part of the reason that cash flows for the quarter saw quarter -on-quarter decline, but we have a lot of deliveries and other construction milestones planned in the fourth quarter and expect to see a sharp growth in both collections and operating cash flow in the current quarter.

For the third quarter, our total income increased by 133% to INR1,222 crores. EBITDA increased by 85% to INR280 crores , and net profit increased by 161% to INR163 crores. For the 9 months, our total income increased by 74% to INR4,203 crores. EBITDA increased by 144% to INR1,336 crores . And net profit increased by 301% to INR1,018 crores.

Godrej Properties Limited
February 04, 2025

Page 4 of 15

We hope to build on this momentum through the launch of a large number of exciting new projects combined with strong customer sales. We also expect to deliver a record year from the point of view of cash flows and earnings.

On that note, I conclude my remarks. Thank you again for joining us on this call. We'd now be happy to discuss your questions, comments or suggestions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from Puneet from HSBC.

Puneet: My first question is, if you can share your thoughts about the sustenance sales momentum, a lot of your sales are also driven by launches. How should one think about the fair number of sustenance sales on a quarterly basis?

Pirojsha Godrej: Thanks, Puneet. I think -- we think we've seen pretty strong track record of consistent sales. As I mentioned in my remarks, last quarter was the sixth consecutive quarter we've been able to sell over INR5,000 crores worth of inventory. I think that's an industry record. Similarly, we sold -- had sales of over INR500 crores across 5 cities in all parts of the country. So we do see this sales growth has been quite sustainable.

We've done ahead of our business development targets for the year already, lining up a good launch portfolio for the next couple of years. So I don't see currently any challenge in maintaining the kind of strong sales we've seen over the last couple of years.

Puneet: Sorry, sorry. My question is in context of your guidance, where to meet your full -year guidance, you need to do about INR7,700 crores of presales and the balance unlaunched value of your inventory is also somewhere slightly shy of INR7,000 crores. So how confident

are you of meeting your guidance here? And you'll need a decent amount of sustenance sales to run you through, isn't it? Or...

Pirojsha Godrej: We're extremely confident, Puneet. If you look at kind of the track record of the company over the last year, Q4 does tend to be a pretty strong quarter with a larger percentage of full annual sales than is required this year to meet our guidance. We will, of course, need good sustenance sales, and we're seeing some sustenance sales, but we actually have a very strong launch portfolio as well for the fourth quarter, so we're already in process of launching our projects --

our first project in Hyderabad, which is going very well so far.

We're launching a new project in Noida, which again, early signs are very positive. We have additional launches planned in Bangalore, Pune, Mumbai and another launch in Gurgaon. So I think the launch calendar itself is very robust, but we do have also given the large number of launches last quarter, a healthy amount of sustenance inventory. So we're extremely confident of meeting our full -year guidance.

Gaurav Pandey: And just to add on to that, we've already crossed last full -year sustenance figures already. In fact, the year -on-year growth is about 40%. So the launch numbers are the ones that will drive.

Sustenance anyways is going on the right trajectory. With the 2 launches that slipped from

Godrej Properties Limited

February 04, 2025

Page 5 of 15

quarter 3 to quarter 4, will give us the fillip to strengthen the quarter 4 numbers, but they're still actually quite doing rock solid.

Puneet: Yes. Okay. So should one also think that your launch number for full year will be higher than what you've guided maybe start of '25?

Pirojsha Godrej: Yes.

Puneet: Okay. That's helpful. And secondly, if you can also talk about what you're seeing in terms of progress on your Bangalore site, so Bangalore market has picked up this time? How are you seeing your market share growing there?

Pirojsha Godrej: I think we've been very happy with the growth in Bangalore. If you look at it, I think last year, as we look back, we were, of course, extremely happy with the overall sales performance growth of 84% and hitting a total of INR22,500 crores of booking value. I think where we felt we could have done even better is perhaps last year's sales were a little over reliant on NCR with almost a 45% contribution from that market last year.

One of the goals for this year in addition to strong overall growth was to see a better balance amongst the different regions we are in. So if you look at our sales, both in Bangalore, which has grown -- our 9 -month numbers, in fact, doubled our full -year numbers of last year. And Mumbai, also for the first 3 quarters, grown at 100%.

So I think both of those markets have seen very strong growth, and we've had a much more balanced sales performance this year across our top 3 markets, and we're hoping to also see the Pune market contribute more over the next few quarters.

And I think with Hyderabad being our new market entry, we're quite hopeful this quarter we will see very strong kind of initial outcomes there. One project, as I said, is already in the market. We're hoping to get the final approvals for the second one and launch that one next month as well. And if we're able to do that, I think that would be an excellent entry into the Hyderabad market also.

Moderator: The next question is from Pritesh Sheth from Axis Capital.

Pritesh Sheth: First is on the launches for Q4, you briefly highlighted some of them. Any broad number in terms of the total revenue potential that you are expecting to launch this quarter, including the couple of launches, which are already in process?

Gaurav Pandey: Thanks, Pritesh. Pritesh, just to give you a sort of insight into our Q4 launch calendar and subject to, of course, some of these are in approval stages, but some hea

d start, like Sector 44 Noida,

which is the central CBD market of Noida, we will have a -- hopefully, a big blockbuster launch over there. This is going to be a very meaningful launch for North portfolio. Then we have another launch coming in the central CBD micro market of Gurgaon's Golf Course Road, which is going to hit the market in Sector 54.

Godrej Properties Limited

February 04, 2025

Page 6 of 15

Coming down to South, apart from Pirojsha, what he just talked about Hyderabad launches, we have something in fairly advanced stage of approvals in Sector -- this is like the northern part of Bangalore. We have like 66 acres of land. A large portion of that we intend to launch within the quarter. And that is, again, going to be a very significant number.

On the Pune market per se, we have launch planned in Hinjewadi. As you would know, we launched a project just last quarter, which incidentally is now Pune's highest launch ever. So this is going to be very near to that micro market only, in Hinjewadi itself. We are quite excited about that launch. We hope to launch something in Indore as plotted development, something near Kolkata, the recent plotted acquisition we've done.

And in Bombay, we have a series of activations and launches ranging from reserve project that we have to Carmichael to Vashi to Bhandup, a retail phase of that. So yes, I mean pretty large sort of launch calendar. Difficult to really say how much total inventory we would want to launch. It depends if in case we realize that some approvals are getting needed, we might open more inventory and vice versa.

But fair to say that the guidance that we've given to you, we should be more or less be able to beat that from the launch end itself.

Pritesh Sheth: Got it. Got it. That's helpful. Just on Mumbai, Worli launch, will this happen this year or next year?

Pirojsha Godrej: We're still hoping to get it done this year. But I think the reason we haven't mentioned that as one of the launches is there is some uncertainty on final approval time. Very advanced stage of approval, so we are still hopeful we will get the approval. But then, to get the approval also, if we can't start getting through March to get the approvals, we may choose to launch it next year so that we have a few weeks to get to launch fully planned and prepared. So it's -- I'd say it's a bit of 50-50 right now whether that gets launched this year or next. But I think it's either end of this quarter or first quarter next year.

Pritesh Sheth: Sure. Got it. And just on the launch strategy of late, I'm seeing we are giving a little more time to the launches. Any specific strategy in place or probably we are just taking -- considering where we are in the market right now, we are taking a little bit more time to generate as much EOI's for the project, and hence, a little bit more time for launches? Or -- you can guide me on where I -- what my thought process is, yes?

Gaurav Pandey: Yes. Essentially, what happened, in quarter 3, we had 2 launches planned within the quarter. In fact, we did get the approval, but it was almost towards the quarter end, and there is this -- a period where buyers don't feel like buying in these 2 geographies. So we took an informed call that after Makar Sankranti is when the good days for buying properties would start. So we could actually frankly push that, at least one of those launches within the quarter.

But these are very tangible numbers, whether it's the Noida launch or the Hyderabad launch, and eventually, we're not really playing a quarter game, we're playing more of a long-term game, but

Godrej Properties Limited
February 04, 2025

Page 7 of 15

yes, that's the main reason behind the recent movement between the quarter. Otherwise, it is pretty much straightforward that wherever we feel is demand.

That being said, the only thing I'll say is that there is some amount of price calibration we started

wanting for ourselves.

So now the fact that we have sold a lot of inventory in some micro markets, our residual inventory or the launch also is not like very, very massive to our total inventory size.

So sometimes there is a temptation to improve profit margin and calibrate the opportunity. So yes, we do once in a while we see that, but that's very tactical adjustment, nothing really strategic in that sense.

Pritesh Sheth: Got it. And one last, and then, I'll go on to the follow-up. But for NCR, I mean we have a flattish 9 months. Obviously, last year was pretty strong. And considering that now we are more into luxury side of -- or premium side of launches in that market, do you think that market from a contribution perspective has peaked out for us and might even be lower next year, considering we don't have any volume projects there, like we used to have in general, so your thoughts on NCR markets?

Gaurav Pandey: I think it's a good question. But if I would put it this way, the reason why you saw 9 months reasonably flattish for NCR is also, some of the launch delays, like Sector 44, had that happened in quarter 3 itself, the numbers would have looked from a 9-month performance perspective fairly different. And if you would go down to the cities like Gurgaon, there are demand and pricing opportunities available on both sides with respect to the market. Yes, premium also is doing very well, and luxury is also doing very well.

That being said, do I see that we will have multiple INR3,000 crores kind of launches? It will depend upon the BD portfolio. So if you see what we've done in Gurgaon specifically, we built a very strong portfolio on the Golf Course Road. And on the Noida side, we've got something in Sector 44 phase of which we launched now and maybe the next phase next year. And then, we have Greater Noida parcel. So I think the volume gain most likely will be Noida portfolio, and the value accretive game would -- value accretive plus volume growth will be in Golf Course Road.

So yes, I think fair to say that we'll maintain and grow over and above whatever we deliver this year. But yes, the exponential growth of 50%, 100% that we are noticing is also -- in other markets also a bit of a catch-up game to NCR, right? Because that is already doing INR 10,000

crores last year.

Bangalore was, for example, doing INR2,500 crores. So just post there will be percentage wise very significant jump we would want other markets to do. But that being said, it doesn't mean that we would not like to grow our NCR portfolio. But yes, the percentage of growth will be different.

Moderator: The next question is from Praveen Choudhary from Morgan Stanley.

Godrej Properties Limited

February 04, 2025

Page 8 of 15

Praveen Choudhary: Congratulations on very strong presales this quarter. I have just one question. Are you seeing any areas, geographies or segments where the demand is looking weaker than, let's say, 6 months ago? And how are you countering that? And the related question is also the land banking that you have done in the last 6 months and the assumption that you may have for the margin. Do you think that margin will come under pressure if demand is weaker?

Pirojsha Godrej: Thanks, Praveen. I think we're continuing to see very strong market, frankly. As I mentioned earlier, we've seen INR500 crore sales plus launches across five cities in all parts of the country. We have seen 6 consecutive quarters INR5,000 crore sales plus sales. So I think these are all indications to us that markets remain strong. We've also been looking at pricing. So these are not -- these are strong sales at attractive price points above what we underwrote. So in that sense, margin should expand as a result of these.

That said, I think, there was perhaps some level of euphoria in some markets 6, 12 months ago, but perhaps calmed down a little bit. But I think the market

continued to do very well, but

perhaps not to the same degree of frothiness that perhaps some of the markets we're seeing. But as of now, nothing we're seeing confirms us that fundamentally demand is weakening and there's anything to be overly concerned about.

We like that we're also very well distributed nationally and also across various micro markets within the cities we operate in, so we're not overly concentrated on any one geography or any one micro market, which will allow us, we think, to continue to show growth even if some individual markets slow down a little.

So as of now, I think we think things remain healthy. We've, of course, taken note of kind of the overall economic slowdown in India over the last few months and some of the global uncertainty that's still unfolding. But we think the government is taking the right steps. I think the budget was a positive move.

And we're quite hopeful that there will be an interest rate cut later this week. All of this, we think, will aid sentiments, and this is ultimately a sector that's quite driven by sentiment. So we'll keep an eye on all of this. But as of now, we think we remain in a very positive overall market condition.

Praveen Choudhary: That's very reassuring. If I have just one follow-up on collections. Your year-to-date or calendar year collection and operating cash flow has been strong. But just looking at the December quarter, we saw some softness. It could be just temporary. I just wanted to understand if there was any factors affecting that, and the fact that next year, it will come back strongly. Can you talk about that?

Pirojsha Godrej: That's nothing too important here, Praveen. I think we expect a very, very strong Q4. I think it was a little bit lower number of deliveries. We only had a couple of million square feet of deliveries of that part of the commercial projects with no collection on. So there tends to be a little bit lumpy linked to deliveries, which we will see quite a few of in the fourth quarter. Yes, I mean, the quarterly number was a little low, but you'll see very strong full-year growth and I think very strong growth in the fourth quarter as well.

Godrej Properties Limited

February 04, 2025

Page 9 of 15

Gaurav Pandey: And, Praveen, because of NGT ban that you would be aware in NCR, some of the billing milestones had moved from quarter 3 to quarter 4. So as we speak from enough period of time right now, some of these are hitting. So yes, so some of this is more of a catch-up because of the NGT ban that typically NCR sees...

Moderator: The next question is from Abhinav Sinha from Jefferies India.

Abhinav Sinha: A couple of questions. So firstly, given where we are on the BD side for the year, so how do you expect this unfolding in the next, say, 1 or 2 quarters? And where do we expect the net gearing to be?

Gaurav Pandey: You are referring to, Abhinav, BD strategies. Is that the question?

Abhinav Sinha: That's right. BD and the corresponding net debt in the next few quarters?

Gaurav Pandey: I think there are a few guiding principles that we have kind of set for ourselves, right? One is that we want to have very robust risk management, which is why we did QIP to manage growth and risk very well. So we would like to have an upper cap of about INR10,000 crores of net debt and currently our gearing is about 0.23.

So we have a significant headroom to play the capital in terms of right opportunities. But also at the same time, you have to balance opportunities from potential of future. One is delivery of current, but you're also kind of predicting the market for the next 1 to 2 years. So there are certain cities and certain micro markets within those cities, we are more bullish upon.

And we will be more analytical -driven at decision -making than deployment pressure -driven.

And to be very fair, if you see, generally, Godrej Properties' strategy has

been, irrespective of

capital availability, we've gone very aggressive in a quarter and taken pause for 1 or 2 quarters if we don't find the deals, which are right.

So fair to say that you will see a lot of growth and a lot of acquisitions in the next few quarters, but they can be lumpy in terms of when we feel the micro market is presenting the right opportunity at the right valuation. So yes, you'll see a lot of action on BD, but, again, very calibrated, very specific to need based and within a particular guidance and framework that we set for ourselves in terms of risk management.

Abhinav Sinha: Right. And, Gaurav, from a portfolio basis, we are now fairly premium as compared to, say, 2 years back. But do you see this ratio sustaining here? Or we, let's say, head further more on the premium ladder?

Gaurav Pandey: See, you're looking it from a growth point potential of the topline, is that your question?

Abhinav Sinha: Let's say, from a -- more from a -- how do you plan your ticket sizes? Do you want to do more of large 3, 4 bedrooms?

Gaurav Pandey: Got it. I think there is a combination. So let me take a step back. What is the market -- which part of the market will always see very strong demand, agnostic to a cycle would always be

Godrej Properties Limited

February 04, 2025

Page 10 of 15

ticket size, which is between INR1 crores to INR5 crores depending on which city we pick up.

That's always a market that operates agnostic to a cycle. The thing is that when the cycles are in mid-stage to slightly early part of late stage, consumers always have very aspirational demand.

So it's not really just a ticket size game, it is product aspiration that most buyers have.

Today, if you see, because of the economic growth and what we're seeing in terms of our own sales ratio, we have seen very strong demand in the premium segment, and to some extent, even in the luxury segment. But yes, 2 to 3 years from today, there will be, of course, an opportunity to reconfigure your product. So in certain cities, you may want to reduce the sizes, and in certain cities, you may want to or certain micro markets, you may want to maintain your sizes.

Like if I give you an example today, the most talked about market from risk management point of view is Gurgaon, right? But if you see Gurgaon's sales performance, any project from the right developer at the right size of unit, by size of unit meaning minimum bedroom size is right, minimum balcony size is right, minimum kitchen size is right, are doing very well even if the ticket sizes are higher.

And then there are projects which are playing a sort of a relatively smaller product game, are not necessarily as successful as that. So there is no generic principle, Abhinav. I know your question is coming mostly from the previous cycle when ticket sizes raise demand. I do think that will happen. But currently, if you ask me, it's very micro market specific.

People are more conscious about product for the moment than ticket size alone. I think there will be ticket -size sensitivity sooner than later, but I don't see that immediate concern. But yes, there are cities like Pune, for example, is extremely ticket -size sensitive. Pune operates still the pre - COVID model that your price accuracy and ticket price accuracy is far more higher, important. Bangalore used to be like that, but has moved to more of aspirational product today.

Abhinav Sinha: Right. And, Gaurav, one final question. So I think you partly answered this, but broadly, on Golf Course Road, we have, I think, north of INR10,000 crores worth of inventory with us. So how does this -- you see this annually being sold down? Are you going to have like, let's say, all 4 projects launched by, say, middle of next year or something?

Gaurav Pandey: See, the good thing about the inventory that we've added is like the cream de la creme inventory because that -- from a portfolio p

oint of view, this is not even 10% of, say, our portfolio was, at

a company level. So there is no pressure to sell them fast, right? These are opportunities which

will create the maximum profit margins for us. So we would like to take every -- one project at a time, but not have that pressure to sell fast. We would rather focus on margin expansion and quality of sale.

Just looking at Miraya, as an example, there were a series of, say, bookings, which we didn't want to log in because we had a very high control threshold from quality of sale point of view. So I think Golf Course Road, till the time we are very much focused on ensuring that customers that are coming are largely end users and we are able to build extremely good product, I think these will consistently sell well.

Godrej Properties Limited
February 04, 2025

Page 11 of 15

That being said, there is no reason if we see great demand and everybody being end user, we cannot sell more. But it's not driven with the pressure to exit faster. From a portfolio level point of view, this is not a very significant inventory, but very profitable inventory.

Abhinav Sinha: Right. Thanks and all the best to the team.

Gaurav Pandey: Thanks Abhinav.

Moderator: Thank you. The next question is from Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Pirojsha and Gaurav, congratulations on a great quarter. My first question is that for the year, 9 months and for this third quarter, what has been the contribution from the new launches to the presales?

Rajendra Khetawat: Let us come back to that.

Parikshit Kandpal: Okay. So the other question is that now -- I mean, in terms of your sales, so are you seeing any elongation in the sales closer cycles for -- I mean customer taking...

Pirojsha Godrej: I'm not able to make out what you're saying. Could you just repeat that?

Parikshit Kandpal: Sir, just wanted some data points, at your sites, when you are launching new projects, do you see -- are you seeing any trends where the closure cycle is elongating or taking more time for deals to get closed over the last few quarters?

Pirojsha Godrej: I can see good responses almost across the board. I do think in more premium, the higher up you go the value chain in terms of price points, of course, the slightly longer decision-making takes.

So I think in some of the luxury projects, we would expect that at closure timeframes would move up a little bit. But other than that, I think we're seeing very strong continued response to launches.

Rajendra Khetawat: Parikshit, to your question, new launches to presale is like 70% for 9 months and 68% for the quarter.

Parikshit Kandpal: So that was -- the other question was that now we have only INR7,000 crores to be launched versus the guidance of INR30,000 crores for the year as a whole, and we have a large...

Pirojsha Godrej: Parikshit, it's important to keep in mind, we do keep buffers in our guidance given the uncertainties of regulatory approval. So we -- I think Gaurav and I highlighted earlier that the number of launches we have. So if the question is that do we have the launches to meet the guidance...

Parikshit Kandpal: I wanted to know how much on a conservative basis can we upsize this, I mean, for this quarter? I mean you would have already got some sense on given that we have only two months left. So some reasonable visibility on getting approval. So what could be the upsizing here, I mean, given that large quantum of the presales is coming from new launches?

Godrej Properties Limited
February 04, 2025

Page 12 of 15

Pirojsha Godrej: I don't think we want to quantify that right now. We'll stick with the INR30,000 crores of launch guidance. It will depend a little bit, as we said, on some of these, it can be quite large movements like are we able to launch the Worli project in March because it slipped to the April quarter.

So

I think we'll stick with the guidance for now, but we're certainly looking to do a large number of launches this quarter. The two that are already definitely happening are Hyderabad, Noida. And as we mentioned, in five or six other cities, we have opportunities that we're working at the final stages of approval.

Parikshit Kandpal: Okay. And just on the embedded margins, if you can highlight what has been the number for the 9 months and for the third quarter?

Pirojsha Godrej: Yes. So we've indicated that we'd like to do this on an annual basis rather than a quarterly basis. But as of now, it's tracking similar to slightly above last year's numbers.

Parikshit Kandpal: Okay. And just the last question on the approvals. I mean, we have seen a couple of projects getting approvals later in the quarter versus expectation. So in general, across your key markets,

what has been now the trend on getting approvals? We have seen delays, especially in South in last quarter. But do you think that things are now improving and are on track for getting approvals on time?

Pirojsha Godrej: Yes. I think we're quite happy. If you look at the kind of average time to launch for the company, it's come down quite considerably over the last few years. While we said, of course, Hyderabad, we wanted to launch last quarter and slipped into this quarter. I think it's important to remember that we only added the land parcel in Q4 of last year. So actually still a very well-timed launch, and no real delays, and in fact, launched faster than we had originally underwritten.

So similarly, I think the teams have built very strong capabilities in terms of designing quickly, understanding the market, working with government departments to get approvals on a timely basis. So I'd say that wasn't a particular skill of the company a few years ago. I think we've gotten better and better at that. And now I think quite satisfied with the kind of time we're taking to launch projects.

Of course, we always see in this industry, there is a series of projects, maybe 10% or 20% of projects, that get inordinately delayed for one or the other reasons. We've seen that -- Worli, which we hope to launch in the next couple of months, had been delayed for many years. Ashok Vihar is another example. So particularly bigger projects, we've noticed tend to take a little bit longer in the approval timelines. But overall, I think in all parts of the country, including some of these new markets like Hyderabad, quite satisfied with the progress.

Parikshit Kandpal: Okay. Sure. Thank you. That answers my question.

Pirojsha Godrej: Thank you.

Moderator: Thank you. Next question is from Kunal Lakhan from CLSA. Please go ahead.

Godrej Properties Limited

February 04, 2025

Page 13 of 15

Kunal Lakhan: Hi, good evening. Thank you for taking my questions. My questions are actually pertaining to NCR market. Considering your launch Miraya, right, we've sold about 25% odd in this quarter. Do you see any slowdown there? Because until last year, we were seeing projects getting sold out at launch. And again, the related question is since we are doubling down on that -- on the Golf Course Road in terms of project acquisition also?

Do you see that as a concern considering the prices there have like gone up like to 100% or 150% in the last 4, 5 years? And we -- essentially, we are buying land there now at current prices. So do you see that as a concern considering like the sales velocity in the micro market kind of slowing down versus are we doubling down on the market in terms of acquisitions?

Gaurav Pandey: Kunal, this is a wonderful question. Actually, every market, you tend to have a different long-term strategy. Like I was mentioning some time back, for us, Golf Course Road is a pure margin expansion play. So we have a lot of inventory in Gurgaon, which is more about asset turnover play. This is more of a pure

margin play. And idea was from the first launch itself is to establish profit expansion higher than the underwriting margins we have done for the last acquisition also. So just to give you some interesting data points. From this first launch, like you rightly said, say about 25-odd percent that we've sold, the profit that we had underwritten in the project, we have more or less done more than half of that underwriting. Now try and imagine that with a 75% inventory and residing through a good product because the very end user product, if you've kind of seen Miraya as a product, large room size and all, we feel there's a lot of opportunity to create value.

And theoretically, if you sell -- again, this is more academic, for that matter 50% of the inventory, whatever you've underwritten as profit, you've already logged in. So there is no risk per se after that. But we're also trying to establish a margin profile and the pricing for a future inventory that we will sell, which idea is again to do profit expansion. So this is a different product market play that we are trying to do in our portfolio.

There are some players in the competition in India, not talking about -- not actually NCR, who do necessarily only this, margin expansion play. We had kind of defined that in our large scheme of things, which are one or two markets we can do this kind of a strategy. It's been working very well for us. So I'm not really worried about it. I'm not really targeting a booking value play from Golf Course Road project. I'm looking more from a value accretive and strong margin profile kind of a play.

Kunal Lakhan: Sure, sure. Just a follow-up on that in terms of, like, if you look at the overall -- that whole Golf Course Road as well as Golf Course Extension, I know they don't compete with each other, but still like in terms of like the overall micro market, right, the kind of supply that is expected from, say, the top 8 to 10 developers, right, almost each of them planning to launch like 400, 500 unit projects in the next 6 to 9 months, so close to like 4,000, 5,000 units costing, say, INR 7 crores, INR 8 crores plus. That's a huge supply in that kind of ticket size, right? Would you be worried

in terms of like oversupply situation in that particular ticket size over the next 1 year, 2 years or so?

Godrej Properties Limited
February 04, 2025

Page 14 of 15

Gaurav Pandey: Sure. I think the customer segments are totally different. If I were to give you some amount of thesis to that, and so Extension Road is a great micro market. We have a project practically more or less sold out by the neighbor of Aristocrat. But extension micro market is mostly either for people who are first time home buyers or who are upgrading for micro markets such as Sohna Road or an SCR or a new Gurgaon market with wealth creation, they are looking at buying. And while there is supply coming up and we don't really have, frankly, any large project available in that micro market, it is not at all concerning for the -- for that micro market. But Golf Course Road is frankly quite the opposite. If you see old projects of Golf Course Road, which have been completed and delivered 3, 4, 5 years back, they are currently commanding even higher premium to what we are selling, to be very frank.

I mean, Miraya, we've upped the game from a pricing point of view, margin point of view, but there are many delivered products which are like 15%, 20% higher to that without going to specifics of it. So this is more of a customer who has got into a wealth income of, say, INR1 crores to INR2 crores per annum of salary, I'm talking minimum, and has a very -- either a very stable job or like a CXO or has a very tangible business. And there are sort of ticket size orbits that they had.

So you have an INR10 crores to INR20 crores kind of a game, then you have INR20 crores to INR50 crores kind of a game and then the latest I

launch of DLF as an ultra-luxury, which is like INR70 crores, INR80 crores and above. So there are certain customers who are upgrading their lifestyle from Golf Course Road, who look to buy these products. And they're very refined customers. They don't necessarily look at property cycle. They are more product focused. So I think different segments, different cycles, and to just make it academically even more difficult, just to play out a scenario that what if -- and these are the scenario planning, you have excess supply issue in Extension Road and you have price correction. And just extrapolating, would you see an impact in Golf Course Road? Probably not at all. Because if you see even in the previous cycles across most markets, markets which are aspirational and have extreme lack of land availability, they have a very different consumer base.

Like in Bombay's case, you would -- if there is a customer for Carmichael, will always be a customer for Carmichael, he or she will not necessarily buy if the property market is low or high, right? He or she may not necessarily buy a product in, say, Worli or Lower Parel. He or she would definitely want to buy a product only in Carmichael. Something similar, that Golf Course Road is the most aspirational market for anyone staying in NCR, let alone just Gurgaon. So the migration for people looking from Delhi to Gurgaon or from Golf Course Road to Golf Course Road. And what we've tried this for ourselves is, Kunal just being in the sweet spot, that our lower ticket size product is the, say, slightly higher ticket size of an Extension Road and a max ticket size is lower than, say, a very luxurious completed product of that micro market. So it's a very sweet spot we're trying to play to hedge any risk.

Moderator: Next question is from Rahul Jain from Elara Capital.

Godrej Properties Limited
February 04, 2025

Page 15 of 15

Rahul Jain: Sir, just wanted to check on your strategy in terms of outside the Tier 1 markets -- I mean, you have already acquired 2 land parcels in Indore. Just want to understand what really -- what are the factors that you consider before entering a Tier 2 market essentially? And are there any Tier 2 -- other Tier 2 markets that you're considering to enter?

Pirojsha Godrej: We've distributed our acquisition strategy across plotted development projects and group housing projects, and we're keeping it quite the same. So for group housing, which is the vast majority of our business, we are focused only on the larger cities, our four core markets, Mumbai, NCR, Bangalore and Pune. We've recently decided to enter the Hyderabad market, and that will be an important focus going forward.

And opportunistically, we've said we would look at markets where we've historically had projects, places like Kolkata, Ahmedabad, perhaps Chennai. But that would be all from a group housing perspective in the near future.

One of the ways that we will look to see which new cities make sense to look at for a group

housing perspective is by entering the market through plotted development projects. And here, we're open to doing projects in the top 20, 30 cities in the country. We think plotted development stand-alone is a great opportunity with relatively low management bandwidth and quick turnaround time.

But equally, it gives us an entry point into these markets, lets us start understanding how the markets are functioning and will help, we believe, in crafting our group housing expansion strategy. But for now, from a group housing perspective, we remain focused on only the top few markets I mentioned.

Rahul Jain: Understood, sir. Very clear. And one more on the Worli launch. I mean, what is the ticket size that you are targeting?

Pirojsha Godrej: We are having final discussion on pricing, et cetera. We have a partner. That -- all of that is still underway. So let us -- we'll come back to you with that once we're ready

with the launch and all the approvals.

Moderator: That was the last question in queue. I would now like to hand the conference back to the management team for closing comments.

Pirojsha Godrej: Thank you. I hope we've been able to answer all your questions. If you have any further questions or would like any additional information, we'd be happy to be of assistance. On behalf of all of us, thank you once again for taking the time to join us today .

Moderator: On behalf of Godrej Properties Limited, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: May 2025

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May 05, 2025

BSE Limited
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Exchange Plaza,
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Bandra Kurla Complex,
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Ref: Godrej Properties Limited
BSE - Script Code: 533150, Scrip ID – GODREJPROP
BSE - Security Code - 974950, 974951, 975090, 975091, 975856, 975857, 976000 - Debt Segment
NSE Symbol - GODREJPROP

Sub: Transcript of the conference call with the investors/ analysts.

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Schedule III Part A, Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call organized with the investors/ analysts on Friday, May 02, 2025, post declaration of Audited Financial Results (standalone and consolidated) for the quarter and year ended March 31, 2025.

This is for your information and records.

Thank you.

Yours truly,
For Godrej Properties Limited

Ashish Karyekar
Company Secretary

Enclosed as above

Page 1 of 17

“Godrej Properties Q4 FY-25 Earnings Conference
Call”

May 02, 2025

MANAGEMENT : MR. PIRO JSHA GODREJ – EXECUTIVE CHAIRPERSON ,
GODREJ PROPERTIES
MR. GAURAV PANDEY – MANAGING DIRECTOR &
CEO, GODREJ PROPERTIES
MR. RAJENDRA KHETAWAT – CFO , GODREJ
PROPERTIES
MODERATOR : MR. KSHITIJ JAIN – GODREJ PROPERTIES

Godrej Properties
May 02, 2025

Page 2 of 17

Moderator : Ladies and gentlemen, good day and welcome to the Godrej Properties Q4 FY25 conference call.

As a reminder , all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kshitij Jain from Godrej Properties. Thank you and over to you, sir.

Kshitij Jain: Good afternoon, everyone and thank you for joining us on Godrej Properties Q4 FY25 Results Conference Call .

We have with us Mr. Piro jsha Godrej – Executive Chairperson, Mr. Gaurav Pandey – Managing Director and CEO and Mr. Rajendra Khetawat – CFO of the Company .

Before we begin this call, I would like to point out that some statements made in today's call may be forward looking in nature. The forward -looking statements are based on expectations and may involve risk. The outcomes may differ materially from those suggested by such statements and a disclaimer to this effect has been included in the Results Presentation .

I would now like to invite Mr. Godrej to make his Opening Remarks .

Pirojsha Godrej : Good afternoon, everyone. First, let me please apologize for the delayed start. We are facing some tech issues at our end, so extremely sorry to keep you all waiting. Thank you for joining us for Godrej Properties 4th Quarter Financial Year 2025 Conference Call .

I will begin by discussing the highlights of the quarter and the year-end and we then look forward to taking your questions and suggestions.

I am happy to share that Financial Year 2025 was another record -breaking year for Godrej Properties in which we achieved our highest ever bookings, collections, operating cash flows, earnings and deliveries.

Our booking value in the 4th Quarter grew 87% quarter -on-quarter and 7% year -on-year to Rs. 10,163 crores. This was achieved through the sale of 3,703 homes with a total area of 7.52 million square feet . This is the highest ever quarterly booking value achieved by GPL and is the first time that we crossed Rs. 10,000 crores of booking value in a quarter. This is also the seventh consecutive quarter in which GPL has delivered more than Rs. 5,000 crores of booking value.

Sales in the 4th Quarter were driven by strong demand in several key new project launches including Godrej Riverine in Noida which achieved a booking value of Rs. 2,206 crores , Godrej Astra in Gurugram which achieved a booking value of Rs. 1,323 crores and Godrej Madison Avenue in Hyderabad which is our first project in that market and achieved a booking value of Godrej Properties

May 02, 2025

Page 3 of 17

Rs. 1,081 crores. All in all, 12 new project and phase launches happened during the quarter across five cities.

For the full year GPL's booking value stood at Rs. 29,444 crores a year -on-year growth of 31% and guidance achievement of 109%. This was achieved through the sale of 25.73 million square feet of area, a volume growth of 29%. This is the highest ever booking value and volume achieved by any listed developer in India in a financial year.

GPL is the only leading real estate developer that has delivered eight consecutive financial years of booking value growth. Our sales are the most widely distributed in the industry with only 27% of our booking value coming from our home market of Mumbai and only 13% of our booking value coming from the largest single project. NCR, Mumbai and Bangalore contributed Rs. 10,523 crores, Rs. 8,034 crores and Rs. 5,089 crores respectively to the booking value for the financial year. We sold homes with a value in excess of Rs. 1,000 crores across 12 projects in six cities during FY25.

Customer collections in

the 4th Quarter stood at Rs. 6,961 crores representing a year-on-year growth of 48% and quarter-on-quarter growth of 127%.

For the full year Financial Year '25 collections stood at Rs. 17,047 crores representing a year-on-year growth of 49%. This is the highest quarterly and full year residential sale collections announced by any real estate developer in India to date. GPL has achieved 114% of its annual guidance for collections for FY25. The record collections also translated into record operating cash flow. Operating cash flow in the 4th Quarter stood at Rs. 4,047 crores representing a quarter-on-quarter growth of 559% and a year-on-year growth of 55%. FY25 operating cash flow stood at Rs. 7,484 crores representing a year-on-year growth of 73%. This is the highest ever quarterly and full year operating cash flow announced by any real estate developer in India to date. It was also a strong year for business development. We added 14 new projects with an estimated saleable area of approximately 19 million square feet and expected booking value of Rs. 26,450 crores. This includes two new projects with an expected booking value of Rs. 3,000 crores added in the 4th Quarter.

GPL has achieved 132% of its annual guidance for business development in Financial Year '25. We delivered projects aggregating to 18.4 million square feet across five cities in the year representing a year-on-year growth of 47%. This also translated into record earnings for the full financial year.

For the 4th Quarter, our total income increased by 36% to Rs. 2,646 crores. EBITDA declined by 2% to Rs. 634 crores and net profit declined by 19% to Rs. 382 crores. For the full year, our total income increased by 57% to Rs. 6,848 crores. EBITDA increased by 65% to Rs. 1,970 crores and net profit increased by 93% to Rs. 1,400 crores.

Godrej Properties

May 02, 2025

Page 4 of 17

The record operating cash flow of nearly Rs. 7,500 crores we generated in Financial Year '25 combined with the equity capital of Rs. 6,000 crores we raised through a QIP in December 2024 will enable us to continue to invest for growth.

In FY26 we plan to grow residential bookings to over Rs. 32,500 crores, a 20% growth over our FY25 guidance through the launch of over Rs. 40,000 crores of inventory combined with strong sustenance sales. This combined with strong project deliveries should allow us to maintain rapid growth in operating cash flows as well. With a robust launch pipeline, strong balance sheet and sectoral tailwinds we are confident of continuing the momentum in FY26.

On that note, I conclude my remarks. Thank you all for joining us on this call. We would now be happy to discuss any questions, comments or suggestions you may have.

Moderator: Thank you, sir. We will now begin the question-and-answer session. The first question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Hi Pirojsha and Gaurav. Congratulations on a great year. So, my first question is on the guidance which looks to be little bit guarded. I mean you did mention on FY24 guidance there's 20% growth, but on actual numbers the growth looks a little guided. So, is it more like you are guiding conservatively and looking to outperform to the 20% number or is it like because of the current market condition you think that 10%-11% growth is what we can achieve?

Pirojsha Godrej: Yes, thanks for the question. I think we always want to be very confident of the guidance we give. This is an industry with uncertainties, whether on the macro or with launch timelines and so forth. So, we do tend to keep a reasonable amount of buffer in our internal plans over guidance. I think 20% over last year's guidance is actually a pretty strong guidance. We also have included in our investor presentation our performance on guidance over the last 3 years. And I am happy to share that we have been

able to meet each individual metric of guidance that we have provided. Again, this year the goal will be to outperform guidance. On your question alluding to, I think we are seeing continued strength in demand for all of our launches. We just came off our best ever quarter from both the sales and cash collections perspective in Q4. This quarter is off to a good start with a strong launch underway already for us in Bangalore. So, we are not seeing any signs of concern at the moment and we will certainly be looking to another strong year ahead. But yes, I think after 3 years of 55% compounded growth in sales, 20% growth on last year's guidance and 10% on actuals, we think is pretty strong guidance and certainly we

would look to outperform it as we have in the past.

Parikshit Kandpal: My second question is on the sales we achieved in NCR crossing Rs. 10,000 and almost Rs. 8,000 in MMR. So, do you think that even in this year when we have guided for sales so these two markets can grow or do you think now, they are maybe at optimal levels and there's no further room to grow from here on? And also, in line with that, what kind of business development have you planned out for these two markets? Because these two are the major contributors this year on pre-sales. So what are the buffer plans from other markets which can help us navigate and grow at 10% for this year?

Godrej Properties

May 02, 2025

Page 5 of 17

Pirojsha Godrej: Yes, again I think the aspiration would be to grow much faster than 10%. But certainly, we think in all the markets that we operate in there is a huge growth opportunity. We have looked at the data that suggests that basis prop equity data for the top seven markets, our current market share would be about 4.3%. I think over the medium term we would like to take that to double digits.

There is a strong opportunity for growth in each of the markets that we are in. Our market share currently in all of these markets would be in single digits. Somewhere like NCR, we already saw two consecutive years with over Rs. 10,000 crores sales and a small growth last year despite a kind of 200% growth the previous year. So, I think NCR has demonstrated that ability to retain this kind of sales level and hopefully grow it quite a bit further this year. Mumbai has also been growing very fast at a compounded growth over the last 5 years of over 40% a year. We have a good portfolio lined up in Mumbai, so I don't see too much challenge in continuing our growth trajectory in Mumbai. And Bangalore and Pune actually benefit from a relatively low base still Bangalore already saw very good growth last year but frankly could have been even better. We got RERA approval for one of our major projects in Bangalore that we had hoped to launch last year on the 1st of April. So that launch is underway and should get Bangalore off to a good start. So, both Bangalore and Pune we see good opportunities. So, certainly I think the plan will be to maintain the kind of growth trajectory we have seen both at a national level as well as in each geography and we have separate P & L teams with empowered management in each of the regions we operate in. They obviously each have their own growth aspirations and targets. So, we hope to deliver another year of kind of well-rounded growth across all the markets we operate in.

Parikshit Kandpal: Okay, just the last question on next year's profitability, the reported basis. So, given the delivery guidance we have given, do you think that mix is now moving towards more profitable projects and more recent projects? And next year we will see a significant turnaround in our revenue margins reported in the P & L. And any thoughts on moving to POCM based accounting?

Pirojsha Godrej: Yes, I think we are following the project completion accounting system, and I think that we will continue with that. That's of course different

than some of our peers in the industry are following

and thus create a lag in reported earnings. I think we will continue to see improved margins in reported earnings as more of the projects that are owned outright that have, we purposely launched at a more premium end of the market start hitting the P & L. So, I think you will continue to see that. We expect a very large uptick in reported revenues and earnings around FY28 when these last couple of years numbers start fully reflecting in the P & L. So that's when we expect a sort of step jump in the reported numbers.

Parikshit Kandpal: Okay, thank you Pirojsha. Those are my questions. Thank you.

Pirojsha Godrej: Thank you.

Moderator: Thank you. The next question comes from the line of Puneet from HSBC Bank. Please go ahead.

Puneet: Yes, thank you so much and congratulations on great performance. Very happy to see cash flows coming in nicely. My first question but is to start with the pre-sales guidance which is a 10%

Godrej Properties

May 02, 2025

Page 6 of 17

growth. Do you think this would this time be driven more by volume or there is still room for value to grow on these levels or realizations as well?

Gaurav Pandey: Thanks for the question. If you actually see FY25 as a base, we grew 31% from a booking value perspective and from a volume perspective we grew to 25.7 million square feet at 29%. So largely we feel that the trend will more or less continue. It's actually finally depends on the underlying projects what APR are we launching. So, it's not necessarily always premiumization or APR hike. It also is about, let's say we launch more of golf course watch projects. Suddenly you will see a very big jump in the blended APR. And vice versa, when you see more of plotting developments, you tend to see but ballpark if you ask me, we should be able to see a similar trend of both volume and price growth.

Puneet: Understood. So, in your plan of launches it would be reflected as a somewhat equal mix?

Gaurav Pandey: Yes, but very honestly, it's very difficult to sort of predict which all launches will perform, how

much. So that's where the mathematical anomaly lies. But yes, let me answer this way, do we see good volume growth and good price growth? I would say yes, largely for most of our projects.

Puneet: Understood. That's an input. And secondly, if you can also comment on how your construction cost is going to trend from current levels, collections you have given a guidance. Should one think of construction cost rising at similar level or does it need to increase substantially given that a lot more work needs to be done now?

Gaurav Pandey: I would say if I were to give you a sense of what we are seeing cost inflation in the last, say 2 to 3 years, I think this has been a very stable period of time where most of the cost inflation indices have been in control. Yes, in some markets aluminum costs have increased, but steel prices have also dropped, some markets cement have been flattish to dropped. So, for most markets cost inflation I would say is going to be within that range. But yes, there is of course finally how would oil prices behave. I think that would be sort of a thing to watch out from a risk point of view and I think interest rate getting into a sort of a lower cycle, this could really benefit if it continues because the CAPEX cycle will see a boost. So, this could have sort of a net positive effect in the long term. But, very frankly cost indices sort of depend a lot about government policies and how the allied sectors tend to behave.

Pirojsha Godrej: But I think some of the global macroeconomic uncertainty due to tariffs, etc. depending how that plays out, it could lead to a further benign cycle. On the cost side we are already seeing economies from China, US all underperforming so of course the situation is not stable and could change. But

oil prices are at a low, these are all indicative of a relatively low commodity inflation period which would of course benefit us as we enter the heavy execution several years ahead. But of course, we will keep our eye on that changing. But as of now the cost pressure environment looks relatively benign.

Puneet: From your spend perspective is it likely to increase materially or similar levels as last year?

Godrej Properties

May 02, 2025

Page 7 of 17

Pirojsha Godrej: I think the overall construction activity will of course be increasing in line with the sales uptick we have seen. So absolute spends will certainly increase but of course so will absolute collection.

Puneet: Understood, that's helpful. And lastly on the business development side, I know it's quite difficult to give guidance and you have given Rs. 20,000 crores guidance which looks pretty low compared to what your aspirational sales would be. Any thoughts on how one should think about it?

Pirojsha Godrej: Yes, I think honestly, we wonder whether having something like business development guidance really makes much sense but since a few of you have asked us to provide it, we have tried to do so. I think what we think is that certainly we should never come under pressure to meet business development guidance. We should only do deals if on a standalone basis they make sense. So frankly I would say this in our view is a bit of low-ball guidance. We would be very surprised if we don't significantly surpass this. I think we have, on average, over the last 3 years surpass the BD guidance by about 60% on average and we are continuing to see good opportunities and continue to see good results from the launches of those opportunities. So, I think both the intent is still there. The availability seems to still be there. So, I think we are quite optimistic that we can do better than this. But again, we don't want to provide a number and then feel that we have to do deals to get there. This is a kind of generally quite uncertain environment for the sector. So, we would rather be kind of hopefully under promise and over-deliver here.

Gaurav Pandey: And just to double check on it, from a leading question could also be from a growth risk point of view. The fantastic one is that in the last 3 years we have had a series of projects and phases that we will launch of a cumulative booking value of about Rs. 50,000 -55,000 crores because a lot of assumptions have from what we were launching those projects have seen price hike. So, there are a lot of unlaunched phases and a lot of new deals we have acquired last 1.5-2 years. So close to Rs. 50,000-55,000 crores worth of inventory we have. And then overall we, anyways have 1 lakh. So, the need for business development is to when we see an opportunity for an even stronger S curve to drive. So, like Pirojsha rightly mentioned it's not as something out of desperation we want to do. But yes, this is something more like a hygiene minimum BD would like to have.

Puneet: Understood. That's very helpful. Thank you so much and all the best.

Moderator: Thank you. The next question comes from the line of Rahul Jain from Elara Capital. Please go ahead.

Rahul Jain: Hi sir, thanks for the opportunity. A couple of questions. First one is on the 40,000 crores of launches, does this include Ashok Vihar and the Bandra project? If you can update on both the projects, please.

Pirojsha Godrej: So, both of those would be in our launch plan but not as I said last year as well. I think in this industry giving guidance you should expect some things are not going to go exactly according

to plan. So, we do have buffers in the guidance we give on all parameters. So, for example last Godrej Properties
May 02, 2025

Page 8 of 17

year we gave guidance of Rs. 30,000 crores of launches and actuals were Rs. 36,000. Even with Rs. 36,000 several projects that

we would have liked to launch didn't get launched, like W orli, like our Bangalore project in Devana halli, like Ashok Vihar itself. So, there is considerably more than Rs. 40,000 crores that could get launched if everything goes perfectly. But I think the number we are confident of sharing with all of you that we will meet even if a few things don't go right is this Rs. 40,000 crores. So, Ashok Vihar is something we plan to launch this year but if it doesn't happen for any reason, that doesn't mean that we will not be able to do the Rs. 40,000 crores of guidance.

Rahul Jain: Got it sir. And on the Banda project?

Pirojsha Godrej: That I think we would be happy if that launches but if at all it would be towards the end of the year. So, I would say that we should probably assume we need one more year for. But the teams are trying to do it by the end of the financial year.

Rahul Jain: Got it. So, the second one is on how are you seeing the conversion rates in FY25 related to FY24? If you can give us the year-on-year comparison versus specific to the markets as well.

Gaurav Pandey: You are talking about conversion rates as in walk-in to conversion you are saying, I mean, how many customers?

Rahul Jain: Yes.

Gaurav Pandey: It's very divergent to be very frank. It can go as low as say 7-8% and can go high as 22% to 23% and sometimes even 25%. It depends upon very frankly the value proposition that the person coming into the site sees from price, product and payment plan. So generally, as a rule of thumb when you see anything which is slightly lower in APR, generally as a rule of thumb like plotted and all the conversion rates can even be higher. But yes, when you look at a ticket size of Rs. 10 crores, 5 crores, 15 crores, it's an informed call. So, it can be between 10% to 15%. But like I mentioned, the range is quite diverse. But rule of thumb, you can say 10% to 15%.

Rahul Jain: Got it, sir. And one last one, I think lately in the markets we are seeing a lot of builders subvention coming into play in terms of new launches. If you can just share what is your share of subvention in the percentage of total sales?

Gaurav Pandey: See we don't tend to push much of subvention other than say negative units as in the units that don't have great views and the likes of it and they hover in typically low single digits at any point of time. And usually, we tend to push wherever the last stage of completion of project is coming. So, it looks more like optical subvention but 1-1.5 or 2 years you are going to see OC and you just want to sell the units which have negative view, facing a railway track or the C category inventory as we call it.

Rahul Jain: Okay sir, thanks.

Gaurav Pandey: Thanks.

Godrej Properties

May 02, 2025

Page 9 of 17

Moderator: The next question comes from the line of Pritesh Sheth from Axis Capital. Please go ahead.

Pritesh Sheth: Thanks for the opportunity. First, a very strong performance in Q4 and overall, for the year. So, see I think while industry has been flattish to marginal decline in terms of volumes, we have clocked 29% volume growth. What do you think is driving customers out of their existing homes to buy these new homes from you, anything specific you want to highlight? Because do you think the market has got tough and it needs some additional sales push to drive these kind of sales so your thoughts on that?

Gaurav Pandey: Thanks Ritesh. Actually, if I be very candid and honest, we have been reading for the last at least (+1) year, lot of negative chatter on newspapers and market is slowing down. But to be very frank and honest, when we see our launches, our numbers move up and down mostly our ability to get launch approvals on time and bring it to the market. So, if you see Quarter 1 last year, we had very good launches, so the number was very big. Unfortunately, Quarter 2 and Quarter 3 some

launches were spilling over. We had a reasonably decent quarter but Quarter 4 we could get most of our launches and still some actually frankly slipped. Still, we got a sort of a fantastic Rs. 10,000 crores number. I ended a year at a very good number. So, for us I think because we are very diversely spread and our products are also not in one city or in one micro market of a city, we are seeing very strong demand. That being said, your macro question on what is driving demand, I think it's simple wealth creation and aspiration in India. If you just look at some data points, depending on which report you refer, give or take India's GDP is going to get doubled

into next 5 to 7 years. We would get into a sort of again IMF, World Bank which report you refer to, we could grow about \$30-\$35 trillion by 2047. And discretionary income is creating a lot of aspiration. I think some of the macro factors of course impact your concurrent demand in a particular quarter in a year. But I think the macro environment looks a little bit more positive in the last 3-4 months than what it was 12 months back because one, the government is pushing a lot of things for the improvement of the disposable income like the 12 lakhs kind of a thing will increase demand for the consumption led sectors which will create a domino effect by those people feeling secure about their jobs and therefore buying homes as well as things like monetary policy, reduction of interest rates. So, I think a combination of wealth creation, economy looking good, government bringing some real strong action in the short term I think it's amplifying. But I do feel that for customers, one trend I have noticed in the last 2 to 3 years gradually changing is consolidation is again becoming more dormant. So, I think with time and maturity and products becoming more selective, customers would want more predictability of their occupancy coming on time and what reputation the builder brings. So, I think there is going to be sort of a gradual shift in the next four to six quarters where each quarter you will see a better sort of consolidation story for corporate developers or large developers in India.

Pritesh Sheth: Sure. So, I understand the macro part and just specific for you, it's the consolidation which is driving the demand for brand like us or anything specific

Gaurav Pandey: Pritesh, I think the diversity of being very strong operative teams on grounds in all the markets. So, if you see some of our peers have struggled entering a new market by their understanding of local laws or consumer demand. I think for us we have had a share of learnings 15 -20 years back.

Godrej Properties

May 02, 2025

Page 10 of 17

So having operative teams on the ground makes the predictability of your product price proposition very accurate. And just being very focused on our launch calendar, seeing that every market has backup plans because there is strong demand. The only challenge could be our ability to bring a launch into the market or not.

Pritesh Sheth: Yes, got it. That's helpful. Second is on the micro market or market wise contribution which is baked into your guidance. Do you think large part of the growth that's going to come next year is going to be Bangalore and Pune driven because they are still at low base? I mean Bangalore, Pune, Hyderabad, all these other markets while NCR and MMR remaining kind of flattish and beyond next year, initially you mentioned about having a double-digit kind of market share. Right now, as your presentation points out, we are Rs. 7 lakh crores market. We know then our presales should be around Rs. 70,000 crores in future if the market doesn't grow. Do you think the current scheme of markets are enough to contribute that Rs. 70,000 crores? I mean can you pull off like Rs. 10,000-15,000 crores each from in these large markets. So, your thoughts around that?

Pirojsha Godrej :

Yes, thanks for the question. No, I don't think that we will depend only on the smaller markets for growth this year. I think there's a good opportunity to grow strongly in both NCR and Mumbai. It will depend a little bit on the launches there coming through, but certainly we have a very healthy pipeline in both of those markets. As I mentioned, NCR has seen 2 consecutive years of Rs. 10,000 crores sales. Mumbai has grown fast now for 3 -4 years in a row and we hope to do that again this year. And certainly, Pune and Bangalore also represent opportunities. I think the double-digit market share is of course not a very short-term aspiration. It will take us a while to get there. But our view is that we can consistently outgrow the market given the strength of the brand, given the strength of being perhaps at least for now the most national real estate developer in the country and with a very moderate market share in all the markets we operate in. So, I think what is very exciting for us is that if you look at all of our top four markets this year for the first time we would be either #1, which we were in Pune, or #2 which we were in Mumbai, NCR and Bangalore by sales value. And in all of those, despite being one of the leaders, we would have a single digit market share implying to us that there is opportunity for significant growth in each of those markets. And of course, there is over time also an opportunity to enter new markets as we have with plotted development and even as we entered Hyderabad with group housing. So, I think the opportunity landscape to us looks very exciting. And it's not just a 2-3-year sort of timeframe we have in mind. There is a couple of decades of very strong growth opportunity ahead of us. And I think that's the exciting part of being in residential real estate today. It is a fast-growing sector, but quite aside from the sector's growth, there is this huge market share gain opportunity which we have been consistently able to tap into over the last several years. And I think one of the things we have been happy about and we also included a slide in our investor presentation is that we have seen the ability to grow the business across various cycles. So last year was our eighth consecutive year of booking value growth. That includes years such as when Covid started, when some of the major reforms like RERA were introduced, the NBFC crisis. So, I think the advantage of having a strong presence, a strong

brand, but a relatively small market share is that irrespective of how the market performs, there
Godrej Properties
May 02, 2025

Page 11 of 17

is a market share gain opportunity that remains. And if we are able to execute well against our plans, we do see that ability to year-on-year grow the market share.

Pritesh Sheth: Got it. That's very helpful. And just one last on the cash flows, so we had a surplus cash flow for this quarter despite spending around Rs. 2,700 crores on BD. How do you think the next year would be in terms of the surplus cash flows as well as the net debt? Are we now going to continue this trajectory and be cash flow positive at the FCF level?

Pirojsha Godrej: I think it will entirely depend on the quantum of business development we do which as I was saying earlier, we want to measure business development more project by project rather than looking at abstract numbers at the company level. Each deal needs to make sense on its own merits. We need to be confident that the risk reward for each deal makes sense. If we are confident, we would be happy to double our business development target for the year, which of course would require a different amount of cash investment than if we do 20,000 crores. But certainly, if we were to only meet our business development guidance, I think we would be operating cash flow post BD positive this year as well. But I suspect we will do a little bit better than guidance and then

before are happy to invest capital into growth as we have over the last few years.

And of course, having raised the QIP, the goal is to deploy that capital. The constraint we have set ourselves now is that we would like to keep net debt below Rs. 10,000 crores. Instead of looking at a net gearing target, we are looking at an absolute net debt cap. So, I think we can use that for the maximum that we will go to. But within that it will be more a question of the scale and quality of deals we see. We have guided to Rs. 21,000 crores collections which is 40% higher than our last year's guidance and 20% higher than actuals. So hopefully we can do that or better on collections, operating cash flows should therefore be extremely healthy. The question of whether they are post-BD positive or not is a question of the amount of BD we do. Honestly, we may hope for this year would be that we continue to find good deals, continue to find opportunities to maintain this more rapid growth trajectory we have seen. I think a lot of value unlocking can happen for the business by sustaining the kind of rapid growth we have seen. If you look at our imputed numbers, these are very high returns on equity, returns on capital. So, we are quite happy to deploy further capital if we see good opportunities on an ongoing basis.

Pritesh Sheth: Perfect. Thanks for answering our questions. All the best.

Pirojsha Godrej: Thanks very much.

Moderator: Thank you. The next question comes from the line of Parvez Qazi from Nuvama Group. Please go ahead.

Parvez Qazi: Hi, good afternoon. Thanks for taking my question and congratulations for a great set of numbers. So, two questions from my side for FY25 as a whole, what percentage of our sales would have come from available inventory or sustenance sales and what would have been the contribution from new launches?

Godrej Properties

May 02, 2025

Page 12 of 17

Gaurav Pandey: Okay, very frankly I wouldn't have the number off hand but yes, if you largely look at a calendar, we would have every quarter give or take about 65% to 70% numbers would be coming out of launches and residual could be a phase launch or sustenance, give or take.

Parvez Qazi: Sure. And did I get the number correctly? You said we have about Rs. 55,000 odd crores of available inventory across phases available for sale going ahead.

Gaurav Pandey: So, let me maybe re-clarify. So, for the acquisitions we have done say from FY23 onwards till now, we have launched some projects that have yet to launch and price growth has also happened. So, between Rs. 50,000 to 55,000 crores worth of inventory we have from just fresh inventory of acquisitions which are largely out right in nature and then a total inventory of, even we have some township project like Panvel and all, total inventory would be in excess of about Rs. 1,10,000 crores.

Parvez Qazi: Sure. Secondly, I mean there has been a very strong growth in collections and OCF that also has been accompanied by an equally strong growth in our land and approval-related outflows from about Rs. 5,300 crores in FY24 to Rs. 9,000 odd crores. Now that we are sitting on a very strong inventory, where do we see this trajectory going ahead in terms of land-related outflows?

Pirojsha Godrej: I think if you see most of the launches, in our entire portfolio we have different sorts of projects. So, we have some projects which are township projects. So, in places like Pune and places like Panvel, part of Mumbai portfolio we have a huge inventory. But again, the idea is to create value in the long run. We have some inventory, even Ahmedabad for that matter. So, these are large scale projects where the endeavor is to create value in the long term. So more like a land banking

strategy we had with frankly very low invested capital. And then the second strategy which is largely about buying land and doing churn very fast

st and unlocking and creating high PAT

margins where the market opportunities continue to exist. So, some of it is through the acquisition right now. And we would continue to buy land where we feel that our ability to turn them around within 6 to 12 months is very high and our ability to improve our overall margin profile exists. So, if you look at some examples like in Bombay, we bought something in Kandivali by the name of Godrej Reserve. And if you see it is a very sizable land parcel, very sizable investment we did. But in the last two odd years, first year we sold Rs. 2,700 crores and last year we sold Rs. 1600 + sort of crores. Similarly in another market of Bombay we bought a project and launched it in Mahalakshmi we did about Rs. 1,100 crores just last year. So again, these are coming out of an investment thesis that yes, these projects can be churned very fast, and these are places where the organic demand is very high. These are city centric projects unlike the township project, which is slightly off city center there, I think the idea is to add more projects.

Parvez Qazi: Sure. Thanks for your answers and all the best. Thank you so much.

Moderator: Thank you. The next question comes from the line of Kunal from Bank of America. Please go ahead.

Godrej Properties

May 02, 2025

Page 13 of 17

Kunal: Great, thank you. A couple of questions on your imputed margins. The first one is given that you have Rs. 50,00-55,000 crores of inventory available from some of the recent projects, is it fair to assume that the visibility on achieving imputed EBIT margins of give or take 26 %-27% still exists for the next 2 odd years? And then just as an extension to that as you undertake the next phase of business development Rs. 20,000 + crores, the margin profile that would come alongside that new business development, would it be very different from what you are achieving currently?

Gaurav Pandey: Thanks. The first question is a very quick one. Yes, the endeavor will be to continue maintaining and improve improving our margin profile. And I think like Pirojsha was mentioning the reason for having frankly a very conservative business development target is to actually look at these which at least meet these margin profile if not more and that too in a way that we feel capital churn can be very fast. So yes, we expect that these should be a long-term trend that we would like to maintain.

Kunal: Got that. And just a quick clarification, again is it fair to assume that the number reported is all sort of all operating margin profile and devoid of any one-time benefits for the year?

Gaurav Pandey: Yes, you are right. All operating margin.

Kunal: Great. Thank you so much.

Gaurav Pandey: Thank you.

Moderator: The next question comes from the line of Akash Gupta from Nomura Research. Please go ahead.

Akash Gupta: Hi sir, thank you for taking my question. My question is on the imputed EBIT margin for FY25.

So, despite having higher economic interest on our pre-sales, our imputed EBIT margins have declined from 26.8% to 26.2%. I just wanted to understand, my second question is that why is there a delay for the Ashok Vihar project and the Bandra project? Thank you.

Pirojsha Godrej: Yes, thanks for that. I think the imputed EBITDA margins are essentially flat, 26.8% and 26.2%. This is largely led by individual project, the lead mix. For example, in the base year, which is FY24, we had gotten a couple of Noida launches where the land cost to booking value was 8% because of the tremendous movement in the market that year on the very timely acquisition. So, I think we think it's broadly in line and actually at the PAT level we had guided 10 % to 15% margin. We are actually slightly above that this year. So, I think reasonably happy with the margins achieved during the year and again don't really see them as very different than the previous year. And th

e reasons for the delay in Bandra are the site clearance, etc., there is a slum redevelopment project has taken more time than anticipated. It's not a process that we are directly involved with, it's a partner working on that. But there has actually been tremendous progress during last financial year. So, I think there is much better visibility now than ever before. And we are hopeful that we can do it by the end of this year. But I think one should assume next year is probably the safer bet for that. Ashok Vihar, there has been an issue that affects the whole Godrej Properties

May 02, 2025

Page 14 of 17

market where there are a lot of trees on the site and the relocation of that trees requires significant approvals and given the environmental issues in NCR, this has become an issue taken up by the

court. So, we are again hopeful that we will see good progress this year. The only silver lining in Ashok Vihar is of course our underwriting terms have now drastically changed as the market has improved. So, if we are able to now launch it this year, actually this delay may have ended up being a benefit. But of course, we don't want to stretch that logic too far and of course are looking to launch the project as soon as we possibly can.

Akash Gupta: Understood. And just a follow up question on the imputed margin. So, if I understand the prices at which we are launching our projects versus the prices at which we have underwritten our projects. There is a difference, we are getting benefit of price appreciation. So why isn't that flowing into our EBIT margins?

Pirojsha Godrej: I think it partially is. These are also estimates of cost to completion. There would be reasonable buffers in those estimates.

Gaurav Pandey: Yes, we have also been maintaining because as you would appreciate that these are forward looking number, and we just want to be a little bit more cautious on the contingency and escalations that may or may not happen from a cycle point of view. So just build some buffers before releasing out these numbers so as to not give an over optimistic figure. But yes, if things remain what they are in terms of cost indices, this has an upside risk to it.

Akash Gupta: Understood. Thank you so much. Best of luck.

Gaurav Pandey: Thanks.

Moderator: Thank you. The next question comes from the line of Kunal Lakhan from CLSA. Please go ahead.

Kunal Lakhan: Hi. Thanks for taking the question. Just one bookkeeping question first like what's the value of the unsold inventory that we have for the books?

Rajendra Khetawat: Around Rs. 20,000 crores.

Kunal Lakhan: I am going to the guidance of Rs. 40,000 crores. If you just go by what we did in FY25, like almost out of the Rs. 29,000 crores of sales, two-third came from our new launches. And if we plan to launch about Rs. 40,000 crores of inventory next year, assuming we have a very similar run rate, then we are just being a little too conservative either on the unsold inventory monetization or how should we read this?

Pirojsha Godrej: I think again, it is our philosophy on guidance to be conservative. You can read that how you would like to. We have provided our track record on guidance. This is an industry that's inherently uncertain. I think some of our peers have on occasion badly missed guidance by kind of probably disclosing what their internal plans are as guidance. We don't want to do that. You are right that if we are able to launch almost everything that we can launch even close to on time

Godrej Properties

May 02, 2025

Page 15 of 17

and we see the same sell through rates that we have seen over the last 2 years, there will be significant over performance of the guidance we have given as there has been in some recent years. So, we are quite hopeful and that will be the endeavor. But we don't want to be talking to you guys in 6 months and feeling very sheepish that we are a

t risk of missing the guidance. So,

we are confident of meeting this of course in some very bad scenarios, given this, it's not like this is lower guidance. It's 20% over last year's guidance after a period of +50% CAGR for several years. So, I think this is at the end of the day also a number that has never been delivered in terms of sales by any developer in the country. So, it's not that we are giving very low-ball guidance by any stretch. But certainly, you are right to assume that if we are able to deliver the same performance on launch timelines and the same performance on sales throughput, we will exceed this number.

Kunal Lakhan: Sure, that's helpful. Secondly, on the cash flow side, if you look at our spend on construction even for the full year, it's about Rs. 5,500 crores for FY25. Considering like we are selling 25 million square feet this year, we sold 20 million square feet last year, this spend on construction seems a little lower. This should materially ramp up, I presume. In that context how should we look at operating cash flows also?

Gaurav Pandey: You are absolutely right. As you would see that many of these launches were fairly high-rise building. So, a lot of time goes in to piling work, excavation work, in places like Hyderabad you also have to do something like control blast because the terrain is very rocky and most of our first 30%-40% so that the quality of sale is very high, especially 20% to 30% is more time linked, so that the quality of sale is very high. But fortunately, with most of the things on the excavation, piling and foundations done, I think the COC figures will jump. And the exciting part is that we typically have 20% to 30% plinth level and about from regulation you can normally collect 70% up to structure and then the residual post structure which is finishing and all. So, the exciting part is we now have a lot of good opportunity to accelerate construction which will benefit both COC jump but also will improve our collections trajectory significantly. Which is why if you notice on the back of close to 49% growth in collections from Rs. 11,400 thereabout crores to Rs. 17,000+ crores, we are now guiding Rs. 21,000 crores kind of collection figure. Now

operating cash flow very difficult to really put up a number. But I think the long-term average you can always assume that we are consistently increasing year-on-year on operating cash flow and becoming a more self-sufficient way. So, I see that the trend will continue now, frankly depend upon our ability to execute all the projects well. So, if we do everything well this could be even higher than this year and with some degree of this could be slightly lower also. But yes, I mean it's all going to be in the most likely rising trajectory as we move from the one year to next year.

Kunal Lakhan: Sure. Thank you, that's very helpful. Thanks so much.

Pirojsha Godrej : Thank you.

Moderator: Thank you. The next question comes from the line of Manoj from Geometric Capital. Please go ahead.

Godrej Properties

May 02, 2025

Page 16 of 17

Manoj: Good afternoon, sir and congratulations on good results. As you said you have an aspiration of double-digit margin on the macro markets and you have already told that you are bullish on real estate in a longer way also. So, it is a good pretty dominance to be double digit in any macro market. So, what more new you would have to do for that and what better you have to do what you are already doing?

Gaurav Pandey: I think we would like to take one step at a time. I think Pirojsha was rightly mentioning that this is a massive opportunity for us to target towards from a long term. But if you just try and see from what happened in 3 years from Rs. 7,850 crores to now, our market share has more or less moved from 2.5% or thereabouts to about 4.3%. So just moving 1% or 2% in a fast-growing market has a huge mas

sive impact from a booking value. So I think we are actually doing sort of a reverse engineered question for ourselves which is that what do we do to execute these projects extremely well so that the profit that we have already logged in to begin with that gets into accounting, point number one and point number two we have four massive big markets where some markets have started performing to a sort of a good potential like Rs. 8,000 to 10,000 crores like Mumbai and north. How do we grow this internally, the aspirations to continue growing with 20% but at the same time how can we specially grow markets like south which has a huge potential and Pune which has started firing for us. So yes, which is why how we have given you guidance. So I think the guidance that we have given from a sales perspective is something we would like to achieve as hygiene. And with that hygiene I think the real challenge and focus will be to speed up execution and layering that with good BD, good launch pipeline or can we beat these in the medium term to long term, year-on-year is going to be the aspirations. I think we are on the right track. We are not really targeting immediately to get into double digit. We are already clearly number one, give or take at least 30% to 40% than our nearest competitor. So, it's not a booking value game at least for us. It is a more of a margin expansion and execution game from here on. Because growth is sort of hygiene for us. I am saying growth is more or less hygiene for us now, it's to look at other buckets of performance.

Manoj: Okay, great. So, as you are talking about the margin, so I understand margin is 360-degree approach for many things, sales volume, at what price the land was bought and you talk about how fast the project has been turned around. That is also one factor while doing a BDA. But how much there is a minimum balance. There is a project which you can faster turnaround, you may have a lower margin. But what should be the minimum base margin you target while doing a BDA? If that much margin we should have even if the project is an early turn around because of every risk the project carries, is there something on that?

Gaurav Pandey: Yes, I think Pirojsha sometime back mentioned that generally we have historically been saying 10% to 15% margin but I think of late we have been targeting up to 15% PAT margin. And the kind of deals we have been able to secure, there have been many projects where in fact we are delivering slightly better than even 15%. So, give or take 14% to 15% PAT margins what we are looking at, of course there are plotted development where this goes up to between 20% and 25%, even 30% of PAT margin. But at a portfolio level, 15% is what we want to consistently do.

Godrej Properties

May 02, 2025

Page 17 of 17

Manoj: And our past BDAs and unsold inventory carries that kind of margin which we will sell in future?

Gaurav Pandey: So it depends, see the project that I talked about from FY23, the inventory that should be mimicking this, then the land parcels that we bought are like in Panvel or could be in similar range but in Ahmedabad it could be slightly lower and places like Ashok Vihar this could be significantly higher.

Moderator: Thank you so much, sir. Ladies and gentlemen, that was the last question for today. I would now

like to hand the conference over to the management for the closing comments.

Pirojsha Godrej : I hope we have been able to answer all your questions. If you have any further questions or would like any additional information, we would be happy to be of assistance on behalf of the management , thank you again for joining us today and apologies again for having started late. Thank you. Have a good weekend.

Gaurav Pandey: Thank you.

Moderator: Thank you, gentlemen. Ladies and gentlemen, on behalf of Godrej Properties Limited, that concludes this conference.

You may now disconnect your lines.

Call: Aug 2025

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August 04, 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051

Ref: Godrej Properties Limited
BSE - Script Code: 533150, Scrip ID – GODREJPROP
BSE - Security Code - 974950, 974951, 975090, 975091, 975856, 975857, 976000 - Debt Segment
NSE Symbol - GODREJPROP

Sub: Transcript of the conference call with the investors/ analysts.

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Schedule III Part A, Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call organized with the investors/ analysts on Friday, August 01, 2025, post declaration of unaudited financial results (standalone and consolidated) for the quarter ended June 30, 2025.

This is for your information and records.

Thank you.

Yours truly,
For Godrej Properties Limited

Ashish Karyekar
Company Secretary

Enclosed as above

Page 1 of 18

"Godrej Properties Limited Q1 FY-26 Earnings
Conference Call"

August 01, 2025

MANAGEMENT : MR. PIROJSHA GODREJ – EXECUTIVE CHAIRPERSON ,
GODREJ PROPERTIES LIMITED
MR. GAURAV PANDEY – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER, GODREJ PROPERTIES
LIMITED
MR. RAJENDRA KHETAWAT – CHIEF FINANCIAL
OFFICER, GODREJ PROPERTIES LIMITED
MR. MR. KSHITIJ JAIN – INVESTOR RELATIONS ,
GODREJ PROPERTIES LIMITED

Godrej Properties Limited
August 01, 2025

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to Godrej Properties Q1 FY '26 Conference Call. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kshitij Jain. Thank you, and over to you, sir.

Kshitij Jain: Thank you. Good afternoon, everyone, and thank you for joining us on Godrej Properties Q1 FY '26 Results Conference Call.

We have with us Mr. Pirojsha Godrej – Executive Chairperson, Mr. Gaurav Pandey – Managing Director and CEO, and Mr. Rajendra Khetawat – CFO of the company.

Before we begin this call, I would like to point out that some statements made in today's call may be forward-looking in nature. The forward-looking statements are based on expectations and may involve risks. The outcomes may differ materially from those suggested by such statements, and a disclaimer to this effect has been included in the results presentation.

I would now like to invite Mr. Godrej to make his opening remarks. Over to you, sir.

Pirojsha Godrej: Good afternoon, everyone. Thank you for joining us for Godrej Properties 1st Quarter Financial Year 2026 Conference Call. I will begin by discussing the highlights of the quarter, and we then look forward to taking your questions and suggestions.

Godrej Properties delivered another solid quarter, registering continued momentum in bookings, cash flows and earnings. We have delivered our highest ever quarterly net profit of INR 600 crores in the 1st Quarter, a growth of 15% year-on-year.

The residential real estate sector in India has been strong over the past 4 years, and we believe the demand conditions remain favorable. Our business development additions with a future booking value of over INR 90,000 crores since financial year '23 at favorable terms continue to allow us to scale our bookings and, in turn, over time, our earnings.

On the bookings front, GPL achieved a booking value of INR 7,082 crores from the sale of 4,231 homes with a total area of 6.17 million square feet. The booking value showed a decline of 18% year-on-year but actually represented a 2-year compounded annual growth rate of 77%.

This is the eighth consecutive quarter in which Godrej Properties has exceeded INR 5,000 crores of booking value. The sales in the 1st Quarter were driven by strong demand in several new project launches, including Godrej MSR City in Bengaluru, which achieved a booking value of INR 2,426 crores. Godrej Majesty in Greater Noida, which achieved a booking value of just under INR 1,000 crores and Godrej Tiara in Bangalore, which achieved a booking value of INR 470 crores.

Godrej Properties Limited
August 01, 2025

Page 3 of 18

Bangalore contributed more than INR 3,000 crores followed by Mumbai and NCR, both of which contributed over INR 1,600 crores to our sales. There were 6 new projects and phase launches during the quarter across 4 cities with a total sales potential of INR 8,500 crores. Collections in the 1st Quarter grew by 22% to INR 3,670 crores, and operating cash flow slightly declined by 4% to INR 947 crores, largely on account of the relatively low deliveries we had during the quarter of under 1 million square feet against a full year target of at least 10 million

square feet.

In terms of business development, we started the year on a strong note by adding 5 new projects in estimated saleable area of approximately 9.24 million square feet and an expected booking value of INR 11,400 crores. With this, Godrej Properties has achieved 57% of its annual guidance for business development for the full year in the 1st Quarter itself. In the 1st Quarter,

our total income decreased by 3% to INR 1,593 crores, EBITDA grew by 18% to INR 915 crores and net profit grew by 15% to INR 600 crores.

With a robust launch pipeline, strong balance sheet and resilient demand, we are on track to achieve our bookings target of INR 32,500 crores in FY '26 and are also on track to meet our guidance across all other operating parameters.

On that note, I conclude my remarks. Thank you again for joining us on the call. We are now happy to discuss any questions, comments and suggestions you may have.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Puneet from HSBC. Please go ahead.

Puneet Gulati: Yes. Thank you so much. And congratulations on a good start to the 1st Quarter. My first question is if you can talk a bit about the new launches, what percentage have you been able to sell? And in your total sales, what would be the share attributable to you?

Gaurav Pandey: Thanks, Puneet, for the question. Essentially, if you see most of our big launches has been in Bangalore, we launched this project by the name of Godrej MSR City in North Bangalore. And we were able to sell close to about INR 2,400 plus crores. I think INR 2,426 crores in the previous quarter. And if memory serves me right, in the first phase that we had opened up with some inventory we had locked, the total available was about INR 2,600 crores, INR 2,700 crores. Of which maybe about INR 100 crores, INR 150 crores, we had sort of blocked to do it at a slightly higher pricing.

The next one was another project in Greater Noida by the name of Godrej Majesty. In this one, in the previous quarter, we have sold about INR 925-odd crores. And I think even in this quarter, we have already sold another INR 75-odd crores. And this is part of some towers that we have launched, and it's going very well on the track.

Godrej Properties Limited
August 01, 2025

Page 4 of 18

The third big launch that we had in Yeshwanthpur. Yeshwanthpur approval actually came a little later. We got this approval close to 3 weeks before the quarter got ended, and we sold more than INR 400-odd crores, if I am not wrong, INR 470-odd crores in the previous quarter.

And it is continuing to sell as aggressive as that. If my memory serves me right, we would have crossed almost a similar number already in this particular last month itself. So, again, going well on track.

And then remaining will be more or less like sales activations and all. So, yes. So, whatever we are opening stock between the towers that we open, the floors we open, give or take, between 70% to 90% is what we are selling. Consciously, we are holding some very, very prime inventory so that we can ride through some amount of pricing uptake, but we are seeing very strong demand, yes.

Pirojsha Godrej: The other question was, the GPL share this quarter was a little bit lower than last year because of the large sales in Bangalore, in our JV project, so that was 78% for the quarter.

Puneet Gulati: Understood. And secondly, if you can talk a bit about the environment in terms of deliveries, the deliveries was 0.8 million square feet. Are you seeing any challenges in terms of availability of labor, contractors, et cetera? And is there a risk for any account on the slight pushback in terms of project completion and collections and so on?

Gaurav Pandey: That's a great question. If I were to give you a sense of the execution piece, I am delighted to share with you, in the quarter 1, we were able to increase our COC run rate. Just to give you a sense, COC in Q1 of the previous financial year was about INR 750-odd crores. And the quarter 1 COC was about INR 1,170 plus crores. So, we are seeing a very strong execution uptake. And yes, you are right, there have been a historical challenges on the labor side. But for the last 9 months, we have been working on a complete execution turn-around strat

egy, and we have

worked on kind of bringing our laborers into a digital infrastructure system, creating a sort of a road map to engage them better and also relook at some of our contractor base. And through these initiatives, today, our sites are able to consistently month-on-month exceed the target that we are setting for them from a labor point of view.

So, yes, there might be some pockets of opportunities of major improvements still, but I think give or take, in this quarter, we should be able to ensure that any gap on some projects from a labor strength also gets fixed up. So, I think we might be an outlier and if we continue the drive that we are doing in the next 1.5 to 2 years, we will almost automate the engine. And we are also

integrating a lot of tech initiatives to strengthen this overall execution piece.

Puneet Gulati: But should it not show up in your construction-related outflows, which was INR 1,800 crores in 4Q and INR 1,460 crores this quarter?

Godrej Properties Limited

August 01, 2025

Page 5 of 18

Gaurav Pandey: I will explain to you. See typically, if you see our historical numbers as well, typically, Quarter 4 has a lot of OCs that technically kind of come in. Quarter 1, we just had 0.8 million sort of square feet of OCs, and we did a lot of launches in Quarter 4, if you recollect, which is the initial days of construction mostly about excavation and piling works, which are not, from a COC spend, a very huge item. But from a labor intensity and activity, so the materials don't get pumped in; like steel, cement, doesn't get too much into excavation, but labor movement, truck movement is fairly high. So, I think you would see that uptake in the coming quarter.

Puneet Gulati: Okay. Understood.

Pirojsha Godrej: I think, Puneet, to put it in another way, we remain very confident of the guidance both on collections and delivery. Quarter-to-quarter, of course, there can be some fluctuations.

Puneet Gulati: Fair enough. And secondly, on your BD front, you have been doing quite aggressively. If you can quantify balance to spend on what you have already acquired in terms of land payment dues, and how are you thinking about future run rates.

Rajendra Khetawat: Okay. I will take the first part, Puneet. For the deals, which we have signed in this year, balance to spend is around INR 900 crores and around INR 1,000 crores or INR 1,200 crores for the earlier deals, which we have signed in '25 and '24, which are milestone-linked payments.

Puneet Gulati: Okay. And this includes INR 1,200 crores includes the Ashok Vihar as well, right?

Rajendra Khetawat: That includes one instalment of Ashok Vihar, which we will get due for this financial year.

Gaurav Pandey: And I think your second question was on the future BD, is that the question?

Puneet Gulati: Yes.

Gaurav Pandey: I think we remain very optimistic on the deal pipeline. So, we endeavor to add projects especially in cities like Bangalore and Mumbai and also to some extent even in Pune. And NCR, we are acquiring a few projects mostly on the plotted side, like in Panipat, you would have recently seen an acquisition, and we have been very selective currently on the NCR acquisition unless we find the valuation very attractive. So, you would see definitely very strong business development growth, but more calibrated more about where the take-up rate can be very fast from buyout opportunity to launch and churn.

Puneet Gulati: Understood. That's very helpful. Thank you so much, and all the best.

Gaurav Pandey: Thanks Puneet.

Moderator: Thank you. The next question is from the line of Abhinav Sena from Jefferies India. Please go ahead.

Godrej Properties Limited

August 01, 2025

Page 6 of 18

Abhinav Sinha: Pirojsha, my first question is to you. So, in the opening comment, you have mentioned that demand conditions are pretty strong. And I guess, even your sales should be higher this year.

Plus we have seen some other develo

pers also report very strong numbers in 1st Quarter.

However, the industry data seems to be flattish to down, so how do we square these 2 things?

Pirojsha Godrej: Yes, I think the demand conditions do remain quite strong in our view. I think comparing it to a time where perhaps the demand conditions are quite euphoric may not actually give the best picture. I think we are following so far pretty much exactly what one would expect to see in a typical real estate cycle, assuming this is kind of year 4 or year 5 of that cycle, which is, you do have the couple of years of kind of extraordinarily fast pricing growth. We have seen some of our launches, people have been lining up at 1 o'clock in the morning and so it's a music concert or something like that.

So, I think those are not conditions that are going to sustain indefinitely nor probably should they sustain indefinitely. So, I think we have now entered a period where prices have reset to a higher and quite attractive level. We are continuing to see strong demand at these levels. But I don't think at this stage of the cycle, we are going to see very sharp pricing increases or volume jumps from here. So, I think it's more about steady growth from here, that seems to be playing out in most of the numbers we are looking at. So, I think, as of now, certainly, we are quite happy with the response we are continuing to see across the country in all our new project launches.

Abhinav Sinha: Okay. Sir, secondly, on the BD side. So, I noticed that this quarter, you have done a couple of area share agreements, and this sort of comes after a while, right? So, where you were earlier doing almost all projects as buyout, so is this like a conscious shift in strategy?

Pirojsha Godrej: I think, yes and no. I think some amount as we get closer towards the mid to end stages of the up cycle, I think rebalancing a little bit towards JVs will make sense. So, I think these, frankly,

were more driven by kind of deal-specific requirements of the landowners, which are always a factor in deal structures, and where we are seeing continued opportunities for outright purchases. So, I think this year, again, most of our acquisitions are likely to be outright.

Gaurav Pandey: In fact, if you see the transaction like the Panipat is a completely 100% buyout transaction. And the pipeline that we currently have is a mix of both area share revenue share structures, but a lot of outright transactions. So, I think it will be a very opportunistic basis. But the interesting part is, whatever we acquire agnostic to structure, our return metrics are intact, which means that the PAT margins that we always target as the main metric. And of course, IRR is exactly the same threshold that we maintain for any reconstruct.

Abhinav Sinha: Right. Gaurav, can you help us with some of the large launches to expect in the next couple of quarters?

Gaurav Pandey: Actually, we have a crazy launch pipeline. It depends on how much we actually can squeeze in. But just to give you a flavor of a launch pipeline, we will be very soon having a launch in Gurgaon. This is a 3.6 acre of land in Sector 53, and a very exciting project developed on a sort Godrej Properties Limited
August 01, 2025

Page 7 of 18

of a Japanese theme. Then we will be launching the first time a retail product, a new asset class, and a very sizable one in Greater Noida. This is part of a very successful project of ours called Godrej Golf Links. We endeavor to launch maybe within the next 3 months. It could be within this quarter or early next quarter is the Worli launch. Things are going very strong on that. Approvals are more or less on track and we hope to secure that one very soon. On the Versova, this is an acquisition we did last quarter, delighted to share this will hit this quarter as a launch, one of the fastest turnaround for us in Mumbai zone.

We are also looking at finally launching one of our acquisitions of Indo

re. There is a lot of excitement in Indore market for Godrej properties entering, and this should be a blockbuster within this quarter.

Then we have some launches being planned in Panvel city. We are also opportunistically looking during the year something in Sanpada. We will hit a very big launch in, like Pirojsha was mentioning, in Hyderabad. This was an acquisition we did in a very interesting market like Rajendra Nagar. And this has a very large booking value potential.

We will be launching one large phase within this quarter and will be a very sizable number. Then in Pune, we will look at launching Keshav Nagar. After a long time, we are going to reenter that micro market. We have some launches here and there in Pune like MaanHinje. In Bangalore, we have a launch in likely, if not this quarter, the next quarter in Thanisandra.

And further from there on, likely, we will be able to launch either the next quarter or the quarter after the Panipat recent acquisition of previous quarter. The approvals are going very fast. So, it is planned for Q4, but I wouldn't be surprised if it hits even Q3.

Then we have a 7.5 acres land parcel in Gurgaon, which should also hit within this year. We have a Greater Noida parcel that we had done an acquisition, that is going very well on design and approval stage now. So, that should also happen within this year.

We have a Kharghar acquisition, if you remember, bought in auction that will hit this year.

Then we might be able to pull off. I mean, very early to say, but there are 2 Upper Kharadi transactions we did, which had a cumulative booking value locked in of INR 7,300 crores. We would endeavor to at least try and launch one of the phases of one of the land parcels.

Then we have a launch coming up in Evergreen Square during the year. Something in Raipur, the plotting development. We are trying internally to push it for a Q4 launch. And hopefully, also within the year, you will see the Ahmedabad launch.

Then we have some residential opportunities in GGL, next to the retail plot. And then opportunistically, we might even launch more phases of Bannerghatta. Basically, we will enter Bannerghatta, but the MSR City might open before.

Godrej Properties Limited
August 01, 2025

Page 8 of 18

Well, as you can see, it's a humongous pipeline that we have built for ourselves and which gives me a sense that if we hit most of them well, we should comfortably exceed our guidance. But if we are able to get more of this, like the pipeline mentioned, then we might be in for a good surprise.

Abhinav Sinha: Great Gaurav. Thanks and all the best.

Moderator: Thank you. The next question is from the line of Girish Choudhary from Avendus Spark. Please go ahead.

Girish Choudhary: Hi, good evening. My first question is on the business development. Now that you are running ahead of your guidance for the quarter. I was more interested to know on the land spend. This

quarter, you did around INR 2,000 crores of land spend, so how should we look at this number for the year as a whole? I mean, last year, we spent close to INR 9,000 crores. And also how should we look at the debt numbers for the year?

Gaurav Pandey: So, actually, to be very frank, the strategy on the business development side is, as we mentioned, even when we are releasing the guidance is not really driven by a targeted must-have guidance, right? It just happens that the deals need a metric, and we are very confident of them being available for immediate launch and I say immediate meaning next 6 to 12 months, is when we typically go about it. As a rule of thumb, if I were to say that for every, say, INR 1,000 crores worth of inventory, you can assume between 15% to 25% is your land acquisition cost in an outright, and it can be far lower if you do an area share or revenue share. So, it depends on the deal construct. It depends upon the type of opportunities we get to see during the year. And this coul

d be a number, which for a quarter, you may not see certainly a lot of transactions, like in Q1, you saw lot of transactions. So, really difficult to predict an absolute number, because for us, having them is not necessarily critical to maintain booking value growth. As you know, we have acquired a series of projects. I am delighted to share with you that in the last 3 years or so of BD that we have logged in, we still have close to INR 60,000-odd crores worth of inventory to sell. And from a historical inventory, we are close to INR 114,000 crores of inventory.

So, BD, logically, what we are looking at is more about opportunistic fast turnaround, and in micro market where we see a huge potential and depth. So, this will essentially drive, because we have a very strong operating cash flow pool even in this quarter, we had like INR 947-odd crores of operating cash flows in spite of almost INR 400 crores of extra COC spend when I compare Y-o-Y. This is going to fuel our future growth in the coming quarters. So, difficult to put a number, if I were to be very specific. But yes, we will acquire a lot of opportunity, but based on very strong deal metrics.

Girish Choudhary: Okay. On the debt, how are you looking at the debt from here on?
Godrej Properties Limited
August 01, 2025

Page 9 of 18

Pirojsha Godrej: Yes. I think, again, it will depend a little bit on the quantum of business development we have done. But I think if you look at it, last year, we did about INR 7,500 crores of operating cash flow on collections of about INR 17,000 crores. We have guided this year for INR 21,000 crores of collections. So, of course, hope to see operating cash flows also at a very healthy level this year. So, I think a lot of the business development should be funded by that.

From a debt perspective, we have laid out an absolute cap that we would like to look at for net debt of INR 10,000 crores. So, we do have a fair amount of room and even that would only take us to about 0.5 or a little bit above that range.

So, I think that there is more than enough sources of cash, both between operating cash flow and room to borrow a little bit if we see the need to in the short term. But I think the decider of exactly where debt ends this year will be how much beyond this INR 20,000 crore guidance, we are able to do on business development.

And it's not that internally, we must do at least INR 30,000 crores. I think, broadly, we would like to see a kind of replacement value business development, so roughly in line with our sales. And I think operating cash flow should be able to fund most of that.

Girish Choudhary: Sure, sure. My second question is on the construction outflow run rate. Like you earlier mentioned that you are running ahead of the COC run rate. So, but basis your expected cost to complete, what can we assume the run rate for, let's say, for fiscal '26 and '27? Last year, we had spent close to INR 5,500 crores.

Gaurav Pandey: Yes. I would say that probably last year, our COC spend was about INR 3,500 crores, INR 3,700 crores, something, if my memory serves me right. I think it depends on how efficient we are able to capitalize on some of the start of construction, because when we do an estimation for the year, it also kind of picks up our approvals coming for H2 launches, right? So, depending on how quickly we can get those approvals on track, give or take INR 5,500 crores to INR 6,500 crores...

Rajendra Khetawat: Last year was around...

Gaurav Pandey: No, no, I am talking this year. I am talking this...

Rajendra Khetawat: No, last year was higher, around INR 5,500 crores.

Gaurav Pandey: This includes all the development costs or just the COC spend?

Rajendra Khetawat: The COC spend basically.

Gaurav Pandey: COC spend. So, give or take 30% to 40% growth on the base value we should have.

Rajendra Khetawat: Thank you so much.

Godrej Properties Limited
August 01, 2025

Page 10 of 18

Mode

rator: Thank you. The next question is from the line of Parvez Qazi from Nuvama Group. Please go ahead.

Parvez Qazi : Hi, good afternoon. And thanks for taking my question. So, my first question is on the pricing front. Now you did mention that demand remained strong, we are able to sell 70%, 80% of our launch inventory pretty soon. So, what would have been, let's say, the like-to-like price increase that you would have taken in Q1?

Gaurav Pandey: So, in most markets and, of course, there are some exceptions of some projects where we may not have increased prices, but most projects in North, we have been able to increase price between 2% to 3%. We have been able to increase between 1% to 2% in Bombay, marginally basically less than 1% in Pune market and about 2% to 3% in South market. This is what I am saying like-to-like projects, projects which had already been launched and we were doing sustenance sales. And our sustenance sales, as you know, is about close to INR 2,750-odd plus crores in the last quarter.

Parvez Qazi: Sure. The second question is, over the last 2 years, obviously, demand has been pretty good. We have seen an increase both in land prices as well as the price realization on the various projects. So, in your estimation, an IRR for a project acquired recently, how will it compare with, let's say, BD deal that you would have done 3 or 4 years earlier? Will the IRR be same, higher, lower? Just wanted to get your views.

Gaurav Pandey: I think the projects that we had acquired in the initial stage of the cycle, so let me clarify. The underwriting standards when the cycle was starting up to its peak as well were exactly the same that we had even in pre-COVID. We were always underwriting on conservative sort of basis. That's been more like a governance principle that we have set when we buy land. So, those have, of course, seen a very dramatic uptick both from an IRR perspective, overall PAT profile and even PAT margins, right? And the deals that we acquired even in the 6 months, at the moment, more or less most of the deals we are seeing an uptick in IRR.

Now the deals that we will continue to acquire, the endeavor is going to be that whatever we have been underwriting agnostic to market cycle, we should maintain and improve upon that. So, to put it very simply, when we look at a deal, we don't really go aggressive and underwrite basis aspirational life cycle numbers. We do what is like a launch scenario as we call it, basically today, rate, if this rate does not increase for next few years, what is the margin profile and IRR looking like? And that's how we underwrite. And if the market supports, you improve upon it, market doesn't support you, you at least, for the very minimum, try and maintain those margins to whatever extent possible.

Parvez Qazi: Sure. Thanks and all the best.

Moderator: Thank you. The next question is from the line of Ashish Mendhekar from JPMorgan. Please go ahead.

Godrej Properties Limited
August 01, 2025

Page 11 of 18

Ashish Mendhekar: Yes, I understand the completion trajectory of FY '26. So, shall I ask all the questions in one go or like...

Gaurav Pandey: Did you ask for completion for this year? Is that your question?

Ashish Mendhekar: Yes, completion trajectory for FY '26?

Gaurav Pandey: Sorry, not able to understand.

Pirojsha Godrej: Sorry, the line is not clear at all.

Ashish Mendhekar: Okay. So, I was not looking for the exact number, but what would be the completion trajectory going ahead in FY '26? My second question is...

I will take it offline. I will take it offline.

Pirojsha Godrej: Yes, okay. Thank you.

Moderator: Thank you. The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: My question is on the NCR market. So, last year you clocked INR 10,000 crores of sales and this quarter, INR 1,650 crores. And Gaurav, I think you sounded a little cautious on the NCR

market on new business development. I could sense that you are saying there are not many attractive deals available. So, in terms of growth this year from presales in NCR and on BD, so how are we thinking?

Gaurav Pandey: I think, Parikshit, fortunately, we do have a very strong pipeline in NCR market and a fairly diverse pipeline. We have a very strong presence especially in Golf Course Road micro market, the main epitope market for Gurgaon. And then we have a very spread of projects. I am talking about bigger numbers, and we have a lot of projects in Noida, Greater Noida market. So, I think we have enough and more to kind of sustain the growth for the next 18 to 24 months. And of course, not that I am in any way discounting the opportunity that NCR market will present us.

In fact, there is one deal, which is in a fairly advanced stage, but we are negotiating. But when you run sort of a principle of risk-adjusted return, you don't really get very emotional about the investment, right? I mean you just see that if you have a great pipeline and a headwind to deliver great growth for the next 1.5 to 2 years, you kind of sit back and wait for the valuations to come at a level.

And sometimes it takes 2, 3 months, sometimes it can take 6 to 9 months, right? But when it does, we do go very aggressive. If you see about 2 years back, it was exactly similar, but then we started acquiring in a matter of months, we did 4, 5 acquisitions.

Godrej Properties Limited

August 01, 2025

Page 12 of 18

So, I think right now, there is a sort of an opportunity where we want to negotiate a little smartly and get those deals to our terms. But thanks to the good work of the teams in the previous 4 to 6 quarters, we have enough and more to sustain the growth.

Parikshit Kandpal: But again, in terms of like what will this bring down the negotiation, the pricing?

Gaurav Pandey: Sorry?

Parikshit Kandpal: So, you said that you will look for more attractive deals. So, what will bring the deals more...

Gaurav Pandey: I couldn't hear the last part of the question.

Pirojsha Godrej: So, I think what we are saying is that we have a strong pipeline in NCR. So, even on the INR 10,000 crore base we have had for the last 2 years, we expect to show growth on that this year.

And I think Gaurav's point is, we don't feel the need to be chasing deals if we are finding the valuations unrealistic. There's no challenge to just not doing deals for a few months until the right opportunities come. But certainly, NCR is among the markets that we will look at new BD this year, and we do have a plan to ensure strong growth in NCR this year.

Parikshit Kandpal: Okay. And just the last question on Delhi. So, any update over more midterm, how is the Delhi market now looking at? I know there are new development plans that are being discussed and drawn out. But from medium to long term, do you think that Delhi can become equally lucrative market for GPL?

Gaurav Pandey: Yes, of course. Parikshit, that we are quite excited about the Delhi opportunity. And there is definitely a strong supply constraint in the entire Delhi, because of the complexity of the regulation, the land market, how that operates. And I feel that once we bring Ashok Vihar to the market, which has been going a little slow historically from an approval point of view. But yes, there is a very strong opportunity for us to unlock massive amounts of upside in that particular project.

We should be able to re-rate the entire Delhi. But Delhi, if you frankly ask me from Ashok, agnostic if I remove this transaction per se, Delhi always has a huge land constraint, which is why Gurgaon property market kind of had the uptake. Otherwise, the Gurgaon market would have not existed. It was essentially people migrating from Delhi in search for better high-quality development. But as and when we are able to bring Ashok Vihar, I feel we will be able to get a very significant price premium

once we launch that project.

Parikshit Kandpal: Okay. I just missed if there is any update on Ashok Vihar, so what is the launch timeline now? I mean you have been making the payments, but in terms of launches, what is the stage of approval and clearances?

Gaurav Pandey: As frustrating it is, honest and candid answer is that it's a bit of a frustration for us that we have not been able to launch this project for a while. And I think we, in fact, mentioned very candidly in the previous earnings call as well that there has been set of approval authority issues in the Godrej Properties Limited

August 01, 2025

Page 13 of 18

government setup on which department grants approval where and how. There has been some views from the court also on the overall tree cutting policy of Delhi. So, it is difficult to predict how exactly the court will decide and how exactly the authorities will sort of move in forward. But if I were to give you a sense of what the feeling on the ground, what was happening about 6 months back when the governments were not really aligned, I see there is a good positive movement. We see a good amount of clarity coming at least from the departments to begin with. There has to be some movement on the court side, which is frankly not really in anyone's control. But fingers crossed, if things continue the way they are, we remain very, very positive for a launch.

But I don't think so at the current state of data that I get to see, I will be able to give you a very accurate timeline for a launch. But if I were to give a sense of relatives, about a year back, things were looking much more difficult, and things are looking much more positive now.

Parikshit Kandpal: Okay. And just one last question on the launches this year. So, if you can help us quantify what quantum of your launches are impacted by the NGT issue, which is currently under court's

hearing and final judgment awaited. So, how much of your BD you would have got -- The Sanjay Gandhi National Park issue and currently, so that issue has impacted in Mumbai. And basically, approvals on this environmental clearance that the state will do and center, that issue I am talking about. So, any update on that? And also on the ground...

Pirojsha Godrej: I think the INR 40,000 crore launch guidance we have given for the year is meant to be a number that we should be able to deliver even if there are a few setbacks on the approval side. So, we remain confident of that INR 40,000 crore number. In the 1st Quarter, we did about INR 8,500 crores.

Parikshit Kandpal: Okay. And even on Bangalore, there's a ground rent issue, which is going on. On the charges, what has to be paid on even on OC and on new launches. So, any update on that, whether that will impact any of our Bangalore launches?

Pirojsha Godrej: No, I think, look, there's an endless number of these kinds of issues in the sector. So, I think these have to be taken in stride and the project teams have to find solutions. But the number we try to provide from a guidance perspective is one which we think has adequate buffers that we can absorb some of these delays and hits and still achieve the number we have provided.

Parikshit Kandpal: Sure. Thank you Gaurav. Thank you Pirojsha.

Pirojsha Godrej: Thank you.

Moderator: Thank you. The next question is from the line of Ashish Shah from HDFC Mutual Fund. Please go ahead.

Ashish Shah : Thank you. Sir, just wanted to get a sense on any recent trends that you can highlight on footfalls, conversion rates or how long it is now taking to convert inquiries to sales, let's say, vis-a-vis Godrej Properties Limited

August 01, 2025

Page 14 of 18

where we were a quarter or so back in at least our key markets like Mumbai, Pune, Bangalore, maybe NCR. Anything that you can share on that front?

Gaurav Pandey: So, I would say that with the exception of NCR about 9 months back, the conversions and the excitement euphoria was more or

less almost similar in all markets that we were operating. I mean, there was never a crazy uptake, neither sort of a compression of any sort of either a walk-ins or conversion. I think there was a sense of a lot of media narrative, if I were to put it, about 9 months back on NCR, and we just became a little bit cautious from our own end to just revalidate, but we never saw any sort of a dip in any sort of either the walk-ins or conversion ratio.

So, if you look at the most recent example is the launch that we have done in Greater Noida. If you see and understand that location, it used to be historically we priced at around 7-ish, 8,000 or 9,000 at max sort of a location. And there has been a huge supply constraint in the Greater Noida market, because it's heavily controlled by the government. The supply comes from auctions only. And we were able to secure a project and launch and sell INR 925-odd crores at INR 14,000 plus rate, if I am not wrong, probably INR 14,500 was the realized price.

And we had fantastic walk-ins, fantastic conversion, and we are still seeing walk-ins happening in that side. So, I think the real challenge for any market is not really the sentiment. Right now, I think, is very positive.

There was some amount of narrative, I would say, was holding till January, but especially after the government doing certain changes in the fiscal policy, the environment started being more positive. The interest rate reduction, again, frankly, doesn't really impact our segment per se, but just kind of removed any negativity that certain corners were making.

So, I would say similar conversion ratio, similar walk-ins. In fact, in some projects, we are breaking records of walk-ins. So, like if you go to Bangalore, the organic walk-in that we have seen in that side is one of the best ever numbers we have seen in any project across India. So, yes, I mean, there are some new benchmarks we are trying to create within the company as well.

So, I don't see any change.

Ashish Shah: And especially, let's say, in case of Bangalore, this hasn't changed much in the last month or so, because there has been some concern of IT services-related slowdown, et cetera. So, have you seen anything particularly in markets like Bangalore, which probably get more affected by IT services? Any sort of slowdown in that sector?

Gaurav Pandey: I think on the contrary, when you launch a project, there is a typical dip in sales after the first few weeks of log-in, right? But the Yeshwanthpur launch Godrej Tiara, which has continued its sales after INR 450-odd crores in Q1 is kind of hitting a similar number already as we speak, right? So, I don't see that.

Godrej Properties Limited

August 01, 2025

Page 15 of 18

And I just want to caution one thing that the news that we hear about 1 or 2 companies doing it,

which can be a trend is mostly on a very different job segment versus the Bangalore story. There's a lot of growth, if you see on the office leasing side of the last 12 months. And in fact, if I am not wrong, the last year was the best ever leasing record for Bangalore and overall for India. So, yes, there are pockets of companies and segments which would get affected, but they are equally being offset by higher paying jobs from global capability centers and the likes. So, nothing really felt on the ground. And in fact, we are seeing very strong demand for our product. Pirojsha Godrej: And I think, our Bangalore sales last quarter, of course, was the highest of anywhere in the country, and also I think they have been the highest for any developer in Bangalore. Ashish Shah: Right, sir. Just one last thing. We did talk about strengthening our execution capabilities. So, just if you can share a little bit more into how we are either externally or internally in terms of our own execution teams. Any concrete measures that you could highlight, because I think we are now embarking on a level of scale, which ma

y need much better execution abilities than in the past.

Gaurav Pandey: Absolutely. So, about 9 months back, we had created an internal program, which focused upon complete ramp-up of execution capabilities and deliveries. And so there was a specialized team working on it for about 6 to 9 months on that particular project. And we identified 15 modules, as we call it, which were like areas of opportunities to strengthen for us to even sort of accelerate some of the good work we have been doing. So, just to give you some idea into the depth of it, we have worked on the labor strategy very exhaustively. We realized that in India, labor is a very, very seasonal thing. There's a very huge attrition issue. And we identified after meeting about 800-plus laborers, our teams went on the ground met 800 labors for sites to kind of decode the problem statements of their life, why don't they like to work for a longer time. And some of the very superficial understanding that the industry has, which is money, were not really the root causes of why attrition is very high in the labor market. So, we could curate certain programs.

And I am delighted to share, but these are very early days for me to say that this exactly works like that. But for example, in Holi, we made some very specific interventions on a site. And normally in Holi, we get to see a dip in labor percentage from, say, X to, say, about 70% and sometimes even 65% of that, because the first time, in spite of Holi, we saw pre and post-Holi numbers at 98.7%, which was very extremely heartening. And we are seeing month-on-month growth in our labor volume.

We, in fact, worked on creating a digital infrastructure to bring our laborers on board, and we have created a series of schemes to help them get feel more engaged and at place. Then we have expanded our contractor landscape in a big way. We have onboarded a lot of Tier 1 contractors, Godrej Properties Limited
August 01, 2025

Page 16 of 18

so whether it's Leighton working in the Godrej Reserve project, KEC working in the Aristocrat project, Ahluwalia working in other projects.

So, a series of large contractors who are not operating in our ecosystem have been added and contractors who were working very well in our system have been strengthened by giving them cash flow support, giving them very timely payments by tracking it centrally from here so that there are sometimes bureaucratic hurdles that comes in the road of execution and then empowering teams, strengthening audit controls, but at the same time creating autonomy & empowerment to take certain decisions on the ground, and centralizing and procuring items at bulk. So, now we have lifts that we buy at bulk. We buy tiles at bulk, we buy paints at bulk. We, in fact, have a segment-by-segment analysis of how much we want to buy for the next 6 to 12 months.

So, I think these are just 3, 4 things I have talked about. I mean, it's a chapter itself. But yes, we have worked a lot on strengthening our execution capabilities. In fact, restructuring some of our teams. We have increased pay grades of certain specialized projects where the PAT lock in is very high. And I think combination of these have been giving us some very early wins. But yes, this is one part of the value chain you can't be complacent, and you need to be always on top of it, always innovate and always push the edge. But if we continue on the road that we are now sort of got into, with some reasonable confidence, I can say we might create some benchmarks in the industry.

Ashish Shah: Thank you very much, sir.

Moderator: The next question is from the line of Puneet from HSBC. Please go ahead.

Puneet Gulati: Yes. And I don't really want to put you on a spot, but if you were to look at your share price versus the opportunity in the market, where would you want to deploy your money? Promoter share is anyways less than 50%. Would you like to comment on how would you

be thinking?

Pirojsha Godrej: Yes. Thanks, Puneet. I think but maybe it's because of where we sit, but we clearly think the

share price is at a kind of absurd levels, given the kind of growth and overall operational momentum we have delivered. The promoters have actually bought back some shares on the market over the last 6 months.

And if this weakness continues, we may use it as an opportunity to continue to do that. I think certainly, I never felt better about the current position of the company and the overall direction, both in terms of an absolute basis and how we are performing vis-a-vis our peers. So, yes, I think it looks to us like a good buying opportunity. We have acted on it over the last few months and may do some more of that if this weakness persists.

Puneet Gulati: And buyback versus business development opportunity? Which one do you think is more remunerative?

Godrej Properties Limited

August 01, 2025

Page 17 of 18

Pirojsha Godrej: I think we have so much opportunity as a company that I think buybacks, in my view, more something to consider if you are throwing up huge amounts of cash, don't see great deployment opportunities for it. If we can continue to deploy 20% plus IRRs as we seem to be continuing to have opportunities to do, I think it would be more sensible to deploy that. I think the share price movements can correct quite quickly.

It was not that long ago that we were at a very significant premium to where we are now. Sure we will get back there. So, if it gets much weaker than this, it might be something that we would have to consider seriously. But for now, I think we would like to deploy all the capital for operational growth and performance.

Puneet Gulati: That's helpful. Thank you so much, and all the best.

Moderator: Thank you. The next question is from the line of Varun Julasaria from B&K Securities. Please go ahead.

Varun Julasaria: Yes, sir. Thank you for the opportunity. I just wanted to check what is the kind of unsold inventory that we have on the books currently, split between ready-to-move and ongoing?

Gaurav Pandey: When you say total unsold inventory or you want to say that launch, but unsold?

Varun Julasaria: Launched and unsold, sir?

Gaurav Pandey: So, say, about INR 27,000 crores.

Varun Julasaria: Okay. And sir, I just wanted to get your thoughts on the sustenance sale. Like this quarter, 65% of the sales came from new launch and we just did around INR 3,500 crores from sustenance.

So, like what is the expectation going forward with sustenance?

Gaurav Pandey: If I am not wrong, we were 39% at INR 2,700-plus crores of sustenance sales. And I think generally, what's happened is it's very project specific, right? So, in some of our launches, we have done a complete sold out, right? I mean if you look at Tropical Isle, Jardinia, these are sort of sold out projects, so they don't really happen at all on sustenance.

There are some projects we have held some inventory to kind of max out the pricing opportunity.

So, those keep on being available in the market. And then there are some projects which had a potential to do only 70%, 80%, they will continue to do sustenance.

So, I think we have a very healthy sustenance ratio. It sometimes may look percentage-wise a little weaker because if we get launch approvals on time, then the launch volume is so massive that they don't look very big from a percentage terms. But from an absolute perspective, we have been consistently doing very well on the sustenance in projects wherever the inventory is actually available.

Godrej Properties Limited

August 01, 2025

Page 18 of 18

Pirojsha Godrej: I think we keep a regular track on things like unsold inventory as a percentage of total inventory, unsold inventory as a percentage of expected sales, months, et cetera. So, I think we see all of those data looking very healthy at the moment.

Gaurav Pandey: So, just to give you one live example i

n Golf Course project, we did a launch in Godrej Miraya,

the first of the 3, where we did about INR 497 crores at the launch. And since in the last 6 months, that INR 497 crores number has become now INR 778 crores. So, this was a very conscious strategy to sort of hold some inventory and then there was another example by the name of Lakeside Orchard, which did INR 268 crores of launch.

Then again, it continuously did about another INR 100-odd crores each quarter. And today, the cumulatively, we stand at INR 1,370 crores. So, I think it's a very project-specific intervention that we tend to take a call on basis risk and reward. And then whichever inventory is available, they do very well in the sustenance, we decide to hold.

Varun Julasaria: Okay, sir. Thank you. Just one last question. What is the amount of collection which is pending to be collected based on the sales, which we have done in the past?

Rajendra Khetawat: So, pending to be collected, the revenue but pending to be collected is around INR 51,000 crores

of collection is pending to be collected.

Varun Julasaria: And how much...

Rajendra Khetawat: Sold, but unrecognized revenue.

Varun Julasaria: And how much would be the cost to be incurred on construction for those projects like which are...

Rajendra Khetawat: So, that we will have to do a project-by-project math. So, the indicator would be to look into our pro forma. I think, there you will get some indication on the cost. If you do some indication because every project will have a different cost structure.

Varun Julasaria: Okay, sir. That's it from my side.

Rajendra Khetawat: Thank you.

Moderator: Ladies and gentlemen, we will take that as the last question of the day. And I now hand the conference over to the Management for closing comments.

Pirojsha Godrej: I hope we have been able to answer all your questions. If you have any further questions or would like any additional information, we are happy to be able to be of assistance. On behalf of the Management, thanks once again for taking the time to join us today.

Moderator: Thank you. On behalf of Godrej Properties Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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November 11, 2025
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
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Exchange Plaza,
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Bandra Kurla Complex,
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Ref: Godrej Properties Limited
BSE - Script Code: 533150, Scrip ID – GODREJPROP
BSE - Security Code - 974950, 974951, 975090, 975091, 975856, 975857, 976000 - Debt Segment
NSE Symbol - GODREJPROP

Sub: Transcript of the conference call with the investors/ analysts.

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Schedule III Part A, Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call organized with the investors/ analysts on Thursday, November 06, 2025, post declaration of unaudited financial results (standalone and consolidated) for the quarter and half year ended September 30, 2025.

This is for your information and records.

Thank you.

Yours truly, For Godrej Properties Limited

Ashish Karyekar
Company Secretary
Enclosed as above

Page 1 of 20

"Godrej Properties Limited
Q2 FY20 26 Earnings Conference Call "
November 06 , 202 5

MANAGEMENT : MR. PIROJSHA GODREJ – EXECUTIVE CHAIRPERSON –
GODREJ PROPERTIES LIMITED
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Godrej Properties Limited
November 06 , 2025

Page 2 of 20

Moderator : Ladies and gentlemen, good day and welcome to Godrej Properties Q2 FY 2026 Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kshitij Jain. Thank you and over to you, sir.

Kshitij Jain: Thank you. Hello everyone and thank you for joining us on Godrej Properties Q2 FY2026 Results Conference Call. We have with us Mr. Pirojsha Godrej, Executive Chairperson, Mr. Gaurav Pandey, Managing Director and CEO and Mr. Rajendra Khetawat, CFO of the company. Before we begin this call, I would like to point out that some statements made in today's call may be forward looking in nature. The forward-looking statements are based on expectations and may involve risks. The outcome may differ materially from those suggested by such statements and a disclaimer to this effect has been included in the results presentation. I now invite Mr. Godrej to make his opening remarks.

Pirojsha Godrej: Good afternoon everyone, thank you for joining us for Godrej Properties in second quarter financial year 26 conference call. I will begin by discussing the highlights of the quarter and we then look forward to taking your questions and suggestions. Godrej Properties has delivered another robust quarter. We had our highest second quarter and half year net profit of INR405 crore s and INR1,005 crore s, respectively. A growth of 21% and 18% year-on-year. GPR quarterly bookings in Q2 have again crossed the annual bookings of financial year 22. Booking value for the quarter grew 64% year-on-year and 20% quarter-on-quarter to INR8,505 crore s. This is the ninth consecutive quarter of over INR5,000 crore s sales and the third consecutive quarter of over INR7,000 crores sales. This is achieved through the sale of about 4,500 homes with a total area in excess of 7 million square feet.

In the first half of the financial year our booking value grew 13% year-on-year to INR15,587 crore s, which is the highest ever Q2 in first half booking value for the company. With this, Godrej Properties has now achieved 48% of its annual guidance for booking value and remains on track to beat its guidance of INR 32,500 crore s for the full financial year. Four markets, Bangalore, Mumbai, NCR and Hyderabad, each contributed more than INR1,500 crore s to the booking value in the second quarter, which is the first time GPL has achieved this.

Sales in the second quarter were driven by strong demand in several key new project launches. Godrej Regal Pavilion, Godrej Properties' second launch in Hyderabad achieved a booking value of at INR 1,527 crore s. This takes our total sales in Hyderabad during the current calendar year to about INR2,600 crore s, marking a strong entry for the company into the new city.

Godrej MSR City in Bangalore, which was launched in the first quarter and saw additional area being released in Q2, achieved a booking value of INR1,032 crore s. Godrej Tiara and another project in Bangalore, achieved a booking value of INR877 crore s. Godrej Sora, a project on Golf

Godrej Properties Limited

November 06 , 2025

Page 3 of 20

Course Road achieved a booking value of INR633 crore s and several other projects, including our first project in Indore, which saw a booking value of INR400 plus crore s, saw robust return. Twelve new projects in phase launch, phase launch has happened across eight cities and these had a total sales potential of over INR10,000 crore s during the quarter. Collections in the second quarter grew 2% year-on-year and 11% quarter-on-quarter to INR4,066 c

rore s. In the first half

of financial year 26, collections grew 10% to INR7,736 crore s.

GPL achieved 37% of yearly guidance on collections, which does and we recognize sound a little bit low, but we are confident that we are fully on track to achieve our full year guidance of INR21,000 crore s collections. And we had a slight anomaly this year where both deliveries and therefore collections and operating cash flow are slightly skewed towards the fourth quarter, but we've seen good construction progress during Q2 as evidenced by the construction spend increasing rapidly and we're very confident of a strong end to the year for deliveries and

collections.

In terms of business development, we added four new projects with an estimated saleable area of 5.8 million square feet, an expected booking value of just under INR5,000 crores in the second quarter. Taking our first half business development additions to nine projects with a total estimated saleable area of 15 million square feet and expected booking value of INR16,250 crores, thereby achieving about 81% of our annual guidance.

I'm happy to share that G PL was recognized as a global sector leader in real estate and ranked number one globally with a score of 100 on 100 by the Global Real Estate Sustainability Benchmark in 2025. Godrej Properties also currently ranks number one globally in the real estate and management sector on S&P Global's Dow Jones Western Class Index for 2025 with a score of 89 on 100 as of 31st October 2025, which saw a significant increase from the score last year. For the quarter our total income grew by 39% to INR1,867 crores, EBITDA grew by 118% to INR614 crores and net profit grew by 21% to INR405 crores. For the half year our total income grew by 16% to INR3,460 crores, EBITDA grew by 45% to INR1,529 crores and net profit grew by 18% to INR1,005 crores.

With a robust launch pipeline, strong balance sheet and resilient demand, we are on track to achieve our bookings target of INR32,500 crores in FY26, while continuing to grow our collections and operating cash flow. On that note, I conclude my opening remarks. Thank you all for joining us on the call. We are now happy to take any questions, comments or suggestions you may have.

Moderator: Thank you so much, sir. We'll now begin with the question-and-answer session. Anyone who wishes to ask a question, may press star and 1 on their touch-tone telephone. If you wish to remove yourself from the question queue, you may press star and 2. Participants are requested to use headsets while asking a question. Ladies and gentlemen, we'll wait for a moment while the question queue assembles. Our first question comes from the line of Puneet from HSBC Bank. Please go ahead.

Godrej Properties Limited
November 06, 2025

Page 4 of 20

Puneet: Yes, thank you so much and congrats on good sales. My first question is actually on the P&L side. When I look at your sales reported versus cost of goods sold, the gross margin seems to be extremely unique. I understand the mismatch in terms of other things, but why should gross margin should be so weak? Can you shed some light there?

Rajendra Khetawat: So, Puneet, you know, we did not get too much OCs into this quarter. Whatever OCs we received were of JV project. So, like earlier explained, you know, JV project, we do lot of structuring.

So, the reporting of those, you know, income keeps happening in those respective periods. So, when the project gets completed, you will not see that kind of a margin. That is why that anomaly you will see in -- when the JV project gets the occupation certificate. So, otherwise you know ...

Puneet: This is like to like, right?

Rajendra Khetawat: Yes, yes. It is like to like, yes. So, as and when our own project starts getting into P&L, you will see a significant change in the P&L trajectory which will, you know, you will see that the sales

minus the cost of sales would be a, the resultant would be a significant net profit margin.

Puneet: Okay. And what would be your share of sales in this quarter?

Rajendra Khetawat: Around 87%. 87%.

Puneet: And you also highlighted collections are low and likely to be in Q4. Why should that be the case? Generally, collections should be more even-ended right, unless there is some schemes which is being going on?

Gaurav Pandey: Not really. I mean, just to share with you typically as you would know that you know these are linked to different milestones, some of these are linked to terrace completion. Some of these are linked to slab, and some of it is also linked to OCs. So, what's really happening for us is that the sales that have happened, you know, say later part of the last year would have got into timely collections between then and last itself.

That the Q4 and Q1 sales that we've done, we'll start hitting some of the slabs in Q4 and then all the OC milestones that we're getting, so we have a huge OC calendar for January, February, March, respectively. All those completion milestones, which are reasonably between 10% to 20% for different stages of different types of projects that will sort of kick in.

So every quarter you will see a marginal growth for sure, but I think quarter 4 is purely lumpy because there's a heavy OC calendar coming in that part of the year. And just to double click on it to give you a sense of lead indicator of what makes it slightly more probable and more confident, where this confidence is coming from, is two lead indicators actually.

One is that our labour strength has reached an all-time high, we were give or take 20,000, 21,000 odd laborers at the start of the year. And by the time we wrapped up H1, we reached 32,000 laborers. This has never happened in terms of ramp up of our execution ever. And this has led to also great direct construction spend growth in Q2 by 82% Y-on-Y. So, this massive uptake

will lead to collectible milestones hitting us in the next few months.
Godrej Properties Limited
November 06 , 2025

Page 5 of 20

Puneet: Understood. And just on this construction cost side as well, if I add up all the construction related project related cash flows and land spends over first half, it is close to INR10,000 crores. But when I look at inventory, end of H1 and inventory end of the 31st March, it is about INR14,000 crores. What would that gap be attributed to?

Rajendra Khetawat: Sorry, Puneet, I didn't understand what exactly you are alluding to.

Puneet: Sir, in your cash flow statement, if I add up all the construction costs, which is construction related outflows, project related outflows, land approval costs and advance to JV partner, it's about INR10,000 crores of spend total in the first half, which should ideally be the gap between the end inventory minus the opening inventory, which is actually INR14,000 crores. So, just the INR3000 crores gap there, where -- how should one think of that anything moving between JV to us or something like that ?

Avinash Kothari : Yes, Puneet, so in certain of our joint venture project, we have acquired the JV partner stake due to which their inventory, earlier inventory is now start getting consolidated in our consol account. That's why you can see the some jump in the inventory from March to 30th September.

Puneet: Okay, sir.

Rajendra Khetawat: So, we have given two, three exits, Puneet, we have given two, three exits of our existing profit sharing project. So, when you give an exit at JV project, start getting consolidated to our books of account. So, the gross accounting starts happening. Earlier, only one line item used to keep coming in. So, that's why you will see that shift happening as and when this change in the structure happens.

Puneet: Okay. Understood. Very helpful. And lastly, just on the interest outflow, cash outflow, which is up on Q -on-Q, is

there any color there?

Rajendra Khetawat: Yes. So, you will see increased outflow in Q2 because we have NCDs, the interest payments come around quarter two. If you see quarter two of last financial year, you will see a similar interest outflow happening. So, there's an annual interest which we -- which happens in quarter two. That's why you will see that interest payment a little higher. In Q3, Q4, you will not see this kind of an interest payment outflows.

Puneet: Okay. Very helpful. Thank you. Understood. Thank you so much and all the best.

Pirojsha Godrej : Thanks, Puneet.

Moderator: Thank you, sir. Our next question comes from the line of Mohit Agrawal from IIFL . Please go ahead.

Mohit Agrawal: Yes. Thanks for the opportunity and congratulations on good set of bookings. So, it's heartening to see a comeback of the ROE target of 20%. Just wanted two clarifications. Firstly, is this target irrespective of the capital base in FY '28? So, that's the first question. Secondly, you're basically committing yourself to deliver INR4,000 crores, INR4.500 crores of PAT by FY '28. So, how
Godrej Properties Limited
November 06 , 2025

Page 6 of 20

will it be kind of evenly spread between now and FY '28 or will we see a step jump in profitability in one of the years?

Pirojsha Godrej : I think there will be a little bit of a step up in FY '28 which will then be sustained beyond that. And the reason for that is I think a lot of the OCs we expect from some of the newer projects in outright structures will hit that year. Of course, I think if you look at net profit growth has been considerable over the last few years.

But of course, a lot of it is led with not with actual occupation certificate related profits which I think you will see in FY '28. So, I think there will be reasonable profits between now and then but certainly we do expect a step up in that year specific ally.

Mohit Agrawal: And for the...

Pirojsha Godrej : And I think on your question on irrespective of equity raise...

Mohit Agrawal: Yes.

Pirojsha Godrej : I think there's two ways of answering that. I think as of now, we certainly don't have any plans and I think it's highly unlikely that there would be any equity raise between now and then. So, yes, in that sense. But if there is some opportunity or something unexpected, obviously, in this business, equity raise cannot generate a return immediately because of the nature of the industry. But I think it's highly unlikely that there would be any equity raise between now and then.

Mohit Agrawal: Okay. Thanks for the clarification. And secondly, Gaurav, on the Worli project, if you could share some colors, what has been the initial response like, if you could share some thoughts

around what has been the pricings. And also, I've seen the presentation that you've changed the structures from a 50% profit to 73% area sharing. So the reason behind that, and obviously, if we get consolidated, but how does this change the IRRs?

Gaurav Pandey: So, thanks so much. Firstly, we are very excited that finally, we have named the project Godrej Trilogy, is hitting the market. I -- on a lighter note, I know every investor call, earnings call, this was the question asked to Pirojsha & me that when is this launch happening? So there's a lot of internal excitement.

And I think in hindsight, there is such a massive upside we've seen from a market re-rating of the location and this entire coastal road is benefiting that micro market in such a big way that our top-line growth is humongous. And some of the area share that we've changed is largely to benefit our interest and get higher economic interest, because we're also trying to control specific units, specific floors, specific inventory, which is always easier to do when you do a sort of area share structure.

The first part of your question, what are we seeing right now? To just give you a sense, we just recently

got the RERA. And what we're doing a little different here is that, unlike a typical project that we have, where the one day inventory opportunity is limited and the pricing is also very homogenous. This is quite different for this particular product.

Godrej Properties Limited

November 06, 2025

Page 7 of 20

Why? Because we have three towers and each of these towers have their own strong value proposition. There are specific units, which gives you beautiful sea face views. There are specific units, which gives you both the sea face view, as well as Mahalakshmi Racecourse. And then there's some units, which gives you more of Mahalakshmi Racecourse sort of view.

So it's a very unique proposition, which is why we want -- we've kind of done an inventory-by-inventory pricing out here. And we also will release inventory gradually to sort of maximize the opportunity of profitability growth. That being said, any launch that we do is always has a very exciting number. So I don't want to comment on the number you want to target and hit, but this is more of a profit maximization opportunity, because we don't see much of a competition.

Early days, it's very frank to talk about pricing and all, but just to give you a sense, we will look at something like INR80,000 onwards to INR1.5 lakhs, right? That's the range that's in our mind right now, depending on what inventory, when we want to launch. There are some top set of floors, which we will hold for a while, unless we see pricing offers coming directly of the range that we want to hit in the life cycle of the project.

But -- and I'm talking about, these are the pricing, not including some of the best inventory that we will hold for ourselves in terms of later launches. So, yes, I mean, super exciting. I've never got so many calls of references and influence to get an inventory, but we've not opened the doors yet for our customers. It just opened last weekend on customer engagements.

We've done three micro CP, wine and cheese events, explain the product after rera approval to our channel partners, explain the strategy we wanted to go. And I think very, very initial days, but we've got some very exciting response. So fingers crossed, this is going to be something to watch out, not just for this quarter, but I think it's going to be an important page in the legacy we're trying to create for South Bombay.

Mohit Agrawal: Sure. And on the structural change from profit sharing basis?

Gaurav Pandey: I mentioned that, it's largely to take upside on controlling what inventory we would like to sell.

And because, as I mentioned, the price range is very, very diverse. So there is a set of inventory wanted to have, so a plain vanilla structure would have not benefited us. So we created like a win-win with our partners and sort of added an allocation of inventory and area shift tends to give you slightly more upside.

Pirojsha Godrej: I think it makes it also easier to operate the project. Everyone can sell a space they are looking to -- at the timing they are looking to and also there is a single, only we will be concerned with managing the project from an execution cost perspective. So that also I think streamlines decision making.

Mohit Agrawal: Sure. Thanks a lot and all the best.

Godrej Properties Limited

November 06, 2025

Page 8 of 20

Gaurav Pandey: Just to clarify, we control the inventory and we will sell that inventory, so there is no cannibalization risk, to double click we will make a small amount of fee out of it as well, just to sort of give it complete color that we control all inventory and entire pricing.

Moderator: I'm sorry sir, but the participant was left. Thank you. However, you can still listen.

Pirojsha Godrej: Let's go to the next question.

Moderator: Thank you. The next question comes from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Yes. Hi,

sir. Congratulations on a decent quarter. So our first question is now if I look at your H1 numbers, so you are already, if I analyze these numbers, you're top in all the markets, Bangalore INR5,000 crores in H1. So maybe it makes you the top developer there. MMR, similar thing, NCR, Pune. So just want to understand from here trajectory-wise, how each of these markets are looking at growth in the near -- mid- to near-term. So how does one look at these markets from your perspective?

Pirojsha Godrej: I think, the growth opportunity, in fact, we feel is very strong in each of these markets. I think we've hopefully demonstrated through the growth we've been able to deliver across markets in recent years, whether you look at NCR scaling from, having entered that market about 10 years ago to INR10,000 crores sales the last couple of years.

Mumbai, which we thought was not performing up to potential a few years ago, has now scaled very nicely. And we're quite hopeful of crossing INR10,000 crores in Mumbai. In the current year, Bangalore, similarly, off to a very good start in the first half. And our most recent market, Pune, of course, is another strong performing market where we've been the number one player over the last couple of years.

One of the things we're very happy to see is the market entry in Hyderabad and how that has gone for us. As I mentioned in my opening remarks, we've seen about INR2,600 crores sales there in two launches that we've done this calendar year. We think that in our first year makes us probably the number two developer in that market by sales value. Of course, there's a lot of future growth potential there.

So I think, there is no constraint in that sense to the growth opportunity before us. As a company, if we look at residential sales on a national level, we are currently last year at about 4.3% of total sales. So, clearly, we think that gives us headroom for growth in no individual market are we even at 10% of the market, which indicates to us that I think there is strong opportunity for growth through diversification of the number of micro-markets in each city that we're present in.

So we were talking earlier now about something like Worli, which will be our first major launch in that micro-market in a long while. We've also made good progress on our Bandra project, Godrej Properties Limited

November 06, 2025

Page 9 of 20

which we hope to launch in calendar year '26. And I think I'm very confident of that happening. That will give us again, a new presence in a big micro-market.

So similarly, we think if you look at the various cities that we're in, and Godrej Properties share in the micro-markets that we're already in, and the number of opportunities there are to add new micro-markets, I think you'll see that the headroom for growth is really very significant over the next several years.

Beyond that, we of course also have the opportunity to enter new markets as we've just done with Hyderabad. There are still large markets that we essentially don't have a presence in, in any serious way like Chennai. We're also, as you know, through plotted developments, entering the next set of cities, which could over time become opportunities from a group housing perspective. So I think the growth plans for the company continue to be robust. I think we've generally indicated we see a medium-term opportunity of 20% kind of growth rate. Of course, there will be different stages of the cycle where we have opportunities as we've had over the last few years to go much beyond that 20%. There may be some where it may be difficult to do 20%. But, overall, I think over a long period of time, even from current scale, we would be hopeful of delivering that kind of growth.

Parikshit Kandpal: Sure, sir. The second question is, I mean, though we have seen phenomenal growth on pre-sales, somehow when we read the data, the collection has been

lagging. Deliveries somehow, I think maybe looks a little bit of muted. And thirdly, the profitability, the path of profitability has, I mean, we've seen a tremendous shortfall there.

So is it that, I mean, though the sales has been ahead, so we are somehow behind in terms of execution and that's not reflecting in our numbers on deliveries and profitability. So are our projects largely on track from radar standpoint? Are there delays? Are we finding challenges in execution given that sales is running ahead of the estimates?

Pirojsha Godrej: Well, if you look at it, we have seen rapid growth across all metrics. We put actually a slide in our investor presentation this quarter that kind of shows the booking value collections, operating cash flow, deliveries and profit growth. Booking value, as you rightly said, has been very fast at

55% compounded, but it's not that these other metrics have not been growing fast. If you look at our collection, compounded growth over those three years is 39%, deliveries is 42% and operating cash flow is 62%.

Net profit, I think honestly, we can -- the reported numbers are 58%, but I would agree that a lot of that is accounting related. And it's not something that I would pay much attention to in the short-term, because there are several dislocations for a company that's following the project completion accounting method, which not all of our peers are.

But for a project -- for a company that is growing fast and following the project completion accounting method, I think it's important to understand how some of this is working. So profitability is being very badly hit, in some ways, directly due to growth, because of things like

Godrej Properties Limited

November 06, 2025

Page 10 of 20

marketing costs being expensed out in year, whereas you're recognizing revenue recognition on deliveries of projects that were typically four years, five years old, and typically in joint venture structures.

So we are quite confident that that visibility will change considerably, as we said, by FY '28, by when we expect the accounting numbers to catch up to at least some extent, and we expect to be able to deliver the 20% ROE we've talked about. That said, I would say that there are challenges in some ways on the execution side that we're doing everything possible to address. So I think a lot of good work is happening in execution. I think Gaurav can talk about that maybe in a minute. But there are external challenges, things like the NGT in NCR, which has essentially taken three months out of 12 months in a year of construction out in some ways and made things quite challenging. So there are external issues like that, that we are dealing with and there are some projects that have been delayed. But certainly, I think, overall, we feel execution is very much on track. As I said, the growth in execution in terms of deliveries last year was up to 18 million square feet.

We expect this year as well to be ahead of our guidance, even though the first half has been a little bit slow. So I think the company has scaled well on all parameters in our view. Booking clearly comes first, because you're first selling the project, but certainly is being backed up by a rapid growth in deliveries and collections as well and we think we'll see more of that in the next couple of years as well. So, maybe, Gaurav, if you want to just talk a little bit about it.

Gaurav Pandey: Sure. So, Parikshit, just to give you a bit of a sense, like a year, year and a half back, we kind of started working on deep diagnostics of how do we scale up the execution muscle, so as to support and kind of take benefit of the pre-sale growth. And internally, we identified about 14 modules through which this construction piece can be scaled up.

And maybe I'll just throw a light on some of them. Otherwise, this can be quite a bit of a session itself. But to give you some insights, like

something as simple as how do we solve for the labor

issues in India. And I'm sure you would have read some of the largest engineering companies, how they've been struggling.

So we said, what do we do differently? And we kind of did a deep diagnose and created our own digital infrastructure system. So today, give or take, we have almost like 1 lakh laborers on a digital sort of an interface through which we are able to kind of do predictive understanding of which laborers are at high attrition risk on what season, how to quickly replenish it and how do we ensure that we are able to create an environment for more laborers to feel us as a preferred workspace for them.

So moving from blue-collar workforce management thinking process to more of how employee centricity-led, culture-led practices, what most companies think of for a white-collar job. So through that, I think we've seen some clear, recognizable and real outcomes. So I gave an example some time back that a labor force has increased from 21,000 there about laborers to about 32,000 laborers. And mind you, this is after the scale that we built last 20-odd years to

Godrej Properties Limited

November 06, 2025

Page 11 of 20

bring 50% sort of a growth in six months comes out of outcome of a lot of changes that we brought in.

The second thing is, bringing more world-class contractors supply chain systems and we've been very actively working to increase our strength on that. So if you see some of our recent project construction contracts have gone to a much larger vendor base than what we used to have, say, three years, four years back. So classic example is we are now Latent working in, say, a project like Reserve. Then we've got someone like KEC doing something in Gurgaon. Then we've got

Ahluwalia contract.

So you name it, some of the big boys are now working with us. We've also changed how we used to buy procurement in bulk. So we're standardizing many things in terms of tile systems, faucets and all of this is kind of giving us both economies of scale and a predictable supply chain. And then comes, finally, it's all about getting your value chain right. And I think to give you a sort of a number metric, all this has led to an 82% Y-on-Y growth in Q2. If you read our reports in the last two years, three years, you would see the growth annually in typically construction flows have been more or less, let's say, 5% to 10%. And this pivot that we're trying to see in this year, quarter-on-quarter, has been very encouraging.

So, yes, there has been some amount of noise, some very rightfully so coming out of NGT issues. Also, these are some of the projects which were launched before COVID. So, you know, mind you, we lost 6 months or so not to do anything. And we did not have a strategy to bring laborers immediately back then because we were unsure that can it lead to contamination and risk when vaccination was not there.

Now all of this is behind us. And this is a new strategy to give you a sense, next 6 to 9 months, we'll deliver about 4,000 homes in NCR alone. So yes, I am reasonably confident to say that this is a problem we have understood. And this is a problem we have not left it to some sort of a situation.

We have taken it head on and we will deliver results upon it, which is what you see not just this year, but even on the outright project. Which is why after a lot of thoughtful consideration is when we put our neck out and gave you a 20% ROE indication for FY28.

Parikshit Kandpal: Thank you, that's elaborate. This is the last question for Rajendra. Sir, just on the OC-based revenue recognition this quarter, so what was the gross margin, I mean just like to like I am asking that including the partner, our JV share, what was the total revenue recognized and what was the total cost against that? Just want to understand the embedded margin there and also if you can help us understand the

current reasons with embedded margins?

Rajendra Khetawat: So, there were three, four projects, you know, why don't we take it offline Parikshit? You know, maybe Kshitij can help you with the details.

Parikshit Kandpal: Sure, sure. I will do that. Thank you.

Godrej Properties Limited

November 06, 2025

Page 12 of 20

Rajendra Khetawat: Thanks.

Moderator: Our next question comes from the line of Akash Gupta from Nomura. Please go ahead, sir.

Akash Gupta: Hi sir, congrats on a good set of results. Thank you for taking my question. My first question is on your thoughts on the real estate demand in Gurgaon, Mumbai and Bangalore. How are you thinking about pricing, footfalls and conversions? That's my first question.

Pirojsha Godrej: I think, you know, one of the benefits of Godrej Properties as a truly unique platform is having been in the market for close to like two decades. It's a very strong executive team. We can, you know, do some sort of early assessment of risk and opportunities accordingly, flex investment and inventory management.

And I'll maybe go a bit of a deeper into market by market. I think Gurgaon, there was a lot of chatter last year that the market is becoming speculative and risky. And I think there was some merit in it, which is why if you see most of our launches that we've done in Gurgaon have not been intentionally sold out because we focus on quality of sale a lot.

And I think us and some good developers have been doing similar practices, which is making the market today look far healthier than what it was, say, 12 months back. So, it is still India's highest performing market, but also one of the highest risk markets, where market conditions look to be slightly better than what it was, say, 9 to 12 months back.

Noida, on the other hand, is quite the opposite. It's a very strong market. You know, the land supply itself is heavily regulated, so there is never an oversupply sort of a risk, and everybody pays land price upfront now to auction. So, there is, frankly, no speculation per se, you know, in the market. The more of a capability of a team to bring high quality inventory and right product. So very bullish on Noida market.

Moving down to Pune, I think Pune is one market which frankly hasn't really taken off, though we are the number one player, but it's a sort of a price-wise a flattish market. But it probably, if you ask me, is the underdog of all markets because it has the highest potential because just 3-4 years back, Pune and Bangalore prices were mimicking each other.

And today, Bangalore prices have gone to a whole different league, while Pune prices have not really picked up. So I think it's sort of an underdog. It's a matter of time this market will fire.

Moving to Bombay, I think this is one of my, you know, sort of consistent favorite market because the quality of buyers are very refined, very end-user centric market, very product conscious, very developer conscious. And we've seen consistent sales in good products, not just

for us , but for competition also.

And I think South Bombay, Western Suburb and Panvel within the city are the most favoured markets and quite fortunate that we have been able to add a lot of inventory in the last 2 -3 years of good BD work in these markets.

Godrej Properties Limited

November 06 , 2025

Page 13 of 20

And moving to South, I would maybe take Hyderabad first. Hyderabad has done pretty fantastic this year as well. There was a slight stagnancy , I would say last year, though we were a new entrant, but this year there is a strong market rebound growth . And I feel that this market could surprise everyone in the long-term because the quality infrastructure is one of the best in India is in Hyderabad.

Bangalore , I think , has a constraint of high -quality land supply which kind of limits the potential of, you know , abstract supply coming in. It has very st

rong end user demand and all micro

markets of Bangalore have been firing for the last 6 to 9 months and you can see our growth is clearly demonstrating that. So probably right now, I would say the best performing market, or the uptake we are seeing right now is the Bangalore market.

Akash Gupta: Got it. Thank you for that. And sir, just looking at your launch value and booking value guidance, I mean we have achieved 47 % to 48% of that . And I think your second half is seasonally stronger.

Is there any upside risk to your launch value guidance or your booking value guidance?

Gaurav Pandey : Yes, there is a very strong upside risk and I don't want to jinx it, but I would say with reasonable confidence, we will beat and exceed our guidance .

Akash Gupta: Okay. Okay. And, sir, my final question is your off take for projects in Gurgaon, particularly when I see the performance of Godrej So ra, I think we launched 50% and sold 50% of that, versus If I see a project in Sector 54 Astra, I think the performance was fairly stronger there. I'm asking you this because we have, I think, a bigger project in Sector 53 again. So just wanted to know your thoughts around Miraya , Sora and Alira. How do you think the performance has been?

Gaurav Pandey: Thank you so much. Just to sort of give you a sense of, you know, Sora as a project and our strategy behind it. See, when we started launching Golf Course Road products right , our thought process is quite simple that this is where you have the highest land supply limitation and you can have the highest maximization of profit provided your product excellence is very high .

That means use the best of contractors, best of spec because you were able to manage and buy the best of land parcel and just not focus on inventory sales , but quality of sales because as I was mentioning sometime back market by market focus, Gurugram was looking at relatively much riskier market within the Indian stack from a property development point of view.

So, our idea was not to do consciously sold out projects , but to do extreme strong quality of sales. When I say quality of sales meaning that unlike many of our peers, we do not allow multiple units to be bought by a customer. If we do see that there is a speculative tendency, we do not log in that booking, we have detailed KYC checks.

And just to give you a sense of the project that we talk about in G olf Course Road, I'll just give you one more example before Sora is , let's say Miraya. You know Miraya i f my memory serv es me right, sold about 450 sort of odd crores when it was initially launched and today it's about

Godrej Properties Limited

November 06 , 2025

Page 14 of 20

INR800 plus crores. We've sold close to about 39% of the inventory , but I'm glad to share with you that the profit that we had logged in MSO, we've done about 62 % or 63% of that PAT . So, with almost, let's say, half of the sales than originally we thought, it's almost double the profit. So, I think there's a lot of profit maximization strategy going on. I think in As tra case, you know, it's -- it frankly a surpris e. We had put a very strong aggressive pricing, but because it was a bang on the main road, I think there was, you know, extraordinary euphoria and we saw both high quality of sales and sort of sales maximization.

In Sora, we were not able to build a marketing office at the site and if you are familiar with Gurugram , we used to actually A stra marketing office to sell that product. So, yes, you know, the sales cycle becomes a little longer . So -- but you know, frankly, I was expecting a similar like Miraya launch, like a INR400 crores , INR450 crores launch .

So I am quite happy that the price at which we wanted to sell over the life cycle, we have been able to achieve at the launch itself, so yes. So this is coming out of not about outcomes, it's coming out of a very thoughtful strategy.

Akash Gupta: Got

it, sir. Thank you so much. Best of luck.

Moderator: Thank you, sir. Our next question comes from the line of Pritesh Sheth from Axis Capital . Please go ahead.

Pritesh Sheth: Yes, thanks for the opportunity. So, just on NCR a bit. I mean, we are doing well across the market where we have two bureaus, Bangalore, Pune, MMR, NCR in first half seems to be lagging a bit .

Do you think we can catch up and match up the INR10,000 crore s run rate that we have clocked in the last couple of years and key launches that we should look forward to in this market, especially where your Gurgaon , your strategy has been more of quality led sales , you know, will other markets or other projects bring in that velocity as well ? So, that's my first question.

Gaurav Pandey : So, I think, you know, first of all, the team has a very exciting set of launches planned. I mean, I'll give you the color of the potential opportunities that we have. One is, you know, we will have phase activation. We have not opened specific towers and specific high inventory. So, you know, we do a classification internally of A, B, C category and A plus category.

So, some launches across GPL control A and A plus inventory. So, a lot of exciting inventory will come in Golf Course Road to see, continue its good traction of sales in Q3, Q4. But that aside, we have a launch coming up in Greater Noida, most likely towards quarter 4. It's a very exciting project we've done .

If you remember, Godrej Majesty. We launched in quarter 1 and we sold, I think, about INR950-odd crore s today and in another phase, it's INR350-odd crore from there on. So, this is a simple micro -market. I'm quite excited to see this one coming. Then we have a residential land parcel

Godrej Properties Limited

November 06 , 202 5

Page 15 of 20

left in one of our townships in Greater Noida . The total revenue potential was INR1,000 crore s, so that could also hit the market.

Then very recently we launched retail in last quarter, you would have seen a INR410-odd crore s number in that one. And this was a ground first, second and third floor inventory. First time we were launching a retail of this size. And credit to the team, we launched only first and second floor, which is a slightly more difficult inventory to sell.

And we've done a sold out of those two floors , it's got introduced only after Shraadh of last quarter , for last practically 10 days. And the remaining inventory, the ground and third floor is more like a smaller shop and ground is like the most prime inventory, likely will be opened up quite soon, so that's going to be another very exciting number.

Then we have Panipat acquisition we've done, th at should open up. And then we have a 7.5 acres of super prime land parcel in Golf Course Road that we may choose to launch as and when we see its right . The design is very exciting . And that will be our last launch of Golf Course Road. And we're not in a hurry. We want to do first some good activations of other projects of Golf Course Road and then hit the market.

So, the team has everything in its size to hit a INR10,000 crore s number and like it would deliver growth over the last year number. But yes, reasonably confident that they won't be any lag, we have very competitive team and healthy competition between different groups. So, yes, reasonably I'm confident they'll beat the number .

Pritesh Sheth: Sure. And while we are in NCR, you know, any update on Ashok Vi har, if you want to provide, you know... ?

Pirojsha Godrej: No, I think, you know, of our three stuck projects, we have seen different updates . At Worli, we are very positive, it's under launch now. Bandra, I think as I mentioned, has made very good progress and we hope to launch it in the next few quarters. Ashok Vi har continues to be this tree cutting issue which is affecting NCR overall .

So, unfortunately , don't have as positive an update th

ere where we continue to work with all

relevant parties on that. We're confident of eventually resolving this. I think obviously the changes in the market have made it such that once this project launch -- launches, the delay will actually have ended up potentially being of help. But, no, we don't have immediate visibility on timeline s.

Pritesh Sheth: Sure, and just one last, in fact couple . You know you have embedded EBITDA margins for the sales that we have done in first half . And secondly on the land acquisition side in terms of cost, if you want to give any comment of , you know , whether they are stable, still going up and do they still largely still fall into our margin targets? Yes, for those two questions.

Pirojsha Godrej : On the embedded margin, you know, we decided we prefer to do this on an annual basis. So, we certainly continue that practice. On land, you know, it's a bit of a mixed bag. We are seeing some

Godrej Properties Limited

November 06 , 202 5

Page 16 of 20

good opportunities, which has allowed us to, you know, do 80% of our guidance in the first half. And BD lock-in is higher than sales in the first half, which I think is healthy.

At the same time, I think there are instances we've seen of land prices going quite high. So there have been recent auctions, for example, of 10 and 11 acre kind of size parcels in both Hyderabad and Navi Mumbai, where the auction values crossed INR2,000 crore s, which did seem quite high for us .

So I think little bit of a mixed bag, market by market and also specific project by project. So nothing too concerning now. And we do feel we can, you know, generate the kind of returns and margins we're looking for on land more generally, but certainly prices have confirmed up over the last couple of years.

Pritesh Sheth: Yes, pretty helpful. That's it from my side and all the best for second half.

Moderator: Thank you, sir. Our next question comes from the line of Kunal Lakhan from CLS A. Please go ahead.

Kunal Lakhan: Yes, hi. Thanks for taking my question. My first question is on the construction spend -- construction and project -related spend in the second half. You spent about INR6,500 crores in the first half. How are we looking at second -half in terms of spend?

Gaurav Pandey : I mean, we don't really give a projection per se, but at least we are able to say that we will see a growth over the last financial year.

Kunal Lakhan : Sure, sure. Just to follow up on that, basically what I was trying to get was, the last year we saw an operating cash flow of INR7,500 crores on a full -year basis , and this year we have done about INR2,100 crores in first half. How should we look at full -year cash flows? Would we see growth in OCF in FY '26 over FY '25 or it will be flattish?

Management: Actually, it was rightly said, it depends a lot, so there are sort of estimate operating cash flows, there is no -- there are only two real variables, one is your inflows, and the second is going to be outflows, which is largely construction and construction related. I think we have a very high degree of certainty when it comes to collection , right, I mean that is something, there is a lot of predictable math, and construction , we are seeing a massive upswing, which is to speed up O C calendar fo r FY '28.

So, you know, it all, there's a lot of aspiration internally to speed it up. But if I were to give you a sense of min -max range, because I know what's going on in your mind, could be between INR6,500 to INR8,500 . In some ways, my best guess today, if not a guidance, I would say it's my best guess where we land up, purely depending on how fast we're able to ramp up the construction for profit recognition of the FY '28?

Rajendra Khetawat : Sure, sure. Just to add, with the consistent spread increase, it may be O CF may take a dip in the quarter, but it may help us to give us a more billing milestone, which wi

ll definitely up the
collection into the next quarter or for the coming quarter. So it may be a tiny min-max, but as
Godrej Properties Limited
November 06 , 202 5

Page 17 of 20

far as the min ma x is between INR6.5 to INR8.5K, depending on how the outflow actually pan
out.

Kunal Lakhan: Yes, yes. I mean, the reason I was asking was because if we were trying to push our collections or drive our collections in Q4, that means a lot of the spend will actually happen in Q3 and early Q4. So, I mean, that's what I was getting at. So, there shouldn't be any spillover of collections or operating cash flow as such, right?

Gaurav Pandey : So, you know from a collection strategy and the update that we have even at this whatever we are doing on construction -- quality of construction, speed of construction, if we were to consistently do 90% of our plan, we will achieve our guidance and we will have a very good construction operating cash flow, which is the higher range estimate that I told you.

But just that, if we are able to maximize the opportunity even further to speed up construction, which would mean that our quarter 1, quarter 2 collections of next year would be good, our OC certainty will become higher for FY '28, right?

Then that's the only reason why your construction spend could slightly bring the INR8,500 sort of trajectory operating cash flow to the INR6,500-7,000 kind of a trajectory . This is more of a guesstimation , I'm just sort of giving you, but more than fair to say that the confidence on the collection metric is very, very high.

And the up -side risk of Q1 collection will depend on the ability of ours to speed up construction even beyond that. It's more of a one quarter over another quarter kind of a number. And in fact, when you run an operating piece as big as this, and when you have significantly high operating cash flow, you really don't get perturbed up between the timing issue of an operating cash flow in this quarter to the next quarter.

Kunal Lakhan: Sure, but over a long term, the operating cash flow growth should mirror the sales growth.

Management: Yes, absolutely, absolutely right.

Pirojsha Godrej: I think this is the most important metric for the company. So whether we look at incentives or other things, certainly this will be the key focus.

Kunal Lakhan: Understood. And my second question was on the business development side. Now, we've done 80% of the FY '26 target. And like now how should we look at business development in second-half, would, does that INR20,000 crore GDV number has a serious upside risk and this kind of risk can be mitigated.

Pirojsha Godrej: I think, that was indicated, we don't want to miss guidance typically, so we do keep numbers that we are confident of meeting. On something like business development, we think it's quite important to keep flexibility. We don't want to ever be in a position where we think we are doing business development to meet our guidance.

Godrej Properties Limited

November 06, 2025

Page 18 of 20

We must be sure that we can generate the kind of returns we are looking to create on each of these investments. So, I think, broadly speaking, roughly being in line with the sales we are achieving will be kind of what we are looking to do to ensure, we can sustain the kind of growth momentum we've seen. So, certainly, if you look at Q1, excuse me, H1 sales and H1 BD, they're relatively close to each other. I would expect, probably, something similar in the second-half.

Kunal Lakhan: And if I can squeeze one more, so in terms of the sector 53 second phase launch, how should we look at pricing vis-a-vis the first phase?

Gaurav Pandey: I mean, to be very frank, the, I mean, it's a little challenging for me to really give you a very specific project-level inference, but I could rather help you with the framework. Any time and every time we launch the next phase of a project, we

tend to see how do we want to control the,

if there is any leftover inventory in the previous phase, what's the quality of inventory left. Is it A plus and A, or is it lower-grade inventory?

If it is a training A+, we actually first endeavour to liquidate some of that inventory to do a price establishment for the next phase. And in case, for some reason we saw a great holdout, say 70, 60, 80% of A and A+.

Also, then we use that as a price benchmarking and do a slight discount to that and increase the A and A+, for that phase, even further. So, that's why we do a pricing strategy. I won't be able to really scientifically comment on a project because I don't have the inventory sheet and the specific details will be handy with me, and this is something part of a typical pricing strategy which we do during a discussion with the sales team.

Kunal Lakhan: Understood, thank you so much and all the best, thank you.

Moderator: Our next question comes from the line of Sourabh Gilda from JM Financial, please go ahead.

Sourabh Gilda: Yes, hi, thanks for the opportunity, just you have already highlighted a very large pipeline for NCR in terms of launches and in Mumbai there is of course Worli coming up, but can you also highlight other launches -- other maybe key launches for Mumbai apart from Worli and then for other markets as well like Mumbai, Pune and few of our plotted developments?

Gaurav Pandey: Sure, I'll do that. Maybe I'll, because I've already sort of elaborated on the interest, I'll go maybe to Mumbai next. So apart from Worli, we have launched a project in Indore. We had a second land parcel which our endeavor is to actually launch within this particular quarter. So that's the, you know, the Manglia micro market of Indore, so that could hit.

Then we will launch a sort of a commercial office space opportunity in the Panvel township, during the year. It could be this quarter, early next quarter, so that's again an interesting launch. Then we have bought a series of three parcels in Kharghar through auctions if you recollect. That should hit the market very soon.

Likely, Quarter 4 is what that will hit the market. It's a very interesting project, and the land that Pirojsha just mentioned back in auctions close to that as a micro-market, so in a way that we'll

Godrej Properties Limited

November 06, 2025

Page 19 of 20

see some upside from a pricing point of view. And then Bandra, aspirationally it's a Quarter 4, it could be a Quarter 1 sort of a launch.

Moving on to maybe a bit of a south, we have a series of launches in Thanisandra micro-market, then we have a plotted development which we recently acquired in Doddaballapur in this last quarter, and actually we are aspirationally trying to launch it within this quarter.

Then we have a launch in Chennai, which is a project near Azure that we have, so that is going to be another launch. Then we'll have Hoskote launched which is close to Whitefield micro market. Then Bannerghatta could be a potential launch in Q4, then we bought a land parcel close

to near the new airport road, and that could also hit the market this year.

And then we have sales activations, we launched a project called Go drej MSR City . We launched this project in Q1, did a fantastic sale of close to INR23-2400 odd crores, did another INR1000 crores in Q2 which is like a INR3500 crore . So it's one of our hottest selling products and we have a lot of land and phases left in that, so we should be able to launch between one or two phases of that.

Then moving to Pune , and the geography around that, we have a launch coming in Mundhwa .

This is micro market, we are not present, so quite excited about that. We have bought a land parcel in Ba roda just last quarter. We are aspirationally trying to push this as a launch within this quarter. Then we have a series of launches planned from Upper Karadi .

We bought two lands in Upper Karad

i we should get one in this year . Then we have a tower

launch on a sort of a classic heavy sold out project of ours in Evergreen Square. Then we have a launch planned towards quarter four in Raipur which is a plotted development opportunity.

And hopefully in quarter four , we'll be able to push even Ahmedabad launch which is in Vastrapur.

So, as you could see we have a massive and superlative launch calendar , much above and beyond what we've given as guidance. If we hit even 70 %-80% of that, we should be able to achieve our guidance and if we are able to hit , many of it and at better pace performance than our initial conservative estimate, we could surprise. So, that is the kind of action -packed calendar we have.

Sourabh Gilda: Thank you, Pradeep. I hope that is a response. Just lastly on Worl i, you have already highlighted the project details in terms of the location and inventory that you are planning but how are you thinking in terms of competitive intensity in that market , because multiple developers have launched quite a few projects in that market over the recent past and what could be our strategy here?

Gaurav Pandey: I think you know we feel very good about the product s we've come up with and initial market response seems quite positive , but probably better to talk about this next quarter once launch is actually on the way now, so we won't have to wait too long to see the outcome. But everything that we are seeing for now suggests it should be a very successful launch.

Godrej Properties Limited

November 06 , 202 5

Page 20 of 20

Sourabh Gilda: So, thank you, thank you. That's all from my side .

Moderator: Thank you sir. Ladies and gentlemen, due to the time constraint, that was the last question for today. I now hand the conference over to management for the closing comments. Thank you and over to you sir.

Pirojsha Godrej : I hope we have been able to answer all your questions. If you have anything further that you would like to ask, please do reach out. We would be happy to be of assistance. On behalf of the management, thank you again for taking the time to join us today.

Moderator: Thank you sir. Ladies and gentlemen, on behalf of Godrej Properties Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

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February 10, 2026

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051

Ref: Godrej Properties Limited
BSE - Script Code: 533150, Scrip ID – GODREJPROP
BSE - Security Code - 974950, 974951, 975090, 975091, 975856, 975857, 976000 - Debt Segment
NSE Symbol - GODREJPROP

Sub: Transcript of the conference call with the investors/ analysts.

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Schedule III Part A, Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call organized with the investors/ analysts on Thursday, February 05, 2026, post declaration of Unaudited Financial Results (Standalone and Consolidated) for the quarter and nine months ended December 31, 2025.

This is for your information and records.

Thank you.

Yours truly,
For Godrej Properties Limited

Ashish Karyekar
Company Secretary

Enclosed as above

Page 1 of 15

"Godrej Properties Limited
Q3 FY '26 Earnings Conference Call"
February 05, 2026

MANAGEMENT : MR. PIROJSHA GODREJ – EXECUTIVE CHAIRPERSON –
GODREJ PROPERTIES LIMITED
M R. GAURAV PANDEY – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – GODREJ PROPERTIES
LIMITED
M R. RAJENDRA KHETAWAT – CHIEF FINANCIAL
OFFICER – GODREJ PROPERTIES LIMITED
M R. KSHITIJ JAIN – INVESTOR RELATIONS – GODREJ
PROPERTIES LIMITED

Godrej Properties Limited
February 05, 2026
Page 2 of 15

Moderator: Ladies and gentlemen, good day and welcome to the Godrej Properties Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need a session during the conference call, please signal an operator by pressing star then zero on a touchtone phone.

I now hand the conference over to Mr. Kshitij Jain from Godrej Properties. Thank you, and over to you, Mr. Jain.

Kshitij Jain: Thank you. Good afternoon, everyone, and thank you for joining us on Godrej Properties Q3 FY '26 Results Conference Call. We have with us Mr. Pirojsha Godrej, Executive Chairperson; Mr. Gaurav Pandey, Managing Director and CEO; and Mr. Rajendra Khetawat, CFO of the company.

Before we begin this call, I would like to point out that some statements made today in today's call may be forward-looking in nature. These forward-looking statements are based on expectations and may involve risks. The outcomes may differ materially from those suggested by such statements and a disclaimer to this effect has been included in the results presentation. I would now like to invite Mr. Godrej to make his opening remarks. Over to you, sir.

Pirojsha Godrej: Good afternoon, everyone. Thank you for joining us for Godrej Properties' Third Quarter Financial Year '26 Conference Call. I'll begin by discussing the highlights and we then look forward to your questions and suggestions.

To first start with looking at the calendar year '25 highlights. GPL delivered its best ever year in calendar year 2025 and achieved bookings of INR34,171 crores, a year-on-year growth of 19%. Collections of INR18,979 crores, a year-on-year growth of 28%. Operating cash flow of INR7,246 crores, year-on-year growth of 20%. And earnings of INR1,582 crores, which is a year-on-year growth of 6%.

These healthy growth rates were despite the high base of calendar year '24. In both calendar year '24 and '25, GPL was the largest residential real estate developer in India in terms of both bookings and collections, which grew at a 3-year compounded annual growth rate of 44% and 35%, respectively.

GPL also registered strong volume growth with a compounded annual growth of 24% over 3 years between calendar year '22 and calendar year '25. As a result of this growth, GPL has doubled its market share in 4 years from 2.4% in calendar year '21 to 4.8% in calendar year '25. In this period, GPL also increased its economic interest in the booking value to 87% from 50% in calendar year '21.

GPL delivered consistent performance throughout calendar year '25 recording booking value of over INR7,000 crores in each of the 4 quarters of the year and has now delivered a booking value of over INR5,000 crores in each of the last 10 quarters. The company's sales were also well diversified geographically with no individual market contributing more than 30% to booking value and with five individual markets contributing more than INR3,000 crores each. GPL, as a Godrej Properties Limited

February 05, 2026
Page 3 of 15

result, achieved a Top two rank amongst listed real estate developers in each of India's five leading real estate markets of Mumbai, NCR, Bangalore, Pune and Hyderabad.

This performance was driven by a broad and diversified portfolio with 11 individual projects, each generating booking value in excess of INR1,000 crores during the year. GPL has cumulatively added projects with more than INR1 lakh crores sales potential since financial year '23 and has strong visibility for sustained growth.

In the calendar year '25, GPL added 14 new projects with an estimated salable area of 24.5 million square feet and expected booking value of nearly INR28,000 crores. A detailed operational guidance for financial year '27 will be provided with our Q4 results, but we

can

expect healthy growth to sustain across key metrics.

Coming to the third quarter and 9-month performance.

Godrej Properties delivered another strong quarter in Q3. We delivered our highest third quarter and 9-month net profit of INR195 crores and INR1,200 crores, respectively, a growth of 20% and 18% year-on-year for the quarter and the 9 months. GPL's booking value for the quarter grew 55% year-on-year to INR8,421 crores. This was achieved through the sale of nearly 4,000 homes with a total area of about 6.4 million square feet.

In the first 9 months of financial year '26, booking value grew 25% year-on-year to just over INR24,000 crores. This was achieved through the sale of 12,726 homes with a total area of nearly 20 million square feet. This is the highest ever Q3 and 9-month booking value achieved by Godrej Properties and GPL has, as a result, achieved 74% of its annual guidance for booking value and remains on track to beat its guidance of INR32,500 crores for the financial year. Collections in the third quarter grew 40% year-on-year and 5% quarter-on-quarter to INR4,282 crores.

Collections in 9 months FY '26 grew 19% to just over INR12,000 crores, which has resulted in GPL achieving about 57% of its annual guidance on collections. We believe we remain on track to achieve our full year guidance of INR21,000 crores for the full year as deliveries and collections this year are significantly skewed towards Q4.

In fact, with some positive news, we think deliveries for the year can actually be well ahead of guidance for the full year. Collections, while we expect to meet the full year guidance, as a lot of deliveries are going to be in March, there could be some spillover to April.

So we certainly expect a very strong quarter and quite hopeful of achieving the full year guidance and also starting the financial year '27 on a strong note from a collections perspective. Operating cash flow in the third quarter grew 73% year-on-year, but declined 11% quarter-on-quarter to INR1,062 crores.

Operating cash flow in the 9-month period declined 7% to INR3,199 crores. This was due to a sharp increase in direct construction spend by 66% in the 9 months of FY '26. We expect to see very robust operating cash flow in Q4 linked to deliveries and the significant ramp-up in collections and expect to surpass our FY '25 OCF.

Godrej Properties Limited

February 05, 2026

Page 4 of 15

In terms of business development, we added three new projects with an estimated salable area of 7.3 million square feet and expected booking value of INR8,400 crores in the third quarter. For the 9 months, GPL has added 12 new projects with an estimated salable area of 22 million square feet and expected booking value of nearly INR25,000 crores thereby achieving 123% of our annual guidance within the first 9 months.

I'm also happy to share that Godrej Properties has ranked number one globally in the real estate and management sector on the S&P Global Dow Jones Best in class Indices for 2025 as of the 31st December cutoff.

Godrej Properties has also been included in the Leadership Index of CDP with an A rating in 2025 and has been recognized as a supply chain leader in CDP's Supplier Engagement Assessment and has also been included in the A list for the 2024 disclosure cycle. For the quarter, our total income declined by 17% to INR1,020 crores, but EBITDA grew by 21% to INR338 crores and net profit grew by 20% to INR195 crores.

For 9 months, our total income grew by 7% to INR4,480 crores. We expect very meaningful total income growth in the fourth quarter given the large number of deliveries. EBITDA grew by 40% for the 9 months to INR1,867 crores and net profit grew by 18% to INR1,200 crores. With a robust launch pipeline, strong balance sheet and resilient demand, we are on track to achieve our guidance across all key operating metrics and look forward to building on this momentum in the year

ahead.

On that note, I conclude my remarks. Thank you all for joining us on the call. We'd now be happy to discuss any questions, comments or suggestions you may have.

Moderator: The first question is from the line of Puneet from HSBC.

Puneet: My first question is broadly on the market side. Do you see any change in the color of the market in terms of demand, inventory pricing now versus a year back?

Gaurav Pandey: Thanks for the question. Of course a couple of years back, I would say there was a clear euphoric stage where tactically you would see whether it's a small developer, mid-developer or large developer, everybody was in this process of selling, right? I think the market is slightly so maturing.

So now you have a tendency in different micro markets where I would say buyers are appreciating more about product, quality, location. It is gradually becoming what we always believed it to be more of either end user market or a very seasoned retail investor.

So the froth of the market, which is mostly say speculative investors, especially I'm talking about

Gurgaon, that I see is kind of fading out and rightly so. But that aside, I would say market is extremely strong. If you see just our own performance in each of the geographies, all of these have been consistently very well.

Godrej Properties Limited

February 05, 2026

Page 5 of 15

Some of our peers who have been launching projects and targeting end users have been also doing quite exceedingly well over the quarter. So market is very good. There's a slight supply degrowth in volume in 2025, which is a very marginal 3%, 4%, which is sometimes when you read from a relative context of demand, people over-assume the demand falling, while it is just that some micro markets may not have seen the supply, which I think is a good thing from a long-term point of view is kind of adjust the ability for some amount of price uptick to happen in micro markets, which may be a little bit on the overrun side. So yes, I mean the market seems to be quite healthy and quite good.

Puneet: Anything on product mix you want to comment in terms of preference changing from more premium to mid-income or that's not visible yet?

Gaurav Pandey: I don't think so very frankly. I would put it slightly different. It's about being value conscious. So whether you are in premium segment or a luxury segment or even a mid-segment, customers are wanting to know about product. When I say product meaning not just limited to the layout, but what's a unique proposition that you are building in a particular project and what is the reason why I should buy this particular project.

So it's a very end user thought process, but nothing really that we would say that only mid-segment or a premium segment or luxury is doing this. I have seen in our portfolio strong demand across segments. And look at last quarter itself, on one hand, we had Panipat launch, right? It's been our best ever plotted launch in a small city with a INR1,000-plus crores of sales.

We've never done a plotted development of that size in the North market. And on the other side of the spectrum, we saw Worli launch, which became the benchmark of the luxury positioning in the South Bombay market. So it finally deploys onto your product proposition to the customers.

Puneet: Okay. And can you also talk about the pace of business development that you want to achieve into next year? Do you want it to slow down or would you accelerate from where you are?

Gaurav Pandey: Actually, we never have given a forward-looking guidance for next year, but fair to say it will be steady and will be very similar to calibrated strategy that we've been following. If you would have noticed 3 years back, we were having a BD strategy where we were largely in an acquisitions spree across markets because that was a different cycle of the market. But if you've been noticing in the last 18 months, we've moved to a very different s

strategy of

buying land where we feel there is a strong demand coming up and selling fast in markets that we feel overheated up and at the right stage replenishing the inventory.

So to that extent, I would say that it will continue to be a calibrated BD strategy. Fortunately, for us, we've added such great projects across geography that whether we do BD or do not do BD does not really determine our immediate growth plans. We currently hold about INR135,000 crores worth of inventory.

And within that, if I talk about inventory that is very recent, which is very fresh inventory which is from the acquisitions of last year, that itself give or take is about INR65,000 crores. So largely,

Godrej Properties Limited

February 05, 2026

Page 6 of 15

BD will continue to replenish inventory or double down in markets where we feel there is a huge upside available.

Puneet: Okay. And lastly, if you can also talk a bit about how you feel about your leverage position and your market share. Market share definitely is sitting close to 5% as per your numbers. Do you think there's room for more expansion from there or would you largely trend with market?

Gaurav Pandey: Absolutely. I mean I would say you're absolutely right. I mean our market share is just around 5%, actually 4.8% and couple of years back, we were 2.4%. But we're still slightly scratching the surface because if you go down to cities and you can talk about most of the cities where we're operating, we are still not present in many micro markets. And in micro markets that we are present, we still don't have that many launches as much as we are selling fast, right?

So I think there's a huge headroom for us to kind of grow. And from a leverage point of view, I think we probably even captured, I think in our investor presentation, we are at 0.37 and we endeavor not to cross 0.5 from a governance perspective. And we have huge comfortable headroom to look at opportunities within that headroom in markets where we feel we can launch fast and sell fast.

Puneet: Understood. And lastly, if I can just squeeze in one. On the operating cash flows to collections,

the run rate this year has been slightly slower than what you've delivered in previous years as well. How should one think about it?

Gaurav Pandey: It's a good question. Let me sort of take a step back. If you look at our last collections per se figure, we delivered I think probably around just around INR4,300 crores and like a 40% Y-o-Y growth. And we had fairly strong operating cash flows close to about INR1,069 crores, which was 73% Y-o-Y growth. And yes, there has been a marginal decline in operating cash flows, but our collections from 9 months point of view is INR12,000 crores, 19% growth. There's a 7% drop in operating cash flows. So the reason why there is the ratio that you're looking differently is because from an operating cash flow perspective, our construction spends have gone very strong. So we've seen and I think we talked about in our earnings call a couple of quarters back as well that for this year, we would be focusing a lot on improving our execution speed and muscle and there's been lot of work that has gone in building that muscle.

I'm quite delighted to share that, as Pirojsha was mentioning in his opening remarks, we've now done a 66% growth on a 9-month performance. And what it is doing is that on the short term, yes, it may optically drop our operating cash by 7%. Therefore, the ratios may not look as consistent. But what it's also doing is strengthening our long-term projected collection growth, but also return on equity target that we have set for ourselves, which is in FY '28. So I think it's a bit of a short-term adjustment of grade construction will lead to some amount of spend. I think the only worry thing would have been if our growth from collection didn't happen. I think that one can debate how much more we can do, but the growth is happening quarter-on

-quarter.

And I think if we just skip to the operating principles, it's a matter of time the ratios will again start changing.

Moderator: The next question is from the line of Abhinav Sinha from Jefferies.

Godrej Properties Limited

February 05, 2026

Page 7 of 15

Abhinav Sinha: Sir, couple of questions. And Gaurav, just following up on the previous one. So in 9 months, we have seen construction cost up by about 35%, but the cash inflows are up like 19%-odd. So when does this number catch up? And is construction cost jump on a like-for-like basis? How is it trending?

Gaurav Pandey: I think, Abhinav, if you see typically from a -- I mean sometimes when we look at a portfolio as large as our projects are in different stages of construction, right? I mean we're not like a 6 or 7 project company. There are multiple projects. So sometimes you will have in a quarter, projects which are getting into completion and in such a situation, your construction spend may not be as high or inflows may be slightly better. Therefore, your operating cash flow for those set of projects would be better.

And vice versa, you may have collected, say, 20% from a launch in the first 3 to 4 months and the next milestone is coming, say, 6 months later. And let's say, we've done fantastic back-to-back launches in a particular quarter. So for 6 months, those projects may not be pumping huge amount of collections.

So the point I'm trying to make is when you see from a portfolio perspective, sometimes the numbers may not give you complete picture. I think probably one lens that I would recommend looking at it is that from a sequential point of view, is there growth in collection happening up? And is the construction spend really going on the right trajectory?

I think directionally, they are on the right trajectory, operating cash flow is just an outcome. If you suddenly see a lot of OCF -- sorry, OCs, you will start seeing OCF improving. And in quarters where, let's say, OCs are lesser, you may see a slightly drop in operating cash flow.

Pirojsha Godrej: Just to add to this, I think the other good news is we're now right on the precipice, we think of a large number of OCs. So Q4 as we indicated our guidance for the full year for deliveries is 10 million square feet. We've only done about half of that in the first 9 months and we actually expect to do because of these construction spends more than the 10 million square feet guided. So I think you will see very sharp collections and that will actually result in the OCF to collection ratio being much higher than in the first 9 months. So I think you'll see a big amount of correction of this just in the current quarter itself.

Abhinav Sinha: Okay. Pirojsha, on the business and how would you think are the underlying margins trending now? And also within the same bit in BD, are you now comfortable buying land again in NCR or Gurgaon or you would still at a pause there?

Pirojsha Godrej: I think the margins we've guided to are that we'd like to deliver anywhere between 10% and 15% net profit margin. Last year, at an imputed level, we were slightly above that ratio. But I expect over time through cycles to be operating within that range. I think we think that is the right range that will allow us to scale well while also ensuring healthy margins. I think that will imply EBITDA margins in the kind of 25% range or so.

Godrej Properties Limited

February 05, 2026

And I think what we're seeing on the land side is reasonably healthy. I think there are instances where we've seen some land options and other land transactions happening at levels that we are not comfortable with and we've lost some of those land deals.

But I think what's exciting is despite holding our underwriting standards very strong, I think we're having a good year for business development and a good year of visibility for a strong Q4 on the business development side as well. So

it's not that we're not seeing opportunities. And I think the advantage of our national model, which we've spoken about previously, is that it allows us to pick and choose which markets and which deals we think makes the most sense. So if we feel that any market is looking a bit concerning or we'd like to pause and see how things play out in that market, taking a little bit of a break there doesn't help -- doesn't stop us from growing elsewhere.

As we talked about in the opening remarks, we have five different cities contributing more than INR3,000 crores of sales last year. So I think we believe market conditions overall remain quite healthy. The market share growth opportunity remains immense. And the combination of those two to us indicates that there's nothing stopping us if we execute well to see strong growth continuing for the next several years. So I think that's how we're looking at it.

And on Gurgaon, Noida, opportunities we're seeing that make sense. So I would expect some business development there. But we're quite cognizant that the market has slowed down little bit so we may look to do a little bit more in other markets in the near term. But certainly, all 5 of these top markets remain priorities for us.

We think we've done a lot of hard and good quality work in establishing ourselves as one of the leading developers in each of these markets and over time we think they each present an opportunity. Tactically, which market to focus on in a given quarter or a given half year, we can continue to adjust. And I think that flexibility is one of the strong advantages of the platform we have.

Moderator: The next question is from the line of Pritesh Sheth from Axis Capital.

Pritesh Sheth: Just firstly, some bit of on near term in terms of the launches that we see in Q4. And I think since last couple of quarters, you've been highlighting about confidence on beating the guidance, whether that still stands true in terms of how market has been in last 2, 3 months or a couple of quarters? So first question on that, yes.

Gaurav Pandey: I think very confident on the guidance. So I would maintain what we said in the previous calls as well. In fact if you see purely from a 9-month perspective, it's about 73%, 74% of an annual guidance already. So very confident on meeting and beating the guidance. To give you a sense of some of the launches that we have in store for the quarter and even beyond, just to give you a sense of the portfolio.

We have a series of launches planned. Very immediately, you'll hear about a launch in Sigma sector Greater Noida. This was the land we had bought some time back in auctions and this is already hitting the market in this quarter. Then we will have something soon coming up as a Godrej Properties Limited

February 05, 2026

Page 9 of 15

residential cluster in a flagship project of Greater Noida called Godrej Golf Links. This is sort of a partially developed township, very well in demand.

So we endeavor to open one of the final clusters of residential over there. And if you recollect, very recently we launched retail and both quarters have done exceedingly well in the retail and that's part of the same project.

Next, we would look forward to launching something in Panvel as a commercial -- first commercial land parcel that we have. It's a huge township. And with the advent of this entire corridor after the Atal Setu and the airport, this has become a bit of a surprise in our portfolio from a demand and price growth point of view.

So, this is something as a new asset class we'll open up. We have something lined up in Kharghar. This was one of the things you would have -- if you recollect, it was an auction land we had bought 3 back-to-back parcels so that should open up soon.

Then we have something in Bangalore coming up in Hoskote micro market location. We bought something -- very prime land parcel in the Airport Road and that should also open

up very soon

likely within this quarter. And then on the Pune side, massive amount of launches being planned.

We bought 2 parcels in Upper Kharadi. One should hit actually within this quarter. We have something in Mahalunge coming up. There's a sort of a tower launch coming up in one of our highest selling projects ever in Pune, which is called Evergreen Square.

Then we would like to even open up both a new project opportunity in Raipur as well as a parcel

in Ahmedabad in the Vastrapur micro market. And then we have series of launches from 7.5 acres of parcel that we bought in Golf Course Road are probably our best parcel in Golf Course Road. We have some land parcels in Bannerghatta.

There are phases left of MSR City. Then there's a land in at Mundhwa, entire phase will open up. Nagpur is going to come up. So I mean I can spend like an hour and thanks to the incredible work of the BD team of building a INR135,000 crores of inventory and mind you, this is not just random parcels bought as a land aggregation, 30, 40 kilometers of city.

These are all in-demand locations, some of which are readily available to launch in the next 1, 1.5 years. So reasonably confident that we'll deliver the number for this year and hopefully, we'll also continue to show good growth in the coming years.

Pritesh Sheth: Most of the launches that you talked about are Q4, right? I mean you mentioned about Bandra as well.

Gaurav Pandey: Most of them are in Q4, most of them.

Pritesh Sheth: And not Bandra. Sorry, I didn't get.

Pirojsha Godrej: You mentioned Bandra. I just wanted to clarify, Bandra will be next financial year.

Godrej Properties Limited

February 05, 2026

Page 10 of 15

Pritesh Sheth: Yes, sure. Okay. Fair enough. And you mentioned about just a line on FY '27 that healthy growth to sustain across key metrics in FY '27 as well and that includes the top line growth as well, right, apart from cash flows and P&L obviously will grow because of what we have done in past. But you're confident about maintaining growth on the presales as well. And just on that.

Gaurav Pandey: I want to give a very strong affirmative yes.

Pirojsha Godrej: Yes, I think barring any very large change in the market, which we don't foresee and very happy with what we're seeing in the market so far, as Gaurav said, whether we look at products like Worli, Panipat, the whole spectrum seems to be doing quite well. So given that, given the kind of business development we've done, certainly we would expect good growth, including on booking value.

I think we'll also see just how strongly we close this year. Hopefully, we can go a bit past our guidance this year as well. But as we have indicated previously, I think the plan of the company is of course to make sure that we continue to grow.

And our belief has been that there is opportunity irrespective of what happens with the overall market. We've seen, for example, I think last year was our ninth consecutive year of booking value growth. Of course half of those years were in a terrible market pre-pandemic. So I think the combination of being the largest residential developer, having a very strong national brand, being present in all major markets across the country gives us a huge opportunity to continue to aim to gain market share.

Because having all of those attributes and a sub-5% market share, even in a worst-case scenario, if the market doesn't grow or even declines a bit, we do see an opportunity to continue to grow through market share gains.

Our current base expectation is that the market will show reasonable growth and that we will grow ahead of market. But let us come back to you I think next quarter once we see how this year's numbers end up, what additional business development we're able to do in the next 2, 3 months. But certainly, as of now, I think there is good visibility for FY '27 growth across key parameters, including sales.

Pritesh Sheth: And

if I try to dissect this growth across markets this year, it seems like MMR, Bangalore, some bit of Hyderabad has helped us on growth. Next year, which markets -- basis the current pipeline that you have, which is largely the ones that you will carry forward next year, basis the current pipeline, which market you think can step up further and contribute more on growth?

Pirojsha Godrej: I think the exciting thing is they all have significant opportunities. So if you look at the business development we've done recently, it's reasonably well spread across markets. So whether you look at Bangalore, Pune, Hyderabad, Mumbai, NCR; each of them have significant projects in the pipeline that some of which will come this quarter, a lot of which will come in FY '27.

I think one of the things that has really pleased us about this year although the market doesn't seem to have appreciated it as much, is that unlike previous years where our sales were relatively

Godrej Properties Limited

February 05, 2026

Page 11 of 15

concentrated in a couple of markets, I'd say if we look at FY '25, we had a spectacular year in NCR and Mumbai, but felt we could have done more in Bangalore and Pune.

I think this year actually if you look at calendar year '25 and also FY '26 once it completes, we will have the most well-rounded performance that's ever been delivered we think in the sector in terms of geographical spread of locations; probably INR10,000 crores sales plus in multiple

different markets, over INR3,000 crores sales in five different markets.

So I think that gives us a lot of confidence. We have the portfolio, we have the pipeline, we have the strong team. Now I think it comes down to how well we execute on the one hand and how strong each of the individual markets are. But if basis where we stand today, I think all five of these markets could show significant growth next year.

Pritesh Sheth: Sure. And just one last on the cash flow side. You talked about BD or business development additions being now pretty stable. Could FY '27 be the first year where we'll generate free cash flows even after spending bulk of our internal accruals on business development? Could that be a possibility?

Pirojsha Godrej: I think let us come back to you on this question next quarter. We haven't yet done the ground-up kind of work to answer that with clarity. I think the good news is we have done the ground-up work for this quarter and I expect this quarter to have good free cash flow post business development. But let us come back to you on that for next financial year.

Moderator: The next question is from the line of Gaurav Khandelwal from JPMorgan.

Gaurav Khandelwal: I've got a couple of those. First question, if I can just understand the scale of deliveries that we are thinking in fourth quarter as well as FY '27. The reason I'm asking this question is because you've mentioned in the past that FY '28 will be a good year in terms of realization and P&L.

But I just wanted to get a sense of how would FY '27 look before a very solid FY '28? That's my first question. I'll take the second one later.

Gaurav Pandey: See, frankly, next for financial year, the list of projects is sort of yet to be worked upon from an OC calendar point of view. But if I were to perhaps talk about quarter 4, I do have a list of projects where we can tell you about. Just give me a second, I am just trying to search for the notes. Yes. So here are the -- of course some of this, -- it is a more exhaustive list and this is a very explosive so I'll just share part of it.

We have a series of OCs planned in the Pune market and this is specifically on the Mahalunge and the Mamurdi cluster. This itself is close to 2 million, 2.5 million square feet of a portfolio and most of these will come largely in quarter 4 and some in quarter 1.

We have something planned in Meridian. We have something planned even in parts of Bombay like Khalapur is some

thing we're looking at. Then we are looking at in South a particular phase of RGA and then some aspirational project, which I don't want to really give you a confirmation right now, but together give or take, that's also in a couple of million square feet.

Godrej Properties Limited

February 05, 2026

Page 12 of 15

So essentially, we will have a pretty strong quarter 4 from an OC point of view because the internal targets are significantly exciting. And the one that actually will spill over will move to quarter 1, easily meeting after our guidance.

I'm very comfortable on the guidance part. But very few years we have where in the quarter 1 itself, we'll have a good head start. So yes, so most of it should come in quarter 4 and some should move to quarter 1. But even if we miss few of the ones that we feel very confident about, we will be easily far ahead of our guidance.

Gaurav Khandelwal: Got it. That's very helpful. The question is a more broader question. In some of your markets, which are especially more -- have a high beta to IT, ITES services, Bangalore, Hyderabad, so to say. Are you seeing any difference in terms of the customer footfall, customer conversion rates?

And do you think this entire weakness in the software spaces, ITES spaces would ultimately translate to lower demand in some of these efforts?

Pirojsha Godrej: No, we are seeing exceptional outcomes in both the markets you referenced. So of course Hyderabad, we are a relative newcomer, but we have in our first year there, which was calendar year '25, sold about INR3,000 crores worth of homes just across 2 projects. We've also added several new land parcels. So hope to be able to build on that momentum. But I think we're very, if anything, pleasantly surprised on the upside with how well Hyderabad has done for us last year.

Bangalore is also having a breakout year for us. We think we were perhaps about the largest developer in the city in the first 9 months with more than 100% growth. So I think that both of those markets have done very well. We also have a reasonable amount of commercial development, including in Bangalore, and are seeing leasing trends from that. And I would say that actually leasing is having one of its best ever years.

So of course there are risks to IT services, but there are other things that are growing very fast. As you all know, I think global capability sectors have seen explosive growth in demand these last couple of years and it's a sector that feels again like it's just at the start of its potential. I also think that the recent news from this week on the U.S. FDA getting cleared is from a sentiment perspective a big boost. I think there was a little bit of uncertainty that that created.

So I think this space of new free trade agreement first with Europe and now with the U.S. will add a lot of clarity, will add a lot of confidence. And India seems like a natural location for many

businesses to set up these GCCs. So I expect continued momentum. Of course hard to know exactly what the impact of AI on job creation is going to be over the medium term and I think we're all going to have to wait and watch.

But if I was guessing as of now, I'd say for India, this will actually not be something that destroys a lot of jobs, that creates a lot of problems both for commercial demand and residential demand. I would admit that there is some amount of uncertainty about that forecast, but -- and we'll have to wait and see. But certainly, on the ground as of now, both residential demand as well as importantly, commercial leasing has seen an exceptionally strong year.

Moderator: The next question is from the line of Murtuza from Kotak Securities.

Godrej Properties Limited

February 05, 2026

Page 13 of 15

Murtuza: My question is on the balance sheet and cash flow. When I look at the period from March to December, which is the 9-month period, the inventory increase is almost of the order

of about

INR19,000 crores. And when I look at the cash flow, the construction cash flow is about INR5,000 crores, land is about another INR5,400 crores, which is about INR10,000 crores.

So how do you reconcile this cash flow of about INR10,000 crores versus the inventory increase of almost about INR19,000 crores. Should we also take the project-related outflow of INR5,000 crores? Do that still leave some gap? And should the project-related outflow be considered as part of the JD partners share of collection? So just trying to reconciling these 2 sets of numbers, which is the cash flow and the balance sheet.

Rajendra Khetawat: Yes. So the inventory movement, Murtuza, is more because we are consolidating and we are giving exit to our JVs and those JVs get consolidated into our book. So you must have read a lot of JVs we have exited in the past few quarters, in the last 3 quarters. So when these exits happen and we take full control, those get consolidated into -- their inventory also gets consolidated into our book. That's why the movement you see is more of that.

And then also there are new projects which gets added like if we get into an area share kind of a project, you have to do a gross accounting. So it goes into inventory whereby there is no equivalent cash outflows in the cash flow statement. So always there is going to be a difference between the actual cash flows and the inventory movement what you see in the value.

Murtuza: And on the question on the other project-related outflow, which is what you put as line items.

Rajendra Khetawat: Most of the other project-related outflows are on account of taxes because we give more of a gross kind of cash flows. So when we do a gross cash flows, there are GSTs, there are certain taxes, there are JVP-related outflows. All those get captured into other project-related outflows. So that's why you see that movement because like if you do a collection and if you do a sales, you have to collect 5%. That 5% GST outflows gets classified into other project related outflows.

Moderator: The next question is from the line of Parvez Qazi from Nuvama Group.

Parvez Qazi: So two questions from my side. You mentioned that our demand trend seems to have now stabilized and the frenzy at least from a speculative activity point of view is no longer there. Has the same kind of stabilization been seen on the business development competitive intensity also? Can you get land at better areas today compared to, let's say, where things were 1 year back?

That's the first question. And second, your views on price hikes, let's say, in FY '27 would be great. I mean what kind of price appreciation can we see growing there?

Gaurav Pandey: Thanks for the question. It's a mixed bag. I think Pirojsha rightly captured in one of his earlier answers that sometimes there are auctions, right, where we have consciously not gone beyond a particular price threshold on buying the land because we didn't feel that there was a fair market valuation for that.

But at the same time, there are enough and more opportunities is clicked, where we found there is a lot of opportunity for us to get into. What usually happens out of our experience of doing so

Godrej Properties Limited

February 05, 2026

Page 14 of 15

many deals practically, if you see our average almost 1 or 2 deals we've been concluding every other month, is that there are points of opportunities when competition intensity is low and the land valuations start falling down because landowners feel little jittery.

So just to give you 1 simple example is you look at markets like Gurgaon right now. So Gurgaon market from a land point of view became extremely high 18 months back. And if you see practically, we've not done any acquisition in Gurgaon because there was a few deals and a lot of buyers wanting to buy that.

But after that, we've seen that the land valuations have started falling down quite attractively.

And

this is the time we start looking at opportunities, start seeing even at very low underwriting, is there great profits to be made. So I think it's just a game of patience and just going when the opportunity seems very well.

And we've got at any time 30 to 35 term sheet -- live term sheets we operate and we just have to do a handful of them. So deals that we feel very confident after diligence that, okay, market rates seems very confident, cost sheet looks very good, diligence looks all great is when we have to go. So yes, there are times when you see a bit of a berserk play and you just have to stay out of that market for that period of time with patience. And when the opportunity starts looking very attractive, you need to take a position and buy that.

Parvez Qazi: Sure. And on price appreciation?

Gaurav Pandey: I think price appreciation, if you -- in fact what I was quite surprised that even in the previous quarter with the exception of probably the Pune market, we've seen price hikes more or less in most of our portfolios. So yes, there is available. But yes, the degree of current price hikes are more subdued, but they are available. And I think going forward, again it will be calibrated. So locations where you don't have competing supply coming in, there is a term I internally use called qualified supply.

So let's say you're launching a project in a ticket size, say, INR6 crores, INR7 crores. Not every project in that will be a qualified supplier for an end user. For a speculator maybe. But for an end user, they would like to see the brand, they would like to see whether this developer has the competence and financial capability to complete the project, which is very characteristic of markets when they start maturing.

So I would say one has to look at price hike in future where qualified supply that means peer group, which is very good, wherever they are not launching projects and there is controlled supply, we would continue to see some decent hike. But yes, there is going to be moderation in price going forward and it will be a bit of project-specific call that we'll have to take.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question. I now hand the conference over to the management for closing comments.

Pirojsha Godrej: I hope we've been able to answer all your questions. If you have any further questions or would like any additional information, we'd be happy to be of assistance. On behalf of the management, I once again thank you for taking the time to join us today.

Godrej Properties Limited

February 05, 2026

Page 15 of 15

Moderator: Thank you. On behalf of Godrej Properties, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

Godrej Properties Ltd.

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May 06, 2026

BSE Limited
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Dalal Street,
Mumbai – 400 001

National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051

Ref: Godrej Properties Limited
BSE - Script Code: 533150, Scrip ID – GODREJPROP
BSE - Security Code - 974950, 974951, 975090, 975091, 975856, 975857, 976000 - Debt Segment
NSE Symbol - GODREJPROP

Sub: Transcript of the conference call with the investors/ analysts.

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Schedule III Part A, Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call organized with the investors/ analysts on Monday, May 04, 2026, post declaration of Audited Financial Results (Standalone and Consolidated) for the quarter and financial year ended March 31, 2026.

This is for your information and records.

Thank you.

Yours truly,
For Godrej Properties Limited

Ashish Karyekar
Company Secretary

Enclosed as above

Page 1 of 19

"Godrej Properties Limited
Q4 FY26 Earnings Conference Call"
May 04, 2026

MANAGEMENT : M R. PIROJSHA GODREJ – EXECUTIVE CHAIRPERSON –
GODREJ PROPERTIES LIMITED
M R. GAURAV PANDEY – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – GODREJ PROPERTIES
LIMITED
M R. RAJENDRA KHETAWAT – CHIEF FINANCIAL
OFFICER – GODREJ PROPERTIES LIMITED
M R. KSHITIJ JAIN – INVESTOR RELATIONS – GODREJ
PROPERTIES LIMITED

Page 2 of 19

Moderator: Ladies and gentlemen, good day, and welcome to the Godrej Properties Q4 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kshitij Jain from Godrej Properties. Thank you, and over to you, sir.

Kshitij Jain: Thank you, Dorwin. Hello, everyone, and thank you for joining us on Godrej Properties Q4 FY26 results conference call. We have with us Mr. Pirojsha Godrej, Executive Chairperson; Mr. Gaurav Pandey, Managing Director and CEO; and Mr. Rajendra Khetawat, CFO of the company. Before we begin this call, I would like to point out that some statements made in today's call may be forward-looking in nature.

The forward-looking statements are based on expectations and may involve risks. The outcome may differ materially from those suggested by such statements and a disclaimer to this effect has been included in the results presentation. I would now like to invite Pirojsha to make his opening remarks. Over to you, Pirojsha.

Pirojsha Adi Godrej: Good afternoon, everyone. Thank you for joining us for Godrej Properties fourth quarter financial year 2026 conference call. I'll begin by discussing the highlights of the quarter, and we then look forward to taking your questions and suggestions. GPL delivered its best ever year for business development, bookings, collections, operating cash flow and earnings in financial year '26.

In terms of bookings, Godrej Properties delivered its highest ever quarterly bookings in Q4, equalling the previous best ever quarter in Q4 FY25 and growing 21% quarter-on-quarter to INR10,163 crores. This was achieved through the sale of 4,789 units with a total area of 7.3 million square feet.

Sales in the fourth quarter were driven by strong demand in some key new project launches, including Godrej Aveline in Bengaluru and Godrej Arden in Greater Noida, which each saw sales in excess of INR1,500 crores and also by strong sustenance sales in several projects, including Godrej Trilogy, which saw sales of over INR1,000 crores.

For financial year '26, booking value grew 16% year-on-year to INR34,171 crores and thereby achieving 105% of our guidance. This was achieved through the sale of 17,513 units with a total area of 27 million square feet, a year-on-year volume growth of 5%. This is the highest ever full year booking value and volume announced by any listed real estate developer in India to date, allowing GPL to remain the largest residential developer in the country in terms of bookings for the third consecutive year.

Booking value has grown at a compounded annual rate of 41% over the past 3 years. Notably, this was the ninth consecutive year in which GPL has delivered growth in bookings, indicating our ability to grow through the cycle. Moreover, we crossed bookings of INR7,000 crores and area sold of more than 6 million square feet in each quarter of the last financial year,

Page 3 of 19

demonstrating the consistency made possible by our national presence and strong product portfolio.

The company's sales were well diversified geographically with the Mumbai region contributing over INR10,000 crores, Bengaluru contributing INR8,801 crores, NCR contributing INR7,412

crores, Pune contributing INR3,659 crores and Hyderabad, a new market for us, contributing INR2,360 crores. 11 individual projects across 6 cities generated booking value of more than INR1,000 crores during the year.

In terms of collections, the fourth quarter collections stood at INR7,947 crores, representing a year-on-year growth

of 14% over our previous best ever quarter and a quarter-on-quarter growth of 86%. For financial year '26, collections grew by 17% year-on-year and at a 3-year

compounded annual rate of 30% to INR19,965 crores. This is the highest collections ever reported by an Indian real estate developer in a quarter and in a financial year.

Strong collections also translated into strong operating cash flow of INR4,631 crores in the fourth quarter, representing a year-on-year growth of 14% over the previous best ever quarter and a quarter-on-quarter growth of 336%. Financial year '26 OCF stood at INR7,830 crores, representing a year-on-year growth of 5%.

GPL was able to drive a 62% increase in direct construction spend in financial year '26, which will help enable the company to maintain strong collections in the current financial year. GPL also delivered positive net cash flow post business development expenses of INR628 crores in the fourth quarter, a 6% increase year-on-year. Financial year '26 was also our best ever year for business development.

Godrej Properties added INR42,100 crores of future sales potential through portfolio addition, achieving over 200% of guidance and delivering year-on-year growth of 59%. 18 deals were closed with an aggregate area of approximately 33 million square feet. This includes 6 new

projects with a total estimated saleable area of approximately 11 million square feet and an expected booking value of about INR17,500 crores that were added in the fourth quarter.

GPL also ended the year on a strong note with respect to deliveries, achieving 12.1 million square feet of projects delivered across 9 cities, which was 121% of our annual guidance. This includes 7.4 million square feet of deliveries across 8 cities in the fourth quarter. Strong deliveries also translated into strong earnings.

For the quarter, our total income grew by 47% to INR3,895 crores, EBITDA grew by 51% to INR959 crores and net profit grew by 70% to INR650 crores. For the full year, our total income grew by 22% to INR8,374 crores, EBITDA grew by 43% to INR2,826 crores and net profit grew by 32% to INR1,850 crores.

The past financial year was also filled with many important milestones on our sustainability journey. I'm happy to share that Godrej Properties has been included in the Leadership Index for CDP with an A rating in 2025 and has also been recognized as a supply chain leader in CDP's Supplier Engagement Assessment. GPL is also ranked number 1 globally amongst real estate

Page 4 of 19

developers in both the Dow Jones Sustainability Index and the Global Real Estate Sustainability Benchmark.

Our record business development additions, combined with the strong operating cash flow of over INR15,000 crores that has been generated over the last 2 years will enable us to continue building on the strong growth momentum the company has established. In financial year '27, we hope to grow residential bookings to over INR39,000 crores through the launch of a large number of exciting new projects combined with strong sustenance sales.

This is a 20% increase over our guidance for financial year '26. We expect to grow collections by 20% to over INR24,000 crores. We remain extremely focused on delivering our return on equity target of 20% by financial year '28 by stepping up our speed on execution and project delivery, which will create rapid growth in operating cash flows as well.

With a robust launch pipeline and strong balance sheet, we are confident of continuing the momentum in financial year '27 across all key operating metrics. On that note, I conclude my remarks. Thank you all for joining us on the call. We're now happy to discuss any questions, comments or suggestions you may have.

Moderator: Our first question comes from the line of Parikshit Kandpal from HDFC Securities. Parikshit Kandpal

al: Congratulations to the management team for a great quarter and financial year. Sir, my first question is on the pre-sales guidance. I mean in the current environment, we have given a very strong guidance. So just wanted some more color on geographically how we see the growth, some more color on the demand and the end markets? Because if I see your numbers in FY26,

NCR has seen a de-growth and even on business development, I think we've just added one project in this year.

Secondly, Bangalore and Pune, Bangalore has grown well. But again, there are concerns on AI-related disruption in demand, similarly, which may touch even Pune sentimentally. So how does one look and model the growth given the guidance which you have given, which looks to be quite strong? So any color on the end market's demand? And how do you think FY27 will play out for these regions?

Pirojsha Godrej: Yes. I think the idea will be to ensure a strong diversification in our growth as we've been able to do in the last few years. You rightly pointed out NCR saw a dip in sales last year. We don't think that was actually driven by what was happening in the market. We had a couple of the launches we hope to do in NCR slip out of the year. So a large acquisition in Gurgaon that we've done. Unfortunately, we're not able to get the approvals within the year. That is now slated to be a Q1 of this financial year launch. We're also quite hopeful that Ashok Vihar, our project in Delhi that has been delayed for some years now will also get launched this year. So those will be 2 important launches. You also mentioned the BD deal we did in another prime area in Gurgaon. So we do feel we have a strong portfolio in NCR and hope to get back to above INR10,000 crores in sales in NCR as we were the 2 preceding financial years.

Page 5 of 19

I think we've seen outstanding growth in the last year and the last few years in both Mumbai and Bangalore, and we look to continue to build on that momentum. I think we had a lot of good business development in Bangalore last year. Our view is that the worry that AI is somehow going to lead to core residential demand is probably a little bit overdone.

As we've seen both -- not only in terms of residential demand, office demand itself has been very strong and any slight softness in the IT sector has actually been more than made up so far in global capability center demand. Of course, I think with the level of uncertainty on issues like AI and the geopolitical situation currently, I think we will, of course, have to be watchful and adjust our plans basis what we see.

But as we look at the year right now, this seems to us a reasonable estimate. We're also very confident of demand in Mumbai, Pune, Hyderabad, which is a new market for us, has done exceptionally well. Our other markets, which is largely due to our plotted development has been growing well. We also expect to have launches at group housing in both Ahmedabad and Calcutta.

So I think a lot of opportunities and what gives us confidence to maintain the guidance. And we have been indicating that the company will seek to grow at 20% a year and we'll seek to have guidance growing by that amount each year. We're happy to be able to do that this year.

I think what gives us some confidence that we can get there, as I said in my remarks, business development last year actually grew by 59%. A lot of those projects will be available for launch this year. So hopefully, our launch calendar will be even stronger in the current financial year than it was last year.

Also in terms of the sustenance opportunity, we believe the available inventory to sale has also grown by 35% year-on-year because of all of the launches we were able to do last year. So overall, there is a good opportunity to meet these numbers and hopefully even exceed them.

But as you rightly

pointed out, there are, of course, also uncertainties. You mentioned AI. I think I would add to that, the global geopolitical situation. So if there are any major shifts in demand over the year, we'll, of course, come back to you guys with what we're seeing. But right now, I think we feel this is -- this is quite reasonable, and there could even be opportunities to do better if markets hold up well.

Parikshit Kandpal: And my second question was on the -- if I compare Q4 versus Q1, the initial part of Q1, so given this uncertainty globally, so are we -- so what -- any color on the footfalls and the conversions?

And if you can help us also understand the premium segment or luxury housing, is there any delay in decision-making deal closures?

Are you seeing incrementally the trend that people are elongating the decision-making cycle and which may impact H1, but maybe if things improve, H2 will come back solidly, I mean, strong for us. So how does one look at presales, where H1 will be a bit muted and then H2 will see a strong recovery. So just wanted some color on that.

Page 6 of 19

Gaurav Pandey: So Parikshit, right now, H1 looks, frankly, quite bright for us because we have a pretty strong launch calendar skewed especially towards H1. This has been sort of an effort of last year the idea is to bring launches fast. But I get your point, you have a fair point to say that given the geopolitical risk, what do we see.

Now the thing is in April, we've not seen something really out of the world because whatever sustenance projects are in place, we are seeing reasonable footfalls. Of course, there is a sense of cautiousness in consumers, but we are seeing conversions. Our launches will start hitting more towards May end and June is when we would be able to fully appreciate to what extent this geopolitical risk exists right now for the sales demand funnel.

But just to give you some very early indications, there were a launch -- there was -- I'll just give you one example. There was a launch done in Bangalore, where we -- which is called Godrej Aveline. If my memory serves me right, we did about INR1,500 crores over there, and give or take, we've done already INR250 crores in the month of April, which is by a rate of run rate, much better than we've seen in Bangalore.

So again, there will be projects that may be slightly more impacted. There will be projects that might surprise, but very difficult to frankly give you a sense of what exactly Q1 number would look like. But having said that, even if there is, let's assume some impact, we have enough and more time to cover it up within H1. So quite cautiously optimistic for Q1 and a bit more surer on H1. And of course, H2 will continue to be good.

Parikshit Kandpal: Okay. And just the last question, if you can give us some number. So out of the total launches for FY26, so how much has been -- on the presales, what was the contribution of sustenance sales and the new launches for FY26?

Gaurav Pandey: I think quarter 4 was largely a very interesting sustenance-driven quarter. We almost had, memories of like close to 50%-odd in quarter 4, and that was driven by some of the big projects like Worli did about INR1,000 crores plus, INR1,100-odd crores. We had Panipat INR200-plus crores, and we had reserved in INR500 crores.

At the moment, very difficult to say, but what we have done to start a good momentum, we have created a pan-India sustenance campaign, and we're just hitting the ground as we speak so that all the projects have extreme high focus to move inventory.

So very early days of the campaign, just a couple of days back, we started. We got some good encouraging results. And the idea is to have a consistent run rate on sustenance. While launches will be launches, but sustenance a more predictable inventory is what we continue to focus upon.

Pari

kshit Kandpal: And for FY26, I think the campaign you're talking about is 1% per month, right, that campaign?

Gaurav Pandey: Yes. I mean yes, it is designed like that. It's like a 20% upfront and there are bullet payments every year. And it is a 1% anchoring, sourcing tool is 1%. Again, project to project, it will differ. It's closer to CLP, CLP and TLP somewhere in between. And yes, you're right. The fact is you heard about this campaign which means the impact is starting in the market. So give us a few more weeks, and we'll have a better picture.

Page 7 of 19

Parikshit Kandpal: And last thing is FY26, how much is the sustenance as the contribution to sales?

Gaurav Pandey: Bookings contribution to?

Parikshit Kandpal: FY26 total sustenance, Yes.

Gaurav Pandey: Sustenance contribution to total sales is your question or booking value for?

Parikshit Kandpal: Yes, yes. I mean, yes, so total sustenance contribution to the presales?

Gaurav Pandey: 60 would be launches.

Pirojsha Godrej: 60 launches, 40...

Gaurav Pandey: Yes, 40% would be sustenance.

Parikshit Kandpal: Okay. Thank you. Thank you team and wish you all the best.

Moderator: Thank you. Our next question is from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: Yes. Thank you so much and congrats on your performance. My question is if you can also, in your presales, give some color on how should one think about the mix of projects, whether you're inclined more towards mid-premium or more mid-income and also volume and value growth that you see in the market and for your presales guidance?

Pirojsha Godrej: Yes, Puneet, I think it's fairly decipherable from the -- I think every BD deal we do, we announced now an expected booking value from it and an area, so you get a pretty exact picture of what we're underwriting in terms of pricing.

I think over -- I wouldn't say there's any major shift from last year to this year. But over the last 2 years, we certainly tried to go into a slightly more premium category of projects, focused very much on kind of...making sure we're in the best location within each of the micro markets we're looking at.

So I think some of the important projects we added last quarter included one in Golf Course Extension Road in Gurgaon, a very prime located projects of good scale in Thane. So those would be some examples. But in terms of the -- we're putting out, as I said, the exact price points we expect to be at through the combination of booking value plus area guidance.

Puneet Gulati: And volume growth, should one assume a strong volume growth into this year? Or is it be more value growth driven?

Pirojsha Godrej: Yes. I think if you look at the last few years, Puneet, the volume growth over the last 5 years has compounded at 20% a year, excuse me, against the total sales growth of nearly 40% a year. So volumes have been a meaningful contributor. So I would expect a roughly equal split perhaps between volume and value for the overall growth.

Puneet Gulati: Okay. And on your annuity income, you are now talking about potential of INR1,000 crores with your share being almost in INR230 crores to INR250 crores. Any plans of monetizing? And when do you think you'll hit INR1,000 crores of rentals here?

Pirojsha Godrej: No, I don't think we have any immediate plans of monetizing this. But I think I don't have a clear sense of exactly when we'll get to that INR1,000 crores milestone you mentioned. But certainly, I do see this continuing to go up, and there could also be opportunities to consolidate share rather than divest if we'd like to. So I do see this increasing steadily over the next few years.

Puneet Gulati: That's helpful. And lastly, on your net debt, while it still remains in a comfortable range, should

one think about FCFE positive for FY27?

Pirojsha Godrej: I think it's a little uncertain, to be honest, for FY 27. I think it is quite possible. It will depend a little bit on the quantum of business development we do. At the guided business development levels, I think it will be FCF positive. And whether we go above it or not will depend on kind of the quality of opportunities and our confidence in them.

But I think broadly speaking, Puneet, let's talk a little bit slightly longer term than just this year, very clearly, directionally, we think business development investments won't need to scale up very dramatically from here. We had taken a step jump increase in BD. We did see the opportunity over the last few years in the early stage of the cycle and when we were on a lower base to grow very disproportionately.

I think Gaurav and the team have done a fantastic job in making that happen. And as a result, compounded growth of bookings for the last 3 years has been over 40%. But I think what we're looking at from here is on this much higher base, getting to a kind of consistent 20% growth. For that, the level of business development as a percentage of existing projects and as a percentage of kind of operating cash flow will keep coming down. So I expect certainly FY28 to be strongly free cash flow positive. I think FY27 will depend on kind of ultimately how much business development we do. It could be, but it may not be also.

Puneet Gulati: Okay, that's helpful. Thank you so much and all the best.

Pirojsha Godrej: Thank you.

Moderator: Our next question comes from the line of Kunal Lakhan from CLSA. Please go ahead.

Kunal Lakhan: Hi, thanks for taking the question. Firstly, on the impact of Iran war. Firstly, on the demand side, are you seeing any impact on the demand side, especially from, say, on the NRI customer inquiries, especially in markets like in NCR?

And also like ultimately, if -- is there any silver lining to this war like in terms of the Indian buyers who are investing in markets like Dubai and in Abu Dhabi are now ultimately looking at -- looking back at Indian markets? That's first. And secondly on the -- also on the overall cost impact of this war, right? Are you seeing any impact on the procurement of materials in terms of delay or on the cost side also?

Gaurav Pandey: Thanks, Kunal. Kunal, on the impact on the demand, I would say around March, last 2 weeks, we did see some amount of impact, but that was the peak of the chaos. And give or take, we could have probably done INR1,000-odd crores more and would have loved to even actually deliver 20% growth last year. That was sort of an internal target.

And right now, if you ask me, the situation is, of course, a little uncertain from a buyer standpoint, but it is not as worse off, I would say, in March because people over a period of time tend to normalize a situation. So I would say one has to be cautiously optimistic. But relative to the peak stress of March end, it's slightly better.

And -- but again, as like I mentioned, we have to be just cautious optimistic and be very steady on the understanding consumer sentiment. The silver lining that you talked about, the second part of your first question, I would say, in the short-term, it does create some amount of dissonance. But in the long-term, actually impacts the market in a positive way because I think there were a lot of fence-sitters who were looking at Dubai primarily as a huge investment hub. And also, there were a lot of people who had taken a sort of a property selection purely from an investment point of view to move there. I think that all is going to get revisited significantly. I don't see a big impact of that in the next 3 to 6 months for sure. But I do feel that this is a good opportunity that a lot of demand could flow

back to many markets within India and across developers.

On the cost impact, I would say we've done some cost estimation because of the portfolio size and projects at different levels. I would say, give or take, cost impact would be between 5% to 6% at max. Again, in some projects could be even lower.

From a margin point of view, again, project to project could differ. But give or take, every

quarter, this is going to be something like 0.1% to 0.2% of margin impact. So quite reasonable to control with just a small price hike in the next 2, 3 years of that project, we can manage that. But yes, I think more fundamentally is the supply side shock.

If we see constraints to supply getting created, we did see some of that happening in tiles and all, at some amount of marbles, but things are getting slightly better than what we saw in March.

And fortunately, we have good strong forward contracts done in most of these input materials. So again, we partner with our vendors. But at the moment, it seems fairly manageable.

And we hope that this situation that we talked about Middle East in the next 2 to 3 months, if not earlier, should get fully resolved. And if that happens, I think we're pretty much back to normal with some amount of catch-up to be done. But yes, if it continues for 6, 12 months, then I think that's something which has different economic risk than sector specific.

Kunal Lakhan: Sure. Sure, Gaurav. Very helpful. My next one is to Pirojsha. Pirojsha, you mentioned earlier that your BD spend in FY27, you're not sure whether it will be higher or lower or similar, right? But if you look at your guidance, right, of INR20,000 crores of GDV acquisition, and we're considering like your FY26 guidance and the number that you actually achieved was more than 2x.

Page 10 of 19

How should we look at the BD guidance that you have given? Like would you still aim at beating that guidance? Or you are happy with like achieving, say, INR20,000 crores GDV? Or you'll be just opportunistic that you were there in FY26?

Pirojsha Godrej: Kunal, I think it's really a question of the opportunities we see out there. That's why we don't focus too much on business development guidance and have kind of kept it steady in the last few years. Look, we're quite keen and we're quite aware of stakeholders wanting us to start demonstrating kind of free cash positive on a more consistent basis. We're happy to see that last quarter.

Very confident again of seeing that in FY'28 as that's a year where we think both collections and earnings will see a step jump as a lot of these newer projects reach revenue recognition. I think this is kind of a transition year. And when I say it may happen, it would be easy for me to say it will happen right now, and perhaps I should just say that.

But I think I want to be realistic that if we see very good opportunities, we do think we still have the balance sheet that can support them, and we will look to add projects. So I think certainly, if we only add projects with INR20,000 crores, we'll certainly be free cash positive. If we add something closer to what we did last year, I think we'll be about breakeven on free cash would be my guess. And as I said, FY28 is a year where I expect to generate a lot of cash for business development.

Kunal Lakhan: Sure, sure. Helpful. My last question is on the imputed margin that we have started to put out since the last couple of years. For FY26, the imputed EBIT margin is about around 24.5%, which is lower than what we had seen in the last couple of years. Is it a function of the product mix? Or is there any impact of increased costs or overheads that we are factoring in here?

Pirojsha Godrej: I think in a pretty tight band, there will always be a little bit of fluctuation on this. One of the factors at least versus FY25 to keep in mind is that

we had a big contribution from one of our JV projects in Bangalore in FY26, where we saw almost INR4,000 crores sales in that one project, which is a 50-50 JV.

So the total economic interest for the full year was 88% versus 93% in the previous year. So a little bit can be because of that. But I think these minor fluctuations can happen. I think if you recall, we had guided for a 10% to 15% PAT margin overall, and we're happy that for now the third consecutive year, we're at the very top end of that range.

Kunal Lakhan: Understood. All right. Thank you so much and all the best.

Pirojsha Godrej: Thanks, Kunal.

Kunal Lakhan: Thank you.

Moderator: Our next question comes from the line of Gaurav Khandelwal from JPMorgan. Please go ahead.

Gaurav Khandelwal: Hi, good evening. Thanks for taking my questions. I've got a few. I'll take those one by one.

Firstly, on this, the 1% payment program, can I understand, is it merely a marketing tool to get

Page 11 of 19

more sales? Have you tried this in the past? Or is this something that you've come up with recently?

And especially in this, how does the payment from a developer or from a buyer standpoint of view, how is the payment different vis-a-vis, let's say, a regular construction-linked payment? Is there more downside risk here? Or is it rather an optionality?

Gaurav Pandey: Great question. And one of the things I'm learning is journalists also picks up a lot of things from

earnings call and right story. I mean just to qualify, this is not the Dubai style 1% payment plan. If you would recollect, even last year, we did a 1%. It's more like a sourcing tool where essentially, again, project to project, it could differ.

So let's say, you're buying a project which is very close to possession. So essentially, you're paying upfront money, say, 10%, 20%, 30%, rest in maybe 2, 3 months. And then for the 2, 3 months or 6 months could be 1%, then you pay on possession. Vice versa, if you buy something which is an early stage of a project, you would typically pay between 20% to 30% or so in the initial period of time. Then you have 1% per month and the idea is to converge it closer to CLP.

So yes, it is slightly better than a construction-linked payment plan, but we sort of benchmark a construction-linked payment plan, which is to say that 70% of collections usually come, say, in a take up typical CLP. Here, it could be between 60% and 70% depending on project to project.

But for a consumer, it becomes slightly an easier entry point to evaluate.

And our experience historically has been that it attracts a lot of consumers to walk into a site and then they decide to choose sometimes to move to a normal construction-link payment plan, sometime to this or sometimes even to down pay payment plan because then they get to see pricing difference between all the payment plans. So it is not really in the classic sense that you only pay 1% in the life cycle.

But yes, I mean, you don't have the headache to pay bulky payments every other second, third month. You pay 20% typically upfront in 1 to 2 or 3 months and then 1% a year and some bullet payments. It's like a BMW scheme that you get to see or a Mercedes lease scheme that you get to see, something similar. And it's a win-win for consumers as well for the sales perspective.

Gaurav Khandelwal: Got it. And if I can just follow-up on this. Does this also then -- did this have a consideration when you built in a forecast of 20% cash collection guidance this year? Or even without this, you would have still been comfortable with your 20% growth guidance on collections?

Gaurav Pandey: I think collections is anyways going to come agnostic to a particular scheme. See, these are like, you know, like what do you say, pillars to our overall portfolio plan. Every quarter, we do something or the -- to attract consumers to have be

ter walk-ins. They feel the need to evaluate a product proposition.

You've got to excite the market. And sometimes you release a scheme which is more financial. Sometimes you release a scheme, which is more product like you get certain freebies and you, of course, build in a price to adequately do it. From a cash flow planning point of view, almost

Page 12 of 19

all the projects I can say, they are always benchmarked to a base payment plan, which is a typical construction-linked payment plan.

As a rule of thumb, we don't do any sort of, say, tip is a classic PLP as it called position-linked plan, more than 5% to 7% in the quarter. So let's say, if we're doing INR10,000 crores plus sales in the previous quarter, not more than 5%, 6% would be a true PLP scheme. Everything else is either a scheme, which is a classic construction-linked payment plan or maybe a 10% or 15% of that, a few slabs earlier, a few slabs later.

And that is just enough to keep the site momentum going, keeping the sustenance engine alive because every consumer wants to feel that what's the best deal for me in this quarter. So there has to be a reason to believe to always evaluate the product. I hope this answers it.

Gaurav Khandelwal: Got it. That's very helpful. My second question is of the INR42,000 crores of GDV that you announced in FY26, how much do you estimate would be the total land and related capex payments? How much of that is done and how much is still pending? Could you share some color on that, please?

Rajendra Khetawat: So we have paid the major payments. Only some milestone-linked payments are pending. So around INR1,500 crores is what is pending for the deals which we have signed in '26.

Gaurav Khandelwal: No, sorry, out of INR42,000 crores, the total would be how much, sorry, I did not get it.

Rajendra Khetawat: So for the entire quarter...

Pirojsha Godrej: You get INR1,500 crores...

Rajendra Khetawat: '27, yes.

Gaurav Khandelwal: Got it. Okay. Okay. Thanks. And my final question to Pirojsha. So we recently saw -- I'm sure everyone must have seen your interview. In that INR5 trillion market cap, where does Godrej Properties sit in the broader picture of things?

Pirojsha Godrej: Well, it is quite high. I think we refrain from giving company level guidance on this. But I think perhaps you can get an idea of where we think it sits by the fact that we bought back 5% of the company last year, including most of that in Q4.

Gaurav Khandelwal: Got it. All right. Thank you very much. All the best.

Pirojsha Godrej: Thank you.

Moderator: Our next question comes from the line of Pritesh Sheth from Axis Capital. Please go ahead.

Pritesh Sheth: Yes. Thanks for the opportunity and congrats on great results for this year. First one is just on

the free cash flow discussion that we are having earlier. We have also given a dividend payout -
- I mean, we have given a dividend payout for next year. What does it indicate?

Page 13 of 19

I mean, does it indicate that this will be a regular phenomenon now and fundamentally, we are much in a better position to generate free cash flow considering that we would be paying regular dividends, yes. So just trying to understand the underlying message here when we announced this dividend? Pirojsha Godrej: Thanks, Pritesh. Yes, I think that -- and that is the underlying message. As I mentioned earlier, I think over the last few years, we felt the real opportunity was disproportionate growth. Frankly, we think 20% growth over the last few years where the market itself has been growing at that kind of rate would have been kind of underplaying the opportunity. So we were very clear we wanted to grow well ahead of market, grow market share. I think we made some very timely investments before the

cycle turned and during the early parts of the cycle that have helped kind of completely reset the scale of the company to kind of 4x, 5x where it was not that long ago.

With that behind us, I think now we think on this higher base, the 20% actually is the appropriate growth rate to look at in also a more steady part of the cycle. So I think that's what we're after. The level of investment needed to achieve 20% growth is obviously lower than is needed to achieve 40% to 50% growth.

We will, therefore, see, I think, a more consistent level of BD investment, while our sales collections and operating cash flows will all grow quite sharply, we think, over the next few years. Therefore, I think the surplus cash available to the company for dividend will increase. We've started with a relatively modest dividend for this financial year, but we'll, of course, now look to both make these dividends consistent and consistently growing.

Pritesh Sheth: Sure. That's helpful. And on the guidance part, this is obviously better than what we had last year in terms of the percentage growth, 12.5% last year to now almost 15%. You know, what are we expecting to be better this year? Is it the demand scenario? Or we have a better hold on the pipeline that is about to get launched this year and hence, slightly better guidance than last year despite a higher base?

Pirojsha Godrej: I would actually ask you if you guys have a slightly funny way of looking at results sometimes. I think what has actually happened is that a couple of years ago, we said we would like to grow guidance 20% a year, year-on-year. We've done that now both of the last 2 years. So this year's guidance only looks better because actually, as Gaurav was saying, we think we probably missed about INR1,000 crores sales at the end of March.

If we had done that, I think last year's growth would, in fact, have been 20%. And then you guys perhaps would be complaining that our guidance was only 10% higher. So maybe it's an advantage to us that didn't happen in some ways.

But look, I think what we're saying is that we obviously don't want to constrain ourselves on the upside. So if we see the opportunity to grow 55% as we did in FY23 or 84% in FY24, we'd like to obviously seize on those opportunities even if that means that the next year's growth may look a little bit more moderate.

Page 14 of 19

But I think this idea of 20% growth in guidance is something we are keen to deliver. And obviously, each year, we hope to do a bit better than guidance. So last year, we did 6% better than our guidance. And therefore, this year's growth over actuals is 14%. But, you know, had we been able to do 20%, as I said, then this year's guidance over actuals would have been 10%. So I think that's the way we're thinking about it.

In terms of what gives us confidence of overall having a much stronger number this year, as I mentioned earlier, our business development last year grew by 59%, which implies a stronger launch opportunity this year than we had the previous year. And our existing inventory available for sale is also on an opening basis, 35% higher this year than it was last year.

Now of course, there are also additional risks and concerns this year that didn't exist last year, not least of which is this global situation. So, we will have to keep a watchful eye on that and come back to you guys if we're seeing any shifts in the market in either direction. But as of now, I think basis what we're seeing, basis the launch opportunity, basis the presence.

And this is obviously built bottom-up project by project, region by region and with some buffer for soon slippages in launch timelines and things. So, so far in the last 4 years, we have been able to meet the sales guidance each year. We're obviously very hopeful of doing that again this year.

Pritesh Sheth: Sure.

That's helpful. And one just one last on the pricing side since we are doing a lot of sustenance sales as well, how is the price expectations -- price acceptance by the consumer when we are taking those increases? And what would be the outlook on that as we move ahead in FY '27?

Gaurav Pandey: I think pricing has been, I mean, especially in South and Bombay reasonably decent. And I would say West has been marginally better, nothing great. And on the Gurgaon side, I don't see there is a good price uptick. And frankly, we are not really looking at that. We focus more on quality of sale. Noida has been a bit of a consistent surprise in the sense that there's a very strong lack of supply in that market. So, it gives sort of a clear demand-supply issue, which is why price uptake is still good. So yes.

Pritesh Sheth: Got it. That's helpful. That's it from my side and all the best. Thank you.

Gaurav Pandey: Thank you.

Moderator: The next question is from the line of Abhinav Sinha from Jefferies. Please go ahead.

Abhinav Sinha: Hi. A couple of questions. So firstly, on the launch guidance that you've given of INR480 billion, you already detailed some big launches in NCR, but can you talk about maybe a few more projects in other areas and what to watch out for in terms of timing?

Gaurav Pandey: Thanks, Abhinav. Actually, pretty action packed here. We -- apart from the launches Pirojsha talked about, I'll just quickly cover NCR more. We will have a very exciting launch coming up in Greater Noida, Godrej Golf Links, our last residential cluster. This is sort of a sold-out project

Page 15 of 19

previously. Retail was the last product we had launched, almost probably 90% plus also sold out. So very looking much forward to this one.

We will also have a tower activation, phase activation basically in Godrej Arden. The launch, which happened last quarter, has done more than INR1,500 crores. So likely towards quarter 3, we'll launch, and we will also launch a phase likely of Miraya during the later part of the year. In Bombay, again, quite action packed. We will have Bandra is the most awaited launch for Bombay in the last many years, that should come.

We will have phase activations in Kharghar and Panvel. We will also launch the tower of Worli.

As you would have seen, we've been clocking sales pretty strongly. So, I think somewhere around Diwali this year, we might open a new phase of Worli. We will also see after a very long time, a very exciting land parcel coming in Vikhroli. And the teams are quite excited about that.

This is a huge project. And towards maybe quarter 2 or quarter 3, we would see a launch of this one.

Then we will have a tower activation of Godrej Reserve. And the recent acquisition, the INR7,500 crores top line that we have acquired in Thane, that should also see a launch in towards -- mostly like towards -- late Q3 or Q4.

On South, we've added a lot of projects across the board. So, most of we will see action in the coming months, starting with Kukatpally and Kada Agrahara. These will be 2 exciting launches. Bannerghatta in Bangalore will be coming up. We will be launching a second phase of Regal Pavilion. We will launch a plotted development project in Coimbatore. And there are 2, 3 more launches. Like in Hyderabad, we have a launch of Neopolis, the land in auction we bought. Moving on to -- and again, there will be some phase activation we look forward in MSR and Whitefield. In Pune, we'll have, again, a series of launches starting from Mundhwa, Nagpur. We will open another phase of -- another parcel in Upper Kharadi. We will have something -- maybe 2, 3 launches in Mahalunge depending on how many launches we can secure in terms of approvals. And we'll have a very exciting launch in Calcutta as well as Raipur. After a long time, we'll have a launch coming in Vastrapur, which

is Ahmedabad.

So, I mean, as you can clearly see, we have enough and more to be very, very confident, like Pirojsha was mentioning that there is a guidance of launch guidance, and we tend to keep buffers, so some of these may slip. But in spite of them slipping, we are very confident to bring the inventory given as guidance and through that driver launches.

Abhinav Sinha: Sir, second question on construction costs. So now we have seen a big reset already with a 62% jump. From here, should we be thinking about maintaining the current INR2,000 crores per quarter levels or there is another large jump ahead?

Gaurav Pandey: I mean I would say we would see a consistent growth like the ones that you talked about. And I see the percentage will be in double digit, may not be as massive as the one we saw in the last year, but the endeavour would be to push as much as we can so that we can start securing the OC plan for FY '28. And some of these launches will also determine some of the construction spend.

Page 16 of 19

So, if we're able to ensure that we have a good Q1 and Q2 launches, that will also, of course,

have a good positive upside on the construction. But again, from an operating cash flow, most of these will get covered up from the launch collections itself. So yes, endeavour is to push as much speed of CoC spend. But yes, I mean, the range that you talked about seems very logically achievable, but yes, internal targets are slightly more stretched.

Abhinav Sinha: So logically okay to believe that OCF should now rise faster than customer collections or you think it's still more in line?

Gaurav Pandey: I mean, it actually frankly depends upon the stage of the project and the CoC spend of that, right? If we see -- because finally, we are a portfolio of, say, maybe 100-odd companies, 100-odd projects, right?

So, if we are able to see great construction progress in projects which are in later stage of construction, then the OCF conversion is very, very high. And if we are able to -- for some reason, I'm just giving you a sense of sensitivity on how difficult it is to project these numbers.

If we're able to not do that very well, but if you do very well on the mid-stage, then actually happens quite the opposite.

So frankly, I wouldn't want to put my neck out and convert it. But yes, directionally, I can say OCF will continue to grow very strongly because we've been able to ensure that many of the projects in last year have reached a slab cycle level. So typically, construction is relatively slower in typically 2, 3 basements till you hit plinth and above.

Now we have hit second, third, fourth and many of it, which is the typical cash flow accretive sort of stage of a project. But I mean, very frankly, all projects for us are equally important to speed construction. But directionally, OCF will continue to be strong. But I can't give you a number right now, but trajectory-wise, I can say it will be stronger than last year.

Abhinav Sinha: Okay. Thanks, and all the best to the team.

Gaurav Pandey: Thank you, Abhinav

Moderator: The next question is from the line of Rahul Jain from Elara Capital. Please go ahead

Rahul Jain: Hi, sir. Thank you for the opportunity. On the launching of INR480 billion that you are launching, what is the approval cost that you're budgeting for the full year in FY '27?

Rajendra Khetawat: Very difficult, Rahul. It will be like several of the projects and each project will have a different approval because some we will require some premium to be bid, some FSI to be bought, so very difficult. But why don't we get connect offline and maybe we'll help you with some of the numbers.

Rajendra Khetawat: Sure, sure. And on the collection front, you were essentially guiding for INR210 billion for FY '26, you landed at INR200 billion for the full year. So, there were

obviously INR10 billion worth

of slippages. So does that INR240 billion that you're guiding in FY '27, the slippage is baked in or there is upside risk to that number? That's it.

Page 17 of 19

Pirojsha Godrej: Yes. I think a lot of the deliveries ended up being skewed towards sort of even later in Q4 than we were originally planning. So, I think there is a little bit of slippage because of that. We, of course, are disappointed to have missed this INR21,000 crores guidance. I think INR24,000 crores, we always would have some buffers in the guidance. I think that something will change in an industry like real estate is pretty much a given.

So, we do have some buffers. So I wouldn't say INR24,000 crores is everything going right. We could have perhaps gone a little bit higher, but based on the learning from this year where we ended up missing it by 5%, we wanted to stick with INR24,000 crores, but we'll hope to do a bit better than that.

Rahul Jain: Understood sir. Thanks.

Moderator: The next question comes from the line of Akash Gupta from Nomura. Please go ahead.

Akash Gupta: Hi. Am I audible?

Moderator: You are audible, sir.

Akash Gupta: Yes hi. Sir, congratulations on great performance. Actually, my question is twofold. The first is your launch performance for projects in Kharghar and Kharadi that were launched in 4Q FY26, they were slightly on the softer side. So I just wanted to know your thoughts on that. And second, for projects in Gurgaon, projects like Sora and Miraya, I think we already did roughly 30%, 35% at launch, but I don't see that offtake continuing. So what's your thought on that? So these are my 2 questions.

Gaurav Pandey: Thanks. I think the project Kharghar and Upper Khadi are exactly part of the bucket of projects which saw impact of lower conversion in the last 2 weekends of March due to Middle East, something that, so this is more of a short-term issue and the idea is, in fact we had great check pickup, conversions did take a hold because consumers were expecting that because there's a geopolitical situation, there are some extraordinary deals to clinch, which we don't offer very frankly. So I think that's a bit of that.

On some of the 2 projects of golf course that I talked about, there is also you know, stage of construction. So in some, one of the projects, we've removed the marketing office so that the construction can be complete of that area because there's a basement and logistics part. But I

think typically, 3 to 4 months, once that stage is over, we will put back sort of a temporary

marketing office. And again, the sales figure will start moving up.

Akash Gupta: Understood sir thank you so much.

Moderator: Our next question is from the line of Kunal Lakhan from CLSA. Please go ahead. Kunal your line has been unmuted you may proceed with your question.

Kunal Lakhan: Thanks for taking my question again. So on the cash side, we got cash of about 80-odd million. How much.

Pirojsha Godrej: Not able to hear you, Kunal. Could you try again?

Page 18 of 19

Kunal Lakhan: Is this better? Or is it still the same?

Pirojsha Godrej: I think this is a bit better. Go ahead.

Kunal Lakhan: Okay. So just wanted to understand on the cash side, we have a cash of about INR8,000 crores in our books. How much of this would be in the RERA account?

Pirojsha Godrej: Around INR6,700 crores.

Kunal Lakhan: Okay, INR6,700 crores is in the RERA account, okay, okay. Okay. Understood. Secondly, on the revenue side, right, I mean, in terms of the revenue bookings that we are, revenue recognition side rather, right? We're still recognizing revenues in line with our sales of, say, FY21, FY22.

And we have seen some ramp-up in sales from FY23 onwards. On the revenue side going into FY27 and

in FY28, particularly FY27, could we see a bump in the revenue recognition? Because when I look at the deliveries guidance, right, it's showing.

Gaurav Pandey: Thanks. I think we would see that major bump up in FY28.

Kunal Lakhan: Okay. Okay. Major bump in.

Pirojsha Godrej: Also the OCs will come in, Kunal, so you will see a significant P&L revenue recognized into P&L over there.

Gaurav Pandey: Well, I mean, even now it's quite healthy. I think if my memory serves, INR2,900 crores is revenue linked to all these OCs. But and even this year, it should be decent. But I think the real bump is FY28 when we, where our target is to hit 20% growing.

Pirojsha Godrej: And Kunal, that obviously what implies, that's why the FY28 was the year we said from when we will be hitting this 20% ROE because that's the year where we see the significant bump up.

But obviously, with delivery guidance for the current year higher than last year, we should see positive momentum this year as well. But I think a big step jump in FY28.

Management: And another thing is like all those revenues which are going to get recognized will be off of our own projects. So that's why you will also see that bump coming in FY28.

Pirojsha Godrej: Yes. We think perhaps the market hasn't fully appreciated that yet because whilst bookings themselves have grown very sharply, GPL's economic interest, we show separately has grown even faster. So over the 5 years, it's been compounding at 55% a year. And all of that will now, we think, start becoming more and more visible in the P&L. And of course, some of it already has.

Kunal Lakhan: Understood. Understood. And one last question, if I may. Pirojsha, you did highlight about Ashok Vihar likely to get launched in FY27. Are all the issues specific to that project or for that market, right, are they already behind us? Or what is it, what's the current status right now?

Pirojsha Godrej: No, I wouldn't say they're all behind us. And I wouldn't say there's a certainty of it getting launched this year, but I think very strong progress is being made and the team on the ground

Page 19 of 19

feels that this year, we will be able to launch it. I don't think that was the message from them at this time last year.

But I would not say this is something that we should take for as certain, but we're reasonably optimistic of this happening. And I think it will be quite positive if within a 12-month period, these 3 significant projects that have been delayed for some time, Worli, Bandra and Ashok Vihar all get launched, and that's the endeavour. In some ways, of course, these delays have helped in terms of how the market has moved, but we wouldn't like to see obviously any further delays now.

Kunal Lakhan: Sure understood thanks again. Thank you so much.

Pirojsha Godrej: Thanks Kunal.

Moderator: Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to the management for closing comments.

Pirojsha Godrej: I hope we've been able to answer all your questions. If you have any further questions or would like any additional information, we'd be happy to be of assistance. On behalf of the management, thank you once again for taking the time to join us today.

Moderator: Thank you. On behalf of Godrej Properties that concludes this conference. Thank you all for

joining us. You may now disconnect your lines.